Concept 1 – Introduction & Definition

The Indian Companies Act, 1913 was the first structured law on company form of organisation. Some of the concepts of 1913 Act are still present in 2013 Act. This Act continued till 1956, when the first Companies Act of independent India was passed in 1956. After 57 years, the new companies were drafted and passed in 2013.

The Companies Act, 2013 ('The Act') consolidates and amends the law relating to the companies in India and replaces the Companies Act, 1956 , which is 56 years old, consisting of 29 Chapters, 470 Sections and 7 Schedules was notified partially on 12th September 2013 and partially again on 26th March, 2014. Part of the provisions related to National Company Law Tribunal have been notified with effect from 1st June, 2016.

The new Act intends to improve corporate governance and to further strengthen regulations for the corporate sector with the introduction of key provisions as to Duties and Liabilities of Directors/Independent Directors, Auditor Rotation, Establishment of Serious Fraud Investigation Office (SFIO), Constitution of National Financial Reporting Authority (NFRA), Class Action Suit, Corporate Social Responsibility (CSR) etc.

The Act is administered by the Central Government through the Ministry of Corporate Affairs (MCA) and the Offices of Registrar of Companies, Official Liquidators, National Company Law Tribunal (NCLT), National Company Law Appellate Tribunal (NCLAT), etc. The ROC controls the task of incorporation of new companies and the administration of running companies.

Definition - As per Section 2(20), 'Company' means a company incorporated under the Act, or under the previous Company law.

Meaning - Company is an artificial, legal and juristic person, separate from its members having perpetual existence – Incorporated Company or Corporation.

Unincorporated company, not registered under this act, such as Partnership, Association of Persons, is a collection of individuals and they do not have a separate legal identity.

Concept 2 – Features of Company

a) Independent Corporate Existence

Also known as Separate Legal Entity Concept, it is distinct legal person existing independent of its members. By incorporation under the Act, the company gains a corporate personality.

Case Law: Mr. Salomon Vs. Salomon & Co. Ltd.

b) Limited Liability

The member's liability becomes limited or restricted to the nominal value of the shares taken by them or the amount guaranteed by them. No member is bound to contribute anything more than that.

A shareholder is liable to pay for the shares as and when it is called up. In case of default the shares may be forfeited, and the shareholder no more remains a shareholder.

c) Perpetual Succession

The death or Insolvency of individual members does not affect the corporate existence of the company. "Members may come and go but the company can go on forever."

Case Law: Gopalpur Tea Co. Ltd. v. Peshok Tea Co. Ltd. (1982)

d) Separate Property as separate owner

A company, being a legal person, is capable of owning, enjoying and disposing of property in its own name. The company becomes the owner of its capital and assets. The shareholders are not the several or joint owners of the company's assets.

Bacha F Guzdar v. C.I.T.

e) Transferability of Shares

In case of companies, shares should be capable of being easily transferred. Accordingly, the Companies Act, 2013 in Section 44 declares: 'The shares or debentures or other interest of any member in a company shall be movable property, transferable in the manner provided by the articles of the company'. This provides liquidity to the investor and stability to the company.

f) Common Seal

Prior to the Companies (Amendment) Act, 2015 the common seal is a seal used by a corporation as the symbol of its incorporation and also a statutory requirement for a company, but now it is optional. In case the company has opted to have a common seal, the same shall be used as provided under the Act or the Articles. In case a company does not have a common seal, the authorisation shall be made by two directors or by a director and the Company Secretary, wherever the company has appointed a Company Secretary.

Lifting of the 'Corporate Veil'

The phrase "lifting the veil" is looking behind the company as a legal person, i.e., disregarding the corporate entity and paying regard to the realities behind the legal facade. Where the law ignores the company and concern themselves directly with the members or managers, the corporate veil may be said to have been lifted.

In instances where the activities of a company are violating the public interest or public policy.

The following are the cases where company law disregards the principle that the company is a legal entity distinct and separate from its shareholders or members:

1) In cases related to trading with the enemy, where the courts apply the test of control.

2) For matters concerning taxes, duties, and stamps, especially when controlling interest is in question.
3) When companies form subsidiaries to act as their agents, courts may disregard the corporate veil depending on the case's facts.
   Case Law: Smith, Stone and Knight Ltd. vs. Lord Mayor, etc., of Birmingham [1939] 4, All. 116
4) Courts can lift the corporate veil when companies attempt to avoid welfare legislation.
   Case Law: Workmen of Associated Rubber Industry Ltd. v. Associated Rubber Industry Ltd.
5) The Court tend the lift the corporate veil in order to find the realities of situation in case of commission of fraud or improper conduct.
6) The corporate veil is lifted where the company has abused the corporate personality for an unjust and unequitable purpose.
7) The Courts lift the corporate veil or disregard the corporate personality of a company to protect the public policy and prevent transactions contrary to public policy.
   Case Law: Connors v. Connors Ltd; (1939) S.C.R. 162
8) Under the law relating to exchange control. The courts lift the corporate veil in quasi-criminal cases in order to look behind the legal person and punish the real persons who have violated the law.
9) When companies are used to avoid legal obligations, courts may treat them as if they do not exist.
10) In a recent Supreme Court judgment, the corporate veil was lifted when a company transferred shares to disguise a prohibited land sale.
    Case Law: Estate Officer UT Chandigarh v. Esys Information Technologies Limited (2016)

Concept 3 – Promotion of a Company

As per the Companies Act, 2013, Promoters are persons

a) whose name appears in the prospectus or identified by the company in the annual return,
b) has control directly or indirectly over the affairs of the company either as a shareholder or a director and
c) according to whose direction, advice or instructions the Board of Directors are accustomed to act.

As per the Securities Exchange Board of India (SEBI), Promoters are persons who are in control of the issuer or are instrumental in the formulation of a plan or programme pursuant to which specified securities are offered to the public. The persons whose name appears in the offer document are known as promoters.

Promoters' Agreement/Memorandum of Understanding (MOU):

Promoters may draft a Memorandum of Understanding (MOU) or Memorandum of Agreement (MOA), though not mandatory, when planning to form a company. Promoters can enter contracts for the proposed company and must disclose any personal interests or profits. An optional Promoters Agreement can outline the rights and liabilities concerning company formation.

Memorandum and Articles of Association:

The Memorandum of Association (MOA) defines the company's constitution, including its name, office, objectives, capital, and liabilities. The Articles of Association (AOA) outline the company's internal management rules. Both documents must be filed with the Registrar of Companies during incorporation. A company can be structured as an OPC, private or public company, and limited or unlimited by shares or guarantee.

Concept 4 - Classification of Companies

4.1 On the Basis of Incorporation

a) Statutory Companies

These are the companies which are created by a special Act of the Legislature, e.g., the Reserve Bank of India, the State Bank of India, the Life Insurance Corporation, etc. These are mostly concerned with public utilities. The provisions of the Companies Act, 2013 do not apply to them unless the special act specifies such application.

b) Registered companies

These are the companies which are formed and registered under the Companies Act, 2013, or were registered under any of the earlier Companies Acts.

4.2 On the basis of liability

a) Company limited by shares

Section 2(22) defines that when the liability of the members of a company is limited by its memorandum of association to the amount unpaid on the shares held by them, it is known as a company limited by shares.

b) Company limited by guarantee

Section 2(21) defines it as the company having the liability of its members limited by the memorandum to such amount as the members may respectively undertake by the memorandum to contribute to the assets of the company in the event of its being wound up.

c) Unlimited company

Section 2(92) defines unlimited company as a company not having any limit on the liability of its members. In such a company the liability of a member ceases when he ceases to be a member. The liability of each member extends to the whole amount of the company's debts and liabilities but he will be entitled to claim contribution from other members.

4.3 On the basis of members

a) One Person Company (OPC)

The concept of One Person Company (OPC) has now been introduced in India, through Section 2 (62) of Companies Act, 2013 thereby enabling Entrepreneur(s) carrying on the business in the Sole Proprietor form of business to enter into a Corporate Framework. One Person Company is a hybrid of Sole-Proprietor and Company form of business, and has been provided with concessional/relaxed requirements under the Act. Though this concept is new in India but it is already a part of many other countries like China, Australia, Pakistan and UK etc.

According to Section 2 (62), 'One Person Company' means a company which has only one person as a member. A company formed under one person company may be either:

a) company limited by shares, or
b) company limited by guarantee, or
c) An unlimited company.

Features of One Person Company (OPC)

i) Only One Shareholder: Only a natural person, who is an Indian citizen whether resident in India or not, shall be eligible to incorporate a One Person Company.
ii) Nominee for the Shareholder: The Shareholder shall nominate another person who shall become the shareholder in case of death/incapacity of the original shareholder. Such nominee shall give his/ her consent and such consent is for being appointed as the Nominee for the sole Shareholder. Only a natural person, who is an Indian citizen whether resident in India or otherwise , shall be a nominee for the sole member of a One Person Company.
iii) Director: Must have a minimum of One Director, the Sole Shareholder can himself be the Sole Director. The Company may have a maximum number of 15 directors.

b) Private Company

According to Section 2 (68), a 'private company' means a company having a minimum paid-up share capital as may be prescribed, and which by its articles:

i) restricts the right to transfer its shares.
ii) except in case of OPC, limits the number of its members to 200: Provided that,
    - where 2 or more persons hold one or more shares in a company jointly, they shall, for the purposes of this clause, be treated as a single member

    Provided Further that,

    - persons who are in the employment of the company, and
    - persons who, having been formerly in the employment of the company, were members of the company while in that employment and have continued to be members after the employment ceased,

    shall not be included in the number of members, and

iii) prohibits any invitation to the public to subscribe for any securities of the company.

Exception to limited liability: If the number of members of a private company is reduced below 2, and the business is carried on for more than 6 months, while the number of members is so reduced,

every person who is a member of the company during this period shall be severally liable for the payment of the whole debts of the company contracted during that time.

c) Public Company

According to Section 2 (71), a 'public company' means a company which,

a) is not a private company and
b) has a minimum paid-up share capital, as may be prescribed
c) 7 or more members are required to form the company.

Provided that a company which is a subsidiary of a company, not being a private company, shall be deemed to be public company for the purposes of this Act even where such subsidiary company continues to be a private company in its articles.

d) Small Company

According to Section 2 (85), a "small company" means a company, other than a public company:

a) paid-up share capital of which does not exceed ₹ 50 lakhs or such higher amount as may be prescribed (₹ 10 crores) which shall not be more than ₹ 10 crores and
b) turnover of which as per its profit and loss account for the immediate preceding financial year does not exceed ₹ 2 crores or such higher amount as may be prescribed (₹ 100 crores) which shall not be more than ₹ 100 crores.

Provided that nothing in this clause shall apply to:

a) a holding company or a subsidiary company.
b) a company registered under Section 8, or
c) a company or body corporate governed by any special Act.

4.4 On the basis of control

Holding company and Subsidiary company

According to Section 2 (46), 'holding company', in relation to one or more other companies, means a body corporate of which such companies are subsidiary companies.

According to Section 2 (87), 'subsidiary company' or 'subsidiary', in relation to any other body corporate (that is to say the holding company), means a body corporate in which the holding company:

a) controls the composition of the Board of Directors or
b) exercises or controls more than one-half of the total voting power either at its own or together with one or more of its subsidiary companies:

Provided that such class or classes of holding companies as may be prescribed shall not have layers of subsidiaries beyond such numbers as may be prescribed.

4.5 On the basis of Listing in the recognised Stock Exchange

a) Listed Company (also widely held)

According to Section 2 (52), a 'listed company' means a company which has any of its securities listed on any recognised stock exchange.

For the purposes of the proviso to clause (52) of section 2 of the Companies Act, 2013, the following classes of companies shall not be considered as listed companies, namely:-

i) Public companies which have not listed their equity shares on a recognized stock exchange but have listed their –
   - non-convertible debt securities issued on private placement basis or
   - non-convertible redeemable preference shares issued on private placement basis or
   - both categories

ii) Private companies which have listed their non-convertible debt securities on private placement basis on a recognized stock exchange

iii) Public companies which have not listed their equity shares on a recognized stock exchange but whose equity shares are listed on a stock exchange in a jurisdiction as specified in the Act.

b) Unlisted Company

Unlisted Company means company other than listed company. They are also called closely held companies.

4.6 Other Types of Companies

1) Government Company

According to Section 2 (45), a 'Government company' means any company in which not less than 51% of the paid-up share capital is held by the Central Government, or by any State Government or Governments, or partly by the Central Government and partly by one or more State Governments, and includes a company which is a subsidiary company of such a Government company.

2) Foreign Company

According to Section 2 (42), 'foreign company' means any company or body corporate incorporated outside India which:

a) has a place of business in India whether by itself or through an agent, physically or through electronic mode and
b) conducts any business activity in India in any other manner.

3) Associate Company

According to Section 2 (6), 'associate company' in relation to another company, means a company in which that other company has a significant influence, but which is not a subsidiary company of the company having such influence and includes a joint venture company.

As per the Explanation given under the Section, the clause, 'significant influence' means control of at least 20% of total voting power, or control of or participation in business decisions under an agreement.

4) Dormant Company

Where a company is formed and registered under this Act for a future project or to hold an asset or intellectual property and has no significant accounting transaction, such a company or an inactive company may make an application to the Registrar in such manner as may be prescribed for obtaining the status of a dormant company.

5) Nidhi Companies

Company which has been incorporated as a Nidhi with the object of cultivating the habit of thrift and savings amongst its members, receiving deposits from, and lending to, its members only, for their mutual benefits.

6) Public Financial Institutions

According to Section 2(72), "public financial institutions" means -

a) The Life Insurance Corporation of India established under the LIC Act, 1956.
b) The Infrastructure Development Finance Company Limited.
c) Specified company referred to in the Unit Trust of India (Transfer of Undertaking and Repeal) Act, 2002.
d) Institutions notified by the Central Government.
e) Such other institution as may be notified by the Central Government in consultation with the Reserve Bank of India

Provided that no institution shall be so notified unless:

a) it has been established or constituted by or under any Central or State Act (or)
b) not less than 51% of the paid-up share capital is held or controlled by the Central Government or by any State Government or Governments or partly by the Central Government and partly by one or more State Governments.

7) Joint Venture Company: A joint venture means a "joint arrangement" where parties with joint control have rights to the net assets. It is formed by a JV agreement between two or more companies, sharing responsibilities. A business venture without forming a company is called a "non-corporate joint venture" or "contractual joint venture."
8) Non-profit Company: A Section 8 company is formed to promote commerce, art, science, social welfare, or similar objectives. Profits are applied only for its objectives, and no dividend is paid to members. It is registered under the Companies Act, 2013.
9) Sectoral Companies: These are companies registered under the Companies Act but operating in specific sectors regulated by government authorities. They must comply with both the Companies Act and sectoral laws, like banking companies, which follow the Banking Regulation Act and RBI directives, or insurance companies subject to the Insurance Act and IRDA regulations.

10) Non-Banking Financial Company (NBFC): An NBFC is a company registered under the Companies Act, engaged in financial activities such as loans, advances, and securities trading. It excludes businesses mainly focused on agriculture, industry, or goods trading.
11) Banking Companies: A company registered under the Companies Act, conducting banking operations as per the Banking Regulation Act. It requires a banking license from the RBI and must include "banking" in its name.
12) Insurance Company: A company registered under the Companies Act, engaged in insurance business as per the Insurance Act, requiring a license from the Insurance Regulatory and Development Authority (IRDA). The name must include "insurance" to indicate its nature.

Concept 5 - Large partnership to be registered as company or when companies must be registered

According to Section 464, any association or partnership with more than 50 members, formed to carry on business for profit, must be registered as a company under this Act or any other applicable law.

This rule does not apply to:

a) A Hindu Undivided Family (HUF) conducting business.
b) Associations or partnerships formed by professionals governed by special Acts.

Every member of an association or partnership carrying on business in contravention of above law, shall be punishable with a fine that may extend upto one lakhs rupees and shall also be personally liable for all liabilities incurred in such business which will be an illegal association and the association will have no legal standing, meaning it cannot sue, be sued, or be wound up under the Act. However, a member can recover any money paid before it is used for illegal purposes.

Concept 6 - Incorporation of Company

6.1 Formation of Company

Persons who form the company are known as promoters. It is they, who conceive the idea of forming the company. They take all necessary steps for its registration.

Section 3 deals with the basic requirement with respect to the constitution of the company.

a) Public Company: In the case of a public company with or without limited liability any 7 or more persons can form a company for any lawful purpose by subscribing their names to memorandum and complying with the requirements of this Act in respect of registration.
b) Private Company: In exactly the same way, 2 or more persons can form a private company.
c) One Person Company(OPC): 1 person, where the company to be formed is to be OPC.

If number of members reduce below above stipulation and the business is carried on for more than 6 months, while the number of members is so reduced, every person who is a member of the company during this period shall be severally liable for the payment of the whole debts of the company contracted during that time.

6.2 Procedural aspects of incorporation of Company

Section 7 provides for the procedure to be followed for incorporation of a company.

Filing of the documents and information with the registrar: For the registration of the company following documents and information are required to be filed with the registrar within whose jurisdiction the registered office of the company is proposed to be situated:

a) the MOA and AOA of the company duly signed by all the subscribers to the memorandum.
b) a declaration by person who is engaged in the formation of the company (an advocate, a CA, CMA or CS in practice), and by a person named in the articles (director, manager or secretary of the company), that all the requirements of this Act and the rules made there under in respect of registration and matters precedent or incidental thereto have been complied with.
c) a declaration from each of the subscribers to the memorandum and from persons named as the first directors, if any, in the articles stating that:

   i) he is not convicted of any offence in connection with the promotion, formation or management of any company or
   ii) he has not been found guilty of any fraud or misconduct to any company under this Act or any previous company law during the preceding 5 years and
   iii) that all the documents filed with registrar for registration of the company contain information that is correct and complete and true to the best of his knowledge and belief.

d) the address for correspondence till its registered office is established.
e) the particulars (names, including surnames or family names, residential address, nationality) of every subscriber to the memorandum along with proof of identity.
f) the particulars (names, including surnames or family names, the Director Identification Number, residential address, nationality) of the persons mentioned in the articles as the first directors of the company and such other particulars including proof of identity as may be prescribed, and
g) the particulars of the interests of the persons mentioned in the articles as the first directors of the company in other firms or bodies corporate along with their consent to act as directors of the company in such form and manner as may be prescribed.

Issue of certificate of incorporation on registration: The Registrar on the basis of documents and information filed, shall register all the documents and information in the register and issue a certificate of incorporation in the prescribed form to the effect that the proposed company is incorporated under this Act.

Allotment of corporate identity number (CIN): On and from the date mentioned in the certificate of incorporation, the Registrar shall allot to the company a corporate identity number, which shall be a distinct identity for the company and which shall also be included in the certificate.

Maintenance of copies of all documents and information: The company shall maintain and preserve at its registered office copies of all documents and information as originally filed, till its dissolution under this Act.

Furnishing of false or incorrect information or suppression of material fact: If any person furnishes any false or incorrect particulars of any information or suppresses any material information, of which he is aware in any of the documents filed with the Registrar in relation to the registration of a company, he shall be liable for action under Section 447.

6.3 Steps for formation of Company through SPICe+

The Companies (Incorporation) Amendment Rules, 2020 w.e.f 23rd February, 2020 introduced new web form SPICe+ for incorporation of the Companies replacing the old e-form SPICe.

SPICe+ is an integrated Web form offering 11 services by various concerned Central Government Departments and three State Government (Maharashtra, Karnataka & West Bengal), thereby saving as many procedures, time and cost for Starting a Business in India.

As per Rule 38 of the Companies (Incorporation) Rules, 2014, the Application for incorporation of a company shall be made in SPICe+ (Simplified Proforma for Incorporating Company Electronically Plus: INC-32) along with e-Memorandum of Association (e-MOA) in Form No. INC-33 and e-Articles of association (e-AOA) in Form no. INC-34.

The application under shall be accompanied by form AGILE-PRO-S (INC-35) containing an Application for registration of the following numbers, namely:-

1) GSTIN with effect from 31st March, 2019
2) ESIC with effect from 15th April, 2019 pLus
3) EPFO with effect from 8th April, 2019
4) Profession Tax Registration with effect from the 23rd February, 2020
5) Opening of Bank Account with effect from 23rd February, 2020.
6) Shops and Establishment Registration.

Service Services offered through SPICe+ are:

- Name Reservation
- Incorporation
- DIN allotment
- Mandatory issue of PAN
- Mandatory issue of TAN
- Mandatory issue of EPFO registration
- Mandatory issue of ESIC registration
- Mandatory issue of Profession Tax registration (Maharashtra, Karnataka & West Bengal)
- Mandatory Opening of Bank Account for the Company and Allotment of GSTIN
- Shops and Establishment Registration.

After deployment of SPICe+ web form, RUN (Reserve Unique Name) is applicable only for change of name of existing companies.

6.4 Establishment of Central Scrutiny Centre

The Central Government has established a Central Scrutiny Centre (CSC) for carrying out scrutiny of Straight Through Processes (STP) e-forms filed by the companies. The CSC shall function under the administrative control of the e-governance Cell of the Ministry of Corporate Affairs.

6.5 Effect of registration

On incorporation, the company, shall be a body corporate by the name contained in the MOA. Such a registered Company shall be capable of exercising all the functions of an incorporated company.

6.6 Certificate as Conclusive Evidence

Certificate of incorporation is accepted as conclusive evidence of existence of the company, by all judicial and administrative authorities.

6.7 Memorandum of Association

A memorandum is a public document under Section 399 of the Companies Act, 2013.The Memorandum of Association of company is in fact its "charter". It defines its constitution and the scope of the powers of the company with which it has been established under the Act. Consequently, every person entering into a contract with the company is presumed to have the knowledge of the conditions contained therein.

6.8 Contents of Memorandum of Association

Section 4 of the Companies Act, 2013 seeks to provide for the requirements with respect to memorandum of a company.

The memorandum of a company shall state:

a) Name Clause: the name of the company with the last word 'Limited' or 'Private Limited' as the case maybe.
b) Registered office Clause: the State in which the registered office of the company is to be situated.
c) Objects Clause: the objects for which the company is proposed to be incorporated and any matter considered necessary in furtherance thereof. If any company has changed its activities which are not reflected in its name, it shall change its name in line with its activities within a period of six months from the change of activities after complying with all the provisions as applicable to change of name.
d) Liability Clause: the liability of members of the company, whether limited or unlimited, and also state:
    1) in the case of a company limited by shares, that the liability of its members is limited to the amount unpaid, if any, on the shares held by them and
    2) in the case of a company limited by guarantee, the amount up to which each member undertakes to contribute:
        - To the assets of the company in the event of its being wound-up while he is a member or within one year after he ceases to be a member, for payment of the debts and liabilities of the company or of such debts and liabilities as may have been contracted before he ceases to be a member, as the case may be, and
        - to the costs, charges and expenses of winding-up and for adjustment of the rights of the contributories among themselves.
e) Capital Clause : in the case of a company having a share capital:

1) The amount of share capital with which the company is to be registered and the division thereof into shares of a fixed amount and the number of shares which the subscribers to the memorandum agree to subscribe which shall not be less than one share, and
2) The number of shares each subscriber to the memorandum intends to take, indicated opposite his name

f) Subscription clause
g) Nomination Clause: in the case of OPC, the name of the person who, in the event of death of the subscriber, shall become the member of the company.

6.9 Applying for the Name of the Company

The name stated in the memorandum shall not be identical with or too similar to the name of any existing company registered under this Act or any previous company law. Additionally, the name must not constitute an offence under any law currently in force or be deemed undesirable by the Central Government. Furthermore, a company shall not be registered with a name that contains any word or expression likely to give the impression that it is connected with or has the patronage of the Central Government, any State Government, or any local authority. If such words or expressions are to be used, the company must obtain prior approval from the Central Government.

Various guidelines regarding the viability and use of names have been issued and are stipulated in the Companies (Incorporation) Rules.

To reserve the name of the company, a person may make an application through the web service to the Registrar at the Central Registration Centre. This application can be for either the name of the proposed company or the name to which the company intends to change. Once approved, the reserved name will be valid for 20 days in the case of new companies and for 60 days in the case of existing companies.

If it is discovered that the name was applied for using incorrect information after its reservation, and if the company has not yet been incorporated, the reserved name will be cancelled. The person who made the application may face a penalty of up to ₹1 lakh. If the company has already been incorporated, the Registrar may take action after giving the company an opportunity to be heard. This action may involve directing the company to change its name within 3 months after passing an ordinary resolution, striking off the name of the company from the register of companies, or filing a petition for the winding up of the company.

6.10 Extension of reservation of name

Upon payment of fees provided below through the web service available at www.mca.gov.in, the Registrar shall extend the period of a name reserved under rule 9 by using web service SPICe+ (INC-32), up to:

a) 40 days from the date of approval on payment of fees of ₹ 1000 made before the expiry of 20 days from the date of approval.
b) 60 days from the date of approval on payment of fees of ₹ 2000 made before the expiry of 40 days referred to in clause a) above.
c) 60 days from the date of approval on payment of fees of ₹ 3000 made before the expiry of 20 days from the date of approval.

6.11 Registered office of a company

Section 12, seeks to provide for the registered office of the company for the communication and serving of necessary documents, notices letters etc. The domicile and the nationality of a company are determined by the place of its registered office. This is also important for determining the jurisdiction of the court.

a) Registered office: Within 30 days of its incorporation and at all times thereafter a company shall have a registered office capable of receiving and acknowledging all communications and notices as may be addressed to it.
b) Verification of registered office: The Company shall furnish to the Registrar, verification of its registered office within a period of 30 days of its incorporation. The form to be filed in INC-22.

6. 12 Labelling of company:

Every company shall:

a) paint or affix its name and the address of its registered office at every office or place where it conducts business. The name and address should be in a conspicuous position, written in legible letters, and if necessary, in the local language as well.
b) have its name engraved in legible characters on its seal
c) get its name, address of its registered office and the CIN along with telephone number, fax number, e-mail and website addresses, if any, printed in all its business letters, billheads, letter papers and in all its notices and
d) have its name printed on hundis, promissory notes, bills of exchange, etc.

Name change by the company: Where a company has changed its name during the last 2 years, it shall paint or affix or print, along with its name, the former name or names so changed during the last 2 years.

In case of OPC: The words "One Person Company" shall be mentioned in brackets below the name of such company, wherever its name is printed, affixed or engraved.

Notice of change to registrar: Notice of every change of the situation of the registered office, verified, after the date of incorporation of the company, shall be given to the Registrar within 30 days of the change, who shall record the same.

Change by passing of special resolution: The registered office of the company shall be changed only by passing of special resolution by a company, outside the local limits of the city, town or village where such office is situated.

Change of registered office outside the jurisdiction of registrar: Where a company changes the place of its registered office from the jurisdiction of one Registrar to the jurisdiction of another Registrar within the same State, there such change is to confirmed by the Regional Director on an application made by the company.

Communication and filing of Information: The confirmation of change of registered office from jurisdiction of one registrar to another registrar within the same state, shall be:

a) communicated within 30 days from the date of receipt of application by the Regional Director to the company, and
b) the company shall file the confirmation with the Registrar within a period of 60 days of the date of confirmation who shall register the same, and

The Registrar of Companies of the new jurisdiction shall certify the registration within a period of 30 days from the date of filing of such confirmation. In case, the Registrar is convinced with evidence that company is not carrying on any business, he may initiate action to strike off the name of the company.

If any default is made in complying with the requirements of this section, the company and every officer who is in default shall be liable to a penalty of one thousand rupees for every day during which the default continues but not exceeding one lakh rupees.

6.13 Alteration of the Memorandum

Section 13 governs the alteration of the memorandum and outlines the following key provisions:

a) A company may alter the provisions of its memorandum with the approval of its members through a special resolution.
b) Any change in the name of a company requires prior approval from the Central Government in writing. However, no such approval is necessary if the name change involves only the addition or deletion of the word "Private" due to the conversion of one class of companies to another. Furthermore, a company that has defaulted in filing its annual returns or financial statements with the Registrar, or has defaulted in repaying matured deposits or debentures or interest there on, is not allowed to change its name.
c) Upon changing its name, the Registrar shall enter the new name in the register of companies, replacing the old name. A fresh certificate of incorporation will be issued with the new name, and the change will be complete and effective only upon the issuance of this certificate.
d) An alteration of the memorandum changing the registered office's location from one State to another will not take effect unless approved by the Central Government.
e) The Central Government must dispose of such requests within 60 days, ensuring that:

    - The alteration has the consent of creditors, debenture-holders, and other parties concerned with the company, or
    - Sufficient provisions have been made by the company for the due discharge of all its debts and obligations.

f) The company is required to file with the Registrar the Central Government's order.
g) When the registered office is moved from one State to another, a certified copy of the Central Government's order approving the alteration must be filed by the company with the Registrar of each relevant State within the prescribed timeframe.
h) The Registrar of the State to which the registered office is being shifted shall issue a fresh certificate of incorporation reflecting the alteration.

i) A company that has raised money from the public through a prospectus and still has any unutilized funds from such an issue shall not change its objects without passing a special resolution via postal ballot. The following conditions must also be met:

- The details regarding the resolution must be published in newspapers (one in English and one in a vernacular language) circulating where the company's registered office is located, and on the company's website, if available, explaining the justification for the change.
- Dissenting shareholders must be given an opportunity to exit, as specified by the Securities and Exchange Board.

j) The Registrar shall register any alteration to the memorandum concerning the company's objects and certify the registration within 30 days from the date of filing the special resolution.
k) No alteration made under this section shall have any effect until it has been registered in accordance with the provisions set forth.
l) In the case of a company limited by guarantee and without share capital, any alteration intending to grant any person the right to participate in the divisible profits of the company other than as a member shall be void.

6.14 Rectification of Name of Memorandum

a) According to Section 16, the Central Government has the authority to direct a company to rectify its name if it is identical to or too similar to that of a previously registered company or a registered trademark. The company must rectify its name within 3 months of receiving such a directive by passing an ordinary resolution.
b) Notice of Change to the Registrar: The company after changing its name, must provide notice of this change to the Registrar within 15 days from the date of the change, along with the order from the Central Government. The Registrar shall then carry out the necessary amendments to the certificate of incorporation and the memorandum

6.15 Articles of Association

Meaning: The articles of association are the bye-laws of the company according to which director and other officers are required to perform their functions as regards the management of the company.

Section 5 seeks to provide the contents and model of articles of association as follows:

a) Regulations for Management: The Articles must contain regulations governing the management of the company.
b) Inclusion of Matters: The Articles should include matters prescribed under relevant rules, along with any additional matters deemed necessary for effective management.
c) Provisions for Entrenchment: Entrenchment provisions may be included, allowing specific Articles to be altered only under conditions more restrictive than those for a special resolution.
d) Manner of Inclusion of Entrenchment Provision: Entrenchment provisions can be included during company formation or by amendment agreed upon by all members for private companies, and by special resolution for public companies.
e) Notice to the Registrar: If the Articles include entrenchment provisions, the company must notify the Registrar in the prescribed form and manner.

f) Model Articles: A company may adopt all or any of the regulations contained in the model articles applicable to such company.
g) For a company registered after the commencement of the Act, if its Articles of Association do not exclude or modify the provisions of the applicable Model Articles, those provisions will auto matically apply to the company as if they were included in its registered Articles.

6.16 Alteration of Articles

Section 14 vests companies with power to alter or add to its articles.

a) Alteration by special resolution: Subject to the provisions of this Act and the conditions contained in its memorandum, if any, a company may, by a special resolution alter its articles.
b) Alteration to include conversion of companies: Alteration of articles include alterations having the effect of conversion of:
    - a private company into a public company, or
    - a public company into a private company:

    However, any such alteration having the effect of conversion of a public company into a private company, then such conversion shall not take effect except with the approval of the Central Government on an application.

c) Every alteration of the articles and a copy of the order of the CG approving the alteration, shall be filed with the Registrar, together with a printed copy of the altered articles, within a period of 15 days who shall register the same.
d) Any alteration of the articles registered as above shall be valid as if it were originally contained in the articles.

As per Section 15,

a) Every alteration made in articles of a company shall be noted in every copy of the articles, as the case may be.
b) If a company makes any default in complying with the stated provisions, the company and every officer who is in default shall be liable to a penalty of ₹1,000 for every copy of the articles issued without such alteration.

6.17 Effect of Memorandum and Articles

As per Section 10, where the memorandum and articles when registered, shall bind the company and the members to the same extent as if they respectively had been signed by the company and by each member, and an agreement to observe all the provisions of the memorandum and of the articles. All monies payable by any member to the company under the memorandum or articles shall be a debt due from him to the company.

As a result, a number of legal relationships are formed between different parties and the company which are described below:

a) Between the members and company: The MOA and AOA constitute a contract between the members and the company.

b) Between member inter se: The articles of Association constitute a contract not merely between the shareholders and the company but between each individual shareholder and every other.
c) Between the company and the outsiders: The memorandum and the articles do not constitute a contract between the company and outsiders.

Nonetheless, an outsider is entitled to assume that in respect of contract entered into with him all the formalities required to be carried out under the articles or memorandum have been duly complied with.

6.18 Act to override memorandum, articles, etc.

As per Section 6, The provisions of this Act shall have overriding effect to the provisions contained in
a) the memorandum or
b) articles of a company, or
c) in any agreement executed by it, or
d) in any resolution passed by the company in general meeting or by its Board of Directors,

whether the same be registered, executed or passed, as the case may be, before or after the commencement of this Act.
Any provision contained in the memorandum, articles, agreement or resolution, to the extent in conflict to the provisions of this Act, shall be void.

6. 19 Copies of memorandum, articles, etc., to be given to members

Copies of memorandum and articles of association, every agreement and every resolution referred in Section 117 shall, on being so requested by a member, be sent within 7 days of the request on the payment of fees.

In case of default, the company and every officer who is in default shall be liable for each default, to a penalty of ₹ 1000 for each day during which such default continues or ₹ 1,00,000 , whichever is less.

6.20 Commencement of business

A Company incorporated

a) after the commencement of the Companies (Amendment) Act, 2019 and
b) having a share capital

shall not commence any business or exercise any borrowing powers unless-

a) A declaration is filed by a director within a period of 180 days of the date of incorporation of company, with the Registrar that every subscriber to the memorandum has paid the value of the shares agreed to be taken by him on the date of making of such declaration and
b) The company has filed with registrar a verification of its registered office.

If any default is made in complying with the above requirements the company shall be liable to a penalty of ₹ 50,000 and every officer who is in default shall be liable to a penalty of ₹ 1000 for each day during which such default continues but not exceeding an amount of ₹ 1,00,000.

Where no declaration has been filed with the registrar within 180 days of the date of incorporation of the company and the registrar has reasonable cause to believe that the company is not carrying on any business or operations, he may, initiate action for the removal of the name of the company from the registrar of companies.

6.21 Formation of One Person Company (OPC)

a) The MOA of OPC shall indicate the name of the other person, who shall, in the event of the subscriber's death or his incapacity to contract, become the member of the company.
b) The other person whose name is given in the memorandum shall give his prior written consent in prescribed form and the same shall be filed with ROC at the time of incorporation.
c) Such other person may be given the right to withdraw his consent
d) The member of OPC may at any time change the name of such other person by giving notice to the company and the company shall intimate the same to the Registrar
e) Any such change in the name of the person shall not be deemed to be an alteration of the memorandum.
f) No person shall be eligible to incorporate more than one OPC or become nominee in more than one such company.
g) No minor shall become member or nominee of the OPC or can hold share with beneficial interest.

As per the Rule 4 of the Companies (Incorporation) Rules, 2014,

a) The sole member of a One Person Company (OPC) shall nominate a person, after obtaining prior written consent of such person, who shall, in the event of the member's death or incapacity to contract, become the member of that OPC.

b) The person nominated by the member of a OPC may, withdraw his consent by giving a notice in writing to such sole member and to the OPC.

c) The sole member shall nominate another person as nominee within 15 days of the receipt of such notice and shall send an intimation of such nomination in writing to the OPC, along with the written consent of such other person so nominated which shall be filed in form of a declaration in Form no. INC.4.

d) The OPC shall within 30 days of receipt of the notice of withdrawal of consent file such notice and the intimation of the name of another person nominated by the sole member with the Registrar in Form No. INC-4 along with fees

As per the Rule 5 of the Companies (Incorporation) Rules, 2014,

The subscriber or member of a One Person Company may, by intimation in writing to the company, change the name of the person nominated by him at any time for any reason including in case of death or incapacity to contract of nominee and nominate another person after obtaining the consent of such another person and his declaration shall be filed in Form No. INC-4

Provided that the company shall, on the receipt of such intimation, file with the Registrar, a notice of such change in Form No. INC-4 along with fee and with the particulars of consent of new nominee in form of a declaration in Form No. INC-4 within 30 days of receipt of intimation of the change.

As per the Rule 6 of the Companies (Incorporation) Rules, 2014,

Where the sole member of One Person Company ceases to be the member in the event of death or incapacity to contract and his nominee becomes the member of such One Person Company, such new member shall nominate within 15 days of becoming member, a person who shall in the event of his death or his incapacity to contract become the member of such company, and the company shall file with the Registrar an intimation of such cessation and nomination in Form No INC-4 along with the fee within 30 days of the change in membership and with the particulars of consent of the person so nominated in form of declaration in Form No. INC-4

Such Company cannot be incorporated or converted into a company under Section 8 of the Act. Though it may be converted to private or public companies in certain cases. Such Company cannot carry out Non-Banking Financial Investment activities including investment in securities of anybody corporate.

If OPC or any officer of such company contravenes the provisions, they shall be punishable with fine which may extend to ₹ 5,000 and with a further fine which may extend to ₹ 500 for every day after the first during which such contravention continues.

Only a natural person who is an Indian citizen whether resident in India or otherwise:-

a) shall be eligible to incorporate a OPC
b) shall be a nominee for the sole member of a OPC

Where a natural person, being member in OPC accordance with this rule becomes a member in another OPC by virtue of his being a nominee in that OPC, such person shall meet the eligibility criteria specified above within a period of 180 days.

Concept 7 - Doctrines

7.1 Doctrine of Ultra Vires

The doctrine of ultra vires limits the powers of a company to act beyond the scope defined by its Memorandum of Association (MOA). This is because these documents are construed as 'public document' under Section 399 of the Companies Act, 2013. Directors are restricted from undertaking actions outside these defined powers, even if legally valid. Shareholders, while drafting the MOA, set boundaries that neither they nor the Board of Directors can exceed unless the MOA is amended.

- Actions by the Board of Directors beyond the MOA's scope are ultra vires and invalid.
- The company or shareholders cannot ratify such ultra vires acts, even if all members agree.
- However, actions within the company's powers can be ratified by the members.

This doctrine ensures that the company operates within its defined objectives and legal boundaries.

7.2 Doctrine of constructive notice

The doctrine of constructive notice means that once a company's memorandum and articles of association are registered, the public is considered to know their contents. Anyone dealing with the company must follow these documents, and engaging in ultra vires transactions is at their own risk. However, this doctrine does not prevent company management from wrongful acts. The doctrine of indoor management, established in Royal British Bank v. Turquand (1856), protects outsiders by allowing them to assume that internal company procedures are properly followed. This ensures a balance between public awareness of company documents and protecting those who deal with the company from having to investigate internal affairs.

7.3 Doctrine of Indoor Management

The doctrine of constructive notice does not imply that outsiders are aware of a company's internal affairs. For example, if the company's articles or memorandum authorize an act, an outsider can assume that all necessary formalities have been observed. In Royal British Bank v. Turquand (1856), the directors of Royal British Bank issued bonds without a required resolution, yet it was held that the outsider, Turquand, could sue on the bonds because he was entitled to assume the resolution had been passed. This case illustrates the doctrine of indoor management, which serves as a limitation to the doctrine of constructive notice. However, exceptions to the doctrine of indoor management exist; an outsider cannot rely on it if they had reasonable access to information that should have been known before dealing with the company, as this would undermine the assumption of validity in the company's actions.

Concept 8 - Conversion of a Public Company into Private Company or vice-versa

8.1 Conversion of public company into private company

A public company can be converted into a private company by passing a special resolution, after altering its AOA so as to include therein the restrictions contained in Section 2(68).

Under Section 14 (1), any alteration made in the articles to convert a public company into a private company shall take effect only with the approval of the Central Government which shall make such order as it may deem fit.

8.2 Conversion of private company into public company

Similarly where a private company alters its articles by passing special resolution in such a manner that they no longer includes the restrictions and limitations which are required to be included in the articles of a private company, then such company shall cease to be a private company from the date of such alteration.

8.3 Filing with the Registrar

Every alteration of the articles and a copy of the order of the Central Government approving the alteration of articles in respect of conversion of public company into private company or private company into public company shall be filed with the Registrar, together with a printed copy of the altered articles, within a period of 15 days.

Any alteration of the articles registered as above shall, subject to the provisions of this Act, be valid as if it were originally in the articles.

Concept 9 - Conversion of companies already registered

According to Section 18, a company may convert itself in some other class of company by altering its memorandum and articles of association. Following is the law with respect to the conversion of the companies already registered.

a) By alteration of memorandum and articles
b) File an application to the Registrar
c) Issue a certificate of incorporation: After registering the required documents, issue a certificate of incorporation in the same manner as its first registration.
d) No effect on the debts, liabilities etc. incurred before conversion

Concept 10 - Formation of Not-for-Profit Making Companies

Not-for-profit companies are formed for various objectives, where any surplus generated is used to further the company's objectives rather than distributed as profit. A not-for-profit organization, also known as a social enterprise, must:

a) Promote commerce, art, science, sports, education, research, social welfare, religion, charity, or environmental protection.
b) Apply profits or other income to promote its objectives.
c) Prohibit payment of dividends to its members.

The Central Government may, by licence, allow such associations to register as limited companies without the addition of "Limited" or "Private Limited" to their names. Upon registration under Section 8, the company will:

a) Enjoy the privileges and obligations of limited companies.
b) Allow a firm to be a member.
c) Not alter its memorandum or articles without prior approval from the Central Government.
d) Only convert to another type of company after meeting prescribed conditions.

The Central Government may, by order, revoke the licence granted to a company registered under this section if

a) the company contravenes any of the requirements of this section or
b) any of the conditions subject to which a licence is issued or
c) the affairs of the company are conducted fraudulently or
d) in a manner violative of the objects of the company or prejudicial to public interest,

direct the company to convert its status and change its name to add the word "Limited" or the words "Private Limited", as the case may be, to its name. Where a licence is revoked, the Central Government may, by order, if it is satisfied that it is essential in the public interest, direct that the company be wound up under this Act or amalgamated with another company registered under this section with similar objectives.

Provided that no such orders shall be made unless the company is given a reasonable opportunity of being heard.

If on the winding up of a company registered under this section, there remains, after the satisfaction of its debts and liabilities, any asset, that may be transferred to another company registered under this section and having similar objects, subject to such conditions as the Tribunal may impose, or may be sold and proceeds thereof credited to Insolvency and Bankruptcy Fund formed under section 224 of the Insolvency and Bankruptcy Code, 2016

A company registered under this section must amalgamate only with another not-for-profit company with similar objectives. A certificate of incorporation must include the permanent account number.

Failure to comply with the requirements may result in fines: the company faces a fine between ₹ 10 lakh and ₹1 crore, while directors and officers may be fined between ₹25,000 and ₹25 lakh. If fraud is proven, those officers may be liable under Section 447.

Concept 11 - License Under Section 8 for Existing Companies

To obtain a license under Section 8 of the Companies Act, 2013, applicants must follow these steps:

a) Application Form: Submit an application in SPICe+ Form (INC-32).
   Following shall be attached to above:
   (i) the memorandum and articles of association of the proposed company
   (ii) Declaration by Professionals
   (iii) Provide an estimate of future annual income and expenditure for the next 3 years.
   (iv) Declaration by persons making an application.

b) Memorandum of Association (MOA): Prepare the MOA in Form INC-13.

Conversion of Existing Companies: Existing companies can also convert into non-profit companies by submitting an application in Form INC-12 to register for licence under Section 8 along with the following attachments like

a) Memorandum and Articles of Association (MOA and AOA),
b) Declaration by professionals
c) a statement showing in detail the assets and the liabilities of the company, as on the date of the application or within 30 days preceding that date;
d) the certified copy of the resolution passed in general or board meetings approving registration of the company under section 8
e) Declaration by persons making an application.

Within a week of applying to the Registrar, the company must publish a notice (Form INC-26) at its own cost. The notice must be:

a) Published once in a vernacular newspaper of the district and once in an English newspaper circulating there, and
b) Posted on the websites notified by the Central Government, with a copy sent immediately to the Registrar.

Concept 12 - Types of Company Conversions

Choosing the form of business is voluntary for the entrepreneur, subject to restrictions of law. The provisions of the Companies Act, 2013 provide for the conversions of companies from one type of company to another.

A company can convert into the following types of companies:

a) Conversion of a private company into a public company
b) Conversion of a public company into a private company
c) Conversion of a one person company (OPC) to a private company or public company
d) Conversion of a private company to a one person company (OPC)
e) Conversion of a section 8 company into any other kind of company
f) Conversion of an LLP into a company
g) Conversion from a private company into a limited liability partnership (LLP)
h) Conversion from an unlisted public company into a limited liability partnership (LLP)

Concept 13 - Conversion of LLP into Company

An LLP can be converted into a Private Company as per the provisions contained in Section 366 and the Companies (Authorised to Registered) Rules, 2014. Major advantage of such conversion is that the business can continue under the same name as that of the LLP, with the addition of the words 'Limited' or 'Private Limited'

Requirements for Conversion

There are several requirements that must be satisfied for converting an LLP into a Private Limited Company:

a) The LLP must have at least 7 partners, or 2 partners to be eligible for conversion.
b) Approval from all the partners is required.
c) Advertisement in a local and national newspaper.
d) No Objection Certificate (NOC) from the ROC where such LLP is registered.

Steps for Conversion

1. Approval of Name

- Hold a meeting of partners to decide the company's name.
- Summon the meeting for registering the LLP under Section 366 of the Companies Act, 2013.
- Authorize partners to take necessary steps, execute documents, filings, etc.
- The name once accepted by the authority will be valid for 60 days .

2. Securing DSC and DIN

- Ensure all the members who are future directors of the company after conversion obtain the Digital Signature Certificate (DSC) and Director Identification Number (DIN).
- If not, apply for the DIN through an application form on the MCA portal.

3. Filing Form No. URC-1

- For registration purposes under Section 366(2) of the Companies Act, 2013, Chapter II (Incorporation of Companies) shall apply.
- There must be 2 or more members for registration under this sub-rule.
- A company with less than 7 members will register as a private company.

The following documents must be submitted with Form No. URC-1:

a) A list showing the names, addresses, and occupations of partners, along with details of their shares.
b) A list showing the first directors' particulars, including their DIN, passport details, residential addresses, and interests in other firms or bodies.
c) In case of a firm, submit the partnership deed and Certificate of Registration.
d) Written consent or No Objection Certificate (NOC) from all secured creditors of the applicant.
e) Consent from the majority of partners in a general meeting agreeing for Conversion.

Concept 14 - Conversion of Company into LLP

An existing private company or an unlisted public company can be converted into a Limited Liability Partnership (LLP) by complying with the provisions of Clause 58 and Schedule III & IV of the LLP Act, 2008.

Steps for Conversion of Company into LLP:

1. Board Meeting

- Hold a Board Meeting to pass a resolution for the conversion of the company into an LLP.
- Authorize a director to file the necessary forms with the MCA.
- Obtain the written consent of all shareholders for conversion of the company into an LLP.

2. Name Availability

- File a web-based Form RUN-LLP with the ROC to reserve the name of the LLP.
- Attach the Board Resolution passed by the company approving the conversion into LLP with the form.

3. LLP Agreement: The LLP Agreement should contain key details, including:

a) Name of the LLP.
b) Names of Partners and Designated Partners.
c) Form of contribution.
d) Profit-sharing ratio.
e) Rights and duties of the partners.
f) Proposed business of the LLP.
g) Rules for governing the LLP.

Though it is not necessary to have the LLP Agreement signed at the time of incorporation, it must be filed in e-Form 3 within 30 days of incorporation to avoid disputes regarding terms after conversion.

4. Filing of Application for Conversion: File e-Form 18 with the ROC, which must include the following attachments:

   - Statement of Shareholders, indicating their consent for the conversion.
   - Statement of Assets and Liabilities, certified as true and correct by the auditor.

Concept 15 – Procedure relating to Foreign Companies carrying on Business in India

According to Section 2 (42), 'foreign company' means any company or body corporate incorporated outside India and which:

a) has a place of business in India whether by itself or through an agent, physically or through electronic mode, and
b) conducts any business activity in India in any other manner.

Concept 16 – Registration with the Registrar of Companies

According to Section 380(1), Every foreign company shall, within 30 days of the establishment of its place of business in India, deliver to the Registrar for registration—

a) a certified copy of the charter, statutes or memorandum and articles, of the company, defining the constitution of the company and if the instrument is not in the English language, a certified translation thereof in the English language.
b) the full address of the registered or principal office of the company.
c) a list of the Directors and secretary of the company containing such particulars as may be prescribed.
d) the name and address of one or more persons resident in India authorised to accept on behalf of the company service of process and any notices or other documents required to be served on the company.
e) the full address of the office of the company in India which is deemed to be its principal place of business in India.
f) declaration that none of the Directors of the company or the authorised representative in India has ever been convicted or debarred from formation of companies and management in India or abroad
g) any other information as may be prescribed

Any alteration of the above documents shall be informed to Registrar within 30 days of alteration.

Concept 17 – Display of Name of Foreign Company

According to Section 382, Every foreign company shall—

a) exhibit on the outside of every office or place where it carries on business in India, the name of the company and the country in which it is incorporated, in an easily legible manner in English, and also in the language in general use in the locality in which the office or place is situated.
b) cause the name of the company and of the country in which the company is incorporated, to be stated in English in all business letters, billheads, letter papers , all notices, and other official publications of the company.
c) if the liability of the members of the company is limited, cause notice of that fact—

- to be stated in every such prospectus issued and in all business letters, bill-heads, letter paper, notices, advertisements and other official publications of the company, in English.
- to be exhibited on the outside of every office or place where it carries on business in India, in English and also in language which is in general use in the locality in which the office or place is situated.

Concept 18 – Winding up as an Unregistered Company

According to Section 376, Where a body corporate incorporated outside India which has been carrying on business in India, ceases to carry on business in India, it may be wound up as an unregistered company under this Part, notwithstanding that the body corporate has been dissolved or otherwise ceased to exist as such under or by virtue of the laws of the country under which it was incorporated.

Concept 19 – Foreign company shall be deemed to be an Indian Company

According to Section 379, When 50% or more of the paid-up share capital (equity, preference, or a combination of both) of a foreign company is held by:

a) One or more citizens of India, or
b) One or more Indian companies or bodies corporate incorporated in India, or
c) A combination of both Indian citizens and Indian companies or bodies corporate,

Such a foreign company will be treated as if it were a company incorporated in India for the purposes of Complying with the provisions of Chapters of the Companies Act and following other applicable provisions of the Act, as prescribed, related to the business conducted by it in India.

Concept 20 – Balance Sheet and Profit and Loss account

According to Section 381(1), Every foreign company shall, in every calendar year,—

a) make out a balance sheet and profit and loss account in such form, containing such particulars as may be prescribed.
b) deliver a copy of those documents to the Registrar.

Central Government may provide exceptions and modifications as may be specified in that notification for the above. If any such document as is mentioned in sub-section (1) is not in the English language, there shall be annexed to it a certified translation thereof in the English language.

Every foreign company shall send to the Registrar along with the documents required to be delivered to him under sub-section (1), a copy of a list in the prescribed form of all places of business established by the company in India as at the date with reference to which the balance sheet referred to in sub-section (1)is made out

Concept 21 – Service of Documents

According to Section 383, Any process, notice, or other document required to be served on a foreign company shall be deemed to be sufficiently served, if addressed to any person whose name and address have been delivered to the Registrar under Section 380 and left at, or sent by post to, the address which has been so delivered to the Registrar or by electronic mode.

Concept 1 - Introduction

1.1 Meaning of Dividend

"Dividend" means the profit of a company, which is not retained in the business and is distributed among the shareholders in proportion to the amount paid-up on the shares held by them.

1.2 Definition of Dividend

As per Section 2(35) of the Companies Act, 2013, "Dividend" includes any interim dividend.

1.3 Types of Dividend

Based on the time of Declaration of Dividend, there are two kinds:

a) Final Dividend: Dividend recommended by the board of directors, and approved by shareholders at the company's Annual General Meeting.
b) Interim Dividend: The declaration of interim dividend is done by the Board of directors any time between two annual general meetings.

1.4 Dividend Declaration Format: Percentage Vs Absolute Value

Dividends are normally declared as percentage to the face value of shares. However, in recent times, absolute amount, i.e. Rs 7.50 per share, is also used.

Concept 2 – Section 123: Declaration of Dividend

Chapter VIII of the Companies Act, 2013 deals with the Declaration and Payment of Dividend.

2.1 Sources for Declaration of Dividend

According to Section 123 (1), the dividend for any financial year shall be declared or paid from the following sources:

a) Profits of the current financial year after providing for depreciation.
b) Profits of any previous financial year or years after providing for depreciation and remaining undistributed i.e., credit balance in profit and loss account and free reserves.
c) Both (a) and (b)
d) Money provided by the Central Government or a State Government for the payment of dividend by the company in pursuance of a guarantee given by that Government.

Note 1: Dividend can be declared and paid only out of Free Reserves and no other reserves shall be utilised for such purpose.
Note 2: Before declaration of any dividend, carried over previous losses and depreciation not provided in previous year or years are required to be set off against profit of the company for the current year.

Note 3: In computing profits, any amount representing unrealised gains, notional gains or revaluation of assets and any changes in carrying amount of an asset or of a liability on measurement of the asset or the liability at fair value shall be excluded.

2.2 Transfer to Reserves

As per Proviso 1 of Section 123(1), The transfer of profits to reserves for any financial year is left to the discretion of the company (not mandatory). Therefore, a company is free to transfer any portion of its profits to reserves as it deems fit. It may also decide not to transfer any amount to reserves. However, if the transfer is made, it must be done before the declaration of dividend.

2.3 Declaration of Dividend when there is inadequacy or Absence of Profits

As per Proviso 2 of Section 123(1), Where in any year there are no adequate profits for declaring dividend, the company may declare dividend out of the accumulated profits earned by it in previous years and transferred by it to the free reserves only in accordance with the procedure laid down in Rule 3 of the Companies (Declaration and Payment of Dividend) Rules, 2014.

Under Rule 3 such declaration shall be subject to the following conditions:

Condition I:
The rate of dividend declared shall not exceed the average of the rates at which dividend was declared by the company in the immediately preceding three years. However, this condition shall not apply if the company has not declared any dividend in each of the three preceding financial year.

$$\text{Rate of Dividend} \leq \frac{(D1 + D2 + D3)}{3}$$

Where, D1, D2, D3 are rates at which dividend was declared by the company in the immediately preceding three years.

Condition II:
The total amount to be drawn from such Free Reserves shall not exceed 10% of its paid-up share capital and free reserves as appearing in the latest audited financial statement.

Total amount that can be drawn from accumulated profits	≤	10% of (paid-up share capital + free reserves)

Condition III:
The amount so drawn shall first be utilised to set off the losses incurred in the financial year in which dividend is declared.

Condition IV:
The balance of reserves after such withdrawal shall not fall below 15% of its paid-up share capital as appearing in the latest audited financial statement.

Free Reserves – Amount withdrawn	≥	15% of paid-up share capital

All the above conditions must be satisfied to declare dividend in case of inadequacy or absence of profits.

2.4 Interim Dividend

According to Section 123(3), Interim dividend may be declared by the Board of Directors during any financial year or at any time during the period from closure of financial year till holding of the annual general meeting.

The sources for declaring interim dividend include:

a) Surplus in the profit and loss account or
b) Profits of the financial year in which such dividend is sought to be declared or
c) Profits generated in the financial year till the quarter preceding the date of declaration of the interim dividend.

If the company has incurred loss during the current financial year up to the end of the quarter immediately preceding the date of declaration of interim dividend, "such interim dividend shall not be declared at a rate higher than the average rate of dividend declared by the company during the immediately preceding three financial years."

All provisions which are applicable to the payment of dividend shall also apply in case of interim dividend.

2.5 Depositing of Amount of Dividend

According to Section 123(4), the amount of dividend declared (including interim dividend), shall be deposited in a separate account maintained with a scheduled bank within 5 days from the date of declaration of dividend.

2.6 Payment of Dividend

Procedure for treatment of payment of interim and final dividend is same. "Dividend, once declared in AGM, cannot be revoked."

According to Section 123(5)
a) Dividend shall be payable only to the registered shareholder or to his order or to his banker.
b) Dividends are payable in cash and not in kind.
c) Dividends that are payable to the shareholders in cash may also be paid by cheque or dividend warrant or through any electronic mode.
d) Capitalization of profits or reserves of a company for the purpose of issuing fully paid-up bonus shares should NOT be confused with payment of dividend as both are separate issues.

2.7 Prohibition on declaration of Dividend

According to Section 123(6), a company which fails to comply with the provisions of section 73 (Prohibition on acceptance of deposits from public) and section 74 (Repayment of deposits, etc., accepted before the commencement of this Act of 2013) shall not, so long as such failure continues, declare any dividend on its equity shares.

According to Section 8(1), a company having licence under Section 8 (Formation of companies with charitable objects, etc.) is prohibited from paying any dividend to its members. Its profits are intended to be applied only in promoting the objects for which it is formed.

Concept 3 – Section 124: Unpaid Dividend Account

3.1 Unpaid or Unclaimed Dividend to be transferred to the Unpaid Dividend Account

According to Section 124(1), When dividend has been declared by a company but has not been paid or claimed within 30 days from the date of declaration, the company shall, within 7 days from the expiry of the said period of 30 days, transfer the total amount of unpaid or unclaimed dividend to a special account called the Unpaid Dividend Account in any scheduled bank.

3.2 Payment of Interest if default is made in transferring the Amount.

According to Section 124(3), If the company fails to transfer the unpaid or unclaimed dividend to the Unpaid Dividend Account within the prescribed time, it will be required to pay interest at the rate of 12% per annum on the amount not transferred, starting from the date of default.

3.3 Transfer of Unclaimed Amount to Investor Education and Protection Fund (IEPF)

According to Section 124(5), Any money transferred to the unpaid dividend account of a company which remains unpaid or unclaimed for a period of 7 years from the date of such transfer is required to be transferred by the company along with interest accrued, if any, thereon to the Investor Education and Protection Fund (IEPF). The amount shall be remitted within a period of 30 days of such amount becoming due to be credited to the IEPF.

The company shall send a statement of amount credited to Investor Education and Protection Fund in "Form DIV 5" to the authority which administer the fund.

The company shall keep a record consisting of names, last known addresses, the amount to which each person is entitled, folio number, etc. of the persons in respect of whom amount has been remain unpaid or unclaimed for 7 years and transferred to IEPF. Such record shall be maintained for a period of 8 years from the date of such transfer to IEPF and authority administering the fund shall have the powers to inspect such records.

Concept 4 – Section 125: Investor Education & Protection Fund

According to Section 125(1), This fund, being established by the Central Government, shall be credited with specified amounts and utilized for refund of unclaimed and unpaid amounts, promotion of investors awareness and protection of the interests of Investors, etc.

4.1 Amounts Credited to the Fund

According to Section 125(2), following amounts shall be credited to the fund:

a) Amount given by the Central Government- The amount given by the Central Government by way of grants.
b) Donations by the Central Government- Donations given by the Central Government, State Governments, companies, or any other institution for the purposes of the Fund.
c) Amount lying in the Unpaid Dividend Account- The amount lying in the Unpaid Dividend Account of companies which is transferred by them to the Fund under section 124(5).
d) Amount in the General Revenue Account of the Central Government- The amount in the General Revenue Account of the Central Government which had been transferred to that account under the Companies Act, 1956 and remaining unpaid or unclaimed on the commencement of the Act of 2013.
e) Income from Investments- The interest or other income received out of investments made from the Fund.
f) Amount received through disgorgement or disposal of Securities- The amount received through disgorgement or disposal of securities under section 38(4).
g) Application Money- The application money received by companies for allotment of any securities and due for refund.
h) Matured Deposits- Matured deposits with companies other than banking companies.
i) Matured Debentures- Matured debentures with companies.
j) Interest- Interest accrued on the amounts referred to in clauses (g) to (i).
k) Redemption Amount- Redemption amount of preference shares remaining unpaid or unclaimed for seven or more years; and
l) Such other amounts as prescribed

Any person claiming to be entitled to the amount referred above may apply to the authority for the payment of the money claimed.

4.2 Purposes for which the fund can be utilised for.

According to Section 125(3), the fund shall be utilised for:

1. the refund in respect of unclaimed dividends, matured deposits, matured debentures, the application money due for refund and interest thereon.
2. promotion of investors' education, awareness and protection.
3. distribution of any disgorged amount among the persons who have suffered losses, in accordance with the orders made by the Court which had ordered disgorgement.
4. reimbursement of legal expenses
5. any other purpose as may be prescribed.

The Central Government shall constitute, by notification, an authority for administration of the Fund consisting of a chairperson and such other members, not exceeding 7 and a chief executive officer, as the Central Government may appoint.

Concept 5 – Section 127: Punishment for failure to Distribute Dividends

Where dividend has been declared by a company but has not been paid or the warrant has not been posted within 30 days from the date of declaration of the dividend,

5.1 Punishment to Director

Every director of the company shall, if he is knowingly a party to the default, be punishable with imprisonment which may extend to two years and with fine which shall not be less than ₹ 1,000 for every day during which such default continues.

5.2 Punishment to Company

The company shall be liable to pay simple interest at the rate of 18% per annum during the period for which such default continues.

5.3 Provided that no offence under this section shall be deemed to have been committed:

a) where the dividend could not be paid by reason of the operation of any law.

b) where a shareholder has given directions to the company regarding the payment of the dividend and those directions cannot be complied with and the same has been communicated to him.

c) where there is a dispute regarding the right to receive the dividend.

d) where the dividend has been lawfully adjusted by the company against any sum due to it from the shareholder.

e) where, for any other reason, the failure to pay the dividend or to post the warrant within the period under this section was not due to any default on the part of the company

Concept 6 – Dividend Distribution Policy

On the 8th of July 2016 Securities and Exchange Board of India (SEBI) has notified amendment in SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 by inserting "Dividend Distribution Policy as 43A".

1. The top 1000 listed entities based on market capitalization shall formulate a dividend distribution policy which shall be disclosed on the website of the listed company and a web-link shall also be provided in their annual reports.
2. The dividend distribution policy shall include the following parameters:
   a) the circumstances under which the shareholders of the listed entities may or may not expect dividend.
   b) the financial parameters that shall be considered while declaring dividend.
   c) internal and external factors that shall be considered for declaration of dividend.
   d) policy as to how the retained earnings shall be utilized; and
   e) parameters that shall be adopted with regard to various classes of shares:

   Provided that if the listed entity proposes to declare dividend on the basis of parameters in addition to clauses (a) to (e) or proposes to change such additional parameters or the dividend distribution policy contained in any of the parameters, it shall disclose such changes along with the rationale for the same in its annual report and on its website.
3. The listed entities other than those specified at sub-regulation (1) of this regulation may disclose their dividend distribution policies on a voluntary basis in their websites and provide a web-link in their annual reports.

Concept 1 – Introduction and Definition

Chapter IX of the Companies Act, 2013 contain the provisions as to Accounts of Companies (Section 128 to 138)

According to Section 2(13), "Books of Account" includes records maintained in respect of:

a) All sums of money received and expended by a company and matters in relation to which receipts and expenditure take place;
b) All sales and purchases of goods and services by the company
c) The assets and liabilities of the company; and
d) The items of costs as may be prescribed under Section 148.

Concept 2 - Section 128: Maintenance of Books of Accounts

According to Section 128(1),

a) Every company shall prepare and keep at its registered office books of account and other relevant books and papers and financial statement for every financial year which give a true and fair view of the state of the affairs of the company, including that of its branch office or offices, if any.
b) The company shall be in a position to explain the transactions effected both at the registered office and its branches.
c) Such books of Account shall be kept on accrual basis and according to the double entry system of accounting.

Place of maintenance of books of account

a) The books of account and other relevant papers are required to be kept at the registered office of the company.
b) The company may also keep all or any of the books of account at any other place in India as the Board of directors may decide.
c) In such a case, the company shall file with the Registrar of Companies, a notice in writing giving the full address of that other place within 7 days of the Board's decision.

Electronic form of Books of account

The company may keep its books of account or other relevant papers in electronic mode. The books of account and other relevant books and papers maintained in electronic mode shall:

a) remain accessible in India so as to be usable for subsequent reference.
b) be retained in original format, sent or received, or in a format which shall present accurately the information generated, sent or received and the information contained in the electronic records shall remain complete and unaltered.
c) The information received from branch offices shall not be altered and shall be kept in a manner where it shall depict what was originally received from the branches.
d) The information in the electronic record of the document shall be capable of being displayed in a legible form.

e) There shall be a proper system for storage, retrieval, display or printout of the electronic records.
f) The back-up of the books of account and other books and papers of the company maintained in electronic mode, including at a place outside India, if any, shall be kept in servers physically located in India on a daily basis.

The company shall intimate to the Registrar on an annual basis at the time of filing of financial statement:

a) the name of the service provider.
b) the internet protocol address of service provider.
c) the location of the service provider (wherever applicable).
d) where the books of account and other books and papers are maintained on cloud, such address as provided by the service provider.
e) where the service provider is located outside India, the name and address of the person in control of the books of account and other books and papers in India.

Proper books of account in relation to a branch of the company

According to Section 128(2), Where company has a branch office in India or outside India, proper books of account relating to the transactions effected at the branch office may be kept at that branch office. Provided, proper summarised returns periodically must be sent by the branch office to the company at its registered office or the other place as decided by the Board of directors.

Persons who can inspect the Books of Accounts

a) The books of account and other books and papers maintained by the company within India shall be open for inspection at the registered office of the company or at such other place in India by any director during business hours.
b) In the case of financial information, if any, maintained outside the country, copies of such financial information shall be maintained and produced for inspection by any director subject to such conditions:
   i) The summarised returns of the books of account of the company kept and maintained outside India shall be sent to the registered office at quarterly intervals, which shall be kept and maintained at the registered office of the company and kept open to directors for inspection.
   ii) Where any other financial information maintained outside the country is required by a director, the director shall furnish a request to the company setting out the full details of the financial information sought, the period for which such information is sought.
   iii) The company shall produce such financial information to the director within 15 days of the date of receipt of the written request.
c) The inspection in respect of any subsidiary of the company shall be done only by the person authorised in this behalf by a resolution of the Board of Directors.
d) During inspection, the officers and other employees of the company shall give to the person making such inspection all assistance in connection with the inspection which the company may reasonably be expected to give.

Period of Maintenance - Section 128 (5)

a) The books of account of every company together with the vouchers relevant to any entry in such books of account shall be kept in good order by the company for a minimum period of 8 financial years immediately preceding a financial year.
b) Where the company had been in existence for a period of less than 8 years, it shall maintain the books of account in respect of all such preceding years in good order.
c) Where an investigation has been ordered in respect of the company, the Central Government may direct that the books of account may be kept for such longer period as it may deem fit.

Persons responsible for Maintenance & Penalty - Section 128 (6)

The following persons are responsible for the maintenance of proper books of account:

a) The managing director,
b) the whole-time director in charge of finance,
c) the Chief Financial Officer, or
d) any other person of a company charged by the Board.

If any of the persons mentioned above contravenes provisions of this Section, they shall be punishable with Fine which shall not be less than ₹ 50,000 but which may extend to ₹ 5 lakhs.

Concept 3 - Section 129: Financial Statement

According to Section 2(40), 'financial statement' in relation to the company includes:-

a) A balance sheet as at the end of the financial year
b) A profit & loss account, or in case of a company carrying on any activity not for profit, an income and expenditure account for the financial year;
c) Cash Flow Statement for the financial year
d) A statement of changes in equity, if applicable and
e) Any explanatory note annexed to or forming part of any document referred above.

Provided that the financial statement, with respect to One Person Company, small company, dormant company and private company (if it's a start-up company), may not include Cash Flow Statement.

Section 129(1) provides that the financial statements shall:

a) give a true and fair view of the state of affairs of the company or companies,
b) comply with the accounting standards
c) shall be in the form or forms as may be provided for different class or classes of companies in Schedule III.
d) the items contained in such financial statements shall be in accordance with the accounting standards.

The above provisions relating to form and content of financial statement shall not apply to following companies:

a) Insurance Companies, or
b) Banking companies, or

c) Company engaged in the generation or supply of electricity, or

Laying of financial statements at AGM

At every AGM of a company, the Board of directors of the company shall lay before such meeting the financial statements for the financial year.

Consolidated Financial Statements

a) Where a company has one or more subsidiaries, it shall, in addition to its own financial statements prepare a consolidated financial statement of the company and of all the subsidiaries in the same form and manner as that of its own.
b) The Consolidated financial statements shall also be laid before the annual general meeting of the company along with the laying of its own financial statement.
c) The company shall also attach along with its financial statement, a separate statement containing the salient features of the financial statement of its subsidiary or subsidiaries in e-Form AOC-1.
d) For the purposes of consolidated financial statements, subsidiary shall include associate company.
e) the consolidation of financial statements of the company shall be made in accordance with the provisions of Schedule III to the Act and the applicable accounting standards.

Provided further that nothing in this rule shall apply in respect of preparation of consolidated financial statements by a company if it meets the following conditions:-

a) It is a wholly owned subsidiary, or is a partially owned subsidiary of another company and all its other members, having been intimated in writing and for which proof of delivery of such intimation is available with the company, do not object to the company not presenting consolidated financial statements
b) it is a company whose securities are not listed or are not in the process of listing on any stock exchange, whether in India or outside India; and
c) its ultimate or any intermediate holding company files consolidated financial statements with the Registrar which are in compliance with applicable Accounting Standards.

The provisions applicable to the preparation, adoption and audit of the financial statements of a holding company shall also apply to the consolidated financial statements

Deviations from Accounting Standards

According to Section 129(5), If the financial statements of a company do not comply with the accounting standards, the company shall disclose in its financial statements the following namely:

a) the deviation from the accounting standards.
b) the reasons for such deviation and
c) the financial effects, if any, arising out of such deviation.

Exemptions

The Central Government may, on its own or on an application by a class or classes of companies, by notification, exempt any class or classes of companies from complying with any of the requirements of this Section or the rules made thereunder, if it is considered necessary to grant such exemption in the public interest.

Contravention

According to Section 129(7), If a company contravenes the provisions of this Section, the managing director, the whole-time director in charge of finance, the Chief Financial Officer or any other person charged by the Board with the duty of complying with the requirements of this Section and in the absence of any of the officers mentioned above, all the directors shall be punishable with

a) Imprisonment for a term which may extend to 1 year, or
b) Fine which shall not be less than ₹ 50,000 but which may extend to ₹ 5 lakhs, or
c) Both with imprisonment and fine.

Section 129A - Periodical financial results

The Central Government may, require such class or classes of unlisted companies, as may be prescribed:

a) to prepare the financial results of the company on such periodical basis and in such form as may be prescribed;
b) to obtain approval of the Board of Directors and complete audit or limited review of such periodical financial results in such manner as may be prescribed; and
c) file a copy with the Registrar within a period of 30 days of completion of the relevant period with such fees as may be prescribed

Concept 4 - Section 133: Central Government to prescribe Accounting Standards

According to Section 133, the Central Government may prescribe the standards of accounting or any, as recommended by the Institute of Chartered Accountants of India, constituted under the Chartered Accountants Act, 1949 in consultation with and after examination of the recommendations made by the National Financial Reporting Authority (NFRA).

Concept 5 - Section 134: Financial Statement, Board's report, etc

5.1 Authentication of Financial Statements

According to this Section 134(1), The financial statements, including consolidated financial statement, if any, shall be approved by the Board of Directors before they are signed on behalf of the Board at least by the following:

a) The chairperson of the company where he is authorised by the Board, or
b) By 2 directors out of which one shall be managing director, if any and
c) the Chief Executive Officer and
d) The Chief Financial Officer and
e) The company secretary of the company, wherever they are appointed.

In the case of a One Person Company, the financial statement shall be signed by only 1 director, for submission to the auditor for his report thereon.

According to this Section 134(2), The auditors' report shall be attached to every financial statement

According to this Section 134(7), A signed copy of every financial statement, including consolidated financial statement, if any, shall be issued, circulated or published along with a copy each of

a) Any notes annexed to or forming part of such financial statement.
b) The auditor' report and
c) The Board's report.

5.2 Contents of Board's Report

According to this Section 134(3), Board's report shall include

a) The web address, if any, where annual return has been placed.
b) number of meetings of the Board
c) Directors' Responsibility Statement
d) Details in respect of frauds reported by auditors under Section 143 (12) other than those which are reportable to the Central Government
e) a statement on declaration given by independent directors under Sub-Section (6) of Section 149.
f) in case of a company covered under Section 178, Companies where Nomination and Remuneration Committee (NRC) applies, company's policy on directors' appointment and remuneration including criteria for determining qualifications, positive attributes, independence of a director
g) explanations or comments by the Board on every qualification, reservation or adverse remark or disclaimer made:
   i) by the auditor in his report and
   ii) by the company secretary in practice in his secretarial audit report.
h) particulars of loans, guarantees or investments under Section 186.
i) particulars of contracts or arrangements with related parties of Section 188 in e-Form AOC-2.
j) the state of the company's affairs.
k) the amounts, if any, which it proposes to carry to any reserves.
l) the amount, if any, which it recommends should be paid by way of dividend.
m) the conservation of energy, technology absorption, foreign exchange earnings and outgo, in such manner as prescribed
n) A statement indicating development and implementation of a risk management policy for the company
o) the details about the policy developed and implemented by the company on CSR initiatives taken during the year along with the web address where the policy is hosted.
p) Every listed company and every other public company having a paid up share capital of ₹ 25 crore or more calculated at the end of the preceding financial year shall include in the report by its Board of directors, a statement indicating the manner in which formal annual evaluation has been made by the Board of its own performance and that of its committees and individual directors.
q) Such other matters as prescribed

5.3 Board's Report in case of OPC

According to this Section 134(4), In case of a OPC, the report of the Board of Directors to be attached to the financial statement under this Section shall, mean a report containing explanations or comments by the Board on every qualification, reservation or adverse remark or disclaimer made by the auditor in his report.

5.4 Directors' Responsibility Statement

According to this Section 134(5), the Directors' Responsibility Statement shall state that:

a) in the preparation of the annual accounts, the applicable accounting standards had been followed along with proper explanation
b) the directors had selected such accounting policies and applied them consistently and made estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the company
c) the directors had taken proper and sufficient care for the maintenance of adequate accounting records for safeguarding the assets of the company and detecting fraud.
d) the directors had prepared the annual accounts on a going concern basis and
e) the directors, in the case of a listed company, had laid down internal financial controls to be followed by the company and that such internal financial controls are adequate and were operating effectively.
f) the directors had devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

5.5 Signing of Board's Report

According to Section 134(6), The Board's report shall be signed by

a) its chairperson of the company if he is authorised by the Board and
b) where he is not so authorised, shall be signed by at least 2 directors, one of whom shall be a managing director, or
c) by the director where there is one director.

5.6 Contravention

According to Section 134(8), If a company contravenes any provisions of this Section, the penalty would be ₹ 3 lakh for the company and ₹ 50,000 for every officer in default.

Concept 6 - Section 135: Corporate Social Responsibility (CSR)

According to Section 135(1), every company having net worth of ₹ 500 crores or more, or turnover of ₹1,000 crores or more or a net profit of ₹ 5 crores or more during the immediately preceding financial year shall constitute a Corporate Social Responsibility Committee of the Board consisting of 3 or more directors, out of which at least one director shall be an independent director. Where independent director is not required to be appointed in the company, any two or more directors shall be in committee.

According to Section 135(2), The Board's report shall disclose the composition of the CSR Committee.

According to Section 135(3), the CSR committee shall,

a) formulate and recommend to the Board a CSR Policy which shall indicate the activities to be undertaken by the company as specified in Schedule VII of the Companies Act, 2013
b) recommend the amount of expenditure to be incurred on the activities referred to above
c) monitor the CSR Policy of the company from time-to-time.

According to Section 135(4), The Board of every company shall

a) after taking into account the recommendations made by the CSR Committee, approve of the CSR Policy for the company and disclose contents of such policy in its report and also place it on the company's website,
b) ensure that the activities as are included in the policy are undertaken by the company

According to Section 135(5),

a) The Board of every company shall ensure that the company spends, in every financial year, at least 2% of the average net profits of the company made during the 3 immediately preceding financial years or where the company has not completed the period of 3 years, during such immediately preceding years in pursuance of its CSR Policy.
b) the company shall give preference to the local area and areas around it where it operates, for spending the amount earmarked for Corporate Social Responsibility.
c) if the company fails to spend such amount, the Board shall, in its report made specify the reasons for not spending the amount and unless the amount relates to any ongoing project as referred below, transfer such unspent amount to a fund specified under Schedule VII within a period of 6 months of expiry of financial year.
d) Any amount remaining unspent relating to any ongoing project shall be transferred by the company within 30 days from the end of the financial year to a special account to be opened in any scheduled bank and be called as Unspent Corporate Social Responsibility Account and such amount shall be spent for the purpose of the project within a period of 3 years from the date of such transfer, failing which the unspent amount at the end of the 3rd year shall be transferred to fund under Schedule VII, within 30 days after the completion of 3rd year.

Average net profit shall be calculated in accordance with the provisions of Section 198 of the Companies Act, 2013.

Concept 7 - Section 136: Right of member to copies of Audited Financial Statement

According to Section 136, A copy of the financial statements, which are to be laid before a company in its general meeting, shall be sent to the following:

a) every member of the company,
b) to every trustee for the debenture holder of any debentures issued by the company, and
c) to all persons other than such member or trustee, being the person so entitled.

a) Consolidated financial statements, if any, auditors' report and every other document required by law shall be attached with financial statements.

b) These financial statements shall be sent in not less than 21 days before the date of the meeting. May be sent less than 21 days before if shareholders with not less than 95% paid-up share capital or voting power agree at the meeting.

In the case of a listed company:

a) The above provisions shall be deemed to be complied with, if the copies of the documents are made available for inspection at its registered office during working hours for a period of 21 days before the date of the meeting.
b) Along with it a statement containing the salient features of such documents in the Form AOC-3 or copies of the documents is sent to every member of the company.
c) The statement is to be sent not less than 21 days before the date of the meeting unless the shareholders ask for full financial statements.
d) A company shall also allow every member or trustee of the debenture holder to inspect the audited financial statement at its registered office during business hours.
e) A listed company shall also place its financial statements including consolidated financial statements, if any, and all other documents on its website
f) Listed company having subsidiary which is required to be consolidated under the law of the a different country shall place such account on its website (Indian holding company). Further if such subsidiary is not supposed to get audited, such unaudited accounts shall be placed in website If the accounts are prepared in a language other than English, the English translated version is to be placed in holding company website.

In case of Section 8 companies, in the above time limits instead of 21 days, 14 days is applicable.

In case of all listed companies and such public companies which have a net worth of more than ₹ 1 crore and turnover of more than ₹ 10 crores, the financial statements may be sent:

a) by electronic mode to such members whose shareholding is in dematerialized format and whose Email Ids are registered with Depository for communication purposes.
b) Where shareholding is held otherwise than by dematerialized format, to such members who have positively consented in writing for receiving by electronic mode and
c) by dispatch of physical copies through any recognised mode of delivery in all other cases.

Every company having a subsidiary or subsidiaries shall:

a) place separate audited accounts in respect of each of its subsidiary on its website, if any.
b) provide a copy of the separate audited financial statements in respect of each of its subsidiaries, to any member of the company who asks for it.

Penalty for Contravention

a) If any default is made in complying with the provisions of this section, the company shall be liable to a penalty of ₹ 25,000.
b) Every officer of the company who is in default shall be liable to a penalty of ₹ 5,000.

Concept 8 - Section 137: Copy of financial statements to be filed with Registrar

8.1 Filing of Financial Statements when adopted

According to this Section 137(1), A copy of the financial statements, including consolidated financial statement, if any, along with all the documents, duly adopted at the AGM of the company, shall be filed with the Registrar within 30 days of the date of AGM in such manner, with such fees or additional fees as may be prescribed.

If Financial Statements are not adopted

a) Where the financial statements are not adopted at AGM or adjourned AGM, such unadopted financial statements along with the required documents shall be filed with the Registrar within 30 days of the date of AGM.
b) The Registrar shall take them in his records as provisional till the financial statements are filed with him after their adoption in the adjourned AGM for that purpose.
c) If the financial statements are adopted in the adjourned AGM, then they shall be filed with the Registrar within 30 days of the date of such adjourned AGM.

Filing by One Person Company

OPC shall file a copy of the financial statements duly adopted by its member, along with all the documents which are required, within 180 days from the closure of the financial year.

Company having subsidiaries outside India

a) A company shall, along with its financial statements to be filed with the Registrar, attach the accounts of its subsidiary or subsidiaries which have been incorporated outside India and which have not established their place of business in India.
b) In case of foreign subsidiary, which is not required to get its accounts audited as per laws in the country of its incorporation and which does not get such accounts audited, the holding or parent Indian company may file such unaudited accounts.
c) Further, the format of accounts of foreign subsidiaries should be, as far as possible, in accordance with requirements under the Companies Act, 2013. In case this is not possible, a statement indicating the reasons for deviation may be placed/ filed along with such accounts.

8.2 Annual General meeting not held

According to Section 137 (2), Where the AGM of a company for any year has not been held, the financial statements along with the documents required to be attached, duly signed along with the statement of facts and reasons for not holding the AGM shall be filed with the Registrar within 30 days of the last date before which the AGM should have been held.

8.3 Penalty for contravention

According to Section 137 (3), If any of the provisions of this Section are contravened:

a) The company shall be punishable with fine of ₹ 10,000 and in case of continuing default ₹ 100 for every day during which the failure continues but which shall not be more than ₹ 2 Lakhs and
b) The managing director and the CFO of the company, if any, and in their absence, any other director who is charged by the Board and in the absence of any such director, all the directors of the company, shall be liable to a penalty of ₹ 10,000 and in case of continuing failure, a sum of ₹ 100 for each day during which the failure continues, subject to a maximum of ₹ 50,000.

Concept 9 - Section 138: Internal Audit

According to Section 138, The following class of companies shall be required to appoint an internal auditor which may be either an individual or a partnership firm or a body corporate:

a) every listed company.
b) every unlisted public company having

i) paid up share capital of ₹ 50 crores or more during the preceding financial year, or
ii) turnover of ₹ 200 crores or more during the preceding financial year, or
iii) outstanding loans or borrowings from banks or public financial institutions exceeding ₹ 100 crores at any point of time during the preceding financial year, or
iv) outstanding deposits of ₹ 25 crores or more at any point of time during the preceding financial year, and

c) every private company having:

i) turnover of ₹ 200 crores or more during the preceding financial year, or
ii) outstanding loans or borrowings from banks or public financial institutions exceeding ₹ 100 crores at any point of time during the preceding financial year.

An existing company covered under any of the above criteria shall comply with the requirements of Section 138 and this rule within 6 months of commencement of such Section.

Role and eligibility of Internal Auditor

a) Internal Auditor shall either be a CA or a CMA in practice or not, or such other professional as may be decided by the Board
b) He conducts internal audit of the functions and activities of the company.
c) The internal auditor may or may not be an employee of the company.
d) The Audit Committee or the Board shall, in consultation with the Internal Auditor, formulate the scope, functioning, periodicity and methodology for conducting the internal audit.

Concept 1 - Section 139: Appointment of Auditors

1.1 Appointment of First Auditors

Section 139(6) - Appointment of First Auditors Other Than Government Company

a) The first auditor of a company, other than a Government Company, shall be appointed by the Board of directors within 30 days of the date of registration of the company.
b) If the Board fails to exercise its powers i.e. appointment of first auditor, it shall inform the members of the company and the company in general meeting may appoint the first auditor within 90 days at an extra ordinary general meeting and

such auditor shall hold office till the conclusion of the first annual general meeting (AGM).

Section 139(7) - Appointment of First Auditors of Government Company

a) The first auditor shall be appointed by the Comptroller and Auditor General of India (C&AG) within 60 days from the date of registration of the company
b) In case the C&AG does not appoint first auditor within the said period, the Board of Directors of the company shall appoint such auditor within the next 30 days.
c) Further, in the case of failure of the Board to appoint such auditor within the next 30 days, it shall inform the members of the company who shall appoint such auditor within the 60 days at an extraordinary general meeting

who shall hold office till the conclusion of the first AGM

1.2 Appointment of Subsequent Auditors

Section 139(1) - Appointment of Subsequent Auditors Other Than Government Company

Every Company shall at the first AGM appoint an individual or a firm as an auditor who shall hold office from the conclusion of that meeting till the conclusion of its 6th AGM and thereafter till the conclusion of every 6th meeting.

Section 139(5) - Appointment of Subsequent Auditors of Government Company

The Comptroller and Auditor General of India (C&AG) shall appoint an auditor duly qualified within a period of 180 days from the commencement of the financial year who shall hold the office till the conclusion of the AGM.

1.3 Manner and Procedure of selection and appointment of auditors

a. In case of a company is not required to constitute an Audit Committee

The Board shall take into consideration the qualifications and experience of an individual or firm and recommend in AGM for appointment as auditor.

b. In case of a company is required to constitute an Audit Committee.

a) the Audit Committee shall recommend a person to be appointed as Auditor to the Board of Directors.
b) If the Board agrees with the recommendation of the Audit Committee, it shall further recommend the appointment of an individual or a firm as auditor to the members in the AGM.
c) If the Board disagrees with the recommendation of the Audit Committee, it shall refer back the recommendation to the committee for reconsideration with reasons for such disagreement.
d) If the Audit Committee, after considering the reasons given by the Board, decides not to reconsider its original recommendation, the Board shall record reasons for its disagreement with the committee and send its own recommendation for consideration of the members in the AGM and if the Board agrees with the recommendations of the Audit Committee, it shall place the matter for consideration by members in the AGM.

1.4 Certificate by Auditor

Before the appointment is made, the written consent of the auditor to such appointment shall be obtained. A certificate shall be also obtained from the auditor stating that:

a) The individual or the firm is eligible for appointment and is not disqualified for appointment under the Act, the Chartered Accountants Act, 1949 and the rules or regulations made there under.
b) The proposed appointment is as per the term provided under the Act.
c) The proposed appointment is within the limits laid down by or under the authority of the Act.
d) The list of proceedings against the auditor or audit firm or any partner of the audit firm pending with respect to professional matters of conduct, as disclosed in the certificate, is true and correct.
e) The certificate shall also indicate whether the auditor satisfies the criteria provided in Section 141
f) Notice to Registrar: The company shall inform the concerned auditor of his or its appointment, and also file a notice in the Form ADT-1 of such appointment with the Registrar within 15 days of the meeting in which the auditor is appointed.

1.5 Term of Appointment Auditor

According to Section 139 (2), listed companies and the following classes of companies,

a) all unlisted public companies having paid up share capital of ₹ 10 crores or more.
b) all private limited companies having paid up share capital of ₹ 50 crores or more.
c) all companies having paid up share capital of below threshold limit mentioned in (1) and (2) above, but having public borrowings from financial institutions, banks or public deposits of ₹ 50 crores or more.

(except one person companies and small companies) shall not appoint or re-appoint:

a) An individual as auditor for more than one term of 5 consecutive years, and
b) An audit firm as auditor for more than two terms of 5 consecutive years.

Cooling Period

a) An individual auditor who has completed his term (i.e. one term of 5 consecutive years) shall not be eligible for re-appointment as auditor in the same company for 5 years from the completion of his term;
b) An audit firm which has completed its terms (i.e. two terms of 5 consecutive years) shall not be eligible for re-appointment as auditor in the same company for 5 years from the completion of second term.

1.6 Filling up casual vacancy

In Case of Other than Government Company

a) The Board may fill any casual vacancy in the office of an auditor within 30 days but where such vacancy is caused by the resignation of an auditor, such appointment shall also be approved by the company at a general meeting convened within 3 months of the recommendation of the Board.
b) Any auditor appointed in a casual vacancy shall hold office until the conclusion of the next annual general meeting.

In Case of Government Company

a) In the case of a company whose accounts are subject to audit by an auditor appointed by the Comptroller and Auditor General of India, casual vacancy of an auditor be filled by the Comptroller and Auditor General of India within 30 days.
b) In case the Comptroller and Auditor-General of India do not fill the vacancy within the said period, the Board of Directors shall fill the vacancy within next 30 days.

1.7 Rotation of Auditor

According to Section 139 (3), Members of a company may resolve to provide that:

a) in the audit firm appointed by it, the auditing partner and his team shall be rotated at such intervals as may be resolved by members, or
b) audit shall be conducted by more than one auditor.

According to Section 139(4), Manner of rotation of auditors by the companies on expiry of their term,

a) The Audit Committee shall recommend to the Board, the name of an individual auditor or of an audit firm who may replace the incumbent auditor on expiry of the term of such incumbent.
b) Where a company is required to constitute an Audit Committee, the Board shall consider the recommendation of such committee, and in other cases, the Board shall itself consider the matter of rotation of auditors and make its recommendation for appointment of the next auditor by the members in annual general meeting.

For the purpose of the rotation of auditors:

a) in case of an auditor, the period for which the individual or the firm has held office as auditor prior to the commencement of the Act shall be taken into account for calculating the period of 5 consecutive years or 10 consecutive years, as the case may be.
b) the incoming auditor or audit firm shall not be eligible if such auditor or audit firm is associated with the outgoing auditor or audit firm under the same network of audit firms.
c) a break in the term for a continuous period of 5 years shall be considered as fulfilling the requirement of rotation.
d) if a partner, who is in charge of an audit firm and also certifies the financial statements of the company, retires from the said firm and joins another firm of chartered accountants, such other firm shall also be ineligible to be appointed for a period of 5 years.

1.8 Re-appointment of retiring auditor

A retiring auditor may be re-appointed at an AGM, if:

a. he is not disqualified for re-appointment.
b. he has not given the company a notice in writing of his unwillingness to be reappointed, and
c. a special resolution has not been passed at that meeting appointing some other auditor or providing expressly that he shall not be re-appointed.
d. Where at any annual general meeting, no auditor is appointed or re-appointed, the existing auditor shall continue to be the auditor of the company.

1.9 Appointing Auditor other than the Retiring Auditor

According to Section 140(4), If the retiring auditor has not completed a consecutive tenure of 5 years or 10 years in case of firm, special notice shall be required for a resolution at an AGM appointing as auditor a person other than a retiring auditor, or that a retiring auditor shall not be re- appointed.

On receipt of notice of such a resolution, the company shall send a copy to the retiring auditor.

Representation of auditor

Where notice is given of such a resolution and the retiring auditor makes representation in writing to the company and requests its notification to members of the company, the company shall, unless the representation is received by it too late for it to do so,

a) In any notice of the resolution given to members of the company, state the fact of the representation having been made; and
b) Send a copy of the representation to every member of the company to whom notice of the meeting is sent.

If a copy of the representation is not sent to members

1. Either because it was received too late or of the company's default, the auditor may require that the representation shall be read out at the meeting.
2. A copy of such representation shall be filed with the Registrar.

Audit Committee's recommendation

According to Section 139 (11), Where a company is required to constitute an Audit Committee under Section 177, all appointments, including the filling of a casual vacancy of an auditor under this Section shall be made after taking into account the recommendations of such committee.

Concept 2 – Section 140: Removal, resignation of auditor and serving of special notice

2.1 Removal of Auditor

According to Section 140(1), The auditor appointed under Section 139 may be removed from his office before the expiry of his term only,

a) by a special resolution of the company
b) after obtaining the prior approval of the Central Government by making an application in E-Form ADT-2 and shall be accompanied with the prescribed fees.
c) The application shall be made to the Central Government within 30 days of the resolution passed by the Board.
d) The Company shall hold the general meeting within 60 days of receipt of approval of the Central Government for passing the special resolution.
e) before taking any action for removal of auditor before the expiry of his term, the auditor concerned shall be given a reasonable opportunity of being heard

2.2 Resignation by Auditor

According to Section 140(2), the Auditor who has resigned from the company,

a) shall file within a period of 30 days from the date of resignation, a statement in the form ADT-3 with the company and the Registrar.
b) In case of government companies or companies controlled by Central Government or State Government, the auditor shall also file such statement with the Comptroller and Auditor General of India also along with company and the Registrar.
c) The auditor shall indicate the reasons and other facts as may be relevant with regard to his resignation, in the statement

2.3 Penalty for Contravention of Section 140(2)

He or it shall be liable for a penalty of ₹ 50,000 or amount equal to the remuneration of auditor, whichever is less and in case of continuing failure, with a further penalty of ₹ 500 for each day after the first during which such failure continues, subject to a maximum of ₹ 2 lakhs.

Concept 3 – Section 141: Qualifications and Disqualifications of an auditor

3.1 Qualifications of an auditor

a) A person shall be eligible to be appointed as auditor of a company only if he is a Chartered Accountant in practice within the meaning of the Chartered Accountants Act, 1949.

b) A firm where majority of partners practicing in India are qualified for appointment as aforesaid may be appointed by its firm name to be auditor of a company.
c) Where a firm including LLP is appointed as an auditor of a company, only the partners who are chartered accountants shall be authorised to act and sign on behalf of the firm.

3.2 Disqualification of an auditor

The following persons shall not be qualified for appointment as auditor of a company:

a) A body corporate other than a limited liability partnership registered under the Limited Liability Partnership Act, 2008.
b) an officer or employee of the company.
c) a person who is a partner, or who is in the employment, of an officer or employee of the company.
d) A person who, or his relative or partner

   i) is holding any security of or interest in the company or its subsidiary, or of its holding or associate company or a subsidiary of such holding company: (Provided that the relative may hold security or interest in the company of face value not exceeding ₹ 1 Lakh. If the relative acquires any security or interest above the prescribed threshold i.e., ₹ 1 Lakh, the corrective action to maintain the limits as specified above shall be taken by the auditor within 60 days of such acquisition or interest.)
   ii) is indebted to the company, or its subsidiary, or its holding or associate company or a subsidiary of such holding company, in excess of ₹5 Lakhs, or
   iii) has given a guarantee or provided any security in connection with the indebtedness of any third person to the company, or its subsidiary, or its holding or associate company or a subsidiary of such holding company, in excess of ₹1 Lakh.

e) a person or a firm who, whether directly or indirectly, has business relationship with the company, or its subsidiary, or its holding or associate company or subsidiary of such holding company or associate company. Exceptions:
   i) commercial transactions which are in the nature of professional services permitted to be rendered by an auditor or audit firm.
   ii) commercial transactions which are in the ordinary course of business of the company at arm 's length price.
f) a person who's relative is a director or is in the employment of the company as a director or key managerial personnel.
g) a person who is in full time employment or a partner of a firm holding appointment as its auditor, if such persons or partner is at the date of such appointment or reappointment holding appointment as auditor of more than 20 companies other than OPC, dormant companies, small companies and private companies having paid-up share capital less than ₹ 100 crore rupees
h) a person who has been convicted by a court of an offence involving fraud and a period of 10 years has not elapsed from the date of such conviction.
i) any person who directly or indirectly renders any service referred to in section 144 to the company or its holding company or its subsidiary company.

3.3 Vacation of office by an auditor

If a person appointed as an auditor of a company incurs any of the disqualification specified above, he shall be deemed to have vacated his office. Such vacation shall be deemed to be a casual vacancy in the office of the auditor.

Concept 4 - Section 142: Remuneration of Auditors

Subsequent auditors: The remuneration of auditors has to be fixed by the company in general meeting or in such manner as the general meeting may determine.

First Auditor: While the remuneration of first auditor shall be fixed by the board, which appointed him.

Inclusion and Exclusions

a) The remuneration so fixed is, in addition to the fee payable to an auditor to, includes
b) The expenses, if any, incurred by him in connection with the audit of the company (i.e. out of pocket expense) and
c) Any facility extended to him.

Exclusion: It is not to include any remuneration paid to him for any other service rendered by him at the request of the company.

Concept 5 - Section 143: Powers and duties of auditors and auditing standards

5.1 Powers of Auditors

According to Section 143 (1), Auditor shall have the following powers:

a) Access to books of account and vouchers
b) Entitled to have necessary information and explanation
c) Access to record of all its subsidiaries

5.2 Duties of auditors

According to Section 143(1), The auditor shall inquire into the following matters, namely

1. Whether loans and advances made by the company on the basis of security have been properly secured and whether the terms on which they have been made are prejudicial to the interests of the company or its members;
2. Whether transactions of the company which are represented merely by book entries are prejudicial to the interests of the company;
3. Where the company not being an investment company or a banking company, whether so much of the assets of the company as consist of shares, debentures and other securities have been sold at a price less than that at which they were purchased by the company;
4. Whether loans and advances made by the company have been shown as deposits;
5. Whether personal expenses have been charged to revenue account;

6. Where it is stated in the books and documents of the company that any shares have been allotted for cash, whether cash has actually been received in respect of such allotment, and if no cash has actually been so received, whether the position as stated in the account books and the balance sheet is correct, regular and not misleading.

The auditor shall make a report to the members of the company on the following:

a) On the accounts examined by him and
b) On every financial statements which are required by or under this Act to be laid before the company in general meeting.

The auditor while making the report shall take into account the accounting and auditing standards and matters which are required to be included in the audit report.

The auditor shall express his opinion of the accounts and financial statements examined by him. He shall express the opinion which according to him and to the best of his information and knowledge, whether the said accounts, financial statements give a true and fair view of the state of the company's affairs as at the end of its financial year and profit or loss and cash flow for the year.

The auditors' report shall also state:

a) Whether he has sought and obtained all the information and explanations which to the best of his knowledge and belief were necessary for the purpose of his audit and if not, the details thereof and the effect of such information on the financial statements;
b) Whether, in his opinion, proper books of account as required by law have been kept by the company so far as appears from his examination of those books and proper returns adequate for the purposes of his audit have been received from branches not visited by him;
c) Whether the report on the accounts of any branch office of the company audited by a person other than the company's auditor has been sent to him and the manner in which he has dealt with it in preparing his report;
d) Whether the company's balance sheet and profit and loss account dealt with in the report are in agreement with the books of account and returns;
e) Whether, in his opinion, the financial statements comply with the accounting standards;
f) The observations or comments of the auditors on financial transactions or matters which have any adverse effect on the functioning of the company;
g) Whether any director is disqualified from being appointed as a director under sub section (2) of section 164;
h) Any qualification, reservation or adverse remark relating to the maintenance of accounts and other matters connected therewith;
i) Whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls;
j) Such other matters as may be prescribed, namely:

   i) whether the company has disclosed the impact, if any, of pending litigations on its financial position in its financial statement.
   ii) whether the company has made provision, as required under any law or accounting standards, for material foreseeable losses, if any, on long term contracts including derivative contracts.

iii) whether there has been any delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the company.
iv) Such other matters as may be prescribed.

5.3 Compliance with auditing standards

According to Section 143(9), Every auditor shall comply with the auditing standards.

The Central Government may prescribe the standards of accounting or any, as recommended by the Institute of Chartered Accountants of India, constituted under the Chartered Accountants Act, 1949 in consultation with and after examination of the recommendations made by the National Financial Reporting Authority (NFRA).

5.4 Audit of Government Companies

In the case of a Government company or any other company owned or controlled, directly or indirectly, by the Central Government, or by any State Government or Governments, or partly by the Central Government and partly by one or more State Governments, the Comptroller and Auditor General of India shall direct auditor the manner in which the accounts of the Government company are required to be audited and thereupon the auditor so appointed shall submit a copy of the audit report to the Comptroller and Auditor General of India.

The audit report among other things, include the following:

a) the directions, if any, issued by the Comptroller and Auditor General of India
b) the action taken thereon and
c) its impact on the accounts and financial statement of the company.

The Comptroller and Auditor General of India shall within 60 days from the date of receipt of the audit report have a right to:

a) conduct a supplementary audit of the financial statement of the company by such person or persons as he may authorise in this behalf and for the purposes of such audit, as the Comptroller and Auditor General of India may direct, and
b) comment upon or supplement such audit report.

Any comments given by the Comptroller and Auditor General of India upon, or supplement to, the audit report shall be sent by the company to every person entitled to copies of audited financial statements and also be placed before the AGM of the company.

The Comptroller and Auditor General of India may by an order conduct test audit of the accounts of government company under this section.

5.5 Audit of accounts of branch office of company (Section 143(8))

Branch office in India:

Where a company has a branch office, the accounts of that office shall be audited either by:

a) the company's auditor or
b) by any other person qualified under Section 139.

Branch office outside India:

If the branch office is situated in a country outside India, the accounts of the branch office shall be audited either by:

i) the company's auditor or
ii) by an accountant or
iii) by any other person duly qualified to act as an auditor in accordance with the laws of that country.

a) The duties and powers of the company's auditor are applicable to the branch auditor.
b) The branch auditor shall prepare a report on the accounts of the branch examined by him and send it to the auditor of the company who shall deal with it in his report

5.6 Reporting of frauds by auditors (Section 143 (12))

Fraud involving amount of ₹ 1 crore or more

If an auditor of a company, in the course of the performance of his duties as auditor,

a) Has reason to believe that an offence involving fraud
b) Which involves or is expected to involve individually an amount of ₹ 1 crore or more

is being or has been committed against the company by officers or employees of the company. He shall immediately report the matter to the Central Government within such time and in such manner as may be prescribed.

the auditor shall report the matter to the Central Government in following manner

a) The auditor shall report the matter to the Board or the Audit Committee immediately but not later than 2 days of his knowledge of the fraud, seeking their reply or observations within 45 days;
b) On receipt of such reply or observations, the auditor shall forward his report and the reply or observations of the Board or the Audit Committee along with his comments to the Central Government within 15 days from the date of receipt of such reply or observations;
c) In case the auditor fails to get any reply or observations from the Board or the Audit Committee within the stipulated period of 45 days, he shall forward his report to the Central Government along with a note containing the details of his report that was earlier forwarded to the Board or the Audit Committee for which he has not received any reply.
d) The report shall be filed electronically in Form ADT-4.

Fraud involving amount less than ₹ 1 crore

In case of a fraud involving lesser than an amount of rupees one crore, the auditor shall report the matter to the audit committee or to the Board immediately but not later than 2 days of his knowledge of the fraud and he shall report the matter specifying the following;

a) Nature of Fraud with description;
b) Approximate amount involved; and
c) Parties involved.

Disclosure in Board's Report

The audit committee or the Board shall disclose the following details about such frauds (reported to them, but not to the Central Government), in the Board's report;

a) Nature of fraud with description
b) Approximate amount involved
c) Parties involved, if remedial action not taken and
d) Remedial actions taken.

Section 143 (12) is also applicable to Cost accountants in practice conducting Cost audits under Section 148.

Penalty for non-compliance of section 143(12)

If any auditor, cost accountant, or company secretary in practice does not comply with the provisions of sub-section (12), he shall

a) Be liable to a penalty of ₹ 5 lakhs in case of a listed company; and
b) Be liable to a penalty of ₹ 1 lakh in case of any other company.

Concept 6 - Section 144: Auditor not to render certain services

An auditor appointed under this Act shall provide to the company only such other services as are approved by the Board of Directors or the audit committee, as the case may be.

But such services shall not include any of the following services (whether such services are rendered directly or indirectly to the company or its holding company or subsidiary company), namely:

a) accounting and book keeping services.
b) internal audit.
c) design and implementation of any financial information system
d) actuarial services
e) investment advisory services
f) investment banking services.
g) rendering of outsourced financial services.
h) management services and
i) any other kind of services as may be prescribed.

Concept 7 - Section 145: Auditors to sign audit reports

a) The person appointed as an auditor of the company shall sign the auditor's report or sign or certify any other document of the company (i.e. in case of firm including LLP, only Chartered Accountants are authorised to act and sign).
b) The qualifications, observations or comments on financial transactions which have any adverse effect on the company mentioned in the auditor' report shall be read before the company in general meeting and shall be open to inspection by any member of the company.

Concept 8 - Section 146: Auditors to attend general meeting

a) All notices of and other communications relating to, any general meeting shall be forwarded to the auditor of the company.
b) The auditor shall, unless otherwise exempted by the company, attend either by himself or through his authorised representative, who shall also be qualified to be an auditor, any general meeting.
c) The auditor shall have right to be heard at such meeting on any part of the business which concerns him as the auditor.

Concept 9 - Section 147: Punishment for contravention

Penalty on company

According to Section 147(1), If any of the provisions of Sections 139 to 146 is contravened, the company shall be punishable with fine which shall not be less than ₹ 25,000 but which may extend to ₹ 5 lakhs.

Penalty on officers

According to Section 147(1), If any of the provisions of Sections 139 to 146 is contravened, every officer of the company who is in default shall be punishable with fine which shall not be less than ₹ 10,000 but which may extend to ₹ 1 lakh.

Penalty on auditor

According to Section 147(2), If an auditor of a company contravenes any of the provisions of section 139, section 144 or section 145, the auditor shall be punishable with fine which shall not be less than ₹ 25,000 but which may extend to ₹ 5 lakhs or 4 times the remuneration of the auditor, whichever is less.

If an auditor has contravened any of the provisions of section 139, section 144 or section 145, knowingly or wilfully with the intention to deceive the company or its shareholders or creditors or tax authorities, he shall be punishable with the imprisonment for a term which may extend to 1 year and with the fine which shall not be less than ₹ 50,000 but which may extend to ₹ 25 lakhs or eight times the remuneration of the auditor, whichever is less

Refund of Renumeration

According to Section 147(3), Where an auditor has been convicted above shall be liable to,

a) refund the remuneration received by him to the company, and
b) Pay for damages to the company, statutory bodies or authorities or to members or creditors of the company for loss arising out of incorrect or misleading statements made in his audit report.

Liability of Audit firm

According to Section 147(5), Where, in case of audit of a company being conducted by an audit firm,

It is proved that the partner or partners of the audit firm has or have acted in a fraudulent manner or colluded in any fraud by the company or its directors or officers, the liability for such act shall be of the partner or partners concerned of the audit firm and of the firm jointly and severally.

Concept 10 - Section 148: Cost Audit

According to Section 148,

a) the Central Government may order such class of companies engaged in the production of such goods or providing such services, that particulars relating to the utilisation of material, labour or to other items of cost also be included in the books of account kept under Section 128 in Form CRA-1.
b) the Central Government may, by order, direct that the audit of cost records of class of companies, shall be conducted in the manner specified in the order.

The cost audit shall be conducted by a Cost Accountant in practice who shall be appointed by the Board on such remuneration as recommended by the Audit Committee and shall be ratified by shareholders.

Concept – 11 Company Auditor Report Order (CARO) Rules

MCA has notified Companies (Auditor's Report) Order, 2020 on 25th February, 2020 which replaced CARO, 2016. It is a new format of reporting of statutory audit. CARO, 2020 is applicable for all statutory audits commencing on or after 1.4.2020 corresponding of Financial Year 2019-20. However, by notification, applicability of CARO has been deferred by one year. Now, CARO 2020 is applicable for all statutory audits commencing on or after 01.04.2021 corresponding to the financial year 2020-21

CARO 2020 is applicable to every company including a foreign company

The following classes of companies are outside the purview of the CARO 2020.

a) Banking company
b) Insurance company
c) Company licensed to operate under Section 8
d) A one person company
e) A small company

f) The auditor of following type of Private Companies are not required to comment on the matter prescribed under CARO 2020:
   i) is not holding or subsidiary company of a public company, and
   ii) having a paid up capital and reserve and surplus not more than ₹ 1 crore as on the balance sheet date and
   iii) which does not have total borrowing exceeding ₹ 1 crore from any bank and financial institution at any point of time during the financial year, and
   iv) which does not have total revenue as disclosed in the Schedule III (including revenue from discontinuing operations) exceeding ₹ 10 crores during the financial year.

Matters included in CARO 2020 are discussed below:

Clause (i) - Property, Plant & Equipment (PPE)

a) Whether the company is maintaining proper records showing full particulars including quantitative details and situation of PPE & full particulars of intangible assets.
b) Whether these fixed asset have been physically verified by management at reasonable interval, whether any material discrepancies were noticed on such verification and if so, whether the same have been properly dealt with in the books of account.
c) Matters relating to title deeds not in the name of the company, revaluation etc.
d) Whether the company has revalued its PPE or intangible assets and in this respect any material discrepancies of 10% or more has been observed.
e) Whether any proceeding have been initiated or pending against the company for holding any benami property.

Clause (ii) - Inventory

a) Whether physical verification of inventory has been conducted at reasonable interval by the management, any material discrepancies of 10% or more has been noticed on such verification and if so, whether the same has been properly dealt with in the books of account
b) Whether during any point of time, the company has been sanctioned working capital limits in excess of ₹ 5 crores.

Clause (iii) - Investment / providing any guarrantee or security or granted loan and advances

a) Whether the company has granted any loans, secured or unsecured to companies, firms, LLP or other parties.
b) Whether terms and conditions of the grant of such loan are not prejudicial to the company's interest.
c) Whether the schedule of repayment of principal and payment of interest has been stipulated and whether the repayments and receipts are regular
d) If the amount is overdue, state the total amount overdue, state the total amount overduefor more than 90 days and whether reasonable steps have been taken by the company for recovery of principal.

Clause (iv) - Compliance with Sec 185 & 186 of the Companies Act, 2013

Clause (v) - Acceptance of Deposits

In case the company has accepted deposits, whether the following has been complied with:

a) Directives issued by the Reserve Bank of India
b) Section 73 to 76 of Companies Act, 2013 and the rules framed there under, and
c) Nature of contraventions, due to non compliance

Clause (vi) - Maintaining of Cost Records

If the companies required to maintain any cost records whether such records have been maintained and non- compliance, if any.

Clause (vii) - Depositing Statutory Dues

a) Whether the company is regular in depositing statutory dues with the appropriate authorities. If not the extent of arrears of outstanding statutory dues as at the last day of the financial year concerned for a period of more than 6 months from the date they become payable, shall be indicated by the auditor.
b) In case disputed statutory dues, the amount involved and the forum where dispute is pending.

Clause (viii) - Reporting of Transactions not covered in books of Accounts

Clause (ix) - Repayment of Loan

Whether the company has defaulted in repayment of loans and borrowing to a financial institution, banks, government or dues to debenture holders. If yes, the period and the amount of default to be reported.

Clause (x) - Money raised through IPO and further public offer

Clause (xi) - Disclosure regarding Fraud

Clause (xii) - Nidhi Company

Whether the Nidhi company has complied with the net owned funds to deposit in the ratio of 1:20 to meet out the liability and whether the Nidhi company is maintain 10% unencumbered term deposit to meet out the liability. Details of any default in payment of interest on deposits or repayment.

Clause (xiii) - Related Party Transaction

Clause (xiv) - Internal Audit .

Clause (xv) - Non Cash Transaction

Clause (xvi) - Registration under Section 451A of the Reserve Bank of India Act, 1934

Clause (xvii) - Report on cash losses

Clause (xviii) - Reporting on auditor's resignation

Clause (xix) - Reporting on financial position

Clause (xx) - Reporting on CSR compliance

Clause (xxi) - Reporting on Consolidated financial statement

Concept 1 – Introduction

1.1 Meaning

a) A director of a company can be either an owner/promoter or a professional appointed to manage the company, and they play a crucial role in formulating policies and overseeing operations to achieve the company's objectives.
b) The Board of Directors is a collective body appointed according to the Companies Act and Articles of Association, holding the authority to manage the company's affairs, except for certain powers reserved for the shareholders in general meetings.
c) Directors act as the guiding force of the company, serving as officers rather than servants, and are responsible for safeguarding the company's assets and working in the best interest of stakeholders.

1.2 Definitions

According to Section 2(10), Board of Directors or Board, in relation to a company, means the collective body of directors of the company
According to Section 2(34), Director means a director appointed to the Board of the company.

Chapter XI of the Companies Act, 2013 contains provisions related to Appointment and Qualifications of Directors.

Concept 2 – Section 149: Company to have Board of Directors

2.1 Minimum and Maximum number of Directors

According to Section 149 (1), every company shall have a Board of Directors consisting of individuals as directors and shall have:

a) Minimum number of directors
   (i) Public company - 3
   (ii) Private Company - 2
   (iii) One Person company (OPC) – 1
b) Maximum number of directors shall be 15

As per Proviso 1 of Section 149 (1), If the company wants to appoint more than 15 directors, it can do so after passing a special resolution.

Clause b) and proviso 1 is not applicable in case of Government and section 8 companies. Exemption is applicable only if such companies have not committed a default in filing its financial statements (under section 137) or Annual return (under section 92) with the Registrar.

2.2 Women director

As per Proviso 2 of Section 149 (1), At least 1 woman director shall be on the Board of such class or classes of companies as may be prescribed.

a) every listed company
b) every other public company having.
   i) paid-up share capital of ₹ 100 crores or more (or)
   ii) turnover of ₹ 300 crores or more.

A company, which has been incorporated under the Act and is covered under provisions of Proviso 2 of Section 149 (1) shall comply with such provisions within a period of 6 months from the date of its incorporation.
Further, any intermittent vacancy of a woman director shall be filled-up by the Board at the earliest but not later than next Board meeting or 3 months from the date of such vacancy whichever is later.

2.3 Resident Director

According to Section 149 (3), Every company shall have at least one director who stays in India for a total period of not less than 182 days during the financial year.

2.4 Independent Director

According to Section 149(4), Every listed public company shall have at least $1/3^{rd}$ of the total number of directors as independent directors.
Any fraction contained in such one-third numbers shall be rounded off as one.

According to the Rule 4 of the Companies Appointment and Qualification of Directors) Rules, 2014, the following classes of companies shall have at least 2 directors as independent directors:

a) Public Companies having paid up share capital of ₹ 10 crores or more (or)
b) Public Companies having turnover of ₹ 100 crores or more (or)
c) Public Companies which have, in aggregate, outstanding loans, debentures and deposits, exceeding ₹ 50 crores. (figures as on last day of the audited final statement)

However, in case a company covered under the above rule is required to appoint a higher number of independent directors due to composition of its audit committee, such higher number of independent directors shall be applicable to it.

Further, any intermittent vacancy of an independent director shall be filled-up by the Board at the earliest but not later than next Board meeting or 3 months from the date of such vacancy, whichever is later.

2.5 Qualifications of an Independent Director

According to Section 149(6), An independent director in relation to a company, means a director other than a managing director or a whole-time director or a nominee director, who:
a) in the opinion of the Board, is a person of integrity and possesses relevant expertise and experience
b) is/was not a promoter of the company or its holding, subsidiary or associate company
c) is not related to promoters or Directors in the company, its holding, subsidiary or associate company

d) has or had no pecuniary relationship (other than remuneration as such director or having transaction not exceeding 10% of his total income or such amount as may be prescribed) with the company, its holding, subsidiary or associate company, or their promoters, or Directors, during the 2 immediately preceding financial years or during the current financial year

e) none of whose relatives—

i) is holding any security of or interest in the company, its holding, subsidiary or associate company during the 2 immediately preceding financial years or during the current financial year.

Provided that the relative may hold security or interest in the company of face value not exceeding ₹ 50 lakhs or 2% of the paid-up capital of the company, its holding, subsidiary or associate company or such higher sum as may be prescribed

ii) is indebted to the company, its holding, subsidiary or associate company or their promoters, or Directors, for such amount as may be prescribed (₹ 50 lakhs) during the 2 immediately preceding financial years or during the current financial year.

iii) has given a guarantee or provided any security in connection with the indebtedness of any third person to the company, its holding, subsidiary or associate company or their promoters, or Directors of such holding company, for such amount as may be prescribed (₹ 50 lakhs) during the 2 immediately preceding financial years or during the current financial year (or)

iv) has any other pecuniary transaction or relationship with the company, or its subsidiary, or its holding or associate company amounting to 2% or more of its gross turnover or total income singly or in combination with the transactions referred above.

f) who, neither himself nor any of his relatives

i) holds or has held the position of a KMP or is or has been employee of the company or its holding, subsidiary or associate company in any of the 3 financial years immediately preceding the financial year in which he is proposed to be appointed

Provided that in case of a relative who is an employee, the restriction under this clause shall not apply for his employment during preceding 3 financial years.

ii) is or has been an employee or proprietor or a partner, in any of the 3 financial years immediately preceding the financial year in which he is proposed to be appointed, of:

- a firm of auditors or company secretaries in practice or cost auditors of the company or its holding, subsidiary or associate company; or
- any legal or a consulting firm that has or had any transaction with the company, its holding, subsidiary or associate company amounting to 10% or more of the gross turnover of such firm;

iii) holds together with his relatives 2% or more of the total voting power of the company or

iv) is a Chief Executive or director, by whatever name called, of any non-profit organisation that receives 25% or more of its receipts from the company, any of its promoters, Directors or its holding, subsidiary or associate company or that holds 2% or more of the total voting power of the company;

g) who possesses such other qualifications as may be prescribed.

Every independent director shall at the first meeting of the Board in which he participates as a director and thereafter at the first meeting of the Board in every financial year or whenever there is any change in the circumstances which may affect his status as an independent director, give a declaration that he meets the criteria of independence.

Independent director shall have to get himself registered with Data Bank maintained by Indian Institute of Corporate Affairs (IICA). They have to pass an examination conducted by IICA. No examination shall be required for persons:

a) Person has served 3 years or more as a Director/KMP
b) 10 years as an advocate, practicing CA/CMA/CS
c) Working in pay scale of directors, equivalent in CG/SG in matter relating to commerce, corporate, finance, industry etc

Concept 3 – Section 152: Appointment of Directors

3.1 First Directors

According to Section 152(1), Where no provision is made in the articles of a company for the appointment of the first director, the subscribers to the memorandum who are individuals shall be deemed to be the first directors of the company until the directors are duly appointed.
In case of a One Person Company, an individual being member shall be deemed to be its first director until the director or directors are duly appointed by the member in accordance with the provisions of this section.

3.2 Subsequent Directors

According to Section 152(2), Save as otherwise provided in this Act, Every director shall be appointed by the company in general meeting.

3.3 Requirement of Director Identification Number (DIN)

According to Section 152(3), No person shall be appointed as a director of a company unless he has been allotted the Director Identification Number (DIN).

3.4 Declaration and Consent by the Director

According to Section 152(4), Every person proposed to be appointed as a director by the company in general meeting or otherwise, shall furnish his Director Identification Number (DIN) and a declaration that he is not disqualified to become a director under this Act.

According to Section 152(5), A person appointed as a director shall not act as a director unless he gives his consent to hold the office as director and such consent has been filed with the Registrar within 30 days of his appointment in Form DIR-12 along with the fee as prescribed by the Company.

Director shall submit form DIR-2 with the Company on or before the appointment, containing DIN, his declaration and consent.

The Ministry of Corporate Affairs has clarified via Notification that section 152 (5) shall not apply:

a) where appointment of such director is done by the Central Government or State Government, as the case may be.
b) to a section 8 company.

Concept 4 – Section 153 – 159: Director Identification Number (DIN) Provisions

Obtaining DIN is a unique number allotted to a person acting as director and there cannot be two DIN of the same person like Aadhar and PAN. 'Director Identification Number' (DIN) means an identification number allotted by the Central Government to a director.

4.1 Application for allotment of Director Identification Number

According to Section 153, Every Individual intending to be appointed as director of a company shall make an application for allotment of DIN to the Central Government in such form and manner and along with such fees as may be prescribed.

Rule 9 of the Companies (Appointment and Qualification of Directors) Rules, 2014 provides a detailed procedure for making application for allotment of DIN. The procedure is detailed below:

a) Every applicant, who intends to be appointed as director of an existing company shall make an application electronically in Form DIR-3, to the central Government for allotment of a DIN along with such fees.
b) Provided that in case of proposed directors not having approved DIN, the particulars of maximum 3 directors shall be mentioned in Form No INC-32 (spice+) and DIN may be allotted to maximum 3 proposed directors through Form INC-32 (spice+)
c) The applicant shall download Form DIR-3 from the portal, fill in the required particulars, verify and sign the form through digital signature and after attaching copies of the following documents, scan and file the entire set of documents electronically:
   i) Photograph
   ii) proof of identity
   iii) proof of residence
   iv) Board resolution proposing his appointment as director in an existing company
   v) specimen signature duly verified.
d) Form DIR-3 shall be signed and submitted electronically by the applicant using his or her own Digital Signature Certificate and shall be verified digitally by a company secretary in full time employment of the company or by the managing director or director or CEO or CFO of the company in which the applicant is intended to be appointed as director in an existing company.
e) In case the name of a person does not have a last name, then his or her father's or grandfather's surname shall be mentioned in the last name along with the declaration in Form No. DIR-3A.

4.2 Allotment of Director Identification Number

According to Section 154, The Central Government shall, within 1 month from the receipt of such application under Section 153, allot a Director Identification Number to the applicant in the following manner. process the applications received for allotment of DIN and decide on the approval or rejection thereof and communicate the same to the applicant along with the DIN allotted in case of approval by way of a letter by post or electronically or in any other mode,

Rule 10 of the Companies (Appointment and Qualification of Directors) Rules, 2014 provides the procedure for allotment of DIN according to which:

a) On the submission of the Form DIR-3 on the portal an application number shall be generated by the system automatically.
b) After generation of application number, the Central Government shall process the applications received for allotment of DIN and decide on the approval or rejection and communicate the same to the applicant along with the DIN allotted in case of approval by way of a letter by post or electronically or in any other mode, within a period of 1 month from the receipt of the application.
c) If the Central Government finds such application to be defective or incomplete, it shall give intimation, by placing it on the website and by email to the applicant.
d) Applicant shall rectify the defects or incompleteness by resubmitting the application within a period of 15 days of such placing on the website and email.
e) Provided that the Central Government shall:
   i) reject the application and direct the applicant to file fresh application with complete and correct information, where the defect has been rectified partially or the information given is still found to be defective.
   ii) treat and label such application as invalid in case the defects are not removed within the given time and
   iii) inform the applicant either by way of letter by post or electronically or in any other mode.
f) In case of rejection or invalidation of application, the fee so paid with the application shall neither be refunded nor adjusted with any other application.
g) The DIN so allotted under these rules is valid for the life-time of the applicant and shall not be allotted to any other person.

4.3 Prohibition to obtain more than one DIN

According to Section 155, No individual, who has already been allotted a DIN under section 154, shall apply for, obtain or possess another DIN.

4.4. Director to intimate DIN

According to Section 156, every existing director shall, within 1 month of the receipt of DIN from the Central Government, intimate his DIN to the company or all companies wherein he is a director.

4.5. Company to inform DIN to Registrar

According to Section 157(1), Every company shall within 15 days of the receipt of intimation under section 156, furnish the DIN of all its directors to the Registrar with such fees as may be prescribed or with such additional fees as may be prescribed.
According to Section 157(2), If a company fails to furnish the DIN under sub-section (1), such company shall be liable to penalty of ₹ 25,000 and in case of continuing failure, with further penalty of ₹ 100 for each day during which such default continues, subject to maximum of ₹ 1,00,000, and every officer of the company who is in default shall be liable to a penalty of not less than ₹ 25,000 and in case of continuing failure, with further penalty of ₹ 100 for each day during which such default continues, subject to maximum of ₹ 1,00,000.

According to Rule 10A of the Companies (Appointment and Qualification of Directors) Amendment Rules, 2014:

a) Every director, functioning as a director in one or more companies on or before the 30th June, 2007 and who has not yet intimated his DIN to such company or companies shall, within 1 month of the receipt of DIN from the Central Government, intimate his DIN to the company or all companies wherein he is a director as per Form DIR-3B.
b) The intimation by the company of DIN of its directors under section 157 of the Act shall be furnished in Form DIR-3C within 15 days of receipt of intimation under section 156.

4.6 Obligation to indicate DIN

According to section 158, every person or company, while furnishing any return, information or particulars as are required to be furnished under this Act, shall mention the DIN in such return, information or particulars in case related to the director.

4.7 Punishment for contravention

According to Section 159, If any individual or director of a company makes any default in complying with section 152, section 155 or section 156, shall be liable to a penalty which may extend to ₹ 50,000 and where the default is a continuing one, with a further penalty which may extend to ₹ 500 for each day after the first during which such default continues.

4.8 Cancellation or Surrender or Deactivation of DIN

The Central Government or any officer authorised may, upon being satisfied on verification of particulars or documentary proof attached with the application received cancel or deactivate the DIN in case:

a) the DIN is found to be duplicated
b) the DIN was obtained in a wrongful manner or by fraudulent means
c) of the death of the concerned individual.
d) the concerned individual has been declared as a person of unsound mind by a competent Court
e) if the concerned individual has been adjudicated an insolvent.
f) on an application made in Form DIR-5 by the DIN holder to surrender his or her DIN along with declaration that he has never been appointed as director in any company and said DIN has never been used for filing of any document with any authority, the Central Government may deactivate such DIN.

4.9 Intimation of changes in particulars specified in DIN application

Every individual who has been allotted a DIN under these rules shall, in the event of any change in his particulars as stated in Form DIR-3, intimate such changes to the Central Government within a period of 30 days of such changes in Form DIR-6 in the following manner:
a) The applicant shall download Form DIR-6 from the portal, fill in the relevant changes, verify the Form and attach duly scanned copy of the proof of the changed particulars and submit electronically.
b) the form shall be digitally signed by a CA or a CS or a CMA in practice.
c) the applicant shall submit the Form DIR-6.

d) The Central Government, upon being satisfied, after verification of such changed particulars from the enclosed proofs, shall incorporate the said changes and inform the applicant by way of a letter by post or electronically or in any other mode confirming the effect of such change in the electronic database maintained by the Ministry.
e) The DIN cell of the Ministry shall also intimate the changes in the particulars of the director submitted to it in Form DIR-6 to the concerned Registrar under whose jurisdiction the registered office of the company in which such individual is a director is situated.
f) The concerned individual shall also intimate the changes in his particulars to the company or companies in which he is a director within 15 days of such change.

Concept 5 – Section 152: Rotational and non-rotational directors

5.1 Rotation of Directors

According to Section 152(6), Unless the articles provide for the retirement of all the directors at every AGM, not less than 2/3rd of total number of directors of public company shall,
(i) be the persons whose period of office is liable to determination by retirement of directors by rotation and
(ii) save as otherwise expressly provided in this Act, be appointed by the company in general meeting.
The Remaining directors, shall, unless otherwise expressly provided in this Act, be appointed by the company in general meeting.
For the purposes of this section, "total number of directors" shall not include –

- Independent directors
- Nominee directors
- Small shareholder directors

a) At the first annual general meeting of a public company held after the date of the general meeting at which the first directors are appointed and at every subsequent annual general meeting, 1/3rd of such of the directors for the time being as are liable to retire by rotation, the number nearest to one-third, shall retire from office.
b) The retiring directors shall be those who have been longest in office since their last appointment, but as between persons who became directors on the same day, those who are to retire shall, in subject to any agreement among themselves, be determined by lot.
c) At the annual general meeting at which a director retires as aforesaid, the company may fill up the vacancy by appointing the retiring director or some other person thereto.

5.2 Vacancy in case of retiring director

According to Section 152(7),
a) If the vacancy of the retiring director is not so filled-up and the meeting has not expressly resolved not to fill the vacancy, the meeting shall stand adjourned till the same day in the next week, at the same time and place, or if that day is a national holiday, till the next succeeding day which is not a holiday, at the same time and place.
b) If at the adjourned meeting also, the vacancy of the retiring director is not filled up and that meeting also has not expressly resolved not to fill the vacancy, the retiring director shall be deemed to have been re-appointed at the adjourned meeting, unless:
   i) at that meeting or at the previous meeting a resolution for the re-appointment of such director has been put to the meeting and lost.

ii) the retiring director has, by a notice in writing addressed to the company or its Board of directors, expressed his unwillingness to be so re-appointed.
iii) he is not qualified or is disqualified for appointment.
iv) a resolution, whether special or ordinary, is required for his appointment or re appointment by virtue of any provisions of this Act.
v) Section 162 is applicable to the case.

5.3 Non applicability of section 152 (6) and (7)

a) A Government company, which is not a listed company in which not less than 51% of paid up share capital is held by the Central Government, or by any State Government or Governments or by the Central Government and one or more State Governments;
b) A subsidiary of a Government company, referred to in (a) above.

Concept 6 - Section 160: Right of persons other than retiring directors to stand for directorship

According to Section 160(1), A person who is not a retiring director shall, subject to the provisions of this Act, be eligible for appointment to the office of a director at any general meeting, if he, or some member intending to propose him as a director, has, not less than 14 days before the meeting, left at the registered office of the company, a notice in writing under his hand signifying his candidature as a director or, as the case may be, the proposal of such member to consider him as a candidate for director, along with the deposit of ₹ 1,00,000 and shall be refunded to such person or to the member, if the person proposed get selected as a director or gets more than 25% of the total valid votes on such resolution.

Requirement of deposit shall not apply in the following cases of appointment of directors
a) Independent director
b) if the appointment of director is recommended by Nomination and Remuneration committee/Board.

According to Section 160(2), the company shall inform its members of the candidature of a person in the prescribed manner in Rule 13 of the Companies (Appointment and Qualification of Directors) Rules, 2014:

a) The company shall, at least 7days before the general meeting, inform its members of the candidature of a person for the office of a director.
b) by serving individual notices, on the members through electronic mode to such members who have provided their email addresses to the company for communication purposes, and in writing to all other members and
c) by placing notice of such candidature or intention on the website of the company
d) However, it shall not be necessary for the company to serve individual notices upon the members as aforesaid, if the company advertises such candidature or intention, not less than 7days before the meeting at least once in a vernacular newspaper in the principal vernacular language of the district in which the registered office of the company is situated, and at least once in English language in an English newspaper circulating in that district.

Non-Applicability of Section 160:

a) A Government company in which the entire paid up share capital is held by the Central Government, or by any State Government or Governments or by the Central Government and one or more State Governments.
b) A subsidiary of a Government company, referred to in (a) above, in which the entire paid up share capital is held by the Government company.
c) A Private company
d) Section 8 Companies whose articles provide for election of directors by ballot.

Concept 7 - Section 161: Appointment of Additional, Alternate and Nominee director

7.1 Additional Director

According to Section 161(1),

a) The Board of Directors of a company may, if so authorised by its articles, can appoint an additional director at any time.
b) In order the get the services, guidance and expertise of such persons, Board of directors have been given the power to select a person as director till next AGM.
c) A person, who fails to get appointed as a director in a general meeting, cannot be appointed as an additional director.
d) Additional director shall hold office up to the date of the next AGM or the last date on which the AGM should have been held, whichever is earlier.

7.2 Alternate Director

According to Section 161(2),

a) The Board of Directors of a company may, if so authorised by its articles or by a resolution passed by the company in general meeting, appoint a person to act as an alternate director in place of another director (original director) during his absence for a period of not less than 3 months from India.
b) A person who is holding any alternate directorship for any other director in the company or holding directorship in the company cannot be considered for appointment as above.
c) No person shall be appointed as an alternate director for an independent director unless he is qualified to be appointed as an independent director.
d) An alternate director shall not hold office for a period longer than that permissible to the original director in whose place he has been appointed and shall vacate the office if and when the original director returns to India.
e) Any provision for the automatic re-appointment of retiring directors in default of another appointment shall apply to the original, and not to the alternate director.
f) whether an alternate director shall be appointed or not and who shall be appointed is the prerogative of the Board and not the decision of the original director.

7.3 Nominee Director

According to Section 161(3), subject to the articles of a company, the Board may appoint any person as a director nominated by any institution in pursuance of the provisions of any law for the time being in force or of any agreement or by the Central Government or the State Government by virtue

of its shareholding in a Government company. It is worth mentioning here "nomination" do not mean "appointment". The person appointed shall have to be appointed in the proper manner.

7.4 Casual Vacancy

According to Section 161 (4),

a) If the office of any director appointed is vacated before his term of office expires in the normal course, the resulting casual vacancy may be filled by the Board of Directors at a meeting of the Board which shall be subsequently approved by the members in immediately next GM.
b) Any person so appointed shall hold office only up to the date up to which the director in whose place he is appointed would have held office if it had not been vacated.

Concept 8 - Section 151: Appointment of Directors elected by Small shareholders

There was persistent demand from the small shareholders to have a director nominated by them to look after the interest of small shareholders.

According to Section 151, A listed company may have one director elected by such small shareholders in such manner and on such terms and conditions as may be prescribed.

Meaning - "Small Shareholders" means a shareholder holding shares of nominal value of not more than ₹ 20,000 or such other sum as may be prescribed.

The Companies (Appointment and Qualification of Directors) Rules, 2014 provides for the procedure for appointment of small shareholders' director according to which:

a) A listed company, may upon notice of not less than
   i) 1000 small shareholders, or
   ii) 1/10th of the total number of such shareholders, whichever is lower
   have a small shareholders' director elected by the small shareholders.
b) However, a listed company may opt to have a director representing small shareholders' suo moto
c) The small shareholders intending to propose a person as a candidate for the post of small shareholders' director shall leave a notice of their intention with the company at least 14 days before the meeting under their signatures specifying the name, address, shares held and folio number of the person whose name is being proposed for the post of director and of the small shareholders who are proposing such person for the office of director.
d) The notice shall be accompanied by a statement signed by the person whose name is being proposed for the post of small shareholders' director stating:
   i) his DIN
   ii) that he is not disqualified to become a director under the Act
   iii) his consent to act as a director of the company.
e) Such director shall be considered as an independent director subject to, his being eligible under section 149(6) and his giving a declaration of his independence
f) The appointment of small shareholders' director shall be subject to the provisions of section 152 except that:
   i) such director shall not be liable to retire by rotation

ii) such director's tenure as small shareholders' director shall not exceed a period of 3 consecutive years;
iii) on the expiry of the tenure, such director shall not be eligible for re-appointment.

g) A person appointed as small shareholders' director shall vacate the office if:
   i) the director incurs any of the disqualifications specified in section 164
   ii) the office of the director becomes vacant in pursuance of section 167
   iii) the director ceases to meet the criteria of independence.

h) No person shall hold the position of small shareholders' director in more than two companies at the same time. However, the second company in which he has been so appointed shall not be in a business which is competing or is in conflict with the business of the first company.

i) A small shareholders director shall not, for a period of 3 years from the date on which he ceases to hold office as a small shareholders' director in a company, be appointed in or be associated with such company either directly or indirectly.

Concept 9 - Section 163: Proportional representation for appointment of Directors

According to Section 163,

a) The articles of a company may provide for the appointment of not less than 2/3rd of the total number of the directors of a company with the principle of proportional representation.
b) Such appointments may be made once in every 3 years.

These systems of voting ensure that the Board will have fair representation of the minority interest.

The section 163 shall not apply to:

a) A Government company in which the entire paid up share capital is held by the Central Government, or by any State Government or Governments or by the Central Government and one or more State Governments
b) A subsidiary of a Government company, referred to in (a) above, in which the entire paid up share capital is held by the Government company.

Concept 10 - Section 164: Disqualifications for appointment of Director

10.1 Disqualifications of the Individual Director

According to this Section 164(1), A person shall not be eligible for appointment as a director of a company, if:

a) he is of unsound mind declared by a competent court
b) he is an undischarged insolvent
c) he has applied to be adjudicated as an insolvent and his application is pending
d) he has been convicted by a court of any offence and sentenced to imprisonment for not less than 6 months and a period of 5 years has not elapsed from the date of expiry of the sentence. However, if a person has been convicted of any offence and sentenced to imprisonment for a period of 7 years or more, he shall not be eligible to be appointed as a director in any company.
e) an order disqualifying him for appointment as a director has been passed by a court or Tribunal and the order is in force.
f) he has not paid any calls in respect of any shares of the company held by him and 6 months have elapsed from the last day fixed for the payment of the call.
g) he has been convicted of the offence of dealing with related party transactions under section 188 at any time during the last preceding 5 years

h) he is not allotted DIN
i) he has not complied with Section 165 relating to holding of maximum number of directorship.

10.2 Disqualification arising due to the actions of the Company

According to Section 164(2), No person who is or has been a director of a company which:
a) has not filed financial statements or annual returns for any continuous period of 3 financial years or
b) has failed to repay the deposits or pay interest or to redeem any debentures on the due date or pay any dividend declared and such failure continues for 1 year or more.

shall be eligible to be re-appointed as a director of that company or appointed in other company for period of 5 years from the date on which the said company fails to do so. However, such director shall not incur the disqualification for a period of 6 months from the date of appointment.
Section 164(2) is not applicable to Government Company.
A private company may by its articles provide for any disqualifications for appointment as a director in addition to those specified above.

Concept 11 - Section 166: Duties of Directors

According to Section 166,

a) The Director shall act in accordance with the articles of the company, subject to the provisions of this Act.
b) He shall act in good faith in order to promote the objects of the company and in the best interests of the stakeholders.
c) He shall exercise his duties with due and reasonable care, skill and diligence and shall exercise independent judgment.
d) He shall not involve in a situation in which he may have a direct or indirect interest that conflicts the interest of the company.
e) He shall not achieve or attempt to achieve any undue gain or advantage either to himself or to his relatives, partners, or associates.
f) He shall not assign his office.

Concept 12 - Section 168: Resignation of Director

According to Section 168(1), a director may resign from his office by giving a notice in writing to the company. The Board shall on receipt of such notice take note of the same. The company shall within 30 days from the date of receipt of notice of resignation from a director, intimate the Registrar in Form DIR-12 and post the information on its website, if any. The company shall also place the fact of such resignation in the report of directors laid in the immediately following general meeting by the company. Such director may forward a copy of his resignation along with detailed reasons for the resignation to the Registrar within 30 days from the date of resignation in Form DIR- 11.

Concept 13 - Section 169: Removal of Directors

According to Section 169(1), A company may, by ordinary resolution, remove a director other than a director appointed by the Tribunal under section 242 of the Act, before the expiry of the period of his office after giving him a reasonable opportunity of being heard.

a) Independent director appointed for the second term can be removed by the special resolution only.
b) The directors appointed under section 163 cannot be removed.

According to Section 169(2), A special notice from members shall be required of any resolution, to remove a director under section 169 or to appoint somebody in place of a director so removed, at the meeting at which he is removed.

According to Section 169(3), On receipt of the notice, the company shall forthwith send a copy thereof to the director concerned, and the director, whether or not he is a member of the company, shall be entitled to be heard on the resolution at the meeting.

According to Section 169(5), The vacancy resulting from the removal may be filled in by the appointment of another director at the same meeting at which the director is removed, provided special notice of the proposed appointment has been given under section 169(2).

According to Section 169(6), A director so appointed shall hold office for the remaining tenure of the director who has been removed would have held office if he had not been removed.

According to Section 169(7), If the vacancy is not filled in the same meeting as above, then it may be filled as a casual vacancy but the director who was so removed from office shall not be reappointed as a director.
This section does not take away a person's right to receive compensation or damages if they are removed from their position as a director before the end of their term, or if their appointment as director ends early.

Concept 14 - Section 167: Vacation of office of Director

According to Section 167(1), The office of a director shall become vacant in case

a) he incurs any of the disqualifications specified in section 164. Provided that where he incurs disqualification under sub-section (2) of section 164, the office of the director shall become vacant in all the companies, other than the company which is in default under that sub-section.
b) he absents himself from all the meetings of the Board of Directors held during a period of 12 months with or without seeking leave of absence of the Board.
c) he acts in contravention of the provisions of section 184 relating to entering into contracts or arrangements in which he is directly or indirectly interested
d) he fails to disclose his interest in any contract or arrangement in which he is directly or indirectly interested, in contravention of the provisions of section 184.
e) he becomes disqualified by an order of a court or the Tribunal.
f) he is convicted by a court of any offence, whether involving moral turpitude or otherwise and sentenced in respect thereof to imprisonment for not less than 6 months.
g) he is removed in pursuance of the provisions of this Act.

h) he, having been appointed a director by virtue of his holding any office or other employment in the holding, subsidiary or associate company, ceases to hold such office or other employment in that company.

According to Section 167(2), If a person acts as a director even when he knows that the office of director held by him has become vacant on account of any of the disqualifications specified above, he shall be punishable with fine which shall not be less than ₹ 1 lakh but which may extend to ₹ 5 lakhs.

According to Section 167(3), Where all the directors of a company vacate their offices under any of the disqualifications, the promoter or, in his absence, the Central Government shall appoint the required number of directors who shall hold office till the directors are appointed by the company in the general meeting.

A private company may, by its articles, provide any other ground for the vacation of the office of a director in addition to those specified above.

Concept 1 – Introduction

Board of directors are responsible for management of the company. Board manages through meetings where various issues are discussed.

Chapter XII of the Companies Act, 2013 contains provisions related to Meetings of Board and its Powers. (from Section 173 to Section 195)

Concept 2 – Section 173: Meetings of Board

2.1 Frequency of Board Meetings

According to Section 173(1), Every company shall hold the first meeting of the Board of Directors within 30 days of the date of its Incorporation and subsequently minimum of 4 meetings shall be held every Calendar year provided that the gap between two consecutive board meetings shall not be more than 120 days unless exempted by the Central Government .

Exceptions: OPC, small company and dormant company shall be deemed to have complied with the above, if at least 1 meeting of the Board of Directors has been conducted in each half of a calendar year and the gap between the two meetings is not less than 90 days. This provision will not apply where OPC is having only one director.

As per Secretarial Standards, Committees shall meet as often as necessary subject to the minimum number and frequency stipulated by the Board or as prescribed by any law or authority. And where a company is required to appoint Independent Directors under the Act, such Independent Directors shall meet at least once in a Financial year.

2.2 Participation in Board Meeting

According to Section 173(2), directors can attend Board meetings:

a) in person or
b) through video conferencing or
c) other audio visual means.

Such audio visual means should be capable of recording and recognizing the participation of the directors and of recording and storing the proceedings of such meetings along with date and time.

Key points related to meetings of Board that are held through conferencing or other audio visual means are as under:

a) Every Company shall make necessary arrangements to avoid failure of video or audio visual connection.
b) The Chairperson of the meeting and the company secretary, if any, shall take due and reasonable care:

   i) to safeguard the integrity of the meeting by ensuring sufficient security

ii) to ensure availability of proper equipment or facilities for effective communication and participation of the participants at the Board meeting
iii) to record proceedings and prepare the minutes of the meeting
iv) to store for safekeeping and marking the tape recordings at least before the time of completion of audit of that particular year.
v) to ensure that only the concerned director is attending the meeting through video conferencing and
vi) to ensure that participants attending the meeting through audio visual means are able to hear and see the other participants clearly during the course of the meeting.
vii) However, the differently disabled persons may make a request to the Board to allow a person to accompany him.

The Central Government may restrict matters which shall not be dealt with in a meeting through video conferencing and other audio visual means.

2.3 Notice of the Meeting

According to Section 173(3),

a) Every board meeting shall be called by giving at least 7 days notice in writing to every director at their registered address with the company.
b) The notice may be sent by hand delivery or by post or by electronic means.
c) Meeting of the Board of Directors may be called on a shorter notice (less than 7 days) in order to transact an urgent business, subject to the condition that at least one independent director, if any, shall be present at the meeting.
d) If no independent director is present, then the decisions taken at such a meeting shall be circulated to all the directors and shall be final only on ratification thereof by at least one independent director, if any.
e) The fact that meeting is being called at shorter notice, shall be stated in the notice.

2.4 Other Provision related to the Notice of meeting:

a) It shall inform the directors regarding the option available to them to participate through video conferencing mode or other audio visual means, and shall provide all the necessary information to enable the directors to participate.
b) On receiving such a notice, a director intending to participate through video conferencing or audio visual means shall communicate his intention to the chairperson or the company secretary of the company so that the company is able to make suitable arrangements in this behalf.
c) If the director does not give any intimation of his intention to participate that he wants to participate through the electronic mode, it shall be assumed that the director shall attend the meeting in person.
d) The director, who desires, to participate may intimate his intention of participation through the electronic mode at the beginning of the calendar year and such declaration shall be valid for one calendar year. In the absence of any such intimation from the director, it shall be assumed that he will attend the meeting in person.
e) Notice of the meeting, wherein the facility of participation through Electronic mode is provided, shall clearly mention a venue to be the venue of the meeting and it shall be the place where all

the recordings of the proceedings at the meeting would be made. Otherwise, it shall be assumed that the director shall attend the meeting in person.

2.5 The SS-1 (Secretarial Standards on the Meeting of Board) provides that:

a) Where director specifies a particular means of delivery of notice, notice shall be given to him by such means only.
b) Notice shall be issued by the Company Secretary or where there is no Company Secretary, by any director or any other person authorized by the Board for the purpose.
c) The notice shall specify the serial number, day, date, time and full address of the venue of the meeting.
d) The Agenda, setting out the business to be transacted at the meeting, and Notes to agenda shall also be sent to all the directors along with Notice of the Board Meeting.
e) Each meeting and item of the business to be taken up in the meeting shall be serially numbered. Every Meeting shall have a serial number.
f) Proof of sending notice, agenda and notes on agenda and their delivery shall be maintained by the company.
g) A meeting may be convened at any time and place, on any day, excluding a National Holiday.

National Holiday includes Republic Day i.e. 26th January, Independence Day i.e. 15th August, Gandhi Jayanti i.e. 2nd October and such other day as may be declared as National Holiday by the Central Government.

2.6 Penalty for failure to give notice

According to Section 173(4), every officer of the Company whose duty is to give notice under this section and who has failed to do so, shall be liable to a penalty of ₹ 25,000.

Concept 3 - Section 174: Quorum for meetings of Board

A quorum is the minimum number of directors who must be present at a duly convened Board meeting. A meeting shall not be deemed to have been properly held unless the quorum was present at that meeting.

3.1 General Quorum

According to Section 174(1), The quorum for a Board Meeting shall be 1/3rd of its total strength or 2 directors, whichever is higher. The directors who participate by video conferencing or by other audio visual means shall also be counted for the purpose of quorum.

3.2 Exceptions

a) In Case of Section 8 companies, quorum for the Board meeting, either 8 members or 25% of its total strength whichever is less. Provided that quorum shall not be less than 2 members.
b) Section 174 are not applicable to one-person company in which there is only one director
c) For the purpose of calculating quorum, any fraction of a number shall be rounded off as one.
d) Total strength shall not include directors whose places are vacant.

e) Quorum shall be present throughout the meeting.
f) In case of committee meetings, the presence of all members is necessary to form the quorum for the meetings of such committee unless otherwise stipulated.

3.3 Quorum in case Vacancy

If there is any Vacancy in the BOD (Strength is less than that mentioned in the articles), the continuing directors may act irrespective of such vacancy. But, if the number is reduced below the quorum fixed by the Act, the continuing directors may meet for the purpose of increasing the number of directors to that fixed for the quorum, or summoning a general meeting of the company and for no other purpose.

3.4 Interested directors

'Interested director' means a director with meaning of Section 184(2).

Where at any time the number of interested directors exceeds or is equal to $2/3^{rd}$ of the total strength of the Board of Directors, the quorum shall be the number of non-interested directors who are present at the meeting and are not be less than 2.

Concept 4 - Section 175: Passing of resolution by circulation

According to Section 175, No resolution shall be deemed to have been duly passed by the Board or by a Committee thereof by circulation unless:

a) The resolution has been circulated in draft to all the directors or members of the Committee.
b) at their addresses registered with the company
c) by hand delivery or by post or by courier, or through such electronic means as maybe prescribed,
d) has been approved by a majority of the directors or members, who are entitled to vote on the resolution.

If at least 1/3rd of the total number of directors of the company require that any resolution under circulation must be decided at a meeting, the chairperson shall put the resolution to be decided at a meeting of the Board. A resolution that has been passed by circulation shall have to be necessarily be noted in the next meeting and made part of the minutes of such meeting.

As per SS 1, not more than 7 days from the date of circulation of draft resolution shall be given to the Directors to respond.

Concept 5 - Section 118: Minutes of the Meeting of the General Meeting/Board Meeting

The minutes of a meeting are a written record of the business transacted, decisions and resolutions arrived at the meeting.
According to Section 118,
1) Every company shall cause minutes of the proceedings of
   - every general meeting of any class of shareholders or creditors, and
   - every resolution passed by postal ballot and
   - every meeting of its Board of Directors or of

- every Committee of the Board,

to be prepared and signed in such manner as may be prescribed and kept within 30 days of the conclusion of every such meeting concerned, or passing of resolution by postal ballot in books kept for that purpose with their pages consecutively numbered.

2) The minutes of each meeting shall contain a fair and correct summary of the proceedings of the meetings.
3) All appointments made at any of the meetings aforesaid shall be included in the minutes of the meeting
4) In the case of a meeting of the Board of Directors or of a committee of the Board, the minutes shall also contain:
   - the names of the directors present at the meeting, and
   - in the case of each resolution passed at the meeting, the names of the directors, if any, dissenting from, or not concurring with the resolution.
5) There shall not be included in the minutes, any matter which, in the opinion of the Chairman of the meeting:
   - is or could reasonably be regarded as defamatory of any person, or
   - is irrelevant or immaterial to the proceedings; or
   - is detrimental to the interests of the company.
6) Chairman shall exercise absolute discretion in regard to the inclusion or non-inclusion of any matter in the minutes on the grounds specified.
7) The minutes kept shall be evidence of the proceedings recorded therein.
8) Where the minutes have been kept in accordance with sub-section (1) then until the contrary proved, the meeting shall be deemed to have been duly called and held, and all proceedings thereat to have duly taken place, and the resolutions passed by postal ballot to have been duly passed and in particular, all appointments of directors, key managerial personnel, auditors or company secretary in practice, shall be deemed to be valid.
9) No document purporting to be a report of the proceedings of any meeting shall be circulated at the expense of the company, unless it includes all the matters required under this section.
10) Every company shall observe Secretarial Standards with respect to general and board meetings specified by the Institute of Company Secretaries of India.
    - SS-1: Board Meetings
    - SS-2: General Meetings

Other Related Provisions

a) The draft minutes of the meeting shall be circulated among all the directors within 15 days of the meeting either in writing or in electronic mode as may be decided by the Board
b) The minutes are to be signed by the chairman of the meeting or the next meeting.

Concept 6 - Section 119: Minutes of the Meeting of the General Meeting/Board Meeting

The books containing the minutes of the proceedings of any general meeting of a company or of a resolution passed by postal ballot, shall:

a) be kept at the registered office of the company in electronic form, and
b) be open, during business hours, to the inspection by any member without charge, subject to such reasonable restrictions as the company may, by its articles or in general meeting, impose, so, however, that not less than two hours in each business day are allowed for inspection.

Any member shall be furnished within 7 working days of request, with fees, a copy of the minutes of general meeting.

If any inspection is refused or any copy is not furnished within the time specified, the company shall be liable to a penalty of ₹ 25,000 and every officer of the company who is in default shall be liable to a penalty of ₹ 5,000 for each refusal or default.

Concept 7 - Registers

The company has to maintain at its registered office certain registers and records for statutory, statistical, disclosure, information management and MIS (Management Information System) purposes.

Every company incorporated under the Act is required to keep at its registered office, inter alia, the following statutory books and registers:

1) Register of investments in securities not held in company's name in Form MBP-3.
2) Register of deposits.
3) Register of securities bought back in Form SH-10.
4) Register of charges in Form CHG-7.
5) Register and index of members in Form MGT-1.
6) Register and index of debenture holders in Form MGT-2.
7) Register and index of beneficial owners.
8) Foreign register of members and debenture holders and their duplicates in Form MGT-3.
9) Copies of Annual Return
10) Books containing minutes of general meeting and of Board and of committees of Directors.
11) Register of Postal Ballot
12) Books of accounts.
13) Cost account records for Companies engaged in industries so specified by Central Government
14) Register of contracts with companies/firms in which directors are interested in Form MBP-4.
15) Register of Directors and Key Managerial Personnel.
16) Register of loans or investments made, guarantees given and security provided to other body corporate in Form MBP-2.
17) Register of Renewed and Duplicate Share Certificates in Form SH-2.
18) Register of sweat equity shares in Form SH-3
19) Place of keeping and Inspection of Registers, returns etc.

According to Section 94,

a) The registers required to be kept and maintained by a company and copies of the annual return shall be kept at the registered office of the company:
Provided that such registers or copies of return may also be kept at any other place in India in which more than 1/10th of the total number of members entered in the register of members reside, if approved by a special resolution passed at a general meeting of the company.
b) The registers, except when they are closed, and the copies of all the returns shall be open for inspection by any member, debenture-holder, other security holder or beneficial owner, during business hours without payment of any fees and by any other person on payment of such fees as may be prescribed.
c) Any such person mentioned above may:
   - take extract from any register or return without payment of any fee or
   - require a copy of any such register or return on payment of such fees as may be prescribed

The Institute of Company Secretaries of India (ICSI) has issued Secretarial Standard (SS-4) on register and records. It seeks to prescribe a set of principles in relation to various registers and records including the maintenance and inspection thereof. Adherence by the Company to the Secretarial Standard is recommendatory.

Concept 8 - Section 177: Audit Committee

8.1 Classes of Companies to constitute Audit Committee

According to Section 177(1), An audit committee shall be constituted by the Board of directors of:

a) Every listed company, and
b) All public companies with a paid up capital of ₹ 10 crores or more.
c) All public companies having turnover of ₹ 100 crores or more.
d) All public companies, having in aggregate, outstanding loans or debentures or deposits exceeding ₹ 50 crores.

The above values to be considered as per the latest audited Financial Statements.

8.2 Composition of Audit Committee

According to Section 177(2), the Audit Committee shall consist of a minimum of 3 directors with independent directors forming a majority. "With Independent Directors forming a majority' is not required in case of Section 8 Companies. Majority of members of Audit Committee including its Chairperson shall be persons with ability to read and understand the financial statement.

8.3 Responsibilities of Audit Committee

According to Section 177(4), Every Audit Committee shall act in accordance with the terms of reference specified in writing by the Board which shall, include:

1. the recommendation for appointment, remuneration and terms of appointment of auditors of the company. But in case of Government companies appointment is made by CAG.
2. review and monitor the auditor 's independence and performance, and effectiveness of audit process.
3. examination of the financial statement and the auditors' report thereon.
4. approval or any subsequent modification of transactions of the company with related parties.
5. scrutiny of inter-corporate loans and investments
6. valuation of undertakings or assets of the company, wherever it is necessary.
7. evaluation of internal financial controls and risk management systems.
8. monitoring the end use of funds raised through public offers and related matters.

The Audit Committee shall have authority to investigate into any matter in relation to the items specified above for this purpose may obtain professional advice from external sources and have full access to information contained in the records of the company.

8.4 Role of auditor in Audit Committee

According to Section 177 (5), the Audit Committee is empowered to:

a) call for the comments of the auditors about:
   i) internal control systems
   ii) the scope of audit, including the observations of the auditors
   iii) review of financial statement before their submission to the Board
b) discuss any related issues with the internal and statutory auditors and the management of the company.

The auditors of a company and the KMP shall have a right to be heard in the meetings of the Audit Committee when it considers the auditor's report but shall not have the right to vote.

Board Report shall disclose the constitution of Audit Committee and where Board has not accepted any recommendation of the Audit Committee, the same shall be disclosed.

8.5 Vigil mechanism

According to Section 177 (9), a Vigil mechanism shall be formed in:

a) Every listed company.
b) Every company which accept deposits from the public.
c) Companies which have borrowed money from banks and PFI in excess of ₹ 50 crores.

Provisions related to vigil mechanism:

a) A vigil mechanism shall be formed for directors and employees to report genuine concerns or grievances.
b) Company has to disclose the details of the establishment of vigil mechanism on the website of the company and in Board 's report.
c) The audit committee shall oversee the vigil mechanism and if any of the members of the committee have a conflict of interest in a given case, they should recuse themselves and the others on the committee would deal with the matter on hand.
d) In case of other companies, the Board of directors shall nominate a director to play the role of audit committee for the purpose of vigil mechanism to whom other directors and employees may report their concerns.
e) The employees and directors who avail of vigil mechanism may have direct access to the Chairperson of the Audit Committee or the director nominated to play the role of Audit Committee.
f) In case of repeated frivolous complaints being filed by a director or an employee, the audit committee or the director nominated to play the role of audit committee may take suitable action against them.

Concept 9 - Section 179: Powers of the Board

According to Section 179(1), The Board of Directors shall be entitled to exercise all such powers, and to do all such acts and things, as the company is authorized to exercise and do, subject to the provisions of this Act, or the Memorandum or Articles, or any regulations made by the company in general meeting.

The Board shall not exercise any power or do any act or thing to be exercised or done by the company in general meeting.

According to Section 179(2), no regulation made by the company in general meeting shall invalidate any prior act of the Board which would have been valid if that regulation had not been made.

According to Section 179(3), the Board of Directors of a company shall exercise the following powers on behalf of the company by means of resolutions passed at meetings of the Board, namely:

a) to make calls on shareholders in respect of money unpaid on their shares
b) to authorise buy-back of securities under section 68
c) to issue securities, including debentures, whether in or outside India
d) to borrow monies
e) to invest the funds of the company
f) to grant loans or give guarantee or provide security in respect of loans
g) to approve financial statement and the Board's report
h) to diversify the business of the company
i) to approve amalgamation, merger or reconstruction
j) to take over a company or acquire a controlling or substantial stake in another company
k) any other matter which may be prescribed

The Board may, by a resolution passed at a meeting, delegate the powers specified in points d) to f) above, to:

i) any committee of directors
ii) the managing director
iii) the manager or any other principal officer of the company or
iv) the principal officer of the branch office (in the case of a branch office of the company).

The Rules have specified certain more powers that shall be exercised by the BOD only by means of resolutions passed at meetings of the Board:

a) to make political contributions
b) to appoint or remove KMP; and
c) to appoint internal auditors and secretarial auditor.

This section does not affect the company's right, in a general meeting, to place restrictions or conditions on how the Board uses any of the powers mentioned above.

Concept 10 - Section 180: Restrictions on Powers of Board

According to Section 180(1), The Board of Directors of a company shall exercise the following powers only with the consent of the company by a special resolution, namely:

a) To sell, lease or dispose of the whole or substantially the whole of the undertaking of the company or where the company owns more than one undertaking, of the whole or substantially the whole of any of such undertakings.

i) Here, 'Undertaking' means an unit of business in which the investment of the company exceeds 20% of its net worth of the preceding financial year or an undertaking which generates 20% of the total income of the company during the previous financial year.
ii) substantially the whole of the undertaking shall mean 20% or more of the value of the undertaking as per balance sheet of the preceding financial year.

b) To invest otherwise in trust securities the amount of compensation received by it as a result of any merger or amalgamation;
c) To borrow money, where the money to be borrowed, together with the money already borrowed, will exceed the aggregate of its paid-up share capital and free reserves and securities premium, apart from temporary loans obtained from the company's bankers in the ordinary course of business.
d) To remit, or give time for the repayment of, any debt due from a director.

Every Special Resolution is required to be filed in Form No. MGT -14 as per Section 117.

This section shall not apply to private companies.

Concept 11 - Section 182: Powers Related to Political Contributions

According to Section 182(1), A company may contribute any amount directly or indirectly to any political party.

Here, political party means a political party registered under section 29A of the Representation of the People Act, 1951.

The following companies are not allowed to contribute to any political party:

a) a Government company and
b) a company which has been in existence for less than three financial years.

The amount of political contribution that can be made in any financial year cannot exceed 7.5% of the average net profit of the preceding three financial years. Such contribution shall be made through a resolution passed at a meeting of the Board of Directors.

According to Section 182(2), In addition to any direct contribution to a political party, following are also deemed as Political contributions:

a) a donation, subscription, or payment given by a company to any person carrying on an activity which can reasonably be regarded as likely to affect public support for a political party.
b) the amount of expenditure incurred, directly or indirectly, on an advertisement in any publication, whether by or on behalf of a political party, or otherwise made for its advantage.

Every company shall disclose in its profit and loss account any amount or amounts contributed by it to any political party during the financial year to which that account relates.

Concept 12 - Section 184: Disclosure of Interest by Director

12.1 General Disclosure of Interest

According to Section 184(1), Every director shall disclose his interest in any company or companies or bodies corporate, firms, or other association of individuals which shall include the shareholding, directorship or in any other capacity. He should ensure that the notice of disclosure is placed in the meeting.

a) At the First meeting of the Board in which he participates as a director, and
b) Thereafter, at the first meeting of the Board in every financial year, or
c) Whenever there is any change in the disclosures already made, then at the first Board meeting held after such change.
d) shall disclose his concern or interest, by giving a notice in writing.

12.2 Special Disclosure of Interest

Interested Director - Every director of the company, who is in any way, whether directly or indirectly, concerned or interested in a contract or arrangement or proposed contract or arrangement entered into or to be entered into:

a) with a body corporate in which such director or such director in association with any other director, holds more than 2% shareholding of that body corporate, or is a promoter, manager, CEO of that body corporate, or
b) with a firm or other entity in which such director is a partner, owner, or member, as the case may be.

Such directors shall disclose the nature of the interest at the meeting in which the contract or arrangement is discussed and shall not participate in such meeting.

12.3 Consequences of non-disclosure

a) A contract or arrangement entered into by the company without disclosing or with participation by a director who is concerned or interested in any way, directly or indirectly, in the contract or arrangement, shall be voidable at the option of the company.
b) If a director of the company contravenes the provisions of Section 184, such director shall be liable to penalty of ₹ 1 lakh

12.4 Exception

Section 184 shall not apply to any contract or arrangement entered into or to be entered into between 2 companies where any of the directors of the one company or two or more of them together holds or hold not more than 2% of the paid-up share capital in the other company.

Concept 13 – Section 188: Related Party Transactions

13.1 Who is a Related Party ? and What are Related Party Transactions ?

"related party" includes –
a) a director or a KMP or his relative;
b) a firm, in which a director, manager or his relative is a partner;
c) a private company in which a director or manager or his relative is a member or director;

d) a public company in which a director or manager is a director and holds along with his relatives, more than 2% of its paid-up share capital;
e) any company which is-
   - a holding, subsidiary or an associate company of such company; or
   - a subsidiary of a holding company to which it is also a subsidiary;
   - an investing company or the venturer of the company;
f) such other person as may be prescribed.

Related party transactions are transactions entered by the company with the related parties. Such Transactions are specified under Section 188(1).

a) Sale, purchase or supply of any goods or materials
b) Selling or otherwise disposing of or buying, property of any kind.
c) Leasing of property of any kind
d) Availing or rendering of any services
e) Appointment of any agent for purchase or sale of goods, materials, services or property
f) Such related parties appointment to any office or place of profit in the company, its subsidiary company or associate company.
g) underwriting the subscription of any securities or derivatives of the company.

13.2 Related Party Transactions, for which no approval is required.

Transactions entered into by the company in the ordinary course of business and at an arm's length basis.

13.3 Related Party Transactions, for which consent of Board is required

The Related Party Transactions covered under Section 188(1) are

1. not on arm's length basis and
2. also does not require approval of the shareholders

shall be entered into by the company after obtaining consent of the board of directors given by a resolution at the meeting of the board.

13.4 Related Party Transactions requiring approval by ordinary resolution.

Nature of Transaction	Prescribed limits for seeking approval by resolution
1) Sale, purchase or supply of any goods or materials directly or through an agent	if the value of such transaction amounts to 10% or more of the turnover of the company
2) Selling or disposing of or buying property of any kind directly or through an agent.	if the value of such transaction amounts to 10% or more of net worth of the company
3) Leasing of property of any kind	if the value of such transaction amounts to 10% or more of the turnover of the company
4) Availing or rendering of any services directly or through an agent.	if the value of such transaction amounts to 10% or more of the turnover of the company

5) Where the transaction to be entered into as a contract or arrangement is for appointment to any office or place of profit in the company its subsidiary company or associate company	at a monthly remuneration exceeding ₹2.5 lakhs.
6) Where the transaction to be entered into as a contract or arrangement is for the remuneration for underwriting the subscription of any securities or derivatives of the company	exceeding 1% of the net worth.

In case transactions are entered into between a holding company and its wholly owned subsidiary whose accounts are consolidated with such holding company and placed before the shareholders at the general meeting there is no need for seeking approval of the company by passing an ordinary resolution by the members.

In case of a wholly owned subsidiary company, the resolution passed by the holding company shall be sufficient for the purpose of entering into the transactions between the wholly owned subsidiary and the holding company.

Every contract or arrangement entered into under section 188(1) shall we disclose in the Board's report to the shareholders along with the justification for entering into such contract.

Where any contract or arrangement is entered by a director or any other employee without obtaining the consent of the board or approval by resolution in general meeting and if it is not ratified by the board or by the shareholders within 3 months from the date on which such contract was entered into such contracts shall be voidable at the option of the board or the shareholders and if the contract is with the related party to any director, the director is concerned shall indemnify the company against any loss incurred by it.

13.5 Omnibus approval for related party transactions given by Audit Committee

All related party transactions shall require approval of the Audit Committee and the Audit Committee may make omnibus approval for related party transactions proposed to be entered into by the company subject to the following conditions, namely:

(A) The Audit Committee shall, after obtaining approval of the Board of Directors, specify the criteria for making the omnibus approval which shall include the following, namely:

a) maximum value of the transactions, in aggregate, which can be allowed under the omnibus route in a year.
b) the maximum value per transaction which can be allowed.
c) extent and manner of disclosures to be made to the Audit Committee at the time of seeking omnibus approval.
d) Review at such intervals as the Audit Committee may deem fit, related party transaction entered into by the company pursuant to each of the omnibus approval made.
e) transactions which cannot be subject to the omnibus approval by the Audit Committee.

The Audit Committee shall satisfy itself on the need for omnibus approval for transactions of repetitive nature and that such approval is in the interest of the company.

The omnibus approval shall contain or indicate the following:

a) name of the related parties.
b) nature and duration of the transaction.
c) maximum amount of transaction that can be entered into.
d) the indicative base price or current contracted price and the formula for variation in the price, if any, and
e) any other information relevant or important for the Audit Committee to take a decision on the proposed transaction:

Provided that where the need for related party transaction cannot be foreseen and aforesaid details are not available, audit committee may make omnibus approval for such transactions subject to their value not exceeding ₹ 1 crore per transaction.

Omnibus approval shall be valid for a period not exceeding 1 financial year and shall require fresh approval after the expiry of such financial year.

Concept 1 – Important Definitions

1.1 Managing director

According to Section 2(54), Managing Director is a director who is entrusted with substantial powers of management of the affairs of the company by:

a) virtue of the articles of a company, or
b) an agreement with the company, or
c) a resolution passed in its general meeting, or by its Board of Directors,

and includes a director occupying the position of the managing director, by whatever name called. Substantial powers of the management shall not be deemed to include the power to do such administrative acts of a routine nature when so authorised by the Board, such as

a) the power to affix the common seal of the company to any document or
b) to draw and endorse any cheque on the account of the company in any bank or
c) to draw and endorse any negotiable instrument or
d) to sign any certificate of share or
e) to direct registration of transfer of any share.

1.2 Whole Time Director

According to Section 2(94), Whole-time director includes a director in the whole time employment of the company. They are also considered as executive directors of the company. There are some companies where a particular function is attached to the director, i.e. Director (Finance), Director (Marketing) etc.

1.3 Manager

According to Section 2(53), Manager means an individual who, subject to the superintendence, control and direction of the Board of Directors, has the management of the whole, or substantially the whole, of the affairs of a company, and includes a director or any other person occupying the position of a manager, by whatever name called, whether under a contract of service or not.

Though , legally, managing director and manager are almost same, we hardly hear companies with manager instead of managing director.

Concept 2 - Section 196: Appointment of Managing Director, Whole Time Director or Manager

2.1 Conditions for Appointment

According to Section 196,

a) No company shall appoint or employ a managing director and a manager at the same time.
b) No company shall appoint or re-appoint any person as its managing director, whole time director or manager for a term exceeding 5 years at a time ,provided that no re-appointment shall be made earlier than 1 year before the expiry of his term.

c) No company shall appoint or continue the employment of any person as managing director, whole-time director or manager who:
   i) is below the age of 21 years or has attained the age of 70 years. Person who has attained the age of 70 years may be appointed by the passing of a special resolution. If special resolution is not passed but the votes cast in favour exceed the votes cast against and the appointment has the approval of central government the appointment of the person who has attained the age of 70 years may be made.
   ii) is an undischarged insolvent or has at any time been adjudged as an insolvent or
   iii) has at any time suspended payment to his creditors or
   iv) has at any time been convicted by a court of an offence and sentenced for a period of more than 6 months.

d) Schedule V of the Companies Act, 2013, prescribes additional conditions for managing or whole-time director or a manager to be eligible for appointment. The schedule stipulates that :
   i) he had not been sentenced to imprisonment for any period, or to a fine exceeding ₹ 1,000, for the conviction of an offence under 19 Acts as specified under Schedule V.
   ii) he had not been detained for any period under the Conservation of Foreign Exchange and Prevention of Smuggling Activities Act, 1974
   iii) he has completed the age of 21 years and has not attained the age of 70 years.
   iv) he is resident of India.
   In this context, 'resident in India' includes a person who has been staying in India for a continuous period of not less than 12 months immediately preceding the date of his appointment as a managerial person and who has come to stay in India,

   - for taking up employment in India; or
   - for carrying on a business or vacation in India.

   v) Where an appointment not approved by AGM, any Act done by him deemed to be invalid.

2.2 Procedure of Appointment

According to Section 196 (4),

e) a managing director, whole-time director or manager shall be appointed, and the terms and conditions of such appointment and remuneration payable be approved by the Board of Directors at a meeting.
f) The terms and conditions and remuneration approved by Board of Directors as above shall be subject to the approval of shareholders by a resolution at the next general meeting of the company.
g) In case such appointment is at variance to the conditions specified in the Schedule V of the Companies Act, 2013, the appointment shall be approved by the Central Government.
h) The notice convening Board or general meeting for considering such appointment shall include the terms and conditions of such appointment, remuneration payable and such other matters including interest, of a director or directors in such appointments, if any.
i) A return in the Form No. MR-1 along with the prescribed fee shall be filed with the Registrar within 60 days of such appointment.

Subject to the provisions of this Act, where an appointment is not approved by the company at a general meeting, any act done by the director before such approval shall deemed to be valid.

Concept 3 - Section 203: Appointment of Key Managerial Personnel

3.1 Requirement of Whole-time Key Managerial Personnel

According to Section 203(1),

a) Every listed company
b) Every other public company having a paid up share capital of ₹ 10 crores or more

shall have the following whole time key managerial personnel:

a) Managing Director or Chief Executive Officer or Manager and in their absence, a whole time Director.
b) Company Secretary and
c) Chief Financial Officer.

Every private company which has a paid up share capital of ₹ 10 crores or more shall have a whole-time company secretary.

An individual shall not be appointed or reappointed as the chairperson of the company as well as the managing director or CEO of the company at the same time unless:

a) the articles of such a company provide otherwise (or)
b) the company does not carry multiple businesses.

Provided that the above mentioned prohibition shall not apply to such companies engaged in multiple businesses and which has appointed one or more CEOs for each such business.

3.2 Conditions for appointment

a) According to Section 203(2), Every whole-time KMP of a company shall be appointed by Board resolution containing the terms and conditions of the appointment including the remuneration.
b) According to Section 203(3), A whole-time KMP shall not hold office in more than one company at the same time except in its subsidiary company
c) A company may appoint or employ a person as its managing director, if he is the managing director or manager of one, and of not more than one of other company, approved by Board resolution passes with the consent of all the directors present at the meeting in India.
d) According to Section 203(4), If the office of any whole-time KMP is vacated, the resulting vacancy shall be filled-up by the Board at a meeting within a period of 6 months from the date of such vacancy.

Concept 4 - Section 197: Payment of Remuneration to Directors and KMP and Disclosures

4.1 Overall Maximum Managerial Remuneration

According to Section 197(1), a company having profits in a financial year may pay remuneration to a managerial personnel not exceeding the limits specified under this section. The overall managerial remuneration to the Directors including managing director, whole time director and manager is summarized as under:

Category	Maximum Remuneration %	Conditions for exceeding limits
Directors (including Managing Director (MD), Whole-Time Directors (WTD), Managers) of Public Companies	11% of net profits of the company for that financial year	Requires approval in a general meeting as per Schedule V.
Only one MD/WTD/Manager	5% of net profits	Can be exceeded with special resolution in a general meeting.
More than one MD/WTD/Manager	10% of net profits	Can be exceeded with special resolution in a general meeting.
Other Directors (with MD or Whole-Time Director)	1% of net profits	Can be exceeded with special resolution in a general meeting.
Other Directors (without MD or Whole-Time Director)	3% of net profits	Can be exceeded with special resolution in a general meeting.

Where the company has defaulted in the payment to any bank / PFI or Non-Convertible Debentures or any secured creditor, prior approval of bank/PFI, shall be obtained before obtaining the approval in the general meeting.

The net profits shall be computed in the manner laid down in section 198 except that the remuneration of the directors shall not be deducted from the gross profits.

4.2 Remuneration rendered in any other capacity

According to Section 197(4), The remuneration payable to the directors of a company, including any managing or whole-time director or manager, shall be determined either

a) by the articles of the company or
b) by a resolution or
c) if the articles so require, by a special resolution, passed by the company in general meeting, and

The remuneration payable to a director determined above shall be inclusive of the remuneration payable to him for the services rendered by him in any other capacity.

Any remuneration for services rendered by any such director in other capacity shall not be so included if:

a) the services rendered are of a professional nature, and
b) in the opinion of the Nomination and Remuneration Committee (NRC) or the Board of Directors the director possesses the requisite qualification for the practice of the profession.

4.3 Sitting Fees to directors

According to Section 197(5), A director may receive remuneration by way of fee for attending meetings of the Board or Committee.

The sitting fees shall not exceed ₹ 1 lakh per meeting of the Board or committee. However, for Independent Directors and Women Directors, the sitting fee shall not be less than the sitting fee payable to other directors. The percentages under sub-section (1) shall be exclusive of any sitting fees payable to directors.

4.4 Mode of remuneration

According to Section 197(6), A director or manager may be paid remuneration either by way of a monthly payment or at a specified percentage of the net profits of the company or partly by one way and partly by the other.

4.5 No profits or profits are inadequate

According to Section 197(3), If in any financial year, a company has no profits or its profits are inadequate, the company shall not pay by way of remuneration any sum exclusive of sitting fees to its directors, including any managing or whole- time director or manager except in accordance with the provisions of Schedule V.

4.6 Refund of excess

a) If any director draws or receives, directly or indirectly, by way of remuneration any such sums in excess of the limit or without approval required, he shall refund such sums to the company, within 2 years or such lesser period as may be allowed by the company, and until such sum is refunded, hold it in trust for the company.
b) The company shall not waive the recovery of any sum refundable to it unless approved by the company by special resolution within 2 years from the date the sum becomes refundable.
c) Provided that where the company has defaulted in payment of dues to any bank or PFI or debenture holders or any other secured creditor, the prior approval of the bank or PFI concerned or the debenture holders or other secured creditor, as the case may be, shall be obtained by the company before obtaining approval of such waiver.

4.7 Disclosure by listed company

a) Every listed company shall disclose in the Board's report, the ratio of the remuneration of each director to the median employee's remuneration and such other details as may be prescribed.
b) The Board's report shall include a statement showing the name of top 10 remunerating employees of the company and the name of the every employee who:

   i) If employed for the entire financial year, received total remuneration of at least ₹ 1.02 crores for the year.
   ii) If employed for part of the financial year, received total remuneration of at least ₹ 8,50,000 per month.
   iii) If employed during the whole year or part of it, received remuneration that is more than what the managing director, whole-time director, or manager received, and holds at least 2% of the company's equity shares, either alone or with their spouse and dependent children.

4.8 Insurance for indemnification

a) Where any insurance is taken by a company on behalf of its managing director, whole time director, manager, CEO, CFO or Company Secretary for indemnifying any of them against any liability in respect of any negligence, default, breach of trust for which they may be guilty in relation to the company.
b) The premium paid on such insurance shall not be treated as part of the remuneration payable to any such personnel.
c) If such person is proved to be guilty, the premium paid on such insurance shall be treated as part of the remuneration.

4.9 Receiving Commission

Any director who is in receipt of any commission from the company and who is a managing or whole-time director of the company shall not be disqualified from receiving any remuneration or commission from any holding company or subsidiary company of such company subject to its disclosure by the company in the Board's report.

4.10 Contravention

If any person contravenes section 197, he shall be liable to penalty with fine of ₹ 1 Lakh and where such default has been made by the company, penalty shall be ₹ 5 Lakhs.

Concept 5 - Section 200: company to fix limit with regard to remuneration

A company may, while according its approval under section 196, to any appointment or to any remuneration under section 197, in respect of cases where the company has inadequate or no profits, fix the remuneration within the limits specified in this Act, at such amount or percentage of profits of the company, as it may deem fit and while fixing the remuneration, the Central Government or the company shall have regard to:

a) the financial position of the Company
b) the remuneration or commission drawn by the individual concerned in any other capacity.
c) the remuneration or commission drawn by him from any other company.
d) professional qualifications and experience of the individual concerned.
e) any other matters as may be prescribed

Concept 6 – Section 202: Compensation for Loss of Office

Loss of office means cessation/end of the job of the director.

3.1 Eligibility

According to Section 202(1), A company may make payment to a managing or whole-time director or manager, but not to any other director, by way of compensation for loss of office, or as consideration for retirement from office.

3.2 No Payment in certain cases

According to Section 202(2), No payment of compensation shall be made in the following cases:

a) where the director resigns from his office as a result of the reconstruction/amalgamation of the company with any other body corporate and is appointed as the director of the reconstructed company or of amalgamated company
b) where the director resigns from his office in normal course
c) where the office of the director is vacated under Section 167.
d) Where the company is being wound up due to the negligence or default of the director.
e) where the director has been guilty of fraud or breach of trust in relation to the conduct of the affairs of the company or any subsidiary company or holding company
f) where the director has intentionally taken part directly or indirectly in bringing about the termination of his office.

3.3 Amount of Compensation

According to Section 202(3),

a) Any payment made to a managing or whole-time director or manager shall not exceed the remuneration which he would have earned if he had been in office for the remainder of his term or for 3 years, whichever is shorter,
b) Calculated on the basis of the average remuneration actually earned by him during a period of 3 years immediately preceding the date on which he ceased to hold office, or where he held the office for a lesser period than three years, during such period.
c) No such payment shall be made to the director in the event of the winding up of the company, before or within 12 months after, the date on which he ceased to hold office, if the assets of the company on the winding up, after deducting the expenses thereof, are not sufficient to repay to the shareholders the share capital, including the premiums, if any, contributed by them.
d) Nothing in this section shall be deemed to prohibit the payment to a director of any remuneration for services rendered by him to the company in any other capacity.

Concept 1 - Section 185: Loan to Directors

Imposition of Restrictions

According to Section 185(1), A company is not permitted, directly or indirectly, to advance any loan, including any loan represented by a book debt to, or to give any guarantee or provide any security in connection with any loan taken by:

a) any director of company, or of a company which is its holding company or any partner or relative of any such director; or
b) any firm in which any such director or relative is a partner.

Relaxation from restrictions

According to Section 185(2), Subject to the specified conditions, a company is permitted to:

a) advance any loan including any loan represented by a book debt, or
b) give any guarantee or provide any security in connection with any loan taken,

by any person in whom any of the director of the company is interested.

The specified conditions to be followed are:

a) a special resolution is passed by the company in general meeting.
b) the loans are utilized by the borrowing company for its principal business activities.

The expression "any person in whom any of the director of the company is interested" means,

c) any private company of which any such director is a director or member;
d) body corporate at a general meeting of which not less than 25% of the total voting power may be exercised or controlled by any such director, or by two or more such directors, together; or
e) body corporate, the Board of directors, managing director or manager, whereof is accustomed to act in accordance with the directions or instructions of the Board, or of any director or directors, of the lending company.

Non-applicability of restrictions

According to Section 185(3), In the following cases, restrictions stated in Section 185 (1) or specified conditions for relaxation of restrictions stated in Section 185 (2) shall not apply:

a) where any loan is given to a managing or whole-time director

   i) as a part of the conditions of service extended by the company to all its employees; or
   ii) pursuant to any such scheme which is approved by the members by a special resolution.

b) where a company in the ordinary course of its business:

   i) provides loans or gives guarantees or securities for the due repayment of any loan; and

ii) in respect of such loans an interest is charged at a rate not less than the rate of prevailing yield of Government security closest to the tenor of the loan.

c) where any loan is made by a holding company to its wholly owned subsidiary company; or
d) where any guarantee is given or security is provided by a holding company in respect of any loan made to its wholly owned subsidiary company.
e) Where any guarantee is given or security is provided by a holding company in respect of loan made by any bank or financial institution to its subsidiary company.

As a pre-condition, it must be ensured that the loans made under clauses (c) to (e) are utilized by the subsidiary company for its principal business activities.

Penalty for Contravention

If any loan is advanced or a guarantee is given or provided in contravention of the provisions of section 185, the following penalties shall be leviable:

Punishment for the Company

Fine - Minimum ₹ 5 lakhs and maximum ₹ 25 lakhs.

Punishment for Every Officer in default

Imprisonment- Maximum 6 months or

Fine - Minimum ₹ 5 lakhs and maximum ₹ 25 lakhs

Punishment for the director or the other person to whom any loan is advanced or guarantee or security is given in connection with any loan taken by him or the other person

Imprisonment- Maximum 6 months or

Fine - Minimum ₹ 5 lakhs and maximum ₹ 25 lakhs or both imprisonment and fine.

Concept 2 - Section 186: Loan and Investment by Company

It is applicable to both public and private companies.

According to Section 186(1), A company is not permitted to make investment through more than 2 layers of investment companies.

"Investment company" means a company whose principal business is the acquisition of shares, debentures or other securities. A company will be deemed to be principally engaged in the business of acquisition of shares, debentures or other securities,

a) if its assets in the form of investment in shares, debentures or other securities constitute not less than 50% of its total assets or

b) if its income derived from investment business constitutes not less than 50% as a proportion of its gross income.

Exception to the rule of two layers: In the following cases, the provisions of Section 186 (1) shall not be applicable:

a) Acquisition of a company incorporated outside India: If a company acquires any other company incorporated in a country outside India and such other company can have investment subsidiaries beyond two layers as per the laws of such country.
b) Subsidiary from having an investment subsidiary: A subsidiary company can have any investment subsidiary for the purposes of meeting the requirements under any law for the time being in force.

According to Section 186(2), No company shall directly or indirectly

a) give any loan to any person or other body corporate
b) give any guarantee or provide security in connection with a loan to any other body corporate or person and
c) acquire by way of subscription, purchase or otherwise, the securities of any other body corporate,

exceeding 60% of its paid-up share capital, free reserves and securities premium account or 100% of its free reserves and securities premium account, whichever is more. The word "person" does not include any individual who is in the employment of the company under this section.

Where the aggregate of the loans and investment so far made, the amount for which guarantee or security so far provided to or in all other bodies corporate along with the investment, loan, guarantee or security proposed to be made or given by the Board, exceed the limits specified under Section 186 (2), no investment or loan shall be made or guarantee shall be given or security shall be provided unless previously authorised by a special resolution passed in a general meeting.

Related provisions

a) Any investment shall be made or loan or guarantee or security given by the company only after when the resolution sanctioning it is passed at a meeting of the Board with the consent of all the directors present at the meeting.
b) The prior approval of the public financial institution concerned where any term loan is subsisting shall also be obtained.
c) Prior approval of a public financial institution (PFI) shall not be required where the aggregate of the loans and investments so far made, the amount for which guarantee or security so far provided to or in all other bodies corporate, along with the investments, loans, guarantee or security proposed to be made or given:

    i) does not exceed the limit as specified in section 186(2) and
    ii) there is no default in repayment of loan instalments or payment of interest thereon as per the terms and conditions of such loan to the public financial institution.

d) A loan under this section shall be given at a rate of interest which is not lower than the prevailing yield of one year, 3 year, 5 year or 10 year Government Security closest to the tenor of the loan.
e) A company which is in default in the repayment of any deposits accepted before or after the commencement of the Act or in payment of interest thereon, shall not give any loan or give any guarantee or provide any security till such default continues.
f) Every company shall maintain a register containing the particulars of loans, guarantee and security provided by the company and kept at the registered office of the company. Such register shall be open for inspection and extracts can be taken and copies may be furnished to any member on payment of prescribed fees.

Non Applicability of Section 186

a) to any loan made, any guarantee given or any security provided or any investment:

    1) made by a banking company, or an insurance company, or a housing finance company in the ordinary course of its business; or
    2) made by a company established with the object of and engaged in the business of financing industrial enterprises, or of providing infrastructural facilities ;
    For the purposes above provision, the expression "business of financing industrial enterprises" shall include-
        (i) with regard to a NBFC registered with RBI, "business of giving of any loan to a person or providing any guaranty or security for due repayment of any loan availed by any person in the ordinary course of its business"; and
        (ii) with regard to a Finance Company registered with the International Financial Services Centres Authority, "specific activities as provided under the International Financial Services Centres Authority (Finance Company) Regulations, 2021 in the ordinary course of its business".

b) to any investment:

    1) made by an investment company;
    2) made in shares allotted or in shares allotted in pursuance of rights issues made by a body corporate;
    3) made, in respect of investment or lending activities, by NBFC whose principal business is acquisition of securities.

Punishment for contravention

According to Section 186 (13), In case of contravention of any of the provisions of Section 186, the punishment shall be as under:

a) Company: punishable with minimum fine of ₹ 25,000 and maximum of ₹ 5 lakhs.
b) Every defaulting officer: punishable with imprisonment maximum up to 2 years and with fine minimum of ₹ 25,000 and maximum of ₹ 1,00,000.

Concept 3 - Section 187: Investments of Company to be held in its own name

According to Section 187(1), All investments made or held by a company in any property, security or other asset shall be made and held by it in its own name:

Provided that the company may hold any shares in its subsidiary company in the name of any nominee or nominees of the company, if it is necessary to do so, to ensure that the number of members of the subsidiary company is not reduced below the statutory limit.

According to Section 187(2), Nothing in this Section shall be deemed to prevent a company (Exceptions):

a) from depositing with a bank, any shares or securities for the collection of any dividend or interest payable thereon.
b) From depositing with or transferring to, or holding in the name of the State Bank of India or a scheduled bank, being the bankers of the company, shares or securities, in order to facilitate the transfer thereof:
c) from depositing with, or transferring to, any person any shares or securities, by way of security for the repayment of any loan.
d) From holding investments in the name of a depository when such investments are in the form of securities held by the company as a beneficial owner.

According to Section 187(3), Where any shares or securities in which investments have been made by a company are not held by it in its own name, the company shall maintain a register which shall contain such particulars as may be prescribed and such register shall be open to inspection by any member or debenture-holder of the company without any charge during business hours.

Concept 4 - Meaning of Deposit and Depositor

Deposit - includes any receipt of money by way of deposit or loan or in any other form by a company, but does not include such categories of amount as may be prescribed in consultation with the Reserve Bank of India.

Depositor – Any member of public or private company who has deposited money with its company and Any person (member or not) who has deposited money with a public company

Concept 5 - Section 73: Prohibition on Acceptance of Deposits from Public

According to Section 73(1), No company can invite, accept or renew deposits under this Act from the public except in a manner provided under this Chapter.

Exceptions: Banking company and non-banking financial company and such other company as the Central Government may, after consultation with the Reserve Bank of India, specify.

According to Section 73(2), A company may, with the mandate of a resolution in general meeting and subject to such rules as may be prescribed accept deposits from its members on such terms and conditions, including the provision of security, if any, or for the repayment of such deposits with interest, as may be agreed upon between the company and its members, subject to the fulfilment of the following conditions, namely:

a) issuance of a circular to its members including
    i) statement showing the financial position of the company
    ii) the credit rating obtained
    iii) the total number of depositors
    iv) the amount due towards deposits in respect of any previous deposits accepted by the company
    v) such other particulars in such form and in such manner as may be prescribed.
b) Filing a copy of the circular along with such statement with the Registrar within 30 days before the date of issue of the circular.
c) Depositing on or before 30th April each year at least 20% of the amount of its deposits maturing during the following financial year, and kept in a scheduled bank in a separate bank account to be called as deposit repayment reserve account.
d) Provided that the amount remaining deposited shall not at any time fall below 20% of the amount of deposits maturing during the financial year.
e) certifying that the company has not committed any default in the repayment of deposits accepted either before or after the commencement of this Act or payment of interest on such deposits, and where the default has occurred, the company made good the default and five years have elapsed since then.
f) providing security, if any for the due repayment of the amount of deposit or the interest thereon including the creation of such charge on the property or assets of the company.

Provided that in case where a company does not secure the deposits or secures such deposits partially, then, the deposits shall be termed as 'unsecured deposits' and shall be so quoted in every circular, form, advertisement or in any document related to invitation or acceptance of deposits.

According to Section 73(3), Every deposit accepted by a company shall be repaid with interest in accordance with the terms and conditions.

According to Section 73(4), Where a company fails to repay the deposit or part there of or any interest thereon under Section 73(3), the depositor concerned may apply to the Tribunal for an order directing the company to pay the sum due or for any loss or damage incurred by him as a result of such non-payment and for such other orders as the Tribunal may deem fit.

According to Section 73(5), The deposit repayment reserve account shall not be used by the company for any purpose other than repayment of deposits.

Terms and Conditions of Acceptance of Deposits by Companies (Rule 3)

a) No company shall accept or renew any deposit, whether secured or unsecured, which is repayable on demand or upon receiving a notice within a period of less than 6 months or more than 36 months from the date of acceptance or renewal of such deposit.
b) However, a company may, accept or renew such deposits for repayment earlier than 6 months: not exceeding 10% of the aggregate of the paid up share capital, free reserves and Securities Premium of the company, but shall be repayable not earlier than 3 months.
c) Maximum limit of deposit outstanding at any point of time from members shall be 35% of the aggregate of the Paid-up share capital, Free reserves and securities premium of the company.

Creation of Security (Rule 6)

Every eligible company inviting secured deposits shall provide for security by way of a charge on its assets for the due repayment of the amount of deposit and interest thereon for an amount which shall not be less than the amount remaining unsecured by the deposit insurance.
The security (not being in the nature of a pledge) for deposits as specified above shall be created in favour of a trustee for the depositors on:

a) specific movable property of the company or
b) specific immovable property of the company wherever situated, or any interest therein

Appointment of Trustee for Depositors (Rule 7)

1) No eligible company shall issue a circular or advertisement inviting secured deposits unless the company has appointed one or more trustees for depositors for creating security for the deposits.
2) The company shall execute a deposit trust deed in Form DPT-2 at least 7 days before issuing the circular or circular in the form of advertisement.
3) No person including a company that is in the business of providing trusteeship services shall be appointed as a trustee for the depositors, if the proposed trustee (Disqualifications of Trustee):
    a) is a director, KMP or any other officer or an employee of the company or of its holding, subsidiary or associate company or a depositor in the company.
    b) is indebted to the company, or its subsidiary or its holding or associate company or a subsidiary of such holding company.
    c) has any material pecuniary relationship with the company.
    d) has entered into any guarantee arrangement in respect of principal debts secured by the deposits or interest thereon.
    e) is related to any person specified in clause a) above.
4) No trustee for depositors shall be removed from office after the issue of circular or advertisement and before the expiry of his term except with the consent of all the directors present at a meeting of the board.

Duties of Trustees (Rule 8)

It shall be the duty of every trustee for depositors to:

a) ensure that the assets of the company on which charge is created together with the amount of deposit insurance are sufficient to cover the repayment of the principal amount of secured deposits outstanding and interest accrued thereon.
b) satisfy himself that the circular or advertisement inviting deposits does not contain any information which is inconsistent with the terms of the deposit scheme or with the trust deed and is in compliance with the rules and provisions of the Act.
c) ensure that the company does not commit any breach of covenants and provisions of the trust deed.
d) take such reasonable steps as may be necessary to procure a remedy for any breach of covenants of the trust deed or the terms of invitation of deposits.
e) take steps to call a meeting of the holders of depositors as and when such meeting is required to be held.

f) supervise the implementation of the conditions regarding creation of security for deposits and the terms of deposit insurance.
g) do such acts as are necessary in the event the security becomes enforceable.
h) carry out such acts as are necessary for the protection of the interest of depositors and to resolve their grievances.

Meeting of Depositors (Rule 9)

The trustee for depositors shall call a meeting of all the depositors on:

a) requisition in writing signed by at least 1/10th of the depositors in value for the time being outstanding.
b) the happening of any event, which constitutes a default or which, in the opinion of the trustee for depositors, affects the interest of the depositors.

Concept 6 - Section 74: Repayment of Deposits accepted before Commencement of this Act

According to Section 74(1), Where in respect of any deposit accepted by a company before the commencement of this Act, the amount of such deposit or part thereof or any interest due thereon remains un paid on such commencement or becomes due at any time thereafter, the company shall:

a) file, within a period of 3 months from commencement or from the date on which such payments are due, with the Registrar a statement of all the deposits accepted by the company and sums remaining unpaid on such amount with the interest payable along with the arrangements made for such repayment and
b) repay within 3 years from such commencement or on or before expiry of the period for which the deposits were accepted, whichever is earlier

According to Section 74(2), The Tribunal may on an application made by the company, after considering the financial condition of the company, the amount of deposit and the interest payable and such other matters, allow further time as considered reasonable to the company to repay the deposit.

According to Section 74(3), If a company fails to repay the deposit or any interest within the time specified or such further time as may be allowed by the Tribunal, the company shall, in addition to the payment of the amount of deposit or part thereof and the interest due, be punishable with fine which shall not be less than ₹ 1 crore rupees but which may extend to ₹ 10 crore rupees and every officer of the company who is in default shall be punishable with imprisonment which may extend to 7 years or with fine which shall not be less than ₹ 25 lakhs but which may extend to ₹2 crore or with both.

Concept 7 - Registers of Deposits

Every company accepting deposits shall maintain at its registered office one or more separate registers for deposits accepted or renewed, in which there shall be entered separately in the case of each depositor the following particulars, namely:

a) name, address and PAN of the depositors

b) particulars of guardian, in case of a minor
c) particulars of the nominee.
d) deposit receipt number.
e) date and the amount of each deposit.
f) duration of the deposit and the date on which each deposit is repayable.
g) rate of interest or such deposits to be payable to the depositor.
h) due date for payment of interest
i) mandate and instructions for payment of interest and for non-deduction of tax at source, if any.
j) date or dates on which the payment of interest shall be made.
k) particulars of security or charge created for repayment of deposits
l) any other relevant particulars.

The entries specified above shall be made within 7 days from the date of issuance of the receipt duly authenticated by a director or secretary of the company or by any other officer authorised by the Board for this purpose.

The register shall be preserved in good order for a period of not less than 8 years from the financial year in which the latest entry is made in the register.

Concept 8 - Section 75: Damages for Fraud

According to Section 75(1), Where a company fails to repay the deposit or part thereof or any interest thereon referred to in Section 74, and it is proved that the deposits had been accepted with intent to defraud the depositors or for any fraudulent purpose, every officer of the company who was responsible for the acceptance of such deposit shall be liable under Section 447 and be personally responsible for all or any of the losses or damages that may have been incurred by the depositors.

According to Section 75(2), Any suit, proceedings or other action may be taken by any person, group of persons or any association of persons who had incurred any loss as a result of the failure of the company to repay the deposits any interest thereon.

Concept 9 - Section 76: Acceptance of Deposits from Public by Certain Companies

Only Eligible companies can accept deposits from the public, in addition to their members.

"Eligible company" for acceptance of deposits from public : means a

a) public limited company
b) with net worth minimum ₹ 100 crores or a turnover of minimum ₹ 500 crores
c) have consent of shareholders through special resolution to accept public deposits.
d) The special resolution has been filed with the registrar.
e) Later on an ordinary resolution is enough for acceptance of deposits.

No eligible company shall accept or renew:

a) any deposit from its members exceeding 10% of paid-up share capital, Free reserves and security premium of the company.

b) any other deposit exceeding 25% paid-up share capital, Free reserves and security premium of the company.

Provided that such a company shall be required to obtain the rating from a recognised credit rating agency for informing the public the rating given to the company at the time of invitation of deposits from the public which ensures adequate safety and the rating shall be obtained for every year during the tenure of deposits.

Provided further that every company accepting secured deposits from the public shall within 30 days of such acceptance, create a charge on its assets of an amount not less than the amount of deposits accepted in favour of the deposit holders in accordance with such rules as may be prescribed.

Concept 10 - Section 76A: Punishment for contravention of Section 73 or Section 76

Where a company accepts or invites any deposit in contravention of the manner or the conditions prescribed under Section 73 or Section 76 or rules or if a company fails to repay the deposit or any interest due thereon within the time specified under Section 73 or Section 76 or rules made thereunder or such further time as may be allowed by the Tribunal then,

Punishment for the company

The company shall, in addition to the payment of the amount of deposit or part thereof and the interest due, be punishable with fine which shall not be less than ₹ 1 crore or twice the amount of deposit whichever is lower but which may extend to ₹ 10 crores

Punishment for the officer in default

Every officer of the company who is in default shall be punishable with imprisonment which may extend to 7 years and fine which shall not be less than ₹ 25 lakhs but which may extend to ₹ 2 crores.

But if it is proved that the officer of the company who is in default, has contravened such provisions knowingly or wilfully with the intention to deceive the company or its shareholders or depositors or creditors or tax authorities, he shall be liable for action under Section 447.

Concept 1 - Introduction

In a company, shareholders elect directors to manage its operations. However, directors may sometimes misuse their power, leading to potential harm to stakeholders. To address this, the Central Government is empowered to investigate when there are suspicions of fraud, unlawful activities, or oppression.

Chapter XIV of the Companies Act, 2013 (Sections 206 to 229), outlines the provisions for Inspection, Inquiry, and Investigation.

Concept 2 – Meaning of the terms with examples

Inspection
The Act of looking into something carefully to ensure everything is correct and legal.
Example: A manufacturing company conducts quality inspections before the sale of its products to ensure customer satisfaction.

Inquiry
It's an official process to discover the facts behind something that went wrong.
Example: There is a misstatement in the company's financial records, and the finance department may order an inquiry to determine the cause.

Investigation
It's a process of examining a crime or issue to uncover the truth and identify the people involved.
Example: A theft has occurred in the company, and now a full investigation team will be launched to uncover the facts.

Concept 3 – Section 206: Power to call for information, inspect Books and Conduct Inquiries

3.1 Power of the Registrar to call for information, explanation or documents.

According to Section 206(1), where on scrutiny of any document or on any information received, the Registrar is of the opinion that further information or explanation or documents relating to the company is necessary, he may by a written notice require the company—
a) to furnish in writing such information or explanation; or
b) to produce such documents,
within such reasonable time, as may be specified in the notice.

3.2 Duty of the Company and its officers

According to Section 206(2), On the receipt of a notice, it shall be the duty of the company and its officers,
a) to furnish such information or explanation to the best of their knowledge and power and
b) to produce the documents to the Registrar within the time specified.

Duty of past officers of the company: The Past Officers of the company shall also furnish such information or explanation to the best of their knowledge, if called upon by the Registrar through a notice served on them in writing.

3.3 Additional written notice by the Registrar

According to Section 206 (3), The Registrar may by additional written notice call on the company to produce such further books of account, books, papers and explanations as he may require at such time specified in the notice, when –

a) If no information or explanation is furnished to the Registrar within the time specified or
b) If the Registrar on an examination of the documents furnished is of the opinion that the information or explanation furnished is inadequate or
c) If the Registrar is satisfied on a scrutiny of the documents furnished that an
   - unsatisfactory state of affairs exists in the company.
   - the documents do not disclose a full and fair statement of the information required.

3.4 Inquiry by Registrar

According to Section 206(4), If the Registrar is satisfied on the basis of information furnished to him or on a representation made to him by any person, that

a) the business of a company is being carried on for a fraudulent or unlawful purpose or not in compliance with the provisions of this Act or
b) if the grievances of investors are not being addressed.

the Registrar shall follow the below procedure for inquiry,

a) Inform the company of the allegations made against it by a written order.
b) Call on the company to furnish in writing any information or explanation on matters specified in the order within such time as he may specify and
c) carry out inquiry after providing the company a reasonable opportunity of being heard.

3.5 Inquiry by Central Government

The Central Government may, if it is satisfied that the circumstances so warrant,

a) direct the Registrar or an inspector appointed by it for such purpose to carry out the inquiry.
b) direct inspection of books and papers of a company by an inspector appointed by it for the purpose.
c) by general or special order, authorize any statutory authority to carry out the inspection of books of account of a company.

If a company fails to furnish any information or explanation or produce any document, the company and the officers in default shall become liable for penalty.

Concept 4 – Section 207: Conduct of Inspection and Inquiry

4.1 Duty of director, officer or employee

According to Section 207 (1), When the registrar calls for any information or while carrying out any inspection or inquiry, it shall be the duty of every director, officer, or other employees of the company:

a) to produce all such documents; and
b) to furnish with such statements, information or explanations in such form as may require; and
c) to render all assistance in connection with such inspection.

4.2 Powers of the Registrar or inspector

According to Section 207 (2), The Registrar or inspector during such inspection or inquiry,

a) make or cause to be made copies of books of account and other books and papers; or
b) place or cause to be placed any marks of identification in such books.

The Registrar or inspector making an inspection or inquiry shall have all the powers as are vested in a civil court under the Code of Civil Procedure, 1908.

4.3 Penalty for Contravention

According to Section 207(4), If any director or officer of the company disobeys the direction issued by the Registrar or the inspector under this section, the director, or the officer,

a) shall be punishable with imprisonment and with fine.
b) shall vacate his office.
c) shall be disqualified from holding an office in any company.

Concept 5 – Section 208: Report on Inspection

According to this Section 208, The Registrar or inspector shall, after the inspection or an inquiry, submit a report in writing to the Central Government and may recommend in report that there is the need of further investigation with reasons in support.

Concept 6 – Section 209: Circumstances for seizure

6.1 Search and Seizure by Registrar

According to this Section 209(1), based on the information in his possession, the Registrar or inspector has reasonable ground to believe that the books and papers of

a) a company
b) the key managerial personnel
c) any director or
d) auditor or
e) company secretary in practice

are likely to be destroyed, mutilated, altered, falsified or secreted, he may,

after obtaining an order from the Special Court for the seizure of such books and papers,

a) enter and search, the place or places where such books or papers are kept and
b) seize such books and papers as he considers necessary after allowing the company to take copies or extracts at its cost.

6.2 Period of seizure

According to Section 209(2), The Registrar or inspector shall return the seized books and papers to the company within 180 days of the seizure.

The books and papers may be called for by the Registrar or inspector for a further period of 180 days by an order in writing if they are needed again. Before returning such books and papers, the Registrar or inspector may take copies or extracts of them or place identification marks on them if he considers necessary.

The provisions of the Code of Criminal Procedure, 1973 relating to searches or seizures shall apply to every search and seizure made under this Chapter.

Concept 7 – Section 210: Investigation into affairs of company

According to this section 210 (1), Where the Central Government is of the opinion, that it is necessary to investigate into the affairs of a company, it may order an investigation.

a) on the receipt of a report of the Registrar or inspector under section 208
b) on intimation of a special resolution passed by a company that the affairs of the company ought to be investigated or
c) Suo moto in public interest
d) Where an order is passed by a court or the Tribunal in any proceedings before it that the affairs of a company ought to be investigated

According to Section 210 (3), the Central Government may appoint one or more persons as inspectors to investigate into the affairs of the company and to report thereon.

Concept 8 – Section 212: Investigation by Serious Fraud Investigation Office (SFIO)

8.1 Serious Fraud Investigation Office (SFIO)

The Central Government has established an office called the Serious Fraud Investigation Office to investigate frauds relating to a company.

8.2 Assigning of investigation to SFIO by CG:

According to section 212(1), where the Central Government is of the opinion, that it is necessary to investigate into the affairs of a company by the Serious Fraud Investigation Office (SFIO) –

a) on receipt of a report of the Registrar or inspector under section 208
b) on intimation of a special resolution passed by a company that its affairs are required to be investigated
c) in the public interest
d) on request from any Department of the Central Government or a State Government.

the Central Government may, by order, assign the investigation into the affairs of the company to the SFIO.

8.3 Investigation by SFIO

a) On receipt of such order SFIO may designate such number of inspectors necessary for such investigation.
b) Where a case has been assigned by the Central Government to the SFIO for investigation, no other investigating agency of Central Government or any State Government shall proceed with investigation in such case.
c) In case investigation has already been initiated, the concerned agency shall transfer the relevant documents and records in respect of such investigation to SFIO.
d) SFIO shall conduct the investigation in the manner and follow the procedure provided in Chapter XIV of the Act.
e) The company and its officers and employees, who are or have been in employment of the company shall be responsible to provide all information, explanation, documents and assistance to the Investigating Officer as he may require for conduct of the investigation.

The SFIO shall submit an interim report and the final investigation report on completion of the investigation to the Central Government. On receipt of the investigation report, the Central Government may direct the SFIO to initiate prosecution against the company and its officers or employees.

Concept 9 – Section 213: Investigation into affairs of company in other cases

Case 1 - The Tribunal may, on an application made by,

a) not less than 100 members or members holding not less than 1/10th of the total voting power, in the case of a company having a share capital; or

b) not less than 1/5th of the persons on the company's register of members, in the case of a company having no share capital,

and supported by such evidence for conducting an investigation into the affairs of the company or

Case 2 - The Tribunal may, on an application made to it by any other person or otherwise, if it is satisfied that,

a) the business of the company is being conducted with intent to defraud its creditors or members or that the company was formed for any fraudulent or unlawful purpose.

b) persons concerned in the formation or the management of affairs of the company are guilty of fraud or misconduct towards the company or towards any of its members.

c) the members of the company have not been given all the information which they might reasonably expect.

order, after giving a reasonable opportunity of being heard to the parties concerned, that the affairs of the company ought to be investigated by the Central Government.

The Central Government shall appoint one or more competent persons as inspectors to investigate into the affairs of the company. If after investigation the allegations are proved, then every officer of the company who is in default shall be punishable for fraud in the manner as provided in section 447.

Concept 10 – Section 216: Investigation of Ownership of Company

According to the Section 216(1), Central Government may appoint one or more inspectors to investigate and report, for the purpose of determining the true persons,

a) who are or have been financially interested in the success or failure, whether real or apparent, of the company or
b) who are or have been able to control or to materially influence the policy of the company or
c) who have or had beneficial interest in shares of a company or who are or have been beneficial owners of the company.

Concept 11 – Section 217: Procedures, powers, etc of inspectors

11.1 Duty of all officers and employees

According to Section 217(1), it shall be the duty of all officers and other employees and agents including the former officers, employees and agents of a company which is under investigation,

a) to preserve and to produce to an inspector, all books and papers of the company which are in their custody or power and
b) to give to the inspector all assistance in connection with the investigation which they are reasonably able to give.

11.2 Period of custody of inspector

According to Section 217(3), The inspector shall not keep in his custody any books and papers produced above for more than 180 days and return the same to the company. However, the books and papers may be called for by the inspector if they are needed again for a further period of 180 days by an order in writing.

11.3 Powers to inspectors similar as are vested in a civil court:

According to Section 217(5), the inspector making an investigation under this chapter, shall have all the powers as are vested in a civil court under the Code of Civil Procedure, 1908, namely

a) the discovery and production of books of account and other documents, at such place and time as may be specified by such person.
b) summoning and enforcing the attendance of persons and examining them on oath and
c) inspection of any books, registers, and other documents of the company at any place.

The officers of the Central Government, State Government, police, or statutory authority shall provide assistance to the inspector, which the inspector may, with the prior approval of the Central Government, require.

The Central Government may enter into an agreement with the Government of a foreign State for reciprocal arrangements to assist in any investigation.

Concept 12 – Section 218: Protection of employees during investigation

During the course of any investigation of the affairs of the company under section 210, section 212, section 213 or section 219 or section 216, such company, other body corporate proposes,

a) to discharge or suspend any employee or
b) to punish him, whether by dismissal, removal, reduction in rank or otherwise or
c) to change the terms of employment to his disadvantage.

the company shall obtain approval of the Tribunal of the action proposed against the employee and if the tribunal has any objection to the action proposed it shall send by post notice in writing to the company or the other body corporate.

If the company, other body corporate or any person concerned does not receive any notice within 30 days of making of application for the approval of the Tribunal, then the company may proceed to take against the employee, the action proposed.

If the company, other body corporate or any person concerned is dissatisfied with the objection raised by the Tribunal, it may, within a period of 30 days of the receipt of the notice of objection, appeal to the Appellate Tribunal. The decision of the Appellate Tribunal on such appeal shall be final and binding on the Tribunal and on the company or any person concerned.

Concept 13 – Section 219: Investigation into affairs of related companies

If an inspector appointed under section 210 or section 212 or section 213 to investigate into the affairs of a company considers it necessary for the purposes of the investigation, can also investigate the affairs of

a) any other body corporate which is or has at any relevant time been the company's subsidiary company or holding company, or a subsidiary company of its holding company.

b) any other body corporate which is, or has at any relevant time been managed by any person as managing director or as manager, who is, or was, at the relevant time, the managing director or the manager of the company.

c) any other body corporate whose Board of Directors comprises nominees of the company or is accustomed to act in accordance with the directions or instructions of the company or any of its directors or

d) any person who is or has at any relevant time been the company's managing director or manager or employee.

Then such inspector shall, subject to the prior approval of the Central Government, investigate into the affairs of the other body corporate or of the managing director or manager, if he considers relevant to the investigation of the affairs of the company for which he is appointed.

Concept 14 – Section 220: Seizure of documents by inspector

14.1 Seizure of books and papers

According to Section 220(1), Where during an investigation, the inspector has reasonable grounds to believe that the books and papers relating to any company or other body corporate or managing director or manager of such company are likely to be destroyed, mutilated, altered, falsified or secreted, the inspector may—

a) enter the place or places where such books and papers are kept
b) seize books and papers as he considers necessary after allowing the company to take copies of, or extracts from, such books and papers at its cost.

14.2 Time period for keeping books and papers

According to Section 220(2), The inspector shall keep in his custody the books and papers seized for such period not later than the conclusion of the investigation and thereafter shall return the same to the company.

The inspector may, before returning such books and papers take copies of, or extracts from them or place identification marks on them as he considers necessary.

Concept 15 – Restriction on transfer of Securities

If the Tribunal, during an investigation under Section 216 or based on a complaint, finds it necessary to uncover facts about securities issued or to be issued by a company, and believes such facts cannot be found without restrictions, it may impose such restrictions on the securities for a period not exceeding 3 years, as specified in the order.

The Tribunal may order a freeze on the transfer, removal, or disposal of a company's funds, assets, or properties, for a period not exceeding 3 years, if it believes such action is necessary to protect the interests of the company, its shareholders, creditors, or the public.

Concept 16 – Section 223: Inspector's Report

Submission of interim report and final report

An inspector appointed under this Chapter may, if directed by the Central Government shall, submit interim reports to that Government and on the conclusion of the investigation, shall submit a final report to the Central Government.

A copy of the above report may be obtained by members, creditors, or any other person whose interest is likely to be affected by making an application in this regard to the Central Government

Concept 17 – Section 224: Actions to be taken in pursuance of Inspector's report

According to Section 224(1), If, from an inspector's report, it appears to the Central Government that any person related to the company has been guilty of any offence for which he is criminally liable, it may prosecute such person for the offence. It shall be the duty of all officers and other employees of the company to give the Central Government the necessary assistance in connection with the prosecution.

According to Section 224(3), if an inspector's report reveals that, in the public interest, legal action should be initiated by the company or body corporate (whose affairs have been investigated) for:

a) for the recovery of damages in respect of any fraud, misfeasance or other misconduct or
b) for the recovery of any property of such company or body corporate which has been misapplied or wrongfully retained,

the Central Government may itself file proceedings for winding up in the name of such company or body corporate.

According to Section 224(4), The Central Government shall be indemnified by such company or body corporate against any costs or expenses incurred by it in, or in connection with, any proceedings brought by virtue of sub-section (3).

Concept 18 – Section 225: Expenses of Investigation

Reimbursement of expenses

The expenses of an investigation by an inspector shall be initially paid by the Central Government, but later on shall be reimbursed by the following persons:

a) any person who is convicted on a prosecution instituted, or
b) who is ordered to pay damages or
c) restore any property in proceedings brought.

Any amount for which a company or body corporate is liable, shall be a first charge on the sums or property mentioned in that clause.

Concept 1 – Introduction and Meaning of the terms

Compromise

It a peaceful and willing settlement of a dispute by mutual concessions, which results in agreement between the company and the creditors or members for a change in terms and conditions effecting their rights and obligations.

Arrangement

The term 'arrangement' is of very wide import. It includes a reorganization of the share capital of a company by the consolidation of shares of different classes, or by the division of share into shares of different classes or by both these methods.

Chapter XV of the Companies Act, 2013 (Section 230 to Section 240) provides for Compromises, Arrangements and Amalgamations.

Concept 2 – Section 230: Power to compromise or make arrangements with creditors or members

2.1 Power of Tribunal to call for a meeting on application filed for a compromise/arrangement

According to Section 230(1), When a Compromise or arrangement (C/A) is proposed,

a) between a company and its creditors
b) between a company and its members

The Tribunal may, on application of the,

a) company or
b) of any creditor or
c) member of the company, or
d) In the case of a company which is being wound up, the liquidator,

order a meeting of the creditors or of the members, as the case may be, to be called, held and conducted in such manner as the Tribunal directs.

2.2 Disclosure to be made by the Applicants

According to Section 230(2), The Company or any other person, by whom an application is made, shall disclose to the Tribunal by affidavit,

a) all material facts relating to the company, such as
   - the latest financial position of the company,
   - the latest auditor's report on the accounts of the company and
   - the pendency of any investigation or proceedings against the company.
b) reduction of share capital of the company, if any, included in the C/A.
c) any scheme of Corporate Debt Restructuring (CDR) consented to by not less than 75% of the secured creditors in value, including:

- a creditor's responsibility statement
- safeguards for the protection of other secured and unsecured creditors
- report by the auditor that the fund requirements of the company after CDR shall conform to the liquidity test based upon the estimates provided to them by the Board;
- where the company proposes to adopt the CDR guidelines specified by the Reserve Bank of India, a statement to that effect and
- a valuation report in respect of the shares and the property and assets of the company by a registered valuer.

2.3 Notice of meeting conducted on order of Tribunal

According to Section 230(3), Notice of the meeting shall be sent to all the creditors, all the members and all the debenture-holders of the company individually at the address registered with company, which shall be accompanied by:

a) a statement disclosing the details of the C/A
b) a copy of the valuation report and
c) explaining its effect on creditors, KMP, promoters and non-promoter members and the debenture holders and
d) the effect of the C/A on any material interests of the directors of the company and
e) such other matters as may be prescribed:

2.4 Advertisement of Notice

Such notice and other documents shall,

a) be placed on the website of the company and
b) in case of a listed company, these documents shall be sent to the SEBI and stock exchange where the securities of the companies are listed, for placing on their website and
c) be published in newspapers.

When the notice for the meeting is issued by way of an advertisement, it shall indicate the time within which copies of the C/A shall be made available to the concerned persons free of charge from the registered office of the company.

2.5 Procedural aspects relating to notice

A notice along with all the documents shall also be sent to,

- The Central Government.
- The Income tax authorities
- The RBI,
- The SEBI
- The Registrar
- The respective stock exchanges
- the Official liquidator
- the Competition Commission of India
- and such other sectoral regulators or authorities which are likely to be affected by the C/A .

and shall require that representations to be made by them, shall be made within a period of 30 days from the date of receipt of such notice failing which it shall be presumed that they have no representations to make on such proposals.

The Notice of the meeting after the order of the Tribunal, shall be sent individually specifying therein,

a) disclosure of nature and extent of interest and effect of C/A or
b) a statement to the effect that there is no interest or there is no effect of the scheme of C/A.

on such interest of KMP, directors, promoters, non-promoter members, depositors, creditors, debenture holders and KMP of holding, subsidiary and associate, employees of company.

c) investigation proceedings pending against the company or any promoter, director or KMP.
d) details of any No-objection(s), approvals received from the concerned authorities for the C/A.
e) details of the availability of the following documents for inspection by the members and creditors, namely:

- latest audited financial statements of the company including CFS.
- copy of the order of Tribunal.
- copy of scheme of C/A.
- contracts or agreements material to the C/A and
- such other information/documents as the Board/ Management believes necessary and relevant for making decision for / against the scheme.

g) declaration to the effect that the scheme is in the best interests of the employees, creditors, debenture holders, members, minority shareholders, etc.
h) Any objection to the C/A can be made only by persons holding
    - not less than 10% of the shareholding or
    - having outstanding debt not less than 5% of the total outstanding debt.

2.6 Approval and sanction of the scheme

a) At a meeting held if, majority of persons representing 3/4th in value of the creditors or members as the case may be, voting in person or by proxy or by postal ballot, agree to any C/A and
b) if such C/A is sanctioned by the Tribunal by an order
c) the same shall be binding on the company, all the creditors, or members, as the case may be, or, in case of a company being wound up, on the liquidator and the contributories of the company.
d) The Tribunal may dispense with calling of a meeting of creditor where such creditors having at least 90% value, agree and confirm, by way of affidavit, to the scheme of C/A.

An order made by the Tribunal shall provide for all or any of the following matters, namely:-

a) where the C/A provides for conversion of preference shares into equity shares, such preference shareholders shall be given an option to either obtain arrears of dividend in cash or accept equity shares equal to the value of the dividend payable;
b) the protection of any class of creditors;

c) if the C/A results in the variation of the shareholders' rights, it shall be given effect to under the provisions of the Act
d) if the C/A is agreed to by the creditors, any proceedings pending before the Board for Industrial and Financial Reconstruction established under section 4 of the Sick Industrial Companies (Special Provisions) Act, 1985 shall abate;
e) such other matters including exit offer to dissenting shareholders, if any, as are in the opinion of the Tribunal necessary to effectively implement the terms of the compromise or arrangement:

C/A is to be in conformity with the accounting standards to be confirmed by company's auditor. Order of Tribunal to be filed with the ROC within a period of 30 days of the receipt of the order. Further, a statement of compliance needs to be filed with ROC within 210 days from the end of each financial year.

2.7 Compromise includes takeover

According to Section 230 (11), any C/A may include takeover offer.

Members of the company holding not less than 3/4th shares of the company can file an application to acquire remaining share. In case of listed companies, takeover offer shall be as per the regulations framed by the SEBI.

Concept 3 - Section 231: Power of the Tribunal

According to Section 231(1), when the Tribunal makes an order under Section 230 sanctioning a compromise or an arrangement, it:

a) shall have power to supervise the implementation of the scheme of C/A and
b) may give such directions or make any modifications for the proper implementation of the scheme of C/A as it may consider necessary.
c) If the Tribunal is satisfied that the C/A sanctioned cannot be implemented satisfactorily with or without modifications and the company is unable to pay its debts as per the scheme, it may make an order for winding up the company.
d) Tribunal may require the liquidator or the company to report on the working of the scheme.

Concept 4 - Section 232: Merger and Amalgamation of Companies

According to Section 232(1), when an application is made to the Tribunal for a C/A proposed between a company and any such persons, and it is shown to the Tribunal:

a) that the C/A proposed involves a scheme of merger or the amalgamation of any two or more companies
b) that the whole or any part of the undertaking, property or liabilities of any company is required to be transferred to another company or two or more companies.

the Tribunal may on such application, order a meeting of the creditors or the members, to be called, held and conducted as per Section 230.

Such order shall also require to circulate the following for the meeting so ordered by the Tribunal, namely:

a) the draft of the scheme drawn up by the directors of the merging company.
b) confirmation that a copy of the draft scheme has been filed with the Registrar.
c) share exchange ratio adopted under the scheme.
d) the report of the expert with regard to valuation, if any.
e) A supplementary accounting statement, if the last Financial Statements of any of the merging company are older than 6 months before the first meeting for such approval of the scheme.

The Tribunal may, after holding of meeting, by order, sanction the C/A and make provision for the following matters, namely:

a) Transfer of Assets & Liabilities: Transfer of the undertaking, property, or liabilities of the transferor company to the transferee company from a specified date.
b) Allotment of Instruments: Allotment of shares, debentures, or similar instruments by the transferee company as per the arrangement.
c) Legal Proceedings: Continuation of legal proceedings by or against the transferee company.
d) Dissolution: Dissolution of the transferor company without winding-up.
e) Dissenting Persons: Provisions for those dissenting from the arrangement.
f) Non-Resident Share Allotment: Allotment of shares to non-residents.
g) Employee Transfer: Transfer of employees from the transferor to the transferee company.
h) Listed to Unlisted Company: Transferee remains unlisted until it becomes a listed company.
i) Authorised Capital: after dissolution the fee paid by the transferor company on its authorised capital can be set-off against the fee payable by the transferee company subsequent to amalgamation.

No C/A shall be sanctioned by the Tribunal unless a certificate from the company's auditor is filed, confirming that the proposed scheme complies with the accounting standards.

Effect of Tribunal Order: The Properties, assets & liabilities shall be transferred to the transferee company as per the tribunal order.

Registrar Filing: Certified copy of the Tribunal's order to be filed with the Registrar within 30 days of the receipt of the order. Annual statement certified by CA/CS/CMA to be filed with Registrar every year until the completion of the scheme.

Effective Date: The scheme shall clearly indicate an appointed date from which it shall be effective.

Concept 5 - Section 233: Fast track mode of merger/Amalgamation of certain Companies

According to Section 233(1), a scheme of merger or amalgamation may be entered into through fast-track mode, between the following as prescribed under Rule 25 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016:

a) two or more small companies or
b) a holding company and its wholly-owned subsidiary company or
c) two or more start-up companies or

d) one or more start-up company with one or more small company or
e) One or more unlisted company, (not being section 8 company) with one or more unlisted company, (not being section 8 company), where every company involved in the merger,
   (i) has, in aggregate, outstanding loans, debentures or deposits not exceeding ₹ 200 crores, and
   (ii) has no default in repayment of loans, debentures or deposits, on a day, not more than 30 days before the date of notice and on the date of filing of scheme.

   Provided that a certificate from the auditor of the company that the company meets the conditions referred to in this clause shall be filed along with the copy of the approved scheme.
f) a holding company (listed or unlisted) and a subsidiary company (listed or unlisted): Provided that this clause shall not apply where the transferor company or companies are listed
g) one or more subsidiary company of a holding company with one or more other subsidiary company of the same holding company where the transferor company or companies are not listed;
h) merger of the transferor foreign company incorporated outside India being a holding company with the transferee Indian company being its wholly owned subsidiary company incorporated in India.

"start-up company" means a private company incorporated under the Companies Act, 2013 or Companies Act, 1956 and recognised as such in accordance with notification issued by the Department for Promotion of Industry and Internal Trade.

Procedure to be followed

Step 1 – Preparation of proposed scheme

Step 2 – A notice of the proposed scheme shall be sent to the Registrar and Official Liquidators, inviting objections or suggestions within 30 days from the date the notice is issued by the transferor company and the transferee company.

Step 3 - the objections and suggestions received are considered by the companies in their respective general meetings and the scheme is approved by members at a general meeting holding at least 90% of the total number of shares.

Step 4 - each of the companies involved in the merger files a declaration of solvency, with the Registrar of the place where the registered office of the company is situated; and

Step 5 - the scheme shall be approved by majority representing 9/10th in value of the creditors of respective companies indicated in a meeting convened by the company by giving a notice of 21 days along with the scheme to its creditors in writing.

Step 6 - the transferee company shall file a copy of the scheme so approved with the Central Government, Registrar and the Official Liquidator.

Step 7 - On the receipt of the scheme, if the Registrar or the Official Liquidator has no objections or suggestions to the scheme, the Central Government shall register the same and issue a confirmation order to the companies.

If there are any objections or suggestions, the Registrar or the Official Liquidator may communicate the same in writing to the Central Government within a period of 30 days from the date of receipt, failing which, it shall be presumed that there is no objection to the scheme.

If the Central Government does not have any objection to the scheme or it does not file any application under this Section before the Tribunal, it shall be deemed that it has no objection to the scheme.

Application by Central Government to the Tribunal

If the Central Government is of the opinion that the scheme is not in public interest or in the interest of the creditors, it may file an application before the Tribunal within a period of 60 days of the receipt of the scheme stating its objections and requesting that the Tribunal may consider the scheme under Section 232.

Tribunal's Action to Central Government's application

The Tribunal is of the opinion that the scheme should be considered as per the procedure laid down in Section 232, the Tribunal may direct accordingly or it may confirm the scheme by passing such order.

A copy of the order confirming the scheme shall be communicated to the Registrar concerned and the Registrar shall register the scheme and issue a confirmation thereof to the companies and such confirmation shall be communicated to the Registrars where transferor company or companies were situated.

Effect of Registration of the Scheme

a) Dissolution of the transferor company without process of winding up.
b) transfer of property or liabilities of the transferor company to the transferee company.
c) the charges on the property of the transferor company shall be applicable and enforceable as if the charges were on the property of the transferee company.
d) legal proceedings by or against the transferor company pending before any court of law shall be continued by or against the transferee company, and
e) Any amount payable under the scheme, to the dissenting shareholders or to dissenting creditors, shall become the liability of the transferee company.
f) The transferee company shall not hold any shares in its own name and all such shares shall be cancelled on the merger or amalgamation.

Concept 6 - Section 234: Merger or Amalgamation of the Company with Foreign Company

The expression 'foreign company' means any company or body corporate incorporated outside India whether having a place of business in India or not. A foreign company may merge with an Indian company or vice versa after obtaining prior approval from RBI and after complying with provisions of the section 230 to 232 and relevant rules.

According to Section 234 (1), the provisions of this Chapter, shall apply to schemes of mergers and amalgamations between companies registered under this Act and Foreign companies as notified from time to time by the Central Government.

According to Section 234 (2), the terms and conditions of the scheme of merger may provide, for the payment of consideration to the shareholders of the merging company in cash or in Depository Receipts or partly in cash and partly in Depository Receipts.

According to Rule 25A of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, Merger or Amalgamation of a foreign company with a company and vice versa.

1) A foreign company incorporated outside India may merge with an Indian company after obtaining prior approval of RBI and after complying with the provisions of Sections 230 to 232 of the Act and these rules.
2) (a) A company may merge with a foreign company incorporated in any of the jurisdictions after obtaining prior approval of the RBI and after complying with provisions of Sections 230 to 232 of the Act and these rules.
   (b) The transferee company shall ensure that valuation is conducted by valuers who are members of a recognised professional body in the jurisdiction of the transferee company and further that such valuation is in accordance with internationally accepted principles on accounting and valuation. A declaration to this effect shall be attached with the application made to RBI for obtaining its approval.
3) The concerned company shall file an application before the Tribunal as per provisions of section 230 to section 232 of the Act and these rules after obtaining approvals specified above.
4) In case of a compromise or an arrangement or merger or demerger between an Indian company and a company or body corporate which has been incorporated in a country which shares land border with India, a declaration in Form No. CAA-16 shall be required at the stage of submission of application under section 230.
5) Where the transferor foreign company incorporated outside India being a holding company and the transferee Indian company being a wholly owned subsidiary company incorporated in India, enter into merger or amalgamation:
   (i) both the companies shall obtain the prior approval of the RBI;
   (ii) the transferee Indian company shall comply with the provisions of section 233;
   (iii) the application shall be made by the transferee Indian company to the Central Government under section 233 and provisions of rule 25 shall apply to such application; and
   (iv) the declaration referred to in 4) shall be made at the stage of making application under section 233.

Concept 7 - Section 235: Power to acquire shares of shareholders in dissenting from scheme approved by majority

"Dissenting shareholder" includes a shareholder who has not assented to the scheme and any shareholder who has failed or refused to transfer his shares to the transferee company in accordance with the scheme.

7.1 Basic requirements as to acquisition of shares

a) Approval by majority of shareholders: The scheme involving the transfer of shares of the transferor company to the transferee company has been approved by the holders of not less than 9/10th in value of the shares whose transfer is involved.
b) Time Limit for receiving approval: The approval from 9/10th of the shareholders in value or more shall be received within 4 months after making of an offer in that behalf by the transferee company.
c) Acquisition of the remaining shares of dissenting shareholders: The transferee company shall express its desire to acquire the remaining shares of dissenting shareholders within 2 months after the expiry of the said 4 months and shall give notice in prescribed form to any dissenting shareholders.
d) The shares already held at the date of the offer by Transferee Company, or by a nominee of the transferee company or its subsidiary companies shall not be counted for this purpose.

7.2 Right of Dissenting Shareholder to Approach Tribunal

Where a notice is given, the transferee company shall, be entitled to and bound to acquire those shares on the same terms on which the shares of the approving shareholders are to be transferred to the transferee company. Unless-

- an application made by the dissenting shareholder to the Tribunal, within 1 month from the date on which the notice was given and
- the Tribunal thinks fit to order otherwise.

7.3 Application by dissenting Shareholders

Where a notice has been given by the transferee company and the Tribunal has not, on an application made by the dissenting shareholder, made an order to the contrary, the transferee company shall,

- on the expiry of 1 month from the date on which the notice has been given, or,
- if an application to the Tribunal by the dissenting shareholder is pending, after that application has been disposed of,

send a copy of the notice to the transferor company together with an instrument of transfer, to be executed on behalf of the shareholder by any person appointed by the transferor company and on its own behalf by the transferee company, and pay to the transferor company the amount of consideration payable by the transferee company for the shares which, that company is entitled to acquire, and the transferor company shall-

- thereupon register the transferee company as the holder of those shares; and
- within 1 month of the date of such registration, inform the dissenting shareholders of the fact of registration and of the receipt of the amount of consideration paid to them by the transferee company.

7.4 Separate Bank account for disbursement to entitled shareholders

Any sum received by the transferor company shall be paid into a separate bank account, and any such sum received shall be held by that company in trust for the persons entitled to the shares in respect of which the said sum were respectively received and shall be disbursed to the entitled shareholders within 60 days.

Concept 8 - Section 236: Purchase of Minority shareholding

8.1 Notifying company for purchase of minority shareholding

a) In the event of an acquirer, or a person acting in concert becoming registered holder of 90% or more of the issued equity share capital of a company, or
b) In the event of any person or group of persons becoming 90% majority or holding 90% of the issued equity share capital of a company, by virtue of an amalgamation, share exchange, conversion of securities or for any other reason.

such acquirer, person or group of persons, shall notify the company of their intention to buy the remaining equity shares.

8.2 Offer of equity shares to minority shareholders by acquirer, person or group of persons

The acquirer shall offer to the minority shareholders of the company for buying the equity shares held by them at a price determined on the basis of valuation by a registered valuer in accordance with Rule 27 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

8.3 Offer to majority shareholder to purchase the minority equity shareholding

The minority shareholders of the company may offer to the majority shareholders to purchase the minority equity shareholding of the company at the price determined in accordance with Rule 27 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

8.4 Deposit of amount in separate bank account

The majority shareholders shall deposit an amount equal to the value of shares acquired in a separate bank account to be operated by the company for at least one year for payment to the minority shareholders and such amount shall we disbursed to the entitled shareholders within 60 days.

8.5 Determination of price for purchase of minority shareholders

Rule 27 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 prescribes that the registered valuer shall determine the price to be paid by the acquirer for purchase of equity shares of the minority shareholders of the company in accordance with the prescribed rules.

Concept 9 - Section 237: Amalgamation by Central Government on public interest

According to Section 237(1), when the Central Government is satisfied that it is essential in the public interest that two or more companies should amalgamate,

It may order for the amalgamation of those companies into a single company with such constitution, with such property, powers, rights, interests, and with such liabilities, duties and obligations, as may be specified in the order. The order may specify the continuation of any legal proceedings by or against the transferee company that were pending against the transferor company

Every member or creditor, including a debenture holder, of each of the transferor companies before the amalgamation shall have the same interest or rights in the transferee company as he had earlier. Otherwise, he shall be entitled to compensation to that extent, which shall be assessed and paid to

the member or creditor concerned by the transferee company. Every such assessment shall be published in the Official Gazette.

Any person aggrieved by any assessment of compensation, may, within a period of 30 days from the date of publication of such assessment in the Official Gazette, appeal to the Tribunal and thereupon the assessment of the compensation shall be made by the Tribunal.

Concept 10 - Section 238: Registration of offers and scheme

According to Section 238(1), every offer of a scheme involving the transfer of shares in the transferor company to the transferee company, shall comply with following -

a) every circular containing such offer and recommendation by its directors to accept such offer, shall be sent to the members of the transferor company
b) every such offer shall contain a statement by the transferee company, disclosing the steps it has taken to ensure that necessary cash will be available and
c) Every such circular shall only be circulated after registration. Registrar may refuse registration which may be appealed to the NCLT.

Concept 1 – Introduction

Case Law - Foss Vs Harbottle

In the case of Foss v. Harbottle, two shareholders of the Victory Park Company, Foss and Turton, sued the company's directors and promoters for misappropriation of assets and other improper acts. The court ruled against the shareholders and established two key principles:

a) The Proper Plaintiff Principle

If any wrongdoing, such as misappropriation of assets or director misconduct, occurs within a company, the company itself is the only proper party to file a suit. This means that the company, not individual shareholders, should take legal action.

b) The Majority Rule Principle

Major decisions in a company are made at general meetings, following a democratic process. If the majority of shareholders approve a decision, the minority shareholders cannot challenge it.

However, there are four exceptions where shareholders can bring an individual suit, even without following these principles:

a) Acts that are illegal or ultra vires to the company's objectives.
b) Acts that require a special majority but are passed by a simple majority.
c) Minority oppression.
d) Fraud on the minority.

Concept 2 - Meaning of Oppression and Mismanagement

Oppression: If affairs of a company have been or are being conducted prejudicial to public interest or in a manner prejudicial or oppressive to any member or prejudicial to the interest of company, there is a case of oppression.

Mismanagement: Any material change that has taken place in management or control of a company and that by reason of such change it is likely that the affairs of a company will be conducted prejudicial to interest of its member or company, that would also be considered as mismanagement.

Concept 3 – Section 241: Application to the Tribunal for relief in cases of Oppression

Chapter XVI of the Companies Act, 2013 (Section 241 to Section 246) provides for Prevention of Oppression and Mismanagement.

According to Section 241(1), Any member of a company who complains that:

a) the affairs of the company have been or are being conducted in a manner prejudicial to public interest or in a manner prejudicial or oppressive to him or any other member or members or in a manner prejudicial to the interests of the company; or

b) the material change, not being a change brought in the interests of creditors, including debenture holders or shareholders of the company, has taken place in the management or control of the company, it is likely that the affairs of the company will be conducted in a manner prejudicial to its interests or its members.

may apply to the Tribunal, provided such member has a right to apply under section 244, for an order under this Chapter.

According to Section 241(2), The Central Government, if it is of the opinion that the affairs of the company are being conducted in a manner prejudicial to public interest, it may itself apply to the Tribunal for an order under this Chapter,

According to Section 241(3), Where in the opinion of the Central Government there exist circumstances suggesting that,

a) Any person in management is guilty of fraud, misfeasance, persistent negligence, or breach of duty.
b) The business is not being conducted in line with sound business principles or prudent commercial practices.
c) Management is being conducted in a way that has caused or is likely to cause serious harm to the interests of the trade or industry to which the company belongs.
d) The business is being carried out with the intent to defraud creditors, members, or for any fraudulent or unlawful purpose.

the Central Government may initiate a case against such person and refer the same to the Tribunal with a request that the Tribunal may inquire into the case and record a decision as to whether or not such person is a fit and proper person to hold the office of director or any other office connected with the conduct and management of any company.

Concept 4 - Section 244: Right to apply to Tribunal

According to Section 244(1), The following members of a company shall have the right to apply under Section 241, namely:

a) in the case of a company having a share capital, not less than 100 members of the company or not less than $1/10^{th}$ of the total number of its members, whichever is less, or any member or members holding not less than $1/10^{th}$ of the issued share capital of the company, subject to the condition that the applicant or applicants has or have paid all calls and other sums due on his or their shares;
b) in the case of a company not having a share capital, not less than $1/5^{th}$ of the total number of its members

tribunal may, on an application made to it in this behalf, waive all or any of the requirements specified in above so as to enable the members to apply under section 241.

According to Section 244(2), Where any members of a company are entitled to make an application above, any one or more of them having obtained the consent in writing of the rest, may make the application on behalf and for the benefit of all of them.

Concept 5 - Section 242: Powers of Tribunal

According to Section 242(1), On application made under Section 241, the Tribunal is of the opinion:

a) that the company's affairs have been or are being conducted in a manner prejudicial or oppressive to any member or members or prejudicial to public interest or in a manner prejudicial to the interests of the company, and
b) that to wind up the company would unfairly impact such member or members, but that otherwise the facts would justify the making of a winding-up order on the ground that it was just and equitable that the company should be wound up

the Tribunal may make such order as it thinks fit.

According to Section 242(2), an order made under above circumstances may provide for:

a) the regulation of conduct of affairs of the company in future.
b) the purchase of shares or interests of any members of the company
c) consequent reduction of its share capital.
d) restrictions on the transfer or allotment of the shares of the company.
e) the termination, setting aside or modification, of any agreement between the company and the managing director, any other director or manager or any other person.
f) the termination, setting aside or modification, of any agreement between the company and any other person, except after due notice and after obtaining the consent of the party concerned.
g) removal of the managing director, manager or any of the directors of the company.
h) recovery of undue gains made by managerial persons
i) appointment of such number of persons as directors, who may be required by the Tribunal to report to the Tribunal as it directs
j) imposition of costs
k) any other matter as determined by the tribunal.

According to Section 242(3), A certified copy of the order of the Tribunal shall be filed by the company with the Registrar within 30 days of the order of the Tribunal.

The Tribunal may, make any interim order also. Where an order of the Tribunal makes any alteration in the memorandum or articles of a company, the company shall not have power, to make any alteration inconsistent with the order.

Concept 6 - Section 243: Termination or modification of certain agreements

According to Section 243(1), Where an order made under Section 242 terminates, sets aside or modifies an agreement,

a) such order shall not give rise to any claims whatever against the company by any person for damages or for compensation for loss of office
b) no managing director or other director or manager whose agreement is so terminated or set aside shall, for a period of 5 years from the date of order, be appointed or act as the managing director or other director or manager of the company, without the approval of the Tribunal.

Provided that the Tribunal shall not grant approval, unless notice of the intention to apply for approval has been served on the Central Government and that Government has been given a reasonable opportunity of being heard in the matter.

Person considered unfit by Tribunal shall not hold any office of director or connected with management of a company for 5 years, unless approved by the Central Government and the Tribunal.

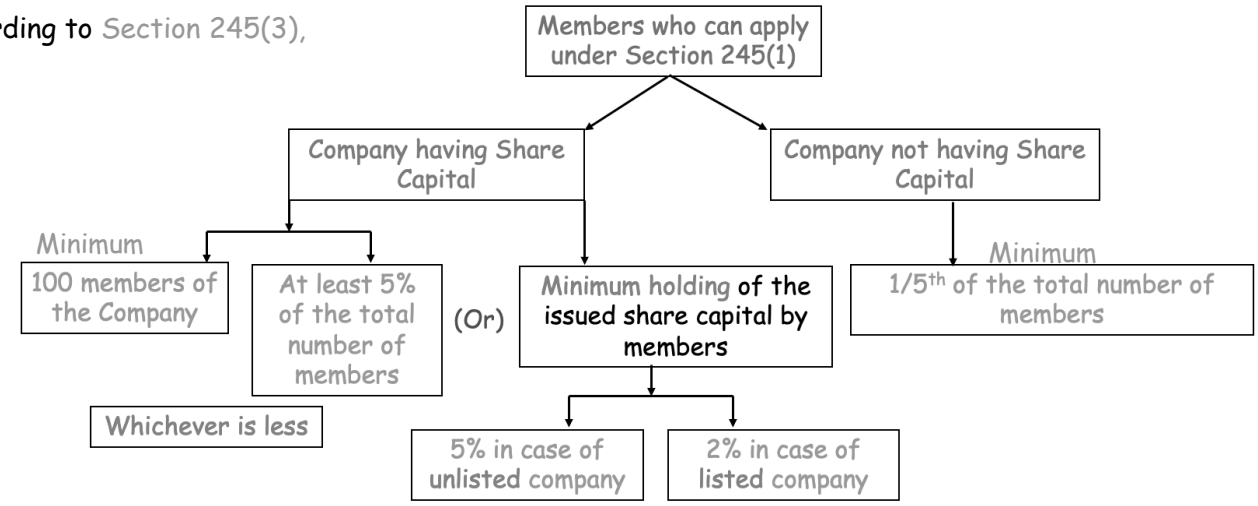
Any person who knowingly acts as a managing director or other director or manager of a company in contravention of this section and every other director of the company who is knowingly a party to such contravention, shall be punishable with fine which may extend to ₹ 5 Lakhs.

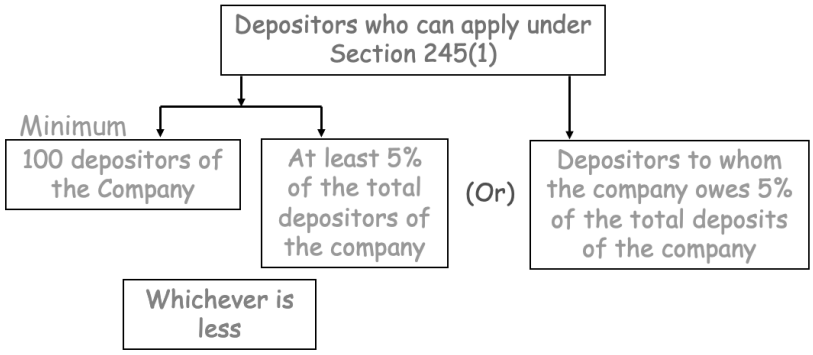
Concept 7 - Section 245: Class Action

According to Section 245(1), Such number of member or members, depositors or any class of them as are indicated in Section 245(2) may, if they are of the opinion that the management or conduct of the affairs of the company are being conducted in a manner prejudicial to the interests of the company or its members or depositors, file an application before the Tribunal on behalf of the members or depositors for seeking all or any of the following orders, namely:

a) to restrain the company
   i) from committing an act which is ultra vires the articles or memorandum
   ii) from committing breach of any provision of the articles or memorandum
   iii) the company and its directors from acting on such resolution.
   iv) from doing an act which is contrary to the provisions of this Act or any other law for the time being in force.
   v) from taking action contrary to any resolution passed by the members.
b) To declare a resolution altering the memorandum or articles of the company as void if the resolution was passed by suppression of material facts or obtained by mis-statement to the members or depositors.
c) to claim damages or compensation or demand any other suitable action from or against:
   i) the company or its directors for any fraudulent, unlawful or wrongful act
   ii) the auditor including audit firm of the company for any improper or misleading statement in his audit report or for any fraudulent, unlawful or wrongful act
   iii) any expert or advisor or consultant or any other person for any incorrect or misleading statement made to the company or for any fraudulent, unlawful or wrongful act
d) to seek any other remedy as the Tribunal may deem fit.

According to Section 245(3),





According to Section 245(5), If an application filed under Sub-Section (1) is admitted, then the Tribunal shall have regard to the following, namely:

a) public notice shall be served on admission of the application to all the members or depositors of the class in such manner as may be prescribed.
a) All similar applications regarding the same concern should be consolidated into a single application
b) two class action applications for the same cause of action shall not be allowed.
c) The cost or expenses connected with the application for class action shall be defrayed by the company or any other person responsible for such oppressive act.

Any order of the Tribunal shall be binding on the company and all its members, depositors and auditor including audit firm or expert or consultant or advisor or any other person associated with the company.

Penalty for failure to comply with the order of Tribunal

a) Any company which fails to comply with an order passed by the Tribunal under this Section shall be punishable with fine which shall not be less than ₹ 5 lakhs but which may extend to ₹ 25 lakhs
b) Every officer of the company who is in default shall be punishable with imprisonment for a term which may extend to 3 years and with fine which shall not be less than ₹ 25,000 but which may extend to ₹ 1 lakh.

Concept 1 - Introduction and Purpose of IBC, 2016

The Insolvency and Bankruptcy Code (IBC) is a comprehensive legislation aimed at revamping the framework for handling insolvency cases of corporate entities, individuals, partnerships, and other entities in India. It replaces a multitude of existing laws and adjudicating forums dealing with financial failure and insolvency, streamlining the process and focusing on creditor-driven resolution. IBC is drafted by Bankruptcy Law Reforms Committee (BLRC). The code came into force on 28th May, 2016.

Objective of the Code/ Purpose of the Code

a) To consolidate and amend the laws relating to reorganisation and insolvency resolution of corporate persons, partnership firms and individuals.
b) To fix time periods for implementation of the code in a time bound manner.
c) To maximise the value of assets of stakeholders
d) to promote entrepreneurship
e) to increase availability of credit
f) to balance the interest of all stakeholders
g) to establish an Insolvency and Bankruptcy Board of India (IBBI) as the regulatory body for the code.

Concept 2 - Applicability of IBC, 2016

The provisions of the code shall apply for insolvency, liquidation, voluntary liquidation or bankruptcy of the following entities:

a) Any companies incorporated under the Companies Act, 2013 or under any previous company law
b) Any other company governed by any special act.
c) Any Limited Liability Partnership.
d) Any other body incorporated under any law for the time being in force.
e) Personal guarantors to corporate debtors
f) Partnership firms and proprietorship firms
g) Individuals.

The code is not applicable to corporates in finance sector, i.e., any financial service provider.

Financial service providers such as banks, financial institutions, insurance companies, asset reconstruction companies, mutual funds, collective investment schemes, or pension funds but applicable to NBFC with an asset size more than or equal ₹ 500 crores.

Concept 3 - Regulatory Mechanism and Bodies

Based on five pillars:

a) Adjudicating Authority (AA), being the National Company Law Tribunal (NCLT) for corporates and Debt Recovery Tribunal (DRT) for non-corporates, where insolvency matters shall be heard and National Company Law Appellate Tribunal (NCLAT) and Debt Recovery Appellate Tribunal (DRAT) will be Appellate Authority.
b) Insolvency and Bankruptcy Board of India. (IBBI).
c) Insolvency Professional Agencies.
d) Insolvency Professionals.
e) Information Utilities.

Concept 4 - Definitions

Corporate Person means:

a) a company as defined under Section 2(20) of the Companies Act, 2013;
b) a Limited Liability Partnership as defined in 2(1)(n) of Limited Liability Act, 2008; or,
c) any other person incorporated with limited liability under any law for the time being in force but shall not include any financial service provider.

Corporate Debtor: means a corporate person who owes a debt to any person.

Financial creditor: means any person to whom a financial debt is owed and includes a person to whom such debt has been legally assigned or transferred to.

Operational debt: means a claim in respect of the provision of goods or services including employment or a debt in respect of the repayment of dues arising under any law for the time being in force and payable to the Central Government, any State Government or any local authority.

Adjudicating Authority: Means National Company Law Tribunal (NCLT)

Corporate applicant means -

a) corporate debtor or
b) a member or partner of the corporate debtor who is authorised to make an application for the corporate IRP under the constitutional document of the corporate debtor or
c) an individual who is in charge of managing the operations and resources of the corporate debtor or
d) a person who has the control and supervision over the financial affairs of the corporate debtor.

Operational creditor: means a person to whom an operational debt is owed and includes any person to whom such debt has been legally assigned or transferred.

Related Party: in relation to a corporate debtor, means-

a) a director or partner or a relative of a director or partner of the corporate debtor.
b) a key managerial personnel or a relative of a key managerial personnel of the corporate debtor.
c) a limited liability partnership or a partnership firm in which a director, partner, or manager of the corporate debtor or his relative is a partner.
d) a private company in which a director, partner or manager of the corporate debtor is a director and holds along with his relatives, more than 2% of its share capital.
e) a public company in which a director, partner or manager of the corporate debtor is a director and holds along with relatives, more than 2% of its paid-up share capital.

Concept 5 - Corporate Insolvency Resolution Process (CIRP)

CIRP can be commenced when a corporate debtor commits a default. The default should be minimum ₹ 1 crore .

5.1 Persons who may initiate Corporate Insolvency Resolution Process (CIRP) (Section 6)

a) Financial Creditors: any person to whom a financial debt is owed & includes a person to whom such debt is legally assigned or transferred to.
b) Operational Creditors: any person to whom a operational debt is owed & includes a person to whom such debt is legally assigned or transferred to.
c) Corporate Debtor: a corporate person who owes a debt to any person.

5.2 Persons not entitled to initiate Corporate Insolvency Resolution Process (CIRP) (Section 11)

a) A corporate debtor undergoing a CIRP.

b) A corporate debtor having completed CIRP 12 months preceding the date making of the application.
c) A corporate debtor or financial creditor who has violated any terms of resolution plan which was approved 12 months preceding the date making of the application.
d) A corporate debtor in respect of whom a liquidation order has been made.

5.3 Initiation of Corporate Insolvency Resolution Process (CIRP) by Financial Creditor (Section 7)

Step 1- Filing of an application before the adjudicating authority

A financial creditor either by itself or jointly with other financial creditors, may file an application for initiating corporate insolvency resolution process against a corporate debtor before the Adjudicating Authority when the default has occurred.

Where the financial debt is in the form of securities or deposits, an application for initiation CIRP against the corporate debtor shall be filed:

- Jointly by not less than 100 of such creditors in the same class; or
- not less than 10% of the total number of such creditors in the same class,

whichever is less.

Step 2 – Enclosures in the Application

a) record of the default recorded with the information utility or such other record or evidence of default
b) the name of the resolution professional proposed to act as an interim resolution professional (IRP)
c) any other information as may be specified by the Board.

Step 3 – NCLT to determine the existence of Default

The Adjudicating Authority shall, within 14 days of the receipt of the application, ascertain the existence of a default from the records of:

- an information utility or
- on the basis of other evidence furnished by the financial creditor.

Provided that if the Adjudicating Authority has not ascertained the existence of default and passed an order within such time, it shall record its reasons in writing for the same.

Step 4 – Order by NCLT

Where the Adjudicating Authority is satisfied that –

a) a default has occurred and the application is complete, and there is no disciplinary proceedings pending against the proposed resolution professional, it may, by order, admit such application; or
b) default has not occurred or the application is incomplete or any disciplinary proceeding is pending against the proposed resolution professional, it may, by order, reject such application.

The Adjudicating Authority shall, before rejecting the application, give a notice to the applicant to rectify the defect in his application within 7 days of receipt of such notice from the Adjudicating Authority.

Step 5 – Commencement of CIRP

The CIRP shall commence from the date of admission of the application.

5.4 Initiation of Corporate Insolvency Resolution Process by Operational Creditor (Section 8 & 9)

Step 1- Serving a demand notice to a Corporate Debtor

An operational creditor may, on the occurrence of a default, deliver a demand notice of unpaid operational debtor copy of an invoice demanding payment of the amount involved in the default to the corporate debtor.

The corporate debtor shall, within a period of 10 days of the receipt of the demand notice, bring to the notice of the operational creditor:

a) existence of a dispute
b) the payment of unpaid operational debt.

Step 2 - Filing of an application before the adjudicating authority

After the expiry of the period of 10 days from the date of delivery of the notice, if the operational creditor does not receive payment from the corporate debtor or notice of the dispute, the operational creditor may file an application before the Adjudicating Authority for initiating a CIRP.

Step 3 - Enclosures in the Application

a) A copy of the demand notice delivered to the corporate debtor
b) An affidavit to the effect that there is no notice given by the corporate debtor relating to a dispute of the unpaid operational debt.
c) a copy of the certificate from the financial institutions maintaining accounts of the operational creditor confirming that there is no payment of an unpaid operational debt by the corporate debtor, if available.
d) a copy of any record with information utility confirming that there is no payment of an unpaid operational debt by the corporate debtor, if available; and

An operational creditor initiating a CIRP, may propose a insolvency professional to act as an interim resolution professional.

Step 4 – NCLT to determine the existence of Default and Pass relevant Order

The Adjudicating Authority shall, within 14 days of the receipt of the application, by an order–

a) admit the application -
   - the application is complete
   - there is no payment of the unpaid operational debt
   - the invoice or notice for payment to the corporate debtor has been delivered by the operational creditor
   - no notice of dispute has been received by the operational creditor and
   - there is no disciplinary proceeding pending against any resolution professional proposed, if any.
b) reject the application –
   - the application is incomplete
   - there has been payment of the unpaid operational debt
   - the creditor has not delivered the demand notice to the corporate debtor
   - notice of dispute has been received by the operational creditor and
   - any disciplinary proceeding pending against any resolution professional proposed, if any.

The Adjudicating Authority shall, before rejecting the application, give a notice to the applicant to rectify the defect in his application within 7 days of receipt of such notice from the Adjudicating Authority.

Step 5 – Commencement of CIRP

The CIRP shall commence from the date of admission of the application.

5.5 Initiation of Corporate Insolvency Resolution Process by Corporate Applicant (Section 10)

Step 1 - Filing of an application before the adjudicating authority

Where a corporate debtor has committed a default, a corporate applicant may file an application for initiating CIRP with the Adjudicating Authority.

Step 2 - Enclosures in the Application

The corporate applicant shall, along with the application, furnish-

a) the information relating to its books of account and such other documents
b) the information relating to the resolution proposed to be appointed as an interim resolution professional; and
c) the special resolution passed by shareholders of the corporate debtor or the resolution passed by at least 3/4th of the total number of partners of the corporate debtor, as the case may be, approving filing of the application.

Step 3 – NCLT to determine the existence of Default and Pass relevant Order

The Adjudicating Authority shall, within a period of 14 days of the receipt of the application, by an order-

a) admit the application, if it is complete and no disciplinary proceeding is pending against the proposed resolution professional; or
b) reject the application, if it is incomplete or any disciplinary proceeding is pending against the proposed resolution professional:

Adjudicating Authority shall, before rejecting an application, give a notice to the applicant to rectify the defects in his application within 7 days from the date of receipt of such notice from the Adjudicating Authority.

Step 4 – Commencement of CIRP

The CIRP shall commence from the date of admission of the application.

5.6 Time-limit for Completion of CIRP

a) The CIRP shall be completed within a period of180 days from the date of admission of the application to initiate such process.
b) The resolution professional shall file an application to the Adjudicating Authority to extend the period of the CIRP beyond 180 days, if instructed to do so by a resolution passed at a meeting of the committee of creditors by a vote of 66% of the voting shares.
c) On receipt of an application, if the Adjudicating Authority is satisfied that CIRP cannot be completed within 180 days, it may by order extend the duration of such process beyond 180 days by such further period, but not exceeding 90 days. Provided that any such extension shall not be granted more than once.
d) CIRP shall mandatorily be completed within a period of 330 days from the insolvency commencement date, including any extension of the period of CIRP granted and the time taken in legal proceedings in relation to such resolution process of the corporate debtor.

Concept 6 – Withdrawal of Application admitted

Before the constitution of CoC: IRP to apply within 3 days of its receipt from the applicant

After the constitution of CoC: If CoC approves with 90% voting share, the CoC shall consider within 7 days of its receipt from the applicant. IRP/ RP to apply within 3 days of its approval by the CoC.

Concept 7 – Moratorium and Public Announcement

The Adjudicating Authority, after admission of application, shall by an order—

a) declare a moratorium under section 14;
b) cause a public announcement of the initiation of CIRP and call for the submission of claims, and
c) appoint an interim resolution professional (IRP).

Public Announcement shall be made immediately after appointing the IRP.

In layman's language, Moratorium is a delay or suspension of an activity. In a legal context, it may refer to the temporary suspension of a law to allow a legal challenge to be carried out.

The Adjudicating Authority shall by order, declare moratorium prohibiting all of the following, acts—

a) the institution of suits or continuation of pending suits or proceedings against the corporate debtor including execution of any judgment, decree or order in any court of law, tribunal, arbitration panel or other authority.
b) transferring, encumbering, alienating or disposing of by the corporate debtor any of its assets or any legal right or beneficial interest.
c) any action to foreclose, recover or enforce any security interest created by the corporate debtor in respect of its property including any action under the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002.
d) the recovery of any property by an owner or lessor where such property is occupied by or in the possession of the corporate debtor.

The supply of essential goods or services to the corporate debtor as may be specified shall not be terminated or suspended or interrupted during moratorium period.

Duration of Moratorium Order

a) Effective Period: From date of order until completion of CIRP
b) Cessation: Upon approval of resolution plan or liquidation order.

Concept 8 - Appointment of Interim Resolution Professional (IRP)

a) Adjudicating authority shall appoint an IRP on the insolvency commencement date.
b) For applications by financial or corporate creditors, the proposed resolution professional will be appointed as IRP.
c) Provided no disciplinary proceedings are pending against the proposed RP and no other RP is proposed.
d) The term of IRP shall continue till the date of appointment of the Resolution Professional (RP).

Concept 9 - Management of Affairs by IRP

Suspension of the powers of Board of Directors of Corporate Debtor

From the date of appointment of the interim resolution professional, -

a) the management of the affairs of the corporate debtor shall vest in the IRP.

b) the powers of the board of directors or the partners of the corporate debtor , shall stand suspended and be exercised by the IRP.
c) the officers and managers of the corporate debtor shall report to the IRP and provide access to such documents and records of the corporate debtor.
d) the financial institutions maintaining accounts of the corporate debtor shall act on the instructions of the IRP and furnish all information relating to the corporate debtor.

IRP to run the Corporate Debtor as Going Concern.

Concept 10 - Duties of IRP

a) Collect all information related to assets, finances, and operations, including:
   - Business operations for the previous 2 years.
   - Financial and operational payments for the previous 2 years.
   - List of assets and liabilities as on the initiation date.
   - Any other specified matters.
b) Receive and collate claims submitted by creditors.
c) Constitute the Committee of Creditors (COC).
d) Monitor assets and manage operations until a resolution professional is appointed by the COC.
e) File collected information with the information utility if necessary.
f) Take control and custody of assets over which the corporate debtor has ownership rights, as recorded in:
   - Balance sheet.
   - Information utility.
   - Depository of securities.
   - Any other registry that records ownership of assets.
g) Perform other duties as specified by the Board.
h) Corporate debtor's personnel, promoters, and others associated with management must assist and cooperate with the IRP.
i) If cooperation is not provided, the IRP can apply to the NCLT for directions. The NCLT will issue appropriate orders.

Concept 11 - Committee of Creditors (CoC)

Composition of CoC:

a) Includes all financial creditors of the corporate debtor, except if the creditor or representative is a defaulter under the Act.
b) Each financial creditor in an agreement is part of the CoC, with voting share determined by their financial debts.
c) Related parties to whom the corporate debtor owes financial debt have no right of representation, participation, or voting.

If a person is both a financial and operational creditor, they're included as a financial creditor to the extent of financial debt and as an operational creditor to the extent of operational debt. Decisions require a vote of at least 51% of the voting share of financial creditors.

Powers and Rights of CoC

a) Can require the resolution professional to provide financial information related to the corporate debtor at any time.

b) Resolution professional must comply within 7 days of the requisition.

Concept 12 - Appointment of Resolution Professional

a) The first meeting of the committee of creditors shall be held within 7 days of the constitution of the committee of creditors.
b) The Committee of Creditors in the first meeting by majority vote of not less than 66% of the Voting Share of the Financial Creditors either-
   - resolve to appoint the interim resolution professional (IRP) as a Resolution Professional (RP), or
   - to replace the interim resolution professional by another Resolution Professional.
c) Where the committee of creditors resolves –
   i) to continue the IRP as the RP, it shall:
      - obtain the written consent of the IRP, and
      - communicate its decision to the IRP, the corporate debtor, and the Adjudicating Authority; or
   ii) to replace the IRP, it shall:
      - file an application before the Adjudicating Authority for appointment of the proposed RP, and
      - submit the written consent of the proposed RP.
d) The Adjudicating Authority shall forward the name of the resolution professional proposed to IBBI for its confirmation and shall make such appointment after confirmation by the IBBI.
e) Conduct of CIRP:
   - The resolution professional conducts process and manages the corporate debtor's operations.
   - The resolution professional exercises powers and performs duties as vested in the IRP.

Transfer of Information: If a new resolution professional is appointed, the IRP provides all information, documents, and records pertaining to the corporate debtor.

Concept 13 - Meeting of Committee of Creditors

a) Members may convene in person or through specified electronic means.
b) Conducted by the resolution professional.
c) Notice sent to:
   - Members of the COC.
   - Members of the suspended BOD or partners of the corporate persons.
   - Operational creditors or representatives if aggregate dues is not less than 10% of the debt.
d) Directors, partners, and one representative of operational creditors may attend but cannot vote.
e) Any creditor member can appoint an insolvency professional, other than the resolution professional, to represent them.
f) Each creditor votes according to their assigned voting share based on financial debts, determined by the Insolvency Professional as specified by the Board.

Concept 14 - Duties of Resolution Professional

It shall be the duty of the resolution professional to preserve and protect the assets of the corporate debtor, including the continued business operations of the corporate debtor.
The resolution professional shall undertake the following actions to protect the assets of the corporate debtor, namely:

- take immediate custody and control of all the assets of the corporate debtor, including the business records of the corporate debtor
- represent and act on behalf of the corporate debtor with third parties, exercise rights for the benefit of the corporate debtor
- raise interim finances subject to the approval of the committee of creditors
- appoint accountants, legal or other professionals in the manner as specified by Board
- maintain an updated list of claims
- convene and attend all meetings of the committee of creditors
- prepare the information memorandum
- present all resolution plans at the meetings of the committee of creditors, etc.

The resolution professional (RP) must seek prior approval of the CoC, with at least 66% voting in favour, in the following cases outlined in Section 28

a) raise any interim finance.
b) create any security interest over the assets of the corporate debtor.
c) change the capital structure of the corporate debtor.
d) give instructions to financial institutions maintaining accounts of the corporate debtor for a debit transaction.
e) undertake any related party transaction
f) amend any constitutional documents of the corporate debtor.
g) dispose of or permit the disposal of shares of any shareholder of the corporate debtor or their nominees to third parties.
h) make any change in the management of the corporate debtor or its subsidiary.
i) transfer rights or financial debts or operational debts under material contracts otherwise than in the ordinary course of business.
j) make changes in the appointment or terms of contract of statutory auditors or internal auditors of the corporate debtor.

Concept 15 - Preparation of Information Memorandum (Section 29)

Responsibility of Resolution Professional is to prepare an information memorandum as specified by the Board which contains relevant information for formulating a resolution plan. Resolution professional can appoint a resolution applicant who will submit a resolution plan. Provide access to all relevant information, physical and electronic, to the resolution applicant.

Persons Who Cannot be Resolution Applicants

a) Is an undischarged insolvent.
b) Is a wilful defaulter
c) Has an account or controls an account classified as Non-Performing Asset (NPA).
d) Has been convicted for an offence punishable with imprisonment for:
   i) 2 years or more for offences under the 12th Schedule of the Code.
   ii) 7 years or more under any law.

   Provided that this clause shall not apply to a person after the expiry of a period of 2 years from the date of his release from imprisonment
e) Is disqualified to act as a director under the Companies Act, 2013.
f) Is prohibited by the SEBI from trading in securities or accessing the securities markets.
g) Has been involved in management or control of a corporate debtor with preferential,

undervalued, or fraudulent transactions.

h) Has executed a guarantee in favour of a creditor in respect of a corporate debtor and remains unpaid.
i) Has been subject to any similar disability under any law in a jurisdiction outside India.
j) Has a connected person not eligible under clauses (a) to (i).

Undertakings by Resolution Applicant:

- Maintain confidentiality.
- Protect any intellectual property of the corporate debtor.
- Not share relevant information with third parties unless confidentiality and intellectual property protection are ensured.

Concept 16 - Submission and Approval of Resolution Plan by Resolution Applicant (Section 30)

Resolution applicant submits a resolution plan, accompanied by an affidavit of eligibility, to the resolution professional. Plan is prepared based on the information memorandum.

Contents of Resolution Plan:

a) Provision for payment of CIRP costs prioritized over other debts.
b) Payment provision for operational creditors, not less than in a liquidation scenario.
c) Management of corporate debtor's affairs post-approval.
d) Implementation and supervision of the resolution plan.
e) Compliance with all legal provisions and other requirements specified by the Board.

CIRP Cost includes:

a) Amount of interim finance and costs incurred in raising such finance.
b) Fees payable to the resolution professional.
c) Costs incurred by the resolution professional in running the business of the corporate debtor.
d) Costs borne by the Government to facilitate the IRP.
e) Any other costs specified by the Board.

Submission to AA: Upon COC approval by a vote of not less than 66% of the voting share of financial creditors, the resolution professional submits the plan to the AA.

Concept 17 - Approval of Resolution Plan by Adjudicating Authority

AA assesses if the resolution plan meets the Code's requirements. If satisfied, the Authority approves the resolution plan by order. The approved plan binds the parties involved. If the plan is rejected, the liquidation process commences.

Concept 18 - Liquidation of a Corporate Debtor

The AA, under certain circumstances, may order the liquidation of a corporate debtor if:

1) No Resolution Plan is Received or Rejected: If the AA does not receive a resolution plan within the specified period or rejects the resolution plan due to non-compliance, it shall:
   a) Pass an order for the liquidation of the corporate debtor.
   b) Issue a public announcement stating that the corporate debtor is in liquidation.
   c) Ensure that the order is sent to the relevant authority.

d) If the resolution professional intimates the AA of the approval by at least 66% of voting share to liquidate the corporate debtor before the confirmation of the resolution plan, the AA shall pass a liquidation order.

2) Committee Decision to Liquidate: The COC may decide to liquidate the corporate debtor at any time before the confirmation of the resolution plan.
3) Contravention of Approved Resolution Plan: If the resolution plan approved by the AA is contravened by the corporate debtor, any affected person may apply to the AA for a liquidation order.

Concept 19 - After liquidation order:

No suit or legal proceeding can be initiated by or against the corporate debtor, except with the prior approval of the AA, which may be granted for proceedings initiated by the liquidator. The resolution professional appointed for the CIRP becomes the liquidator unless replaced by AA. All powers of the BOD, KMP, and partners of the corporate debtor are vested in the liquidator. The personnel of the corporate debtor are required to cooperate with the liquidator.

Concept 20 – Section 35: Powers and Duties of Liquidator

a) Verifying the claims of all creditors.
b) Taking into custody or control all assets, property, effects, and actionable claims.
c) Evaluating the assets and property of the corporate debtor.
d) Taking measures to protect and preserve the assets and properties.
e) Carrying on the business of the corporate debtor for its beneficial liquidation as deemed necessary.
f) Selling properties and actionable claims, except to ineligible resolution applicants.
g) Drawing, accepting, making, and endorsing any negotiable instruments.
h) Obtaining letter of administration for any deceased contributory and undertaking other necessary acts for obtaining payment from a contributory or their estate.
i) Seeking professional assistance or appointing professionals as deemed necessary.
j) Inviting and settling claims of creditors and claimants and distributing proceeds in accordance with the provisions of the Insolvency and Bankruptcy Code.

Concept 21 – Section 36: Liquidation Estate

The liquidator shall form an estate of the assets mentioned below, which will be called the liquidation estate in relation to the corporate debtor.

Assets which form part of Liquidation Estate

The liquidation estate shall comprise all liquidation estate assets which shall include the following: -

a) any assets over which the corporate debtor has ownership rights.
b) assets that may or may not be in possession of the corporate debtor including but not limited to encumbered assets.
c) tangible assets, whether movable or immovable
d) intangible assets including but not limited to intellectual property, securities and financial instruments, insurance policies, contractual rights;
e) assets subject to the determination of ownership by the court or authority, etc.

Assets which do not form part of Liquidation Estate

The following shall not be included in the liquidation estate assets and shall not be used for recovery in the liquidation: -

a) assets owned by a third party which are in possession of the corporate debtor, including-
   - assets held in trust for any third party;
   - bailment contracts;
   - all sums due to any workmen or employee from the provident fund, the pension fund and the gratuity fund;
   - other contractual arrangements which do not stipulate transfer of title but only use of the assets.
   - Such other assets as may be notified by the central government
b) assets in security collateral held by financial services providers and are subject to netting and set-off in multi-lateral trading or clearing transactions.
c) personal assets of any shareholder or partner of a corporate debtor as the case may be provided such assets are not held on account of avoidance transactions.
d) assets of any Indian or foreign subsidiary of the corporate debtor
e) any other assets specified by the Board.

Concept 22 – Section 37: Liquidator has powers to access information

The liquidator shall have the power to access any information from the following specified sources:

a) an information utility.
b) credit information systems regulated under any law for the time being in force.
c) any agency of the Central, State or Local Government including any registration authorities.
d) information systems for financial and non-financial liabilities regulated under any law for the time being in force.
e) information systems for securities and assets posted as security interest regulated under any law for the time being in force.
f) any database maintained by the Board, and
g) any other source as may be specified by the Board.

The creditors may ask for any financial information relating to the corporate debtor which has to be provided within a period of 7 days or provide reasons for not providing such information.

Concept 23 – Section 38: Ascertaining claims against corporate debtor – Consolidation of Claims

1) The liquidator shall receive or collect the claims of creditors within a period of 30 days from the date of the commencement of the liquidation process.
2) A financial creditor may submit a claim to the liquidator by providing a record of such claim with an information utility.
   Provided that where the information relating to the claim is not recorded in the information utility, the financial creditor may submit claim with supporting documents to prove the claim.
3) An operational creditor may submit a claim to the liquidator in manner, along with supporting documents as may be specified by the Board.
4) A creditor who is partly a financial creditor and partly an operational creditor shall submit claims to the liquidator to the extent of his financial debt in the manner provided in Section 38(2) and to the extent of his operational debt under Section 38(3).
5) A Creditor may withdraw or vary his claim within 14 days of its submission.

Concept 24 – Section 40: Admission or reaction of claims by liquidator

1) The liquidator may, after verification of claims, either admit or reject the claim, in whole or in part. If the liquidator rejects a claim, he shall record in writing the reasons for such rejection.
2) The liquidator shall communicate his decision of admission or rejection of claims to the creditor and corporate debtor within 7 days of such admission or rejection of claims, which may be appealed within 14 days.

Concept 25 – Section 43: Avoidance of preferential transactions by liquidator

Where the liquidator or the resolution professional as the case may be, is of the opinion that the corporate debtor has at a relevant time given a preference in such transactions, he shall apply to the Adjudicating Authority for avoidance of preferential transactions and for, one or more of the orders referred to in section 44.

Corporate debtor shall be deemed to have given a preference, if—

a) there is a transfer of property or an interest of the corporate debtor for the benefit of a creditor or a surety or a guarantor for or on account of an antecedent financial debt or operational debt or other liabilities owed by the corporate debtor and
b) the above transfer has the effect of putting such creditor or a surety or a guarantor in a beneficial position than it would have been in the event of a distribution of assets being made in accordance with Section 53.
c) Even if any transfer is made in pursuance of the order of a court, such transfer can be held to be deemed as giving of preference by the corporate debtor, if aforesaid circumstances exist.

Concept 26 – Section 44: Order of Adjudicating Authority in case of preferential transactions

On an application made by the resolution professional or liquidator under Adjudicating Authority can pass any of following orders:

1) require any property transferred in connection with the giving of the preference to be vested in the corporate debtor.
2) require any property to be so vested if it represents the application either of the proceeds of sale of property so transferred or of money so transferred.
3) release or discharge (in whole or in part) of any security interest created by the corporate debtor.
4) require any person to pay such sums in respect of benefits received by him from the corporate debtor.
5) direct any guarantor, whose financial debts or operational debts owed to any person were released or discharged (in whole or in part) by the giving of the preference, to be under such new or revived financial debts or operational debts to that person as the Adjudicating Authority deems appropriate.
6) direct for providing security or charge on any property for the discharge of any financial debt or operational debt under the order, and such security or charge to have the same priority as a security or charge released or discharged wholly or in part by the giving of the preference, and
7) direct for providing the extent to which any person whose property is so vested in the corporate debtor, or on whom financial debts or operational debts are imposed by the order, are to be proved in the liquidation or the corporate insolvency resolution process for financial debts or

operational debts which arose from, or were released or discharged wholly or in part by the giving of the preference.

The authority shall not consider any transfer as "not acquired" in good faith, unless circumstances prove so.

Concept 27 – Section 45, 46 & 47

Section 45 - Avoidance of Undervalued transaction

If the liquidator or the resolution professional, determines that certain transactions were made during the relevant period which were undervalued, he shall make an application to the Adjudicating Authority to declare such transactions as void.

A transaction shall be considered undervalued where the corporate debtor —

a) makes gift to a person; or
b) enters into a transaction with a person which involves the transfer of one or more assets by the corporate debtor for a consideration, the market value of which is significantly less than the value of the consideration provided by the corporate debtor.

and such transaction has not taken place in the ordinary course of business of the corporate debtor.

Section 46 – Relevant Period for avoidable transactions.

In an application for avoiding a transaction at undervalue, the liquidator or the resolution professional, as the case may be, shall demonstrate that –

a) such transaction was made with any person within the period of 1 year preceding the insolvency commencement date; or
b) such transaction was made with a related party within the period of 2 years preceding the insolvency commencement date.

Section 47 - Application by creditor in cases of undervalued transactions

If not reported by liquidator/RP, application can also be made by a creditor, member or a partner of a corporate debtor to declare such transactions as void, where the Adjudicating Authority shall pass suitable orders as deemed fit.

Concept 28 – Section 49: Transactions defrauding Creditors

Where the Adjudicating Authority is satisfied that the transaction was done -

a) for keeping assets of the corporate debtor beyond the reach of any person who is entitled to make a claim against corporate debtor or
b) in order to adversely affect the interests of such a person in relation to the claim,

the Adjudicating Authority shall make an order—

(i) restoring the position as it existed before such transaction
(ii) protecting the interests of persons who are victims of such transactions.

Concept 29 – Section 52: Secured Creditors in Liquidation proceedings

1) A secured creditor in the liquidation proceedings may—
   (i) relinquish its security interest to the liquidation estate and receive proceeds from the sale of assets by the liquidator in the manner specified in Section 53; or
   (ii) realise its security interest in the manner specified in this Section.
2) Where the secured creditor realises security interest he shall inform the liquidator and identify the asset to be realised, then the liquidator shall verify such security interest and permit the secured creditor to realise only such security interest which are relevant.

3) A secured creditor may enforce, realise, settle, compromise or deal with the secured assets in accordance with such law as applicable to the security interest being realised and to the secured creditor and apply the proceeds to recover the debts due to it.
4) If any secured creditor faces resistance from the corporate debtor or any person connected therewith in taking possession of, selling or otherwise disposing off the security, the secured creditor may make an application to the Adjudicating Authority to facilitate the secured creditor to realise such security interest.
5) Where the enforcement of the security interest under 2), yields an amount by way of proceeds which is in excess of the debts due to the secured creditor, the secured creditor shall—
   (i) account to the liquidator for such surplus and
   (ii) tender to the liquidator any surplus funds received from the enforcement of such secured assets.

Concept 30 – Section 53: Distribution of Assets

The proceeds from the sale of the liquidation assets shall be distributed in the following order of priority and within such period and in such manner as may be specified, namely:—

a) the insolvency resolution process costs and the liquidation costs paid in full;
b) the following debts which shall rank equally between and among the following:—
   (i) workmen's dues for the period of 24 months preceding the liquidation commencement date and
   (ii) debts owed to a secured creditor in the event such secured creditor has relinquished security under Section 52.
c) wages and any unpaid dues owed to employees other than workmen for the period of 12 months preceding the liquidation commencement date;
d) financial debts owed to unsecured creditors;
e) the following dues shall rank equally between and among the following:—
   (i) any amount due to the Central Government and the State Government including the amount to be received on account of the Consolidated Fund of India and the Consolidated Fund of a State, if any, in respect of the whole or any part of the period of 2 years preceding the liquidation commencement date;
   (ii) debts owed to a secured creditor for any amount unpaid following the enforcement of security interest;
f) Any remaining debts and dues
g) preference shareholders, if any; and
h) equity shareholders or partners, as the case may be.

Concept 31 – Section 54: Dissolution of Corporate Debtors

1) Where the assets of the corporate debtor have been completely liquidated, the liquidator shall make an application to the Adjudicating Authority for the dissolution of such corporate debtor.
2) The Adjudicating Authority shall on application filed by the liquidator under Sub-section (1) order that the corporate debtor shall be dissolved from the date of that order and the corporate debtor shall be dissolved accordingly.
3) A copy of an order under Sub-section (2) shall within 7 days from the date of such order, be forwarded to the authority with which the corporate debtor is registered.

Concept 32 - Personal Insolvency - Insolvency Process of Individuals and Partnership

Bankruptcy Application:

a) A creditor can apply for bankruptcy against an individual or partnership:

- for defrauding a creditor.
- for rejection of a repayment plan.
- for non-satisfaction of debt under a repayment plan.

b) The application must be submitted within 3 months of the order with necessary documentation.
c) Secured and unsecured debts are treated separately.
d) The creditor may propose an Insolvency Professional (IP) as the bankruptcy trustee.
e) The application cannot be withdrawn without permission from the adjudicating authority.

Effect of Application:

a) An interim moratorium begins on the application date, halting all litigation against the debtor until the insolvency commencement date.
b) No new litigation can be initiated during the interim moratorium unless specified by a government notification.

Insolvency Professional (IP):

a) The Adjudicating Authority (AA) may confirm or reject the proposed IP. If none is proposed, the AA requests a nomination from the Board within 7 days and the Board shall nominate within 10 days.
b) The Committee of Creditors (COC) can replace the Bankruptcy Trustee (BT) with 75% voting and consent from the Board and AA.

Adjudication Procedure:

a) The AA sends notice to creditors within 10 days, asking them to submit claims. A public notice is also issued.
b) Creditors must register their claims within 7 days, and the BT must create a list of creditors within 14 days.
c) A meeting of creditors is held within 21 days of the bankruptcy commencement date to form the COC.

Completion of Administration: Upon distribution of assets and settling claims, the BT must submit a detailed report to the COC for approval. The BT must apply for release from AA within 7 days of receiving COC approval.

Order of Bankruptcy: The AA issues a confirmation order within 14 days of the trustee's confirmation, valid until the debt is discharged. Creditors are barred from taking legal action against the debtor's assets.

Discharge of Bankruptcy Trustee (BT): The BT is discharged from duties upon the release order by the AA. The bankrupt individual is released from all debts, though orders can be modified if affected parties apply.

Disqualification/Restrictions on the Bankrupt:

During bankruptcy, bankrupt, shall:

a) not be appointed as trustee, public servant, election of local authority,
b) not to act as director, taking part in formation of companies,
c) disclose in all transaction about the bankruptcy proceedings,
d) travel overseas

The functions, powers of the BT and the process to be followed is similar to liquidation process of corporate.

Concept 33 – Adjudicating Authority

Debt Recovery Tribunal serves as the Adjudicating Authority, functioning as a court under the Civil Procedure Code. Civil courts have no jurisdiction, and decisions of the Tribunal can be appealed to the Debt Recovery Appellate Tribunal within 15 days, with further appeal to the Supreme Court on questions of law.

Concept 1 – Introduction

Corporate governance refers to the process of managing a company's affairs with fairness, honesty, and good practices, ensuring the interests of all stakeholders are balanced. To qualify as a well-governed company, it must implement checks and balances between shareholders, directors, auditors, and others. Corporate governance is more than just a legal requirement; it reflects the ethical way a business operates. While legal compliance is necessary, uniform governance practices allow stakeholders to compare companies effectively.

Over time, the focus of corporate governance has shifted from solely profit-making to a broader stakeholder approach, including employees, society, the government, customers, creditors, and financiers. This marks a shift from traditional management to governance-focused corporate management.

Concept 2 - Objectives of Corporate Governance

a) Ensuring the company satisfies stakeholders by balancing conflicting interests.
b) Adopting transparent, logical, and justifiable policies that impact stakeholders across all management areas.
c) Maintaining an ideal composition of the board of directors to ensure independent decision-making, now regulated under LODR.
d) Making optimal use of company resources, which belong to shareholders, employees, customers, and financiers.
e) Reducing risks through effective risk management and due diligence.
f) Building a strong relationship of trust between the company and its stakeholders, thereby enhancing the company's value.

Concept 3 - Features of corporate governance (CG)

a) Transparency: Corporate Governance serves as a tool requiring companies to disclose their affairs to stakeholders at every stage. This opposes the suppression of material facts for the sole benefit of shareholders.
b) Prudent and Participative Management: Management must utilize its knowledge and intelligence for the benefit of all stakeholders, demonstrating wisdom and prudence in decision-making.
c) Enhancing Value of the Enterprise: Companies should aim for continuous growth to satisfy stakeholders. Value can be measured in monetary terms or through reputation, image, and goodwill. Well-governed companies build trust and enhance business performance, leading to increased profits and enterprise valuation.
d) Accountability: Success and accountability must go hand in hand. Companies must be accountable to all stakeholders, including customers, creditors, shareholders, and employees, rather than focusing on one group.
e) Innovation: Encouraging new ideas and approaches is essential for growth and sustainability. The governance structure should promote innovation to enhance the company's value.
f) Professionalism and Specialization: Professionalism entails that jobs are not compromised at any level, and there should be no conflict of interest between directors' duties and personal gain. Competence is vital, requiring adequate domain knowledge and experience.

g) Stakeholder Recognition: All stakeholders should be acknowledged and respected, as each contributes to the company's success and growth.

Concept 4 - Ethics and Corporate Governance

Ethics	Corporate Governance
The values and principles considered as foundation. It relates to the inner self of an individual which reflects at the workplace.	The method of governance should be with ethical values but is the methods which are important.
Applies at all levels. A manager has to be honest at every level.	Normally applies at top level, corporate policies and procedures are made at higher level only.
Emerges naturally	Needs to be studied and experienced. There are established guidelines on these issues which have emerged in course of time.
Regulations are not important	Regulations are important as it needs strict compliance. In most of the countries, corporate governance is regulated.

Concept 5 – Management and Corporate Governance

Management	Corporate Governance
Objects and targets are considered as foundation	The method of governance with ethical values
Applies at all levels	Applies at top level
Emerges with situation. In every situation management strategies are to be decided and implemented.	Need to study and experience
Regulations not important. Organisation can have its own rules. However, rules of law has to be followed.	Regulations are important
Results are more important than the methodology of achieving the result	Methodology of achieving results are more important than results

Concept 6 – Emergence & Evolution of Corporate Governance

1) Instances of corporate failures: Last two decades have witnessed various corporate failures of some of the reputed and large companies which has resulted to mistrust by the stakeholders on companies in general.
2) Some of the big failures are xerox, Enron, Global Crossing, WorldCom, MS shoes, Harshad Mehta case, Satyam case etc.
3) Rise of institutional investors who are bothered about the company and investment;
4) Increased number of retail investor want various information;
5) Opening of company information in public domain;
6) Regulatory requirements: many regulations apply on ethical and governance issues.
7) Justifying values to wide range of stakeholders

8) Non-compliance of regulations becomes a vital disadvantage in assessment of governance level.
9) Disconnect with stakeholders is considered to be a bad practice.
10) Abnormal volatility in share prices gives rise to speculation about good and bad management practices and outsiders are interested to know about the happenings of company.

Concept 7 - Benefits of Corporate Governance

a) Better governed company is essential for growth and stabilization
b) Reputation of the company will enhance.
c) Better use of funds of the company
d) Better management of resources which are available to the company.
e) Better governed ensures long term and steady growth.
f) Establishing stakeholders confidence
g) Leverage of competitive advantages
h) Alliances with other companies are easy as others are interested to be associated with your company.

Concept 8 - Theories Corporate Governance through Board Management

Stewardship theory: Directors are regarded as stewards of the company's assets. They decide what is to be done and drive the people of the company

Agency theory: directors are considered to be agents of the shareholders and are supposed to run the company for best interest of the shareholders

Stakeholder theory: This theory considers wide inclusion of stakeholders, other than shareholders. Hence the directors need to keep a balance between the interests of various stakeholders.

Trusteeship theory: The directors are the persons who are given the authority to run the business by the shareholders which may be a huge amount of money. The relationship of trust is very important for performance by directors who take major decisions of the company.

Concept 9 – Recommendations of Committees on Corporate Governance

Several committees have contributed to the development of corporate governance in India, taking inspiration from international frameworks such as the Cadbury Committee in the USA. Below are the key recommendations from four significant committees:

The Cadbury Committee (USA)

The Adrian Cadbury Committee was set up by the Security and Exchange Commission (SEC) of USA to recommend desirable corporate disclosures.
Recommendations

(i) Only listed company should constitute audit committees and such disclosure should be made in Annual Report.
(ii) External auditor and finance director should attend the meeting of the audit committees. Other Board members may also have the right to attend.

(iii) Audit Committee should discuss with the external auditor about the scope of audit, co-ordinate where more than one audit firm is engaged. It should be involved up to review audit, audit engagement letter, recommendations of the auditors etc.

(iv) Audit Committee shall also review the half yearly and annual financial statements before submission to the Board.

(v) The committee should have authority to investigate any matter within its terms of reference and shall have full access to information and it should be free to obtain external professional advice.

(vi) Chairman of the Audit Committee should be available to answer question about its working at the Annual General Meeting of the company

Rahul Bajaj Committee (India)

Confederation of Indian Industry constituted a committee to recommend desirable corporate governance practices chaired by none other than Mr. Rahul Bajaj. It is not clear whether the inspiration was the Cadbury Committee. Whatever it may be, this committee made a breakthrough in India on the subject in the most formal way.

Recommendations

a) Audit Committees Requirement: Only listed companies with a turnover of ₹ 100 crores and paid-up capital of ₹ 20 crores whichever is less should set up audit committees within 2 years after reaching the threshold.

b) Board Assistance: The audit committee should assist the board for effective supervision of the financial reporting process.

c) Quality Assurance: The committee should interact with statutory and internal auditors to ascertain the quality of the company accounts.

K.R. Chandratre Committee (India)

Though the Committee was not on Corporate Governance, it made provision for audit committees for proper corporate governance. Dr. K. R. Chandratre, one of the reputed expert on Company Law in the country was appointed chairman of the committee to draft a new Companies Act in the form of Companies Bill which would replace the existing Companies Act, 1956. The said Companies Bill, (1977) have been given to the Government. It has suggested many important changes , some of which have been accepted and incorporated in recent amendment in the Companies Act, 1956.

Recommendations

(i) Audit Committees requirements : Companies with paid up capital of ₹ 5 crores should have audit committee and the constitution of such committee should be disclosed in annual report.

(ii) Meeting Participation: Auditors, Chief Accounts Officer, Internal Auditor, if any, and director in charge of finance shall attend and participate at the meeting but shall not vote.

(iii) Internal Controls: Audit Committee should have discussions with auditors periodically about internal control systems; the scope of audit including the observations of the auditors and review of the half yearly and annual financial statements before submission to the Board.

(iv) Authority: Audit Committee shall have authority to investigate any matter either on its own or on reference by Board and shall have full access to information contained in the records of the company. It can also seek external professional advice.

(v) Chairman of the Audit Committee shall be present in annual general meeting of the company to provide any clarification on matters relating to audit.

(vi) Punishment have been provided for non-compliance which includes imprisonment.

Kumarmangalam Birla Committee (India)

Kumarmangalam Committee was set up by SEBI and is different from the previous three. Alike previous committees, it has not taken audit committee only as basis of corporate governance.

a) Board Composition: Representatives of Financial Institution & Investment Institution should not be part of the board unless there's a default. Investing institutions may raise their voice as shareholder only.
b) Independence: At least half of the board of directors must be independent but if the chairman is non-executive, 1/3rd must be independent.
c) Audit Committee Requirement: Companies with a capital of ₹10 crores and net worth of ₹25 crores must adhere to guidelines by April 2000, and small companies by April 2001.
d) Composition: An audit committee should be set up to enhance the credibility of the financial disclosures of the company and promote transparency. The audit committees should have a minimum of three non-executive directors, majority of them independent. At least one director should have financial and accounting knowledge. The committees should meet at least three times a year
e) Financial Disclosures: The audit committee is responsible for investigating financial defaults and promoting transparency in disclosures.
f) Remuneration Committee: This committee is responsible for determining executive directors' remuneration packages.
g) A committee should be formed to study investor complaints.
h) Annual Reporting: Companies must include a separate section on corporate governance compliance in their annual reports.

Conclusion

The recommendations from these committees emphasize the importance of audit committees as the backbone of corporate governance in India. They aim to combat financial manipulation and enhance transparency. The essence of good corporate governance cannot be achieved solely through statutory compliance; it must be rooted in a genuine commitment to ethical practices and transparency.

Concept 10 - Corporate Governance in a company and Role of Independent Directors

Governance policies should be established at the top management level, based on fairness and honesty, with an understanding of stakeholder requirements. Strict adherence to these practices is essential.

Board Level: At the board level, good governance is standardized through regulations and disclosures mandated by the Companies Act, 2013 and LODR regulations. These details are further discussed in this study material.

Below Board Level: Companies implement their own mechanisms for ethics, codes of conduct, and discipline below the board level. Governance practices typically follow a "top-down approach," permeating through various mechanisms such as:

- Whistle-blower policies
- Audit Committees
- Standard Operating Procedures

Companies Act, 2013: This act introduces Schedule IV, outlining the qualifications, duties, and code of ethics for independent directors to enhance shareholder and public confidence.

Responsibilities of Independent Directors

a) Uphold ethical integrity.
b) Act objectively in their duties.
c) Prioritize the company's interests.
d) Allocate sufficient time for informed decision-making.
e) Avoid conflicts of interest.
f) Inform the board if they lose their independence.
g) Assist in implementing best corporate governance practices.

Role and Functions

a) Provide independent judgment on board deliberations.
b) Objectively evaluate board and management performance.
c) Scrutinize management's achievement of goals and objectives.
d) Ensure integrity in financial information and robust risk management.
e) Represent all stakeholders, particularly minority shareholders.
f) Balance stakeholder interests.
g) Determine remuneration and play a key role in the appointment/removal of executives.
h) Moderate conflicts between management and shareholders.

Duties of Independent Directors

a) Regularly update their skills and knowledge.
b) Seek professional advice when necessary.
c) Attend all board meetings and actively participate in committees.
d) Stay informed about the company and its external environment.
e) Report unethical behaviour or policy violations.
f) Protect the interests of the company and its stakeholders.
g) Maintain confidentiality of sensitive information and avoid sharing unpublished price-sensitive information unless authorized

Appointment of Independent Directors

When appointing independent directors, the board must ensure:

a) A balance of skills and experience.
b) Shareholder approval at a meeting.
c) Compliance with the conditions specified in the Act.
d) Formalize appointments with a letter outlining:

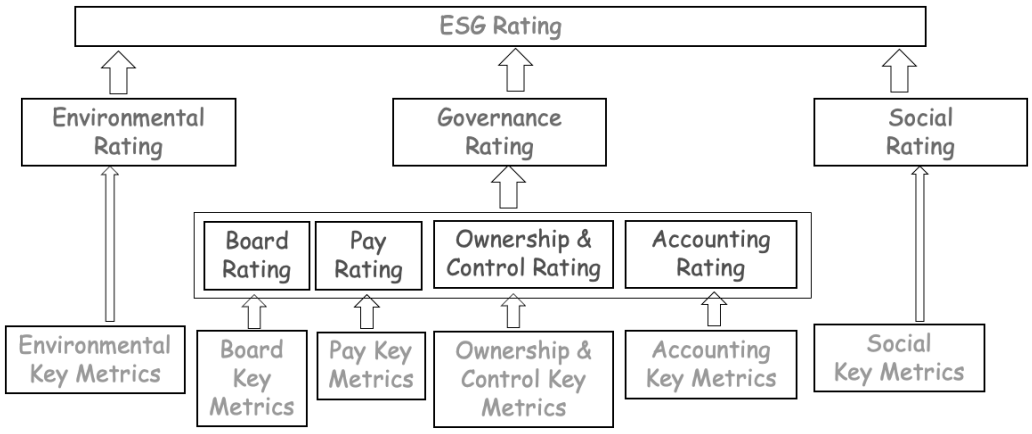
- Term of appointment
- Board expectations and committee tasks
- Fiduciary duties and liabilities
- Provision for Directors and Officers (D&O) insurance
- The company's Code of Business Ethics

Corporate Governance Ratings

a) A question may come how do outsiders or even the company itself is able to know to what extent the company follows CG principles and where does it stand compared to other similar companies.
b) Therefore, Corporate Governance Rating is an important component in the overall governance system.
c) Corporate Governance Rating is defined as an opinion on a company's corporate governance system, its compliance with the various parameters deployed for assessment and the rating differentiates companies in accordance with their corporate governance quality.
d) CG Rating acts as an opinion on relative standing of an entity with regard to adoption of corporate governance practices. It may be justified using ratings on five parameters.
   1) Firstly it provides information to various stakeholders about the level of corporate governance practices of the organization.
   2) Secondly it enables corporates to obtain an independent and credible assessment of the quality and extent of their adherence to governance standards.
   3) Thirdly the rating process determines the relative standing of the organisation vis-à-vis the best practices followed in the domestic as well as international arena.
   4) Fourthly, organisations can deploy the CG ratings as reference and set benchmark for further improvements.
   5) Fifthly investors get benefited as they are able to differentiate companies based on the adherence to corporate governance principles.

Environmental, Social and Governance (ESG)

ESG Ratings Component Structure



Format of compliance report on Corporate Governance by Listed Entities

As per the provisions of Regulation 27(2) of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, a listed entity is required to submit a

quarterly compliance report on corporate governance in the format specified by the Board from time to time to recognised Stock Exchanges.

The format for compliance report on Corporate Governance by listed entities has been specified, as per the following annexures,
I. Annex - I - on quarterly basis;
II. Annex - II - at the end of a financial year
III. Annex - III - at the end of 6 months from the close of financial year.

In order to bring about transparency and to strengthen the disclosures around loans/ guarantees/comfort letters/ security provided by the listed entity, directly or indirectly to promoter/ promoter group entities or any other entity controlled by them, it has been decided to mandate such disclosures on a half yearly basis, in the Compliance Report on Corporate Governance. The format of disclosure in this regard is specified vide Annex - IV of the said report and shall be effective from financial year 2021-22.

Accordingly the format for compliance report on Corporate Governance shall be as under:
I. Annex - I - on quarterly basis;
II. Annex - II - at the end of a financial year
III. Annex - III - at the end of 6 months from the close of financial year.
IV. Annex - IV - on a half yearly basis (w.e.f. first half year of the FY 21-22)

Concept 11 - Definition and Importance of Family Businesses

The International Finance Corporation (IFC) defines a family business as a company where the voting majority is held by the controlling family, including founders who plan to pass the business to their descendants. Terms such as "family business," "family firm," and "family-controlled company" are used interchangeably throughout the IFC's Family Business Governance Handbook.

Family businesses are recognized as the world's oldest and most prevalent form of business organization, constituting over 70% of businesses in many countries and playing a crucial role in economic growth and employment. For instance:

- In Spain, approximately 75% of businesses are family-owned, contributing 65% to the country's GNP.
- In Latin America, family businesses account for about 60% of the aggregate GNP.

Examples of Notable Family Businesses:

a) Italy: Salvatore Ferragamo, Benetton, Fiat Group
b) France: L'Oréal, Carrefour Group, LVMH, Michelin
c) South Korea: Samsung, Hyundai Motor, LG Group
d) Germany: BMW, Siemens
e) Japan: Kikkoman, Ito-Yokado
f) USA: Ford Motors Co., Wal-Mart Stores

Standard corporate governance norms may not be suitable for family businesses due to the unique familial dynamics at play. A balance must be struck between the emotional ties of the family and the

business's profitability, acknowledging both the strengths and weaknesses inherent in the family business model.

Concept 12 - Features of Corporate Governance in Family-Owned Companies in India

In India, family-owned businesses have a longstanding tradition, with 99% of corporate houses still under family ownership. While this is generally seen as positive, it also presents unique governance challenges:

a) Leadership Composition: Full-time directors and senior management personnel are often family members or closely related to the family.
b) Coterie Formation: The formation of close-knit groups or coteries within the management is common, impacting decision-making.
c) Dilution of Control: Control and ownership can dilute over generations due to the distribution of shares among family members.
d) Conflict of Interest: Conflicts between personal interests of promoters and company interests frequently arise. However, procedures are typically followed to mitigate legal complications.
e) Emotional Decision-Making: Emotional attachments can lead to decisions that may not align with sound managerial practices.
f) Family Dynamics: When family members are united, non-family directors or managers may have limited influence in decision-making. Conflicts within the family can lead to confusion in leadership, delayed decisions, and distrust among stakeholders, negatively affecting stability, reputation, and performance.
g) Clear Roles and Succession Planning: Some families establish defined roles for members and structured succession planning to minimize conflicts.
h) Personal Image: The personal image of the chairman, managing director, or directors significantly influences the company's reputation.
i) Professional Aversion: Many seasoned professionals are hesitant to work in family businesses due to perceived challenges.
j) Leadership Crisis: The death or disability of a senior family member can trigger a leadership crisis within the business.

Concept 13 - Emerging issues in CG in family managed companies in India.

a) Separation of ownership and management: In few companies in India, the main promoter or owner have chosen to be investor and not to a part of management even as part time chairman. The whole Board of directors are non-owners and are hard core professionals.
b) Family members acquiring professional courses from reputed institutes.
c) Promoters are encouraging professionals in the organisation.
d) Promoters are more focused on compliances to avoid loss of reputation which may result to price fall in the share market.
e) Role and leadership clarity decided at board level
f) Owners are accepting and honouring opinion of managers.
g) Family's social and emotional issues are being satisfied by forming trusts/foundations which are separate from the business entity, without any conflict of interest.

Concept 14 - Corporate Social Responsibility (CSR) – Introduction, Concept and Background

Corporate Social Responsibility (CSR) refers to the commitment of business enterprises to engage in practices that benefit society, particularly the less privileged. It emphasizes the principle of Concern, Care, and Share (CCS), suggesting that genuine concern leads to caring actions, which in turn result in sharing resources for societal welfare.

Business-Society Interface

Philip Kotler emphasized that businesses operate within society; hence, societal demand drives production and services. This creates a cycle:

Production → Employment → Earnings → Demand → Production.

Consequently, businesses play a vital role in social development, and the ideal scenario involves corporations collaborating with society to enhance overall welfare. CSR encompasses meeting the economic, ethical, and legal demands of society while maintaining business sustainability. Corporations are responsible for minimizing adverse impacts on stakeholders, which include employees, consumers, investors, civil society, and the broader community.

International Scenario

The UN Human Rights Council established the UN Working Group (UNWG) to facilitate the implementation of the UN Guiding Principles (UNGPs), urging states to develop National Action Plans (NAPs) to promote these principles.

UN Sustainable Development Goals (SDGs): Adopted in September 2015, the 2030 Agenda for Sustainable Development outlines 17 goals recognizing business as a crucial driver for economic growth while urging adherence to the UNGPs.

Paris Agreement on Climate Change (2015): This agreement under the UN Framework for Climate Change focuses on combating climate change. India ratified it in October 2016, committing to its National Determined Contributions (NDCs).

CSR in India - Background

The Ministry of Corporate Affairs (MCA), Government of India, released a set of guidelines in 2011 called the National Voluntary Guidelines (NVGs) on the Social, Environmental and Economic Responsibilities of Business.

In order to align the NVGs with the Sustainable Development Goals (SDGs) and the United Nations Guiding Principles (UNGP), the process of revision of NVGs was started in 2015. After revision and updating, the new principles are called the National Guidelines on Responsible Business Conduct (NGRBC).

The primary rationale for the update is to capture key national and international developments in the sustainable development agenda and business responsibility field that have occurred since the release of the NVGs in 2011.

Some of the key drivers of the NGRBC are given below:

1) The UN Guiding Principles for Business and Human Rights (UNGPs): The United Nations Human Rights Council endorsed the Guiding Principles on Business and Human Rights. Implementing the United Nations 'Protect, Respect and Remedy' Framework. The UNGPs are grounded in recognition of:
   a) the State's existing obligations to respect, protect and fulfil human rights and fundamental freedoms;
   b) the requirement of business enterprises to respect human rights; and
   c) the need for access to effective remedy for those who are affected by adverse business related human rights impacts or abuse.

   Since their release, the UNGPs have become the authoritative global standard for Business and Human Rights.

   In 2012, the Securities and Exchange Board of India amended the Listing Agreement for companies listed in the stock exchanges in India, and mandated the submission of an ABRRs (Annual Business Responsibility Report) by the top 100 listed companies. The ABRR is based on the Business Reporting Framework of the NVGs, and SEBI has since extended this requirement to the top 500 listed companies.
2) Requires companies to undertake Corporate Social Responsibility (CSR) initiatives in communities, and has since provided additional rules and guidance on the areas and target groups of such interventions in consistency with national socio-economic priorities.

Concept 15 - National Guidelines on Responsible Business Conduct (NGRBC)

The National Guidelines on Responsible Business Conduct (NGRBC) provide a comprehensive framework for all businesses operating in India, regardless of their ownership, size, sector, structure, or location. This framework aims to guide companies, including foreign multinational corporations (MNCs), in aligning their operations with local and national standards for responsible business conduct. Keeping the importance of Micro, Small and Medium Enterprises (MSMEs) in view, the business case for adoption of NGRBC by the MSMEs is also given.

An updated Business Responsibility Reporting Framework (BRRF) has been included for reporting of actions taken by businesses vis-à-vis the Principles and Core Elements. The BRRF is meant to serve as an internal tool for companies to assess where they are in their journey of responsible business conduct and identify opportunities for improvement.

Overview of the NGRBC

The NGRBC consists of nine thematic pillars of business responsibility, known as Principles. The guidelines are designed to help organizations implement these Principles effectively, with Annexure 1 providing detailed guidance on their adoption and implementation.

Principle 1: Businesses should conduct and govern themselves with integrity and in a manner that is ethical, transparent and accountable.

Businesses should operate with integrity and ethics, ensuring transparency and accountability in all functions and processes. This Principle emphasizes the accountability of businesses as integral parts of society, guiding their economic, social, and environmental responsibilities.

Principle 2: Businesses should provide goods and service in a manner that is sustainable and safe.

Companies must focus on designing and manufacturing products that are sustainable and safe, minimizing adverse environmental and social impacts throughout their lifecycle—from design to disposal. This Principle promotes resource efficiency and safety in production processes.

Principle 3: Businesses should respect and promote the well-being of all employees, including those in their value chains.

Businesses should respect and promote the well-being of all employees, including those within their value chains. This Principle advocates for equitable policies and practices that ensure dignity and decent work for all employees, recognizing their well-being and that of their families.

Principle 4: Businesses should respect the interests of and be responsive to all its stakeholders.

Companies have a responsibility to respect the interests of their stakeholders and respond to their needs. This Principle highlights the importance of maximizing positive impacts while minimizing negative effects on stakeholders, including shareholders, employees, and the broader community.

Principle 5: Businesses should respect and promote human rights.

This Principle asserts that businesses must respect and promote human rights, acknowledging them as inherent, inalienable, and indivisible. Guided by the Constitution of India and the International Bill of Rights, it recognizes the state's duty to protect and fulfil these rights.

Principle 6: Businesses should respect and make efforts to protect and restore the environment.

Companies should prioritize environmental sustainability by addressing interconnected environmental issues, including pollution, biodiversity conservation, and climate change. This Principle encourages the adoption of environmentally friendly practices and adherence to the Precautionary Principle in business operations.

Principle 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent.

Businesses should engage with public and regulatory policy in a transparent and responsible manner. This Principle recognizes the legitimacy of corporate participation in influencing policy while emphasizing the importance of serving the public good in such engagements.

Principle 8: Businesses should promote inclusive growth and equitable development.

This Principle highlights the need for businesses to support social and economic development in alignment with national priorities. It calls for collaboration between businesses, government agencies, and civil society to foster inclusive growth and equitable development.

Principle 9: Businesses should engage with and provide value to their consumers in a responsible manner.

Businesses should engage with consumers responsibly, providing safe, competitively priced, and easy-to-use products. This Principle recognizes the role of businesses in mitigating the adverse effects of excessive consumption on individual and societal well-being

Concept 16 – CSR Activities

Activities which shall be considered as CSR

a) eradicating extreme hunger and poverty
b) promotion of education
c) promoting gender equality and empowering women
d) reducing child mortality and improving maternal health
e) combating human immunodeficiency virus, malaria, and other diseases.
f) ensuring environmental sustainability
g) employment enhancing vocational skills.
h) social business projects
i) contribution to the Prime Minister's National Relief Fund
j) such other matters as may be prescribed.

Activities which shall NOT be considered as CSR

a) Publicity activities with only intention to advertise product/services.
b) Compliance of regulation, Government order.
c) Employee benefits, employees' family benefit, direct or indirect.
d) Anything done in physical environment to facilitate production, distribution of goods.
e) Contribution to political parties or for political purpose.

Concept 17 - Steps in CSR Implementation Process

The steps in CSR implementation is discussed in brief.

a) Determining thrust area
b) Identification of project
c) Evaluation of CSR projects
d) Implementation of the CSR projects
e) Monitoring
f) Impact Assessment

Collaboration under CSR

When companies decide to do something for the society under CSR, it may not be possible to do with stand-alone infrastructure unless the company is very big. Therefore, they need to collaborate, partner or supplement with external agencies, like

a) With other Companies
b) With the Government under PPP model
c) With specialized Agencies

Specialized Implementing Agencies

a) Community based organizations
b) Panchayats
c) Voluntary Agencies (NGOs)
d) Institutes/Academic Organisations
e) Trusts, Missions, etc. (NGOs)
f) Self-help Groups
g) Government, Semi-Government and autonomous Organisations
h) Mahila Mandals/Samitis

Concept 18 – Breakdown of the steps in CSR Implementation process

Evaluation of CSR projects can be in two phases:

1. Evaluation before making the expenditure
2. Evaluation after making the expenditure

Evaluation before making the expenditure :

This is also called due diligence of CSR projects after shortlisting have been made. Normally companies make a shortlisting on the basis of the projects proposals available to the company.

a) nature of project
b) cost of the project
c) independent or linked to some other project
d) collaborative project
e) beneficiaries
f) technical feasibility
g) financial feasibility
h) implementation time
i) Whether impact can be measurable
j) Monitoring mechanism

Implementation of CSR projects

Direct implementation by the company

There are some large companies and their budget for CSR is also very high. These companies have adequate manpower and execute the CSR project. They have separate well organized CSR department in the company.

Advantages of direct implementation by the company

a) Flexible: small decisions also are taken by the company
b) Better supervision: since it is being directly implemented
c) Quick decision making

d) Less coordination and no coordination with third parties, i.e. implementing agency or actual contractor and Less cost

Disadvantages of direct implementation by the company

a) Manpower involvement
b) Lack of domain knowledge
c) Biased
d) No 80G Benefit
e) Corrective action not clearly defined
f) Lack of local area knowledge and language
g) Lack of adequate monitoring due to other issues

Third party implementation:

Third party implementation means implementation by specialised agencies as mentioned above.

Advantages of third party implementation:

a) expertise
b) Better supervision at site
c) unbiased
d) Single point coordination
e) Negotiate cost

Disadvantages third party implementation:

a) May be more supervision
b) Lack of domain knowledge of the agency
c) No 80G Benefit
d) No proper accounting
e) Dominance in local area
f) Lack of adequate monitoring by the company

Problems in implementation

Internal - deciding preferences of projects, Financial Mismatch, Lack of seriousness by management, Right people to work, Internal references and Indecisiveness / difference in opinion of the team/ committee

External - Political pressure, Social pressure, Projects' road block due to uncontrollable reasons, Inefficient implementing agency, Diverting money, Siphoning money and Fraud.

Evaluation after making the expenditure

Diligence of CSR initiatives is important to ensure effective implementation of planned strategy and to determine future action plans. Monitoring should be done periodically Collecting data of the performance of the project

Impact assessment

Any CSR project/activity should have some impact, big or small. In order to know the impact, an impact analysis study is supposed to be made, which would compare the achieved results with the desired result. In order to get real picture, it is the following issues needs consideration.

a) Should preferably done by an independent agency
b) Focused on the impact only
c) Done immediately after the benefit given
d) Should be data based

Concept 19 – Introduction to Sustainability Development

Sustainable Development (SD) focuses on meeting the needs of the present without compromising the ability of future generations to meet their own needs. The concept was popularized in the "Brundtland Report" of 1987, also known as "Our Common Future." It emphasizes balancing three critical aspects: economic growth, environmental stewardship, and social equity, collectively referred to as the "triple bottom-line approach."

Concept 20 - Triple Bottom-Line Approach to Sustainable Development

a) Economic Approach ("Profit"): This approach ensures that current economic decisions do not negatively affect the potential for future economic growth or living standards. In the business context, it means achieving profitability without degrading the capacity for future prosperity.
b) Ecological/Environmental Approach ("Planet"): This approach stresses the preservation and responsible use of natural resources to ensure long-term environmental health. Companies are encouraged to minimize waste, pollution, and overuse of resources like water, minerals, and forests, while protecting biodiversity.
c) Social Approach ("People"): Industries are expected to operate in ways that safeguard social welfare and security. This includes protecting workers' rights, promoting fair wages, and contributing to the overall well-being of society, ensuring no harm to social values and community welfare

Action Areas for Sustainability Management

a) Change present process to alternate process which would reduce use of natural resources
b) Convince the community to reduce waste, protect the environment, adopt recycling, use bio degradable packaging
c) Control deforestation and encourage of forestation
d) Reduce discharge of affluent in the environment; install affluent treatment plants.
e) Carbon emission management, etc.

Concept 21 – Benefits of Sustainability Management

a) Sustainable management integrates sustainability principles with management practices to ensure economic viability and resource conservation for current and future generations.
b) It applies across various domains like business, agriculture, society, and personal life to maintain quality of life and minimize resource depletion.

c) Businesses require sustainable management to remain competitive, as unsustainable practices threaten their long-term survival.
d) Communities also need sustainable management for long-term prosperity, ensuring resources are used wisely for future generations.
e) Natural resources like forests need sustainable management to ensure their continuous availability for current and future use.
f) Individuals can practice sustainable management by making choices that protect the environment and enhance personal well-being.
g) Sustainable managers must plan for systems that can maintain themselves over time while meeting the needs of future generations.

Concept 22 - Sustainability Reporting

It is gaining importance, driven by the United Nations' Principles of Responsible Investment (PRI), which have been adopted by 3,500 investors committed to integrating Environmental, Social, and Governance (ESG) factors into their decisions. Many large companies globally are already reporting their ESG profiles using recognized standards. Though ESG ratings are not mandatory, they communicate a company's commitment to sustainability to stakeholders.

In November 2015, SEBI prescribed a format for reporting ESG parameters for listed entities. In May 2021, SEBI introduced the Business Responsibility and Sustainability Report (BRSR), requiring listed entities to disclose performance based on the NGBRC.

Purpose of Disclosure:

a) To provide quantitative and standardized information, allowing easy comparison between companies for third parties, especially investors.
b) To promote proper stakeholder engagement, benefiting both companies and stakeholders.
c) To encourage companies to focus beyond financial performance, fostering a balanced ecosystem involving corporate, society, and environment.

Application of Mandatory Reporting

From FY 2022-23, the BRSR filing is mandatory for the top 1,000 listed companies by market capitalization.

Concept 1 - Initial Public Offer and Eligibility of Issuer

Initial Public Offering (IPO): An Initial Public Offering (IPO) is the first sale of shares by a company to the public. It allows a company to raise capital from public investors.
Regulations related to Initial Public offer are mentioned under - Securities Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018

Eligibility of the Issuer:

Conditions Set 1 - Entities not eligible to make an initial public offer.
An issuer shall not be eligible to make an initial public offer:

a) if the issuer, promoters, promoter group, directors or selling shareholders or of any other company debarred by SEBI from accessing the capital market.
b) If the issuer or any of its promoters or directors, is a wilful defaulter or fraudulent borrower.
c) If there are any outstanding convertible securities or any other right which would entitle any person with any option to receive equity shares of the issuer, unless they are converted before initial public offer.

Conditions Set 2 – General Conditions
An issuer making an initial public offer shall ensure that:

a) It has made an application to one or more recognised stock exchanges to seek an in-principle approval for listing.
b) It has entered into an agreement with a depository for dematerialisation of the securities already issued and proposed to be issued.
c) All the securities held by the promoters are also dematerialised.
d) All its existing partly paid up equity shares have either been fully paid up or forfeited.
e) It has made firm arrangements of finance through verifiable means towards 75% of the state means finance for a specific project proposed to be funded from the issue proceeds, excluding the amount to be raised through the proposed public issue or through existing internal accruals.

The amount for general corporate purposes, as mentioned in the objects of the issue in the offer document shall not exceed 25% of the amount being raised by the issuer.

Conditions Set 3 – Monetary Conditions
An issuer shall be eligible to make an initial public offer only if:

a) It had net tangible assets of at least ₹ 3 crores in each of the preceding 3 full years, of which not more than 50% are held in monetary assets, if not, such excess is to be utilised in its business or project.
b) It has an average operating profit of at least ₹ 15 crores during the preceding 3 years, with operating profit in each of these preceding 3 years.
c) It has net worth of at least ₹ 1 crore in each of the preceding 3 full years.

d) If it has change its name within the last 1 year, at least 50 % of the revenue for the preceding 1 full year has been earned by it from the activity indicated by its new name.

An issuer not satisfying the above monetary conditions shall be eligible to make an initial public offer only if the issue is made through the book-building process and the issuer undertakes to allot at least 75% of the net offer to qualified institutional buyers and to refund the full subscription money if it fails to do so.

Other regulations:

a) An issuer shall be eligible to make an initial public offer of convertible debt instruments even without making a prior public issue of its equity shares and listing, provided that it is not in default of payment of principal/ interest for a period of more than 6 months.
b) Issue Duration: An Initial Public offer shall be kept open for at least 3 working days and not more than 10 working days.
c) Minimum Subscription: The Minimum subscription to be received shall be at least 90% of the offer through offer document.
d) In the event of non-receipt of minimum subscription, all the application money shall be refunded to the applicants, but not later than ~~15 days~~ [4 days – amended under SEBI (ICDR) (Amendment) Regulations, 2022 w-e-f 14.01.2022] from the closure of issue.
e) The issuer shall not make an allotment to a public issue if the number of prospective allottees are less than 1000.
f) If the issue size exceeds ₹ 100 crores, a credit rating agency registered with the Board shall monitor the utilisation and the monitoring agency shall submit its report to the issuer on a quarterly basis till 100% of the proceeds of the issue have been utilised.
g) The issuer may obtain grading for its IPO from one or more Credit Rating Agencies registered with the Board.

Concept 2 – Minimum Promoter's Contribution and Lock-in Period

The Promoters of the issuer shall hold at least 20% of the post issue capital in an initial public offer.

Lock-in Period:

The Minimum Promoter's contribution shall be locked-in for a period of ~~3 years~~ [18 months – amended under SEBI (ICDR) (Third Amendment) Regulations, 2021 w-e-f 13.08.2021] from the date of allotment in the initial public offer.

The Promoter's holding in excess of the minimum promoter's contribution shall be locked in for a period of ~~1 year~~ [6 months – amended under SEBI (ICDR) (Third Amendment) Regulations, 2021 w-e-f 13.08.2021].

If the majority of the issue proceeds (excluding offer for sale portion) are used for capital expenditure, then:

- Minimum promoters' contribution → Lock-in increases to 3 years (instead of 18 months).
- Excess contribution → Lock-in increases to 1 year (instead of 6 months).

Concept 3 - Appointment of Merchant Banker and Other Intermediaries

a) Merchant Bankers: The issuer shall appoint one or more merchant bankers which are registered with the board as lead managers to the issue.
b) SEBI Registered Intermediaries: The issuer shall in consultation with the lead managers appoint other intermediaries which are registered with the board after accessing the capability of the intermediaries to carry out their obligations.
c) Syndicate Members & Bankers to issue: The issuer shall in case of an issue made through the book building process appoint syndicate members and in the case of any other issue appoint bankers to issue.
d) Registrar: The issuer shall appoint registrar to the issue registered with the board which has connectivity with all the depositories.
e) Compliance Officer: The issuer shall appoint a Compliance Officer who shall be responsible for monitoring the compliance of the securities law and redressal of investors grievances.

Concept 4 - Pricing of Shares in Public Issues

a) Price Determination: Price of equity shares and other convertible securities, the Coupon rate and conversion price shall be determined in consultation with the lead manager or through book building process.
b) Price Band and Floor Price: Issuer may mention a price band in the offer document and a floor price in the red herring prospectus.
c) The floor price or final price shall not be less than the face value of the securities.

Concept 5 - Differential Pricing

The issuer may offer its securities at different prices subject to the following:
a) Retail Individual Investors or Employees may be offered securities at a price not lower than by more than 10% of the price at which net offer is to be made to the other categories of applicants excluding anchor investors.
b) In case of book built issue, the price of the securities offered to the anchor investors shall not be lower than the price offered to other applicants.
c) In case the issuer opts for alternate method of book building, the issuer may offer securities to its employees at a price not lower than by more than 10% of the floor price.
d) Face Value Criteria: If the issue price is ₹ 500 or more per share, the face value may be less than ₹ 10 but not less than ₹1.

Concept 6 - Book Building Process

Book Building Process: is a process used to determine the price of an IPO based on the demand from institutional and retail investors. It is a systematic way of generating, capturing, and recording investor demand for shares. The price is not fixed initially. Instead, a price band or range is provided within

which investors can bid. The final price is determined based on the bids received during the book building period.

In an issue made through book building process, the allocation in the net offer category shall be as follows.

a) Not less than 35% to Retail individual investors.
b) Not less than 15% to non-institutional investors.
c) Not more than 50% to Qualified Institutional Buyers, 5% of which shall be allocated to mutual funds.

In an issue made through book building process, when the monetary conditions specified above are not satisfied, the allocation in the net offer category shall be as follows.

a) Not more than 10% to Retail individual investors.
b) Not more than 15% to non-institutional investors.
d) Not less than 75% to Qualified Institutional Buyers, 5% of which shall be allocated to mutual funds.

In an issue made through the book building process, the issuer may allocate up to 60% of the portion available for qualified institutional buyers to anchor investors in accordance with the conditions specified in the regulations.

In an issue made other than through the book building process, allocation in the net offer category shall be made as follows:

a) Minimum 50% to retail individual investors.
b) Remaining to:
   - individual applicants other than retail individual investors and
   - other investors including corporate bodies or institutions.

In all the above cases, the unsubscribed portion in either of the categories specified may be allocated to applicants in the other category.

Concept 7 - SEBI (Prohibition of Insider Trading) Regulations, 2015

Important Definitions

a) Compliance Officer: Senior officer responsible for regulatory compliance, maintaining records, monitoring unpublished price sensitive information (UPSI), and implementing codes.
b) Connected Person: A connected person means
   (i) Any person who is or has been during the past 6 months, associated with the company directly or indirectly, including,
   - By reason of frequent communication with company officers,
   - By being in any contractual, fiduciary, or employment relationship,
   - By being a director, officer, or employee,
   - Holding a business or professional position, temporary or permanent, giving access to unpublished price-sensitive information.

(ii) The following category shall be deemed to be connected persons:

- ~~Immediate relatives~~ [Relative – amended under SEBI (Prohibition of Insider Trading) (Third Amendment) Regulations, 2024 w-e-f 06.12.2024] of connected persons.
- A Holding company or associate company or subsidiary company.
- An Intermediaries under Section 12 of the Act.
- Directors or employees of stock exchanges, mutual funds, financial institutions, or banks associated with the company

c) Generally Available Information: Publicly accessible information on a non-discriminatory basis.

d) Insider: means any person who is a connected person or in possession of or having access to Unpublished Price Sensitive Information (UPSI).

e) "relative" shall mean the following:
   (i) Spouse of the person
   (ii) Parent of the person and parent of its spouse
   (iii) Sibling of the person and sibling of its spouse
   (iv) Child of the person and child of its spouse
   (v) Spouse of the person listed in (iii)
   (vi) Spouse of the person listed in (iv)

f) Unpublished Price Sensitive Information (UPSI): means any information, relating to a company or its securities, directly or indirectly, that is not generally available which upon becoming generally available, is likely to materially affect the price of the securities and shall include information relating to:
   (i) financial results,
   (ii) dividends,
   (iii) changes in capital structure
   (iv) mergers, de-mergers, acquisitions, delisting's, business expansions,
   (v) changes in key managerial personnel, etc

Restrictions on Communication and Trading by Insiders

a) Insiders cannot share, procure, or allow access to UPSI unless it's for legitimate purposes. The board of directors must establish a policy defining "legitimate purposes" in the company's "Codes of Fair Disclosure and Conduct."
b) Insiders must be given a notice to maintain the confidentiality of UPSI as per the regulations.
c) UPSI may be shared or accessed in connection with a transaction that:
   i) requires an open offer, or
   ii) is deemed by the board to be in the best interest of the company, with the information made publicly available at least 2 trading days before the transaction.
d) The organization must maintain a structured digital database of UPSI with adequate controls, preserved for at least 8 years, or longer if an investigation occurs.
e) Insiders cannot trade securities listed or proposed for listing while in possession of UPSI.
f) Connected persons must prove they were not in possession of UPSI, while in other cases, the Board carries the burden.

Trading Plans

a) An insider shall be entitled to formulate a trading plan and present it to the compliance officer for approval and public disclosure pursuant to which trades may be carried out on his behalf in accordance with such plan.
b) The commencement of trading shall not occur earlier than ~~6 months~~ [120 Calendar days – amended under SEBI (Prohibition of Insider Trading) (Second Amendment) Regulations, 2024 w-e-f 24.09.2024] from the public disclosure of the plan, and no deviations from the plan shall be permitted.
c) Upon approval of the trading plan, the compliance officer shall notify the plan to the stock exchanges on which the securities are listed.

Disclosures of Trading by Insiders

Insiders, including their immediate relatives and those for whom they make trading decisions, must disclose any trading activities. The goal is to prevent the misuse of UPSI.

Disclosures by Certain Persons:

a) Initial Disclosures: Key managerial personnel or directors must disclose their holdings of securities in the company at the time of their appointment.
b) Continual Disclosures: If the traded value of securities exceeds ₹10 lakhs during any calendar quarter, insiders must disclose this within 2 trading days of such transaction.

Code of Fair Disclosure

The Board of Directors of every listed company is responsible for formulating and publishing a Code of Fair Disclosure for UPSI on its official website. The Code must contain the following principles,

a) Prompt public disclosure of UPSI that would impact price discovery as soon as reliable information is available to make such information generally available.
b) Disclosure of UPSI to avoid selective disclosure.
c) Designation of a senior officer as a chief investor relations officer to deal with Disclosure of UPSI.
d) Ensuring that information shared with analysts and research personnel is not UPSI.
e) Developing best practices to make records of proceedings of meetings with analysts and other investor relations conferences on the official website to ensure official confirmation and documentation of disclosures made.

Code of Conduct

a) Formulation and Monitoring:
   i) CEO to formulate a code for trading regulation by designated persons and their immediate relatives.
   ii) Compliance officer to monitor adherence.
b) Designated Persons: Specified based on role, function, and access to UPSI.
c) Trading Window: Re-opened at least 48 hours after UPSI becomes generally available.

d) Pre-Clearance:
   i) Required for trades above specified thresholds.
   ii) Compliance officer to seek declarations of non-possession of UPSI.
e) Execution and Reporting:
   i) Trades to be executed within 7 trading days of pre-clearance.
   ii) Sanctions and disciplinary actions for violations.
f) Disclosure Requirements: Annual disclosure of designated persons' names and identifiers.
g) Sensitive Transactions: Processes for bringing people 'inside' on sensitive transactions with awareness of duties and liabilities.

Concept 8 - Institutional Mechanism for Prevention of Insider Trading

The following steps need to be taken by the Management of a Listed Company to prevent insider trading which can also be referred as Institutional Mechanism to counter Insider trading:

a) The Chief Executive Officer shall put in place adequate and effective system of internal control for compliance.
b) The Audit Committee shall review compliance with the provision of these regulations at least once in a financial year and shall verify that the systems for internal control are adequate and are operating effectively.
c) Every listed company shall formulate policies and procedures for inquiry in case of leak or suspected leak of unpublished price sensitive information which shall be approved by the Board of directors and accordingly initiate appropriate inquiries in time and inform the Board promptly of the status.
d) The listed Company shall formulate whistle- blower policy and make employees aware of such policy to enable employees to report instances of leak of unpublished price sensitive information.

If an inquiry has been initiated by a listed Company in case of leak of unpublished price sensitive information or suspected leak of unpublished price sensitive information, the relevant intermediaries and fiduciaries shall co-operate with the listed company in connection with such an inquiry

Concept 9 – SEBI (Substantial Acquisitions of Share and Takeover) Regulations, 2011

a) Takeover: When an acquirer gains control of the target company.
b) Substantial Acquisition: Acquisition of a significant quantity of shares or voting rights.
c) Acquirer: A person or entity acquiring shares or control over a target company.
d) Control: The right to appoint a majority of directors or influence management or policy decisions.
e) Tendering Period: A 10 working day period during which shares can be tendered.
f) Offer Price: Price at which shares are offered to be acquired, subject to revision.
g) Identified Date: the date falling on the 10th working day prior to the commencement of the tendering period, for the purposes of determining the shareholders to whom the letter of offer shall be sent.

h) Offer Period: From the date of agreement to acquire shares until payment or withdrawal of the open offer.
i) Persons Acting in Concert (PAC): Individuals or entities collaborating for share acquisition.
j) Deemed PAC: Includes companies and their affiliates, directors, promoters, mutual funds, and others specified by regulation.
k) Target Company: A listed company whose shares are being acquired.
l) Volume Weighted Average Market Price: Product of traded shares and price divided by total shares traded.
m) Volume Weighted Average Price: Product of bought shares and price divided by total shares bought.

Types of Takeovers

a) Friendly Takeover: Voluntary sale of shares by promoters to the acquirer.
b) Hostile Takeover: Promoters resist the acquirer's attempts to gain control.
c) Horizontal Takeover: Between companies in the same industry.
d) Vertical Takeover: Acquiring suppliers or customers.
e) Conglomerate Takeover: Between companies in different industries.

Concept 10 - Open Offer Process & Compliance

Requirement of open offer process & compliance

a) Initial Trigger: When acquirer (with PAC) acquires 25% or more of voting rights in the target company, an open offer for 26% additional shares must be made.
b) Further Acquisition: After reaching 25%, if acquiring 5% or more within the financial year, an additional public offer is required for acquiring 26% or more shares.
c) Acquirers with 25% or more cannot acquire more than 5% shares in a financial year without an open offer. Post- acquisition holding of such acquirer together with its PAC must not exceed the maximum permissible non – public shareholding of 75% , thus maintaining the minimum public float of 25% in such Target company

Pre-Conditions for Voluntary Open Offer

a) Acquirer must hold at least 25% voting rights.
b) No acquisition in the past 52 weeks triggering an open offer obligation.
c) No share acquisition during the offer period, except through the open offer.
d) No further acquisition for 6 months post-offer unless through another voluntary offer.
e) Acquirer may set a minimum acceptance level.

Withdrawal of Offer

a) Permitted under conditions such as:

- Statutory approvals denied.
- Acquirer (natural person) dies.
- Conditions in acquisition agreement unmet.

- SEBI-approved reasons.

b) Withdrawal announcement must be made in newspapers and simultaneously informed to SEBI, stock exchanges, and the registered office of the target company.

Open Offer Process

a) Submission of Draft Letter of Offer: Submit to SEBI within 5 working days from the date of public announcement and simultaneously send a copy to the registered office of the target company and to all the relevant stock exchanges.
b) Dispatch of Offer Letter: Within 7 working days from the date of receipt SEBI comments or if no comments are provided, within 7 working days after expiry 15 working days from the date of receipt of draft letter of offer by SEBI.
c) Opening the Offer: The tendering period shall start within 12 working days from the receipt of SEBI's comments; the offer remains open for 10 working days.
d) Completion: Within 10 working days after the last tendering day.

Mode of Payment: Payment to shareholders can be made through:

a) Cash.
b) Exchange or transfer of listed shares of the acquirer or PAC.
c) Issue of listed, secured debt instruments rated investment grade.
d) Issue of convertible debt securities.

Escrow Account: An escrow account has to be opened at least 2 working days prior to detailed Public Statement with an object of payment and security against Performance of his obligations under Takeover Regulations

a) Forms of Escrow:

    - Cash deposit with a Scheduled Commercial Bank.
    - Bank Guarantee in favour of the offer manager.
    - Deposit of freely traded equity shares or other securities with an appropriate margin.

b) The escrow account will not be released until 30 days after payment to shareholders or regulatory compliance completion.

Concept 11 - Obligations of the Target Company

a) Conduct business in the ordinary course during the offer period.
b) No corporate actions from 3 days before the tendering period until the tendering period ends.
c) Provide the acquirer with the shareholder list within 2 working days of the identified date.
d) No material asset sales without shareholder approval by postal ballot.
e) Independent Director's Recommendation: Must be published 2 working days before the tendering period in the same newspapers where the open offer was announced and sent to SEBI, stock exchanges, and the merchant banker.

Concept 12 - Obligations of the Acquirer

1) Ensure firm financial arrangements for fulfilling payment obligations under the open offer.
2) Ensure capability to implement the open offer, subject to any necessary statutory approvals.
3) Neither the acquirer nor PAC with him shall sell shares of the target company held by them during the offer period.
4) Acquire shall not alienate material assets.
5) The acquirer and PAC with him are jointly and severally responsible for fulfilling applicable obligations under the takeover code.

Exemptions to Open Offer : Certain acquisitions in the ordinary course of business, such as by underwriters, stockbrokers, or merchant bankers and also acquisitions via schemes such as disinvestment, merger, or demerger, court orders, or under specific laws like Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002.

Concept 1 - Introduction to Competition Act, 2002

The Monopolies & Restrictive Trade Practices Act, 1969 (MRTP) is the first Act to deal with competition issues in India and came into effect on June 1, 1970. For shifting the focus of the law from curbing monopolies to promoting competition and to suggest a modern competition law, a new law called the Competition Act, 2002 was enacted on January 13, 2003 and came into force on 31st March 2003. It was subsequently amended in 2007. The Competition Act, 2002 provides for different provisions including repeal of the MRTP Act, 1969 and dissolution the MRTP Commission. The Provisions relating to anti-competitive practices & abuse of dominant position

Concept 2 - Objectives of Act

1) Prevent anti-competitive practices.
2) Promote and sustain competition.
3) Protect the interests of the consumers.
4) Ensure freedom of trade.
5) Competition advocacy by creating awareness among various levels at Government, industry and consumers.

The objectives of the Act are achieved through the Competition Commission of India (CCI), which was set up by the Central Government on 14th October 2003

Concept 3 - Important Definitions

a) Cartel: Association of producers, sellers, distributors, traders, or service providers that limit, control, or attempt to control production, distribution, sale, or price.
b) Consumer: Any person who buys any goods for a consideration, which has been paid or promised or partly paid and partly promised, whether such purchase of goods is for resale or for any commercial purpose or for personal use.
c) Relevant Product Market: A market comprising products or services which are interchangeable or substitutable by the consumer, by reason of characteristics, their prices and intended use;
d) Relevant Geographic Market: The area in which the competition for supply of goods or provision of services are of same type or demand of goods or services are distinctly homogenous.
e) Relevant Market: The market which may be determined by the commission with reference to the relevant product market or the relevant geographic market or with reference to both the markets;

Concept 4 - Anti-Competitive Agreements

Agreement is defined under Section 2(b), "agreement" includes any arrangement or understanding or action in concert, whether or not, such arrangement, understanding or action is formal or in writing or whether or not such arrangement, understanding or action is intended to be enforceable by legal proceedings.

As per Section 3, No enterprise or association of enterprises or person or association of persons shall enter into any agreement in respect of production, supply, distribution, storage, acquisition; or control of goods; or provision of services, which causes or is likely to cause an appreciable adverse effect on competition within India. Any agreement entered into in contravention of the above shall be void.

Agreements may be classified either as horizontal agreements and vertical agreements.
Horizontal Agreements: Agreements between competitors at the same level of production chain.
Vertical Agreements: Agreements between enterprises at different levels of the production and distribution chain.
Horizontal Agreements which are treated as an appreciable adverse effect on Competition:
Any agreement entered into or decision between enterprises or persons or associations, including cartels, engaged in identical or similar trade of goods or provision of services, which:

b) directly or indirectly determines purchase or sale prices;
c) limits or controls production, supply, markets, technical development, investment or provision of services;
d) shares the market or source of production or provision of services by way of allocation of geographical area of market, or type of goods or services, or number of customers in the market or any other similar way;
e) directly or indirectly results in bid rigging or collusive bidding,

shall be presumed to have an appreciable adverse effect on competition.

Vertical agreements which are treated as an appreciable adverse effect on the competition:
Any agreement amongst enterprises or persons at different stages or levels of the production chain in different markets, in respect of production, supply, distribution, storage, sale or price of, or trade in goods or provision of services, including –

a) Tie-in arrangement: any agreement requiring a purchaser of goods or services, as a condition of such purchase, to purchase some other distinct goods or services.
b) Exclusion dealing agreement: an agreement that restricts a buyer or seller from dealing in goods or services other than those of the other party (or another specified person)
c) Exclusive Distribution Agreement: any agreement to limit, restrict or withhold the output or supply of any goods or allocate any area or market for the disposal or sale of the goods;
d) Refusal to Deal: any agreement which restricts, by any method the persons or classes of persons to whom goods are sold or from whom goods are bought;
e) Resale Price Maintenance: any agreement to sell goods on condition that the prices to be charged on the resale by the purchaser shall be the prices stipulated by the seller unless it is clearly stated that prices lower than those prices may be charged.

shall be an agreement which causes or is likely to cause an appreciable adverse effect on competition in India.
Leniency programme: is a protection to those who come forward and submit information honestly, who would otherwise have to face stringent action by the Commission if existence of a cartel is detected by the Commission on its own. It is based on the principle of fair competition for greater good.

Certain agreements are exempt from these restrictions:

a) Protection of intellectual property rights.
b) Agreements related exclusively to the export of goods from India.

Concept 5 - Abuse of Dominant Position

Dominant Position: means a position of strength, enjoyed by an enterprise, in the relevant market, which enables it to,

a) operate independently of competitive forces; or
b) affect its competitors or consumers.

No enterprise or group shall abuse its dominant position. Abuse of a dominant position can take several forms:

a) Imposes unfair condition or price in the purchase or sale of goods or services, or
b) limits or restricts—
   (i) production of goods or provision of services or market therefor; or
   (ii) technical or scientific development relating to goods or services to the prejudice of consumers;
c) Engaging in practices that resulting in denial of market access, or
d) Using a dominant position to enter into one market or protect a position in another market.

Predatory Price: means the sale of goods or provision of services, at a price which is below the cost, as may be determined by regulations with a view to reduce or eliminate competition.

Concept 6 - Combinations and regulations

Combinations: The Acquisition of one or more enterprises by one or more persons or Merger or amalgamation of enterprises.

Conditions:

a) Acquisition of Control: When a person gains control over an enterprise while already controlling another competing enterprise.
b) Thresholds for Combination: [Amended on 7th March 2024]

i) Individual:

- Combined assets in India: should be more than ₹ 2,000 crores. [₹ 2,500 crores]
- Combined turnover in India: should be more than ₹ 6,000 crores. [₹ 7,500 crores]
- Combined assets (global): should be more than US $ 1 billion (with at least ₹ 1,000 crores in India). [US $ 1.25 billion (with at least ₹ 1,250 crores in India)]
- Combined turnover (global): should be more than US$ 3 billion (with at least ₹ 3,000 crores in India). [US $ 3.75 billion (with at least ₹ 3,750 crores in India)]

ii) Group:

- Combined assets in India: should be more than ₹ 8,000 crores. [₹ 10,000 crores]
- Combined turnover in India: should be more than ₹ 24,000 crores. [₹ 30,000 crores]
- Combined assets (global): should be more than US $ 4 billion (with at least ₹ 1,000 crores in India). [US $ 5 billion (with at least ₹ 1,250 crores in India)]

- Combined turnover (global): should be more than US $ 12 billion (with at least ₹ 3,000 crores in India). [US $ 15 billion (with at least ₹ 3,750 crores in India)]

Regulation of Combinations:

No person or enterprise can enter into a combination that could adversely affect competition in the relevant market in India. If such a combination occurs, it will be considered void.

a) any person or enterprise, proposing to enter into a combination, shall, give notice to the Commission, in the form as may be specified, and the fee determined, by regulations, disclosing the details of the proposed combination, ~~within 30 days~~ [Amended under the Competition (Amendment) Act, 2023, after any of the following, but before consummation of the combination of]
    - The board of directors approving a merger or amalgamation proposal.
    - The signing of any agreement or document related to an acquisition.
b) No combination shall come into effect until:
    - ~~210 days~~ [Amended under the Competition (Amendment) Act, 2023, 150 days] have passed from the day on which the notice has been given to the Commission or
    - The Commission has passed orders under section 31,

    Whichever is earlier.

Penalties: Failure to give notice to the Commission about the combination, may result in a penalty of up to 1% of the total turnover or assets or value of such transaction, whichever is higher, of the combination.

Concept 7 - Inquiry into combination

a) The Competition Commission of India (CCI) can investigate mergers, acquisitions, or amalgamations if it becomes aware or is informed that such combinations might adversely affect competition in India. However, the CCI cannot initiate an inquiry after 1 year from the date the combination has taken effect.
b) When the CCI on receipt of a notice about a proposed combination, shall investigate whether the combination has or is likely to have an adverse impact on competition in India.
c) Every 2 years, starting from 2 years after the Act's commencement, the Central Government, in consultation with the CCI, can revise the financial thresholds for assets or turnover that define combinations.

Factors for Determining Adverse Effect of the combination :

a) Actual and potential competition through imports.
b) Barriers to market entry.
c) Level of market concentration .
d) Degree of countervailing power.
e) Potential price or profit margin increases.
f) Availability of substitutes.
g) Market share of the combined entities.
h) Removal of significant competitors.
i) Vertical integration.

j) Possibility of a failing business.

Commission Meetings: Decisions made by majority vote. Quorum for meetings is 3 Members.

Concept 8 - Procedure for Investigation of Combination

a) Where the Commission is of the prima facie opinion that a combination is likely to cause appreciable adverse effect on the competition in India it shall issue a notice to show cause to the parties of combination calling upon them to respond within 15 days of the receipt of the notice. As to buy investigation of such combination should not be conducted.
b) After receipt of the response of the parties, the Commission may call for a report from the director general and report shall be submitted by the director general within such time as the Commission may direct.
c) The Commission, if it is prima facie of the opinion that the combination has an appreciable adverse effect on competition, it shall,
   - Within 7 days from the date of receipt of the response of the parties, or
   - the receipt of the report from Director General called, whichever is later,

   direct the parties to publish details of the combination within 7 days of such direction, for informing the public and persons affected or likely to be affected by such combination.
d) The Commission may invite the public, affected or likely to be affected by the said combination, to file their written objections, if any, before the Commission within 10 days from the date on which the details are published.
e) The Commission may within 7 days from the expiry of the above period call for any additional information required from the parties of combination.
f) The additional information shall be furnished by the parties within 10 days from the expiry of the period mentioned in (e).
g) After receipt of all information, the Commission shall proceed to deal with the case in accordance with Section 31 or as the case may be .
h) If no prima facie case exists, the matter is closed, and the Commission passes appropriate orders.

Concept 9 - Orders of the Commission on Combinations

a) Approval of Combination: If the Commission concludes that a combination does not, or is not likely to, adversely affect competition, it approves the combination.
b) Rejection of Combination: If the Commission finds that a combination has, or is likely to have, an appreciable adverse effect on competition, it directs that the combination shall not take effect.
c) Modification of Combination: if the Commission is the opinion that, the adverse effect on competition can be eliminated through modifications, the Commission may approve the combination subject to such modifications as it thinks fit.
d) Where combination is approved by the Commission as mentioned in c), the parties to the combination shall carry out such modification within such. As may be specified by the Commission.
e) In the following situation the Commission may order that such combination shall not be taken effect or declare it as void-
   - The Commission has directed that the combination shall not take effect or

- the parties to the combination failed to carry out modifications within specified time or
- The Commission is of the opinion that the combination has an appreciable adverse effect on competition which cannot be eliminated by suitable modification.

Concept 10 - Constitution of the Competition Commission of India

Competition Commission of India is a body corporate headquartered at New Delhi.
Composition: The Commission consists of a Chairperson and a minimum of 2 to a maximum of 6 whole-time members, all of whom are appointed by the Central Government.
Qualifications: Persons of ability, integrity and Special knowledge and at least 15 years of professional experience in fields like international trade, economics, business, law, finance, etc.
Term and Retirement: Each member, including the Chairperson, serves a term of 5 years and is eligible for re-appointment. The retirement age for members is 65 years
Support Staff: The Central Government may appoint a Director General to assist the Commission in conducting inquiries and performing other functions. Additionally, a Secretary, along with other experts, professionals, and officers, will also be appointed to support the Commission's operations.
The Commission shall follow the principles of natural justice and regulate its own procedure in accordance with the Act and Rules. It has powers similar to a Civil Court and may issue interim orders. The Commission may seek assistance from experts in conducting inquiries.

Concept 11 - Duties and Powers of the Commission

General Duties

a) The Commission shall eliminate practices with adverse effects on competition
b) It shall Promote and sustain competition
c) The Commission is responsible for Protecting consumer interests
d) It shall ensure freedom of trade for all participants in the market.

Inquiry Powers

a) The Commission may initiate inquiries on its own or based on information received from any person, consumer, or association.
b) It can also inquire based on references from the Central or State Government or statutory authorities.

Factors for Determining Adverse Effect on Competition

a) Barriers to new entrants
b) Driving out existing competitors
c) Foreclosure of competition by blocking entry
d) Accrual of Benefits to consumers
e) Improvements in the production or distribution of goods or services.

f) The Promotion of technical, scientific, and economic development through the production or distribution of goods or services.

Factors for Determining Dominant Position

a) Market share
b) Size and resources
c) Economic power
d) Consumer dependence
e) Monopoly or dominant position
f) Entry barriers (regulatory, financial, technical, etc. barriers)
g) Countervailing buying power
h) Market size
i) Any other relevant factor

Relevant Market Determination:

a) Relevant Geographic Market:
    i) Regulatory trade barriers
    ii) Local specifications
    iii) Distribution facilities
    iv) Transport costs
    v) Language
    vi) Consumer preferences
b) Relevant Product Market:
    i) Physical characteristics or end-use
    ii) Price
    iii) Consumer preferences
    iv) Specialized producers
    v) Industrial product classification

Concept 12 - Orders by Commission after Inquiry

Upon conducting an inquiry into agreements or abuse of dominant position, the Competition Commission of India (CCI) may issue the following orders:

a) Discontinuation Order: The Commission may direct any enterprise or association involved in such agreement or abuse of dominant position to discontinue and refrain from re-entering such agreement.
b) Penalty Imposition: The penalty shall not be more than 10% of the average of the turnover or income for the last 3 preceding financial years. In cases involving cartels under section 3, the Commission may impose a penalty on each producer, seller, or service provider included in the cartel, of up to 3 time of its profit for each year of the continuance of such agreement or 10% of its turnover or income for each year of the continuance of such agreement, whichever is higher.

c) Modification Order: The Commission may direct that the agreements be modified to the extent and in the manner specified in its order.
d) Compliance Order: The Commission may direct the enterprises involved to abide by its orders passed and comply with the specified directions, including payment of costs if applicable.

Concept 13 - Division of Enterprise Enjoying Dominant Position

In order to prevent the abuse of dominant position by an enterprise due to its size, the Commission may direct the division of the enterprise. The order may include the following provisions:

a) Transfer or vesting of property, rights, liabilities, or obligations.
b) Adjustment of contracts to ensure fair competition.
c) Creation, allotment, surrender, or cancellation of shares, stocks, or securities.
d) Formation or winding up of an enterprise, if necessary.
e) Amendment of the MOA (or) AOA, as required.

Concept 14 - Acts Outside India with Effects on Indian Competition

The Commission has the authority to pass orders even if:

a) An agreement under section 3 is made outside India.
b) Parties involved in the agreement are outside India.
c) Enterprises abusing dominant positions are outside India.
d) A combination takes place outside India.
e) Parties to a combination are outside India.
f) Any matter or action arising from such agreements, dominant positions, or combinations occurs outside India.

Concept 15 - Contravention of Commission Orders and Penalties

The Commission may inquire into compliance with its orders or directions.

a) As per Section 42(2), If a person fails to comply with orders or directions of Commission, without reasonable cause, given under certain sections, he shall be punishable with a fine which may extend to ₹ 1 lakh for each day during which such non-compliance occurs, subject to a maximum of ₹ 10 crore, as the Commission may determine. If any person fails to pay the fine imposed under sub- section (2), he shall, be punishable with imprisonment.
b) As per Section 43, If a person fails to comply with directions of Commission given under certain sections or Director General, without reasonable cause, he shall be liable to a penalty of up to ₹ 1 lakh for each day during which such non-compliance occurs, up to a maximum of ₹ 1 crore, as may be determined by the Commission.
c) If a person fails to pay any monetary penalty imposed by the Commission, it shall proceed to recover the penalty as specified by regulations, including procedures for recovery of income tax.
d) As per Section 44, If any person, being a party to a combination,-

- makes a statement which is false in any material particular, or knowing it to be false; or
- omits to state any material particular knowing it to be material,

such person shall be liable to a penalty which shall not be less than to ₹ 50 Lakhs but which may extend to ₹ 5 crores, as may be determined by the Commission.

e) As per Section 45, If a person, who furnishes or is required to furnish under this Act any particulars, documents or any information,
   - Makes any statement or document which is false in any material particular or
   - Omits to state any material fact knowingly or
   - Wilfully alters, suppresses or destroys any document

   such person shall be liable to a penalty which may extend to ₹ 1 crores as may be determined by the Commission.

The Commission may, if it is satisfied, impose a lesser penalty, if any person has made a full and true disclosure in respect of the alleged violations.

Lesser penalty shall not be imposed by the Commission if the person making the disclosure does not continue to cooperate with the Commission till the completion of the proceedings before the Commission.

The Commission may, if it is satisfied that such producer, seller, distributor, trader or service provider included in the cartel had in the course of proceedings,

a) not complied with the condition on which the lesser penalty was imposed by the Commission, or
b) had given false evidence, or
c) the disclosure made is not vital.

and thereupon such producer, seller, distributor, trader or service provider may be tried for the offence with respect to which the lesser penalty was imposed and shall also be liable to the imposition of penalty to which such person has been liable, had lesser penalty not been imposed.

Concept 16 - Framework and Powers of the Appellate Tribunal under the Competition Act

Establishment of the Appellate Tribunal

The National Company Law Appellate Tribunal, constituted under section 410 of the Companies Act, 2013, serves as the Appellate Tribunal for this Act. It is responsible for hearing appeals against any direction, decision, or order made by the Commission. Additionally, the Tribunal adjudicates claims for compensation arising from the Commission's findings or its own orders in appeal.

An aggrieved person may appeal to the Appellate Tribunal within 60 days from receiving a copy of the Commission's order. Upon receiving an appeal, the Tribunal will provide the parties an opportunity to be heard and may confirm, modify, or set aside the appealed order.

Procedures and Powers of the Appellate Tribunal

While possessing the powers of a civil court, the Appellate Tribunal is not bound by the Code of Civil Procedure but follows the principles of natural justice. It can regulate its own procedures, including the locations of its hearings.

Execution of Orders

Orders made by the Appellate Tribunal are enforced as if they were court decrees. The Tribunal may also transmit its orders to civil courts for execution. Any person Contravening any order of Appellate Tribunal without reasonable grounds, shall be liable for contempt proceeding.

Appeal to the Supreme Court

The Central Government, State Governments, the Commission, statutory authorities, local authorities, enterprises, or individuals aggrieved by the Appellate Tribunal's decisions may appeal to the Supreme Court within 60 days of receiving the decision.

Powers of the Central Government

The Central Government has the authority to make rules to implement the provisions of this Act, decide on staff and salaries, exempt certain entities from the Act, issue directions, and under emergent situations, supersede the Commission for up to 6 months.

Application of Other Laws

The provisions of this Act are supplementary and do not override other existing laws. Therefore, all relevant laws continue to apply alongside this Act.

Concept 1 - Introduction

Constitutional Basis

Article 246: Grants Parliament the power to make laws on matters in the Union List.

a) Entry 16: Foreign jurisdiction.
b) Entry 36: Currency, coinage, legal tender, foreign exchange.
c) Entry 37: Foreign loans.
d) Entry 41: Trade and commerce with foreign countries, including imports and exports, and customs frontiers.

Concept 2 - Importance of Foreign Exchange Management

Global Trade: When businesses import goods, export products, or invest abroad, they deal with foreign exchange.

Economic Stability: Effective management of foreign exchange is crucial for economic stability and growth.

Concept 3 - Evolution of FEMA

1940s:

- Defence of India Act, 1939: Introduced temporary exchange control rules.
- Foreign Exchange Regulation Act, 1947 (FERA 1947): Enacted due to persistent foreign exchange crises.

1970s:

Foreign Exchange Regulation Act, 1973 (FERA 1973): Replaced FERA 1947, effective from January 1, 1974, and regulated foreign exchange for over 26 years.

1991:

Economic Liberalization: The Government of India initiated economic liberalization, allowing foreign investment in various sectors.

1997:

Tarapore Committee: Recommended changes to the foreign exchange legislative framework.

2000:

Foreign Exchange Management Act, 1999 (FEMA) replaced FERA 1973, effective from June 1, 2000.

Concept 4 - Applicability of FEMA, 1999

a) Whole of India.
b) Indian-owned or controlled branches, offices, and agencies outside India.
c) Violations outside India by persons covered under the Act.
d) Does not apply to Indian citizens outside India unless they are residents of India.

Concept 5 – FERA 1973 vs FEMA 1999

Aspect	FERA (Foreign Exchange Regulation Act), 1973	FEMA (Foreign Exchange Management Act), 1999
Objective	Conservation and proper utilization of foreign exchange. Control over business activities of Indian companies abroad and foreign companies in India.	Liberalize and manage foreign exchange market. Encourages international trade and promotes free flow of foreign trade and payments.
Nature of Law	Criminal law	Civil law
Presumption of Guilt	Presumed guilty until proven innocent	Burden of proof on Enforcement Directorate
Penalties	Strict penalties including imprisonment for minor offenses	Relaxed penalties, arrests in extreme cases
Regulation	Regulated all foreign exchange activities	Only specified activities are regulated
Ease of Transactions	Complicated and strict regulations	Transparent, easy to access and understand
Foreign Exchange Reserves	Restricted flow of foreign exchange	Promotes increase in foreign exchange reserves

Concept 6 - Structure of the Foreign Exchange Management Act, 1999

The Foreign Exchange Management Act, 1999 (FEMA) is structured and supported by various legislations, rules, and regulations. Here's a breakdown of these components:

1. Main Act (Supreme Legislation)

   FEMA: The main act itself consists of 7 chapters divided into 49 sections.

2. Rules (Delegated Legislations)

   Ministry of Finance: The Ministry under Section 46 of FEMA has issued 5 sets of rules.

3. Regulations (Subordinate Legislations)

Reserve Bank of India (RBI): Under Section 47 of FEMA, the RBI has issued 23 sets of regulations.

4. Master Circulars/Directions

   RBI: Every year, the RBI issues master circulars or directions. The latest set of master directions was issued in January 2016. These documents consolidate and clarify the regulations and guidelines for easier reference.

5. Foreign Direct Investment (FDI) Policy

   Department for Promotion of Industry & Internal Trade (DPII): The FDI policy is periodically issued by the DPII. This policy outlines the guidelines and procedures for foreign direct investments in India.

6. Notifications and Circulars

   RBI: The RBI also issues notifications and A.P. (DIR Series) circulars, providing updates and clarifications on various aspects of foreign exchange management.

7. Enforcement Directorate : The Enforcement Directorate is responsible for enforcing the provisions of FEMA and taking action against violations

Concept 7 - Important Definitions

a) Foreign Exchange - Section 2(n): Includes foreign currency and other financial instruments payable in foreign currency.

Components:

a) Deposits, credits, and balances in foreign currency.
b) Drafts, travellers cheques, letters of credit in Indian currency but payable in foreign currency.
c) Similar instruments drawn abroad but payable in Indian currency.

b) Authorized Person - Section 2(c): An authorized dealer, money changer, offshore banking unit, or any person authorized under Section 10(1) to deal in foreign exchange or securities.

c) Foreign Currency Convertible Bond (FCCB): Bonds issued by Indian companies in foreign currency, with principal and interest payable in foreign currency.

Features: Subscribed by non-residents, convertible into company shares.

d) Foreign Direct Investment (FDI): Investment by non-residents in an Indian company's capital. Made directly into the company, not through intermediaries.

e) Foreign Institutional Investor (FII): Entities outside India investing in India, registered under SEBI (FII) Regulations, 1995.

f) Foreign Portfolio Investor (FPI): Persons registered under SEBI (FPI) Regulations, 2014, as amended.

g) Foreign Venture Capital Investor (FVCI): Investors established outside India investing in Start-ups companies of India, registered under SEBI (FVCI) Regulations, 2000.

h) Foreign Security - Section 2(o): Securities in foreign currency like shares, stocks, bonds, or debentures, with returns payable in Indian currency.

i) Investment on Repatriable Basis: Investments whose sale proceeds, net of taxes, can be repatriated (sent back) out of India. Non-Repatriable Basis - Opposite of repatriable basis, where proceeds cannot be repatriated.

j) Person of Indian Origin (PIO): A citizen of any country other than Bangladesh or Pakistan who:

a) Held an Indian passport at any time.
b) Has parents or grandparents who were Indian citizens.
c) Is the spouse of an Indian citizen or PIO.

k) Person Resident in India: A person residing in India for more than 182 days during the course of the preceding financial year, but this "does not include":

a) A person who has gone out of India or stays outside India:

- For taking up employment outside India,
- For carrying on outside India a business or vocation,
- For any other purpose indicating an intention to stay outside India for an uncertain period.

b) A person who has come to or stays in India, except for:

- For taking up employment in India,
- For carrying on in India a business or vocation,
- For any other purpose indicating an intention to stay in India for an uncertain period.

- Any person or body corporate registered or incorporated in India.
- An office, branch, or agency in India owned or controlled by a person resident outside India.
- An office, branch, or agency outside India owned or controlled by a person resident in India.

Concept 8 - Restriction in dealing in foreign exchange (Section 3)

Section 3 prohibits the following transactions, namely:

a) Deal in or transfer any foreign exchange or foreign security to any person not being an authorized person
b) Make any payment to or for the credit of any person resident outside India in any manner
c) Receive otherwise through an authorized person, any payment by order or on behalf of any person resident outside India in any manner

d) Enter into any financial transaction in India as consideration for or in association with acquisition or creation or transfer of a right to acquire any asset outside India by any person.

Concept 9 - Restriction in Holding of foreign exchange (Section 4)

General Restriction: No Indian resident is allowed to acquire, hold, own, possess, or transfer foreign exchange, foreign security, or immovable property located outside India unless it falls under certain exemptions provided by the relevant rules.

Exemptions Under the Rules:

a) Property Held Outside India by a Foreign Citizen Resident in India.
b) Property Acquired by a Person on or Before 8th July, 1947, and Held with the Permission of the Reserve Bank
c) Property Acquired by Way of Gift or Inheritance from Persons Referred to in Above
d) Property Purchased Out of Funds Held in Resident Foreign Currency (RFC) Account

Concept 10 - Current Account Transactions (Section 5)

"Current account transaction" means a transaction other than a capital account transaction and includes, —

a) payments due in connection with foreign trade, other current business, services, and short-term banking and credit facilities in the ordinary course of business,
b) payments due as interest on loans and as net income from investments,
c) remittances for living expenses of parents, spouse and children residing abroad, and
d) expenses in connection with foreign travel, education and medical care of parents, spouse and children.

These are everyday transactions that do not affect the assets or liabilities of a country.
The Foreign Exchange Management (Current Account Transactions) Rules, 2000, outline how these transactions are managed. There are three schedules within these rules:

1. Schedule I: Lists transactions that are completely prohibited. These are not allowed under any circumstances.
2. Schedule II: Lists transactions that require approval from the Reserve Bank of India (RBI). These include activities like cultural tours, advertisements, and freight vessel costs in foreign print media by State Governments and Public Sector Undertakings.
3. Schedule III: Lists transactions that have an upper limit on the amount of foreign exchange that can be used. If a transaction isn't listed in these schedules, there are no limits on the amount of foreign exchange that can be used.

Concept 11 - Capital Account Transactions (Section 6)

Capital account transactions involve changes in the ownership of assets and liabilities. This includes investments, loans, and transfers of ownership.

General Permission: Any person can sell or buy foreign exchange from an authorized person for capital account transactions, but must follow specific provisions.

RBI's Role: The RBI, with the Central Government, decides which types of capital account transactions are allowed and sets limits on the amount of foreign exchange for these transactions. However, the RBI cannot restrict foreign exchange for loan repayments or depreciation of investments in regular business activities.

Additional Provisions

a) Holding Assets Abroad: Residents of India can hold, own, transfer, or invest in foreign currency, securities, or property outside India if they acquired them while residing outside India or inherited them from someone who lived outside India.
b) Inherited Foreign Assets: Foreign exchange and any income from it held outside India by a resident, if inherited from a person who lived outside India, are allowed.
c) Export Value Requirements: The RBI can direct exporters to ensure they receive the full value of exported goods, or a reduced value based on market conditions, without delay.
d) Service Export Declarations: Service exporters must provide the RBI or other authorities with a declaration containing accurate details about payment for these services.

Concept 12 - Possession & Retention of Foreign Exchange

1. Authorized Persons: Only authorized persons (like banks and licensed money exchangers) can hold foreign currency within the limits specified by the Reserve Bank of India (RBI).
2. Foreign Coins: Anyone can possess foreign coins without any restriction.
3. Foreign Currency Limit: Residents of India can retain foreign currency up to a limit notified by the RBI.
4. Temporary Residents: People living in India temporarily but not permanently can keep foreign currency without limit, provided it was acquired while they were living outside India and declared to customs when brought into India.

Concept 13 - Forms of Business Conducted by a Foreign Company in India

a) Incorporate a Company: A foreign company can set up a business in India by registering under the Companies Act. This can be done as:

- Joint Venture: Partnering with an Indian company.
- Wholly Owned Subsidiary: Fully owned by the foreign company.

b) Set up Offices: A foreign company can also set up various types of offices in India, which can engage in specific activities as allowed by the regulations:

- Liaison Office/Representative Office: To act as a communication channel between the foreign company and Indian customers or businesses.
- Project Office: To execute specific projects in India.
- Branch Office: To conduct business activities such as trading, professional or consultancy services.

Concept 14 - Introduction to FDI

Foreign Direct Investment (FDI) in India is regulated under the FDI Policy issued annually by the Department for Promotion of Industry & Internal Trade, Ministry of Commerce and Industry.

As per Master Directions,

Foreign Direct Investment (FDI): This involves investment by non-residents in:

- Unlisted Indian companies, or
- At least 10% of a listed Indian post-issue paid-up company's equity capital on a fully diluted basis.
- FDI status is maintained even if the investment falls below 10% after the initial investment.

Foreign Portfolio Investment (FPI): Defined as investments by non-residents in:

- Less than 10% of the post-issue paid-up equity capital on a fully diluted basis of a listed Indian company, or
- Less than 10% in each series of capital instruments of a listed company.

Holding Options: Non-residents can hold investments in Indian companies either as FDI or FPI.

Meaning of Investment Vehicles: are entities or instruments used by investors to invest their money in different types of assets or projects, like:

a) Real Estate Investment Trusts (REITs) under SEBI (REITs) Regulations, 2014,
b) Infrastructure Investment Trusts (InvIts) under SEBI (InvIts) Regulations, 2014,
c) Alternative Investment Funds (AIFs) under SEBI (AIFs) Regulations, 2012.
d) Note: A Venture Capital Fund (VCF) registered under SEBI is not an Investment Vehicle.

Conversion of Debt Instruments: Equity obtained by non-residents through conversion of debt is counted under the applicable sectoral cap.

Concept 15 - Capital Instruments

FDI in India can be made through capital instruments such as equity shares, debentures, preference shares, and share warrants.

Regulatory Compliance: The regulations governing FDI specify how these capital instruments should be issued and managed. For instance, when issuing partly-paid shares, a minimum of 25% of the consideration amount paid initially, and the remainder must be received within twelve months. Convertible Instruments: Fully convertible debentures and preference shares are important for FDI because they allow investors to initially invest in debt, with the option to convert these into equity at a later stage.

Concept 16 – Prohibited Sectors under FDI

a) Lottery Business, including government/private lottery and online lotteries.
b) Gambling and betting, including casinos.
c) Chit funds (except for investment by NRIs and OCIs on a non-repatriation basis).
d) Nidhi companies.

e) Trading in Transferable Development Rights (TDRs).
f) Real Estate Business or Construction of Farm Houses.
g) Manufacturing of cigars, cheroots, cigarillos, and cigarettes, of tobacco or tobacco substitutes.
h) Activities/sectors not open to private sector investment:
    - Atomic energy
    - Railway operations
i) Investments by citizens or entities from Bangladesh or Pakistan require prior government approval.
j) Citizens or entities from Pakistan can invest in sectors/activities (other than defence, space, atomic energy, and prohibited sectors/activities) only with prior government approval.

Concept 17 – Entry Routes

FDI in India can be made through two main entry routes:

a) Automatic Route:

- Under this route, foreign investors do not require prior approval from the government or the Reserve Bank of India (RBI) for investment.
- Investments can be made in sectors or activities specified under this route, provided they comply with sectoral caps and other specified conditions.

b) Government Approval Route:

- Investments under this route require prior approval from the government.
- This route is applicable for sectors or activities that are not covered under the Automatic Route or where the investment exceeds the specified sectoral limits under the Automatic Route

Concept 18 – Sectoral Caps

The maximum foreign investment allowed in various sectors or activities in India, subject to applicable laws, regulations, security, and other conditions.

- 100% Automatic Route: In sectors not listed & not prohibited under Regulation, foreign investment up to 100% is allowed without prior approval, subject to specific conditions.
- Foreign investment in non-NBFC investing companies requires prior government approval. However, investing companies registered as NBFCs with the RBI fall under the 100% automatic route.

Concept 19 – Permitted Investments by persons resident outside India

Permitted Investments by persons resident outside India are subject to entry routes, sectoral caps, or investment limits. The details are provided in various annexures. Here is a brief summary:

1) Capital Instruments of Indian Company: Subscription/purchase/sale is permitted as per Annex 1.

2) Listed Indian Company: Purchase/sale on a recognized stock exchange by FPIs is permitted as per Annex 2.

3) Listed Indian Company by NRIs/OCIs on Repatriation Basis: Purchase/sale on a recognized stock exchange is permitted as per Annex 3.

4) Capital Instruments/Units/Contribution to LLP/Firm/Proprietary Concern by NRIs/OCIs on Non-Repatriation Basis: Purchase/sale is permitted as per Annex 4.

5) Securities Other Than Capital Instruments: Purchase/sale by persons resident outside India is permitted as per Annex 5.

6) Limited Liability Partnership (LLP): Investment is permitted as per Annex 6.

7) Foreign Venture Capital Investor (FVCI): Investment is permitted as per Annex 7.

8) Investment Vehicle: Investment is permitted as per Annex 8.

9) Depository Receipts: Issue/transfer of eligible instruments to a foreign depository is permitted as per Annex 9.

10) Indian Depository Receipts (IDRs): Purchase/sale of IDRs issued by companies resident outside India is permitted as per Annex 10.

Concept 20 – Pricing Guidelines for Capital Instruments of Indian Companies

1. Listed Indian Company: The price of capital instruments issued to a person resident outside India should not be less than - The price determined according to relevant SEBI guidelines.
2. Unlisted Indian Company: The price of capital instruments should be determined using internationally accepted pricing methodologies for valuation on an arm's length basis. The valuation must be certified by a Practicing CMA or CA, SEBI registered Merchant Banker.
3. Convertible Capital Instruments: The price or conversion formula for convertible instruments must be fixed at the time of issuance. The conversion price should not be lower than the fair value determined at the time of issuance.

Concept 21 – Calculation of Foreign Investment

a) Equity Holdings from Debt Conversion: These are counted as part of total foreign investment.
b) FCCBs and DRs with Debt Instruments: These are not counted in total foreign investment.
c) Calculation Methodology: Applies at every investment stage in Indian companies.
d) Downstream Investment: Uses portfolio investment as of March 31 of the previous financial year for calculation.
e) Wholly Owned Subsidiaries: Their foreign investment is limited to that received by the parent company making the downstream investment.

Concept 22 – Conditions for exit

a) Right of First Refusal: When a foreign joint venture decides to sell its stake, the Indian partner has the first option to buy. If the Indian partner declines, the shares can then be sold to a third party.
b) Valuation Challenges for Unlisted Companies: Pricing shares in unlisted companies is challenging because their value isn't publicly known. Independent valuation by reliable agencies is required, complying with RBI guidelines and income tax rules on capital gains.
c) Transfer of Capital Instruments: If an Indian company holds shares of another Indian company with foreign investment:

- Shares can be transferred to a non-resident, reported using Form FCTRs, without strict pricing guidelines.
- Transfers to Indian residents must follow pricing guidelines.

Concept 23 – Miscellaneous concepts

Rights Issue and Bonus Issue: Non-residents can invest in these, provided the Indian company complies with applicable regulations.

Employee Stock Options and Sweat Equity Shares: Indian companies can issue these to

a) Their employees/directors residing outside India.
b) Employees/directors of their holding company or joint venture.
c) Employees/directors of their wholly-owned overseas subsidiaries.

Issue of Convertible Notes by an Indian start-up company: A person resident outside India is permitted to invest in convertible notes issued by an Indian start-up company for an amount of Rs 25 lakh subject to the compliance of other provisions of this regulations.

Subscription to Memorandum of Association: When shares are issued to a person resident outside India as part of the subscription to the Memorandum of Association under the Companies Act, 2013, the investment should be made at face value. This is subject to compliance with entry routes and sectoral caps as applicable.

Investment in LLPs: Investment in LLPs, whether through capital contribution or transfer/acquisition of profit shares, should not be less than the fair price determined using internationally accepted valuation norms or market practices. The valuation must be certified by a Practicing CMA or CA, SEBI registered Merchant Banker.

Concept 24 – Introduction to Liberalised Remittance Scheme (LRS)

All resident individuals, including minors, can remit (spend) up to USD 2,50,000 per financial year for any permissible current or capital account transactions.

Introduced on February 4, 2004, with an initial limit of USD 25,000, the limit has been gradually increased based on economic conditions. The scheme is not available to corporates, partnership firms, Hindu Undivided Families (HUF), trusts, etc.

Concept 25 – Prohibited Remittances

a) Remittances for purposes prohibited under Schedule-I (e.g., lottery tickets, banned magazines) or restricted under Schedule II of the Foreign Exchange Management (Current Account Transactions) Rules, 2000.
b) Remittances for margins or margin calls to overseas exchanges/parties.
c) Purchasing Foreign Currency Convertible Bonds (FCCBs) issued by Indian companies in the overseas secondary market.
d) Trading in foreign exchange abroad.
e) Capital account remittances to countries identified by the Financial Action Task Force (FATF) as "non-cooperative countries and territories."
f) Remittances to individuals/entities identified as posing significant terrorism risks, as advised by the Reserve Bank of India (RBI).

Concept 26 – Permissible uses of LRS

a) Private visits to any country (except Nepal and Bhutan).
b) Gifts or donations.
c) Going abroad for employment.
d) Emigration.
e) Maintenance of close relatives abroad.
f) Travel for business, conferences, specialized training, medical expenses, or as an attendant to a patient going abroad.
g) Expenses for medical treatment abroad.
h) Studies abroad.
i) Any other current account transaction not defined under FEMA 1999.

Concept 27 – Consolidation of remittances under LRS in respect of Family members

a) Family Members: Remittances can be consolidated for close family members, but each family member must follow the scheme's rules.
b) Capital Account Transactions: Family members cannot pool funds for capital account transactions like opening bank accounts, making investments, or purchasing property unless they are co-owners or partners in the investment/property/overseas account.
c) Gifting: Residents cannot gift foreign currency to other residents for depositing into their foreign currency accounts held outside India.

Concept 28 – Remittance Limits

a) Frequency: There are no limits on how often you can make remittances under LRS.
b) Annual Limit: The total amount remitted from all sources in India during a financial year cannot exceed USD 250,000.
c) Further Remittances: Once the USD 250,000 limit is reached in a financial year, no additional remittances can be made under LRS, even if the invested funds are brought back to India.
d) Earnings Remittance: Residents not permanently living in India who have remitted all their earnings and wish to send additional 'other income' can apply to the RBI through their Authorised Dealer (AD) bank.

Concept 29 – Remitter Requirements and Bank Procedures

a) Designated Branch: Choose a branch of an AD (Authorised Dealer) for making all capital account remittances. The account must be maintained with the bank for at least one year before making a remittance.
b) Due Diligence: ADs must verify the source of funds and ensure proper due diligence for capital account transactions.
c) Currency: Remittances can be made in any freely convertible foreign currency.
d) Authorized Dealer (AD) banks can conduct remittance transactions without RBI's permission for all current account transactions not prohibited/restricted under Schedules of FEMA 1999. AD banks must ensure the genuineness of the transactions.
e) LRS does not allow AD banks to extend fund and non-fund-based facilities to resident individuals for capital account transactions under LRS. However, AD banks can provide such facilities for current account remittances under the scheme.
f) LRS does not have specific ratings or guidelines for investments up to USD 250,000. Investors should exercise due diligence when making investment decisions.

Concept 30 – Remittance by Sole Proprietor

In a sole proprietorship, there is no legal separation between the owner and the business. Therefore, the owner can remit up to USD 250,000 under LRS. If a sole proprietor has already remitted USD 250,000 personally, they cannot remit an additional USD 250,000 through the business. The total limit is shared between personal and business remittances.

Concept 31 – Facilities for Entities other than "Individuals"

1. Donations:

   - Amount: Up to 1% of foreign exchange earnings over the past three years or USD 5,000,000, whichever is less.
   - Purpose: For creating educational chairs, contributing to funds by educational institutes, or supporting technical institutions or associations.

2. Commission Payments:

   - Amount: Up to USD 25,000 or 5% of the inward remittance per transaction, whichever is less.
   - Purpose: For agents abroad involved in selling residential or commercial property in India.

3. Consultancy Services:

   - Infrastructure Projects: Up to USD 10,000,000 per project.
   - Other Consultancy Services: Up to USD 1,000,000 per project.

4. Reimbursement of Pre-Incorporation Expenses:

   Up to 5% of the investment brought into India or USD 100,000, whichever is less.

5. Other Remittances:

- Amount: Up to USD 250,000 per financial year for purposes under Para 1 of Schedule III to FEMA (CAT) Amendment Rules, 2015.
- Current Account Transactions: Residual transactions are permissible without specified limits, subject to AD's (Authorised Dealer) verification.

6. Approval for Excess Amounts: Any remittance exceeding the specified limits requires prior approval from the Reserve Bank of India (RBI).

Concept 32 – Rupee Loan & Rupee Gift to NRI/PIO

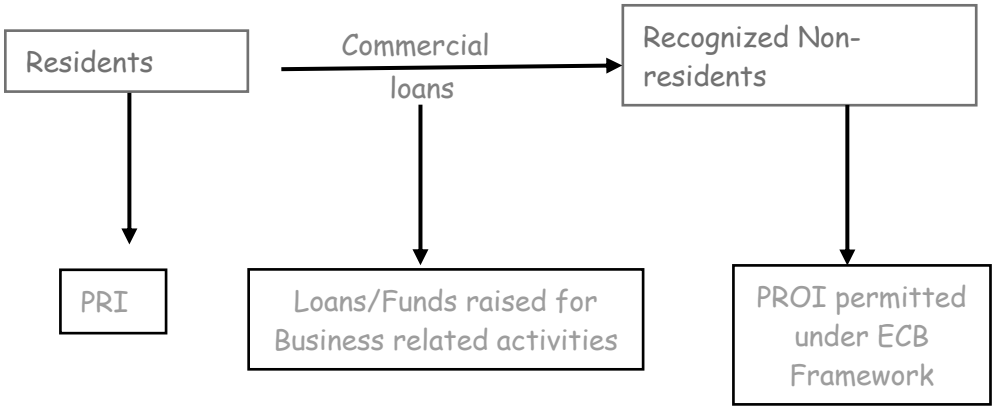
Rupee Loan to NRI/PIO who is a close relative by a resident by way of crossed cheque/ electronic transfer subject to the following conditions:

a) Interest-Free: The loan must be interest-free.
b) Minimum Maturity: The loan should have a minimum term of one year.
c) LRS Limit: The total loan amount must be within the annual LRS limit of USD 250,000.
d) Use: The loan can be used for personal or business purposes in India but not for activities where foreign investment is prohibited.
e) Account Credit: The loan must be credited to the NRO (Non-Resident Ordinary) account of the NRI/PIO.
f) Remittance Restrictions: The loan amount shall not be remitted outside India.
g) Repayment: The repayment should be made through normal banking channels as inward remittances.

Rupee Gift to NRI/PIO: The gift must be within the overall LRS limit of USD 250,000 per financial year. The donor must ensure that the total remittances, including the gift, do not exceed the LRS limit for the year.

Concept 33 – Introduction to External Commercial Borrowings (ECB)

Commercial loans taken by residents from recognized non-residents.



External Commercial Borrowings are commercial loans raised by resident entities from recognized non- resident entities and should conform to parameters such as minimum maturity, permitted and non-permitted end- uses, maximum all-in-cost ceiling, etc.

Concept 34 – ECB Framework

Parametres	FCY denominated ECB (Amount borrowed in the form of foreign currency)	INR denominated ECB (Amount borrowed in the form of Indian currency)
a) Forms (Mode)	1. Loans & Bank loans 2. Floating/Fixed rate – Bonds, Debentures, etc. 3. Trade Credit (TC) beyond 3 years 4. FCCBs & FCEBs 5. Financial Lease	1. Loans & Bank loans 2. Floating/Fixed rate – Bonds, Debentures, etc. 3. Trade Credit (TC) beyond 3 years 4. Financial Lease
b) Eligible Borrower	All entities eligible to receive FDI. [Check: - Sectoral Caps - Entry Routes - Permitted & Prohibited list]	All entities eligible to raise FCY denominated ECB. Micro Finance Institutions & Non-Profit Organizations.
c) Recognized Lenders	1. Resident of → FATF (Financial Action Task Force) compliant country → IOSCO (International Organization of Securities COmmission) compliant country 2. Multiverse & Regional Financial Institutions → where India is a member country. 3. Foreign Branches or Subsidiaries of Indian Banks can only lend FCY denominated ECB (except FCCBs & FCEBs).	

Other Parameters

d) Minimum Average Maturity Period (MAMP) - 5 years
Meaning – Average time period for which the borrowed funds must remain in use.

e) All-in-cost Ceiling – Benchmark rate + 550/450 bps (Base points)
Meaning – Maximum total cost (Interest Rate, Fees, Charges) an entity can incur for raising ECB.

f) End uses – ECB proceeds shall not be utilized for the following purposes:
Negative List
1) Real estate activities.
2) Investment in capital market.
3) Equity investment.
4) 6 Working capital purposes – Exceptions as provided under ECB Framework
5) General corporate purposes - Exceptions as provided under ECB Framework
6) Repayment of Rupee loans - Exceptions as provided under ECB Framework
7) On-lending to entities for the above activities, except in case of ECB raised by NBFCs

Concept 35 – Limit & Leverage

a) Eligible Borrowers and ECB Limits:

All eligible borrowers can raise External Commercial Borrowings (ECB) up to USD 750 million or equivalent per financial year under the automatic route.

b) ECB Liability-Equity Ratio:

For ECBs denominated in Foreign Currency (FCY) raised from direct foreign equity holders, the ECB liability-equity ratio under the automatic route cannot exceed 7:1.

Concept 36 – Parking of ECB Proceeds

a) Parking Abroad:

- ECB proceeds intended for foreign currency expenditure can be parked abroad until utilization.
- These funds can be invested in specified liquid assets while they are parked abroad.

b) Parking Domestically:

- ECB proceeds intended for domestic expenditure must be sent immediately to the borrower's Rupee accounts with AD (Authorized Dealer) Category - I banks in India.
- These proceeds can also be parked in term deposits with AD Category - I banks in India for a maximum period of 12 months cumulatively.

Concept 37 – Procedure for Raising ECB

a) Automatic Route: All ECBs can be raised under the automatic route if they meet the prescribed parameters under this framework.
b) Approval Route: For cases requiring approval, borrowers may approach the Reserve Bank of India (RBI).

Concept 38 – Reporting Requirements

Borrowings under the ECB Framework are subject to monthly reporting requirements.

Meaning of 'Untraceable Entity':

Any borrower who has raised ECB will be treated as 'untraceable entity', if the entity, auditors, directors, promoters of the entity are not reachable or responsive or reply negatively over email, letters, or phone for a period of not less than two quarters with documented communication/reminders.

Conditions for 'Untraceable Entity'

a) Entity not found to be operative at the registered office address as per records available with the AD Bank or not found to be operative during the visit by the officials of the AD Bank or any other agencies authorized by the AD bank for this purpose.
b) Entities have not submitted the Statutory Auditor's Certificate for the last 2 years or more.

Consequences for 'Untraceable Entities':

a) File the Revised Form ECB if required, and the last Form ECB 2 Return without certification from the company, with 'UNTRACEABLE ENTITY' written in bold on top.
b) The outstanding amount will be treated as written-off from the external debt liability of the country but may be retained by the lender in its books for recovery through judicial or non-judicial means.
c) No fresh ECB application by the entity should be examined or processed by the AD bank.
d) No inward remittance or debt servicing will be permitted under the auto route.
e) Directorate of Enforcement should be informed whenever any entity is designated as 'UNTRACEABLE ENTITY'.

Regulations for Amendments in ECB terms:

The designated AD Category I banks can approve any requests from the borrowers for changes subject to ECB norms and with the consent of the lender(s). Further changes can also be undertaken under the automatic route.

Concept 39 – Refinancing of ECB

a) Conditions for Refinancing:
   - Outstanding Maturity: The refinancing must not reduce the outstanding maturity of the original ECB (or the weighted outstanding maturity if there are multiple borrowings).
   - All-in-Cost: The all-in-cost of the new ECB must be lower than the weighted average all-in-cost of the existing ECB.
b) Refinancing Under Previous Frameworks: Refinancing of ECBs raised under earlier frameworks is allowed, provided the borrower meets the eligibility criteria of the current framework.
c) Partial Refinancing: Raising a new ECB to partially refinance an existing ECB is permitted under the same conditions.
d) Indian Banks' Participation: Indian banks can participate in refinancing only for highly rated corporates (AAA) and Maharatna/Navratna public sector undertakings.

Concept 40 – Conversion of ECB into Equity

Eligibility for Conversion:

a) Automatic Route or Government Approval: The borrowing company's activity must be covered under the automatic route for FDI or receive government approval for foreign equity participation.
b) Consent and Costs: Conversion should have the lender's consent and should not involve additional costs. It must not breach foreign equity caps under the FDI policy.
c) Pricing Guidelines: Compliance with applicable share pricing guidelines is required.
d) Applicability: The conversion can include matured but not unpaid ECBs.

Concept 41 – Security for Raising ECB

Permitted Actions: AD Category I banks can allow the creation or cancellation of charges on immovable assets, movable assets, financial securities, and issue of corporate/personal guarantees to secure ECB.

Restructuring and Insolvency: Entities under a restructuring scheme or corporate insolvency resolution process can raise ECB only if specifically allowed in the resolution plan.

Borrowing by Entities Under Investigation: Entities under investigation or legal proceedings for violating FEMA regulations can raise ECB if they are otherwise eligible and comply with applicable norms.

Concept 42 – Introduction to Trade Credit (TC)

Trade Credits (TC) refer to the credits extended by the overseas supplier, bank, financial institution and other permitted recognised lenders for maturity, as prescribed in this framework, for imports of capital/non- capital goods permissible under the Foreign Trade Policy of the Government of India.

Concept 43 –Trade Credit (TC) Frame work

Parameters	FCY denominated TC	INR denominated TC
a) Forms (Mode)	Supplier's Credit & Buyer's Credit	
b) Eligible Borrower	Person Resident in India acting as Importer	
c) Amount under Automatic route	Up to USD 150 million or equivalent per import transaction for oil/gas refining & marketing, airline and shipping companies. For others, up to USD 50 million or equivalent per import transaction.	
d) Recognized Lenders	For suppliers' credit: Supplier of goods located outside India. For buyers' credit: Banks, financial institutions, foreign equity holders located outside India and Financial Institutions in IFSCs ("International Financial Services Centre") located in India. Note: a) Participation of Indian banks and non-banking financial companies (operating from IFSCs) as lenders will be subject to the guidelines issued by the Reserve Bank. b) Further, foreign branches/subsidiaries of Indian banks are permitted as recognised lenders only for FCY TC.	
e) Period of TC	Capital Goods: Maximum credit period: Up to 3 years from shipment date. Non-Capital Goods (General): Maximum credit period: Up to 1 year or the length of the operating cycle, whichever is less. Non-Capital Goods (Shipyards/Shipbuilders): Maximum credit period: Up to 3 years.	

f) All-in-cost ceiling per annum	Benchmark Rate plus 350bps spread: For existing TCs linked to LIBOR whose benchmarks are changed to ARR. Benchmark rate plus 300bps spread: For new TCs.	Benchmark rate plus 250 bps spread.
g) Exchange Rate	Change of currency of FCY TC into INR TC can be at the exchange rate prevailing on the date of the agreement between the parties or at a lesser exchange rate, if consented to by the TC lender.	For conversion to Rupee, exchange rate shall be the rate prevailing on the date of settlement.
h) Hedging Provision	The entities raising TC are required to follow the guidelines for hedging, issued by the concerned sectoral or prudential regulator in respect of foreign currency exposure.	Overseas Investors can hedge their Rupee exposure using permitted derivatives. Can carry out hedging through: - Authorized Dealer Category I banks in India - Indian banks' branches or subsidiaries outside India. Foreign banks with operations in India
i) Change of currency of borrowing	Change of currency of TC from one freely convertible FCY to any other freely convertible FCY as well as to INR is freely permitted.	Change of currency from INR to any freely convertible FCY is not permitted.

Concept 44 - Trade Credit (TC) in SEZ/FTWZ/DTA

a) TC can be raised by units or developers in SEZs (Special Economic Zones) including FTWZs (Free Trade and Warehousing Zones) for purchasing capital and non-capital goods.
b) Entities in DTA (Domestic Tariff Area) can also raise TC to purchase capital/non-capital goods from units or developers of SEZs/FTWZs.

Compliance and Regulations

- TC Transactions must comply with the SEZ Act, 2005, as amended.
- For SEZ transactions, the date of transfer of ownership of goods is treated as the TC date.
- No bill of entry is required for sales within SEZs; the inter-unit receipt generated through NSDL is treated as an import document.

Concept 45 – Security for Trade Credit

a) Bank Guarantees: AD (Authorized Dealer) banks can provide bank guarantees on behalf of the importer to overseas lenders. The guarantee period cannot exceed the maximum permissible period for TC.
b) Overseas Guarantees: TC can be secured by overseas guarantees issued by foreign banks or overseas branches of Indian banks.
c) Security Options: Importers can offer movable assets (including financial assets), immovable assets (excluding land in SEZs), or corporate/personal guarantees as security.

Concept 46 – Reporting Requirements

Monthly Reporting: AD Category I banks must report details of TC drawal, utilization, and repayment in a consolidated statement each month using Form TC.

Quarterly Reporting: AD Category I banks must report data on bank guarantees for TC in a consolidated statement quarterly on the XBRL platform.

Concept 47 – Miscellaneous

Role of ADs

a) Ensure compliance with TC policy and FEMA provisions.
b) Verify TC arrangements and avoid double financing for SEZ/FTWZ transactions.
c) Ensure the TC period for non-capital goods is the lower of the operating cycle or one year.

Non-Resident Guarantee for Domestic Facilities

a) Borrowing and lending in Indian Rupees between two residents does not attract FEMA provisions.
b) Non-resident guarantees for Rupee facilities (fund-based or non-fund based) do not involve foreign exchange until the guarantee is invoked.

Facility of Credit Enhancement

a) Multilateral financial institutions (e.g., IFC, ADB), regional financial institutions, and government-owned financial institutions (Direct or indirect equity holders).
b) Provide credit enhancement for domestic debt raised through capital market instruments like Rupee-denominated bonds and debentures.
c) Available to all borrowers eligible to raise ECB under the automatic route, subject to specific conditions

Concept 1 - Introduction to The Banking Regulation Act, 1949

The Banking Regulation Act, 1949 is a key central legislation in India, enacted under the authority of Entry 45 of the Union List. It regulates all banking institutions across the country and initially applied only to banking companies. This Act establishes a robust framework for the supervision and regulation of commercial banking in India, complementing the Companies Act, 1956.
The Act gives the Reserve Bank of India (RBI) the power to license banks, supervise appointment of the boards and management, Supervise banking operations and audits, Issue directives for public good and banking policy, impose penalties for non-compliance, etc.

Concept 2 - Forms of business in which Banking Companies may engage (Section 6)

Banking means accepting deposits of money from the public for the purpose of lending or investment which are repayable on demand or otherwise and withdrawable by check draft order or otherwise. This section provides that a Banking Company may engage in addition to the business of banking, a list of activities as detailed below:

a) May undertake and execute trusts: A banking company may undertake and execute trusts, acting as a trustee for individuals or organizations.
b) May undertake the administration of estates: A banking company may manage estates, acting as administrator for the estate of deceased persons or for other purposes.
c) May establish and support associations for employees' welfare: A banking company may establish, support in the creation of associations, institutions, funds, etc for the benefit of its employees.
d) May acquire, construct, maintain, and alter buildings: A banking company may acquire any building or infrastructure necessary for conducting its business or other purposes.
e) May sell or deal with its property: A banking company may sell, improve, manage, develop, exchange, lease, mortgage, dispose of, or otherwise deal with any of its properties.
f) May take over the business of another entity: A banking company may acquire the whole or part of the business of any person or company, provided the business is related to banking
g) May engage in incidental or related activities: A banking company may carry out any activity that is incidental to the promotion of its core business operations.
h) A banking company may engage in any other form of business, provided it is deemed lawful by the Central Government through official notification or specification.

Concept 3 – Board of Directors of Banking Company

a) Every banking company must ensure not less than 51% of the total number of Board of Directors consists of individuals with specialized knowledge or practical experience in fields such as accountancy, finance, law, etc, or any other area deemed useful by the RBI.
b) Of these directors, at least 2 must have special knowledge or experience in agriculture and rural economy and small-scale industry, and they may be associated with small industrial concerns.
c) The directors of a banking company, excluding the Chairman and Whole-Time Directors (WTD), shall serve for a term of 8 years.
d) Directors shall not face any conflict of interest with connected parties.
e) The RBI has the authority to order the reconstitution of the Board of any bank if necessary.

f) The removal of any director can be appealed to the Central Government, and there must be no common director across different banks.

Concept 4 - Chairman of Banking company

Section 10B: Banking Company to be Managed by Whole-Time Chairman

a) Every banking company must have one of its Directors appointed as the Chairman of the Board of Directors.
b) The Chairman can be appointed on either a whole-time or part-time basis.
c) When appointed on a whole-time basis, the Chairman will manage the entire affairs of the banking company, subject to the supervision and control of the Board of Directors.
d) If the Chairman is appointed on a part-time basis, the management will be entrusted to a Managing Director (MD).
e) Both the Chairman and the MD must be appointed with RBI approval, and the tenure for such approval is for 5 years.

Section 10BB: Power of RBI to Appoint Chairman or MD

a) If the position of a whole-time Chairman or Managing Director is vacant, the Reserve Bank of India (RBI) has, if it is of opinion that the continuation of such vacancy is likely to adversely affect the interests of banking company appoint a person eligible to be so appointed to be the chairperson of the board of directors appointed on a whole time basis or a managing director of the banking company.
b) If the appointee is not already a Director, they will be deemed a Director for as long as they hold the position.
c) The Chairman of the Board of Directors in a banking company shall hold office for 5 years.

Concept 5 - Minimum paid up capital and reserves (Sections 11 & 12)

Requirements for banking companies:

a) Subscribed capital must be at least 50% of the authorized capital.
b) Paid-up capital must be at least 50% of the subscribed capital.
c) When capital is increased, this ratio can be maintained within a maximum period of 2 years or as per RBI guidelines.

The shares of the banking company can either be equity or preference. However, beyond statutory capital requirements, banks now focus on Capital Adequacy Ratios (CAR), especially to manage Non-Performing Assets (NPA).

The Basel Committee guidelines, particularly the Basel III Recommendations, are relevant to Indian banks. These guidelines ensure the capital adequacy of banks to protect against risks, ensuring financial stability.

Key features of Basel III include:

a) Three Pillars of Capital Structure:
   - Minimum Capital Requirements based on risk-weighted assets (RWAs) to cover risks.
   - Supervisory Review Process to manage peripheral risks.
   - Market Discipline to increase transparency by requiring disclosures from banks.

b) Banks must maintain capital quality and buffers, along with Minimum Common Equity Tier I (CET1) and Tier II capital.

c) By January 1, 2019, Indian banks must comply with Basel III norms, ensuring a minimum total capital of 9% of RWAs.

Concept 6 - Limiting the payment of dividends (Section 15)

Prohibits every banking company from paying any dividend on its shares unless it has completely written off the capitalized expenses such as Preliminary Expenses, Brokerage and Commission on issue of shares, etc.

However, a banking Company may pay dividend, without writing off the following:

a) The depreciation in value of investments in approved securities which has not been actually capitalized.

b) The depreciation in value of investments in shares, debentures, bonds (other than approved securities) where adequate provision has been made, and approved by the company's auditor.

c) The bad debts where the provision has been made, and approved by the auditor.

d) All dividend payments require specific approval from the Reserve Bank of India.

Concept 7 - Section 17, 18 & 19 of the Banking Regulation Act, 1949

7.1 Transfer to Reserve Fund (Section 17)

a) Banking companies incorporated in India must transfer at least 20% of their annual profit to the reserve fund, unless the reserve fund (with share premium) equals or exceeds the company's paid-up capital.

b) This requirement can be waived by the Central Government based on the RBI's recommendation.

c) Any appropriation from the reserves must be reported to the RBI within 21 days, with reasons.

d) Additionally, all scheduled commercial banks, including foreign banks in India, must transfer a minimum of 25% of net profit to the reserve fund.

7.2 Maintenance of Cash Reserve by Non-Scheduled Banks (Section 18)

Non-scheduled banks are required to maintain a cash reserve in India, either with themselves or in current accounts with the RBI, State Bank of India, or other notified banks. The reserve should be equivalent to at least 4 % of the total time and demand liabilities, and must be maintained on a daily basis. Non-scheduled banks must report compliance by the 20th of each month.

7.3 Restrictions on the Nature of Companies (Section 19)

Imposes restrictions on banking companies regarding the formation of subsidiary companies and the holding of shares in other companies. Banking companies are not permitted to acquire controlling

interests in non-banking companies or engage in activities outside the banking sector through such acquisitions. However, banking companies can form subsidiary companies for purposes incidental to banking with prior written approval from the RBI.

Concept 8 - Restrictions on loans and advances (Sections 20 & 21)

8.1 Section 20 establishes restrictions for banking companies regarding loans and advances.

a) Prohibited Loans: Banking companies cannot grant loans to:

- Any of its directors.
- Any firm where a director has an interest.
- Individuals for whom a director stands as a guarantor.

b) Banking companies are also barred from providing loans or advances secured by their own shares.
c) The RBI has the authority to regulate advances by banks in the interest of the public.

8.2 Section 21 empowers the RBI to formulate policies for banks concerning advances, including:

a) Purpose Restrictions: Guidelines on what purposes loans may or may not be granted.
b) Margin Requirements: Specifications for the margins to be maintained for secured advances.
c) Interest Rates: Regulations on the rates of interest charged for advances, other financial accommodations, and commissions on guarantees.
d) Determination of the maximum amount of advance or financial accommodation a bank may issue to a single party, based on the bank's paid-up capital, reserves, and deposits.

Concept 9 - Licensing of banking companies (Section 22)

No banking company can begin or continue banking operations in India without a license from the RBI. The section outlines:

- The necessity of obtaining a license and the application process.
- Conditions for granting licenses.
- Procedures for license cancellation and appeals.

Pre-licensing Conditions: Before granting a license, the RBI may conduct an inspection to ensure:

a) The company can meet its current and future depositors' claims in full.
b) The company's operations will not negatively impact the interests of its depositors.
c) Conducting banking business will be in the public interest and that the company's home country does not discriminate against Indian banking companies. The company must also comply with relevant provisions of the Banking Regulation Act.

License Cancellation: The RBI can cancel a banking company's license if:

a) The company ceases banking operations in India.
b) The company fails to comply with any imposed conditions.

A banking company aggrieved by the RBI's decision can appeal to the Central Government within 30 days, and the Central Government's decision will be final.

Concept 10 - Section 23, 24, 25, 26, 27, 30 and 35A of the Banking Regulation Act, 1949

10.1 Control on the Opening of New Business (Section 23)

No banking company can open a new place of business in India or abroad, nor can it change the location of an existing place of business without prior RBI permission. However, permission is not needed for:

a) Opening a branch in the same city, town, or village.
b) Establishing a temporary place of business for up to 1 month in a city where the bank already operates, particularly for events like exhibitions or fairs.

10.2 Maintenance of a Percentage of Liquid Assets (SLR) (Section 24)

Every Banking company shall maintain in India in liquid assets for an amount not less than such percentage not exceeding 40% of their total time and demand liabilities as on the last Friday (amended with effect from 15.12.2025 – ~~Friday~~ ~ day) Amended of the second preceding fortnight as notified by the RBI. Liquid Assets include Cash, Gold, Unencumbered approved securities, etc. These assets are to be valued at a price not exceeding the current market price. Current Statutory Liquidity Ratio (SLR) notified by RBI is 18% . As per ICMAI Study Material MCQ, 25%.

10.3 Maintenance of Assets in India (Section 25)

The assets in India of every banking company at the close of business on the last Friday of every quarter or, if that Friday (amended with effect from 15.12.2025 – ~~Friday~~ ~ day) is a public holiday, at the close of the business on the preceding working day, shall not be less than 75% of its demand and time liabilities in India.

10.4 Submission of Returns of Unclaimed Deposits (Section 26)

Every banking company must submit a return to the RBI detailing unoperated accounts in India for a period of 10 years.

a) The return should be submitted within 30 days after the end of each calendar year.
b) For fixed deposits, the 10-year period starts from the expiry date of the deposit.
c) Regional Rural Banks (RRBs) must send such returns to the National Bank for Agriculture and Rural Development (NABARD).

10.5 Submission of Return, Forms, etc., to RBI (Section 27)

Every banking company shall, before the close of the month succeeding that to which it relates, submit to the Reserve Bank a return showing its assets and liabilities in India as at the close of business on the last Friday of every month, or, if that day is a public holiday, then at the close of business on the preceding working day. The RBI may require additional information about the banking

company's operations and financial affairs whenever deemed necessary, including - Investments of the bank, Classifications of advances related to different sectors (industry, commerce, agriculture).

10.6 Audit of the Balance Sheet and Profit & Loss Account (Section 30)

Every Banking company must prepare Profit & Loss Account & Balance Sheet as on the last working day of the calendar year, according to prescribed formats and these accounts must be audited by a person duly qualified under any law for the time being in force to be an auditor of companies. Every banking company shall, before appointing, re-appointing or removing any auditor, obtain the previous approval of the Reserve Bank. The accounts and balance-sheet together with the auditor's report shall be published in the prescribed manner and three copies thereof shall be furnished as returns to the Reserve Bank within three months from the end of the period. The RBI has the authority to inspect any banking company and its records to ensure compliance with regulations.

10.7 Giving Directions to Banking Companies (Section 35A)

The RBI can issue warnings or prohibitions to banking companies regarding specific operations if it believes it is in the public interest or necessary to prevent any conduct that may be detrimental to depositor's interests or the bank's management. Banking companies are required to comply with these directives.

Concept 11 - Powers of RBI

a) Issuing Directions for Stressed Assets (Section 35AB): The RBI has the authority to direct banks on how to resolve stressed assets and can establish authorities or committees to assist with this process.
b) Prior Approval for Appointments (Section 35B): Banks must obtain prior approval from the RBI for appointing, re-appointing, or removing the Managing Director, chairman, or directors, as well as for any amendments to the bank's Memorandum, Articles, or resolutions.
c) Removal of Managers (Sections 36AA and 36AB): The RBI can remove managerial personnel and other officials from their positions and has the power to appoint additional directors as necessary.
d) Supersession of Board of Directors: If the RBI, in consultation with the Central Government believes a bank is operating in a manner harmful to depositors or the public interest, they can supersede the bank's Board of Directors.
e) Suspension of Business (Section 37): A banking company facing temporary inability to meet its obligations can apply to the High Court for a moratorium, which halts all legal actions against it for up to 6 months. The application must include a report from the RBI confirming that the bank can meet its debts if the moratorium is granted. Without this RBI report, the bank cannot receive a moratorium.

Concept 12 - Winding up of Banking Companies

The High Court shall order the winding up of a banking company, if the banking company is unable to pay its debts or if an application for its winding up has been made by the Reserve bank.

The Reserve Bank of India (RBI) can apply for the winding up of a banking company under the following conditions:

a) If the bank does not comply with the minimum paid-up capital and reserve requirements specified in Section 11.
b) If the bank is not authorized to conduct business due to lack of a license under Section 22.
c) If the bank has been prohibited from accepting fresh deposits by either the Central Government or the RBI.
d) If the bank fails to comply with any requirements of the Banking Regulation Act and continues to do so after being directed by the RBI.
e) If the RBI believes that a court-sanctioned compromise or arrangement cannot be successfully implemented.
f) If the RBI determines, based on the bank's returns, that it cannot pay its debts or that its ongoing operations are harmful to the interests of depositors.

Voluntary Winding Up: A banking company cannot voluntarily wind up unless it receives a certification from the RBI confirming that it is capable of paying all its debts in full.

Concept 13 - Amalgamation of Banking Companies (Section 44A)

The scheme of amalgamation is to be approved by 2/3 majority of the total voting ratios of the shareholders in a general meeting. The unwilling shareholders are entitled to receive the value of their shares as may be determined by the RBI. The RBI has to sanction the scheme of amalgamation after the shareholders' approval. The assets and liabilities are transferred to the acquiring bank according to the directions of RBI. The RBI issues order for the dissolution of the first bank on a specified date. During preparation of scheme of amalgamations RBI may suspend business with approval with Central Government. As per the amendment in October, 2020, RBI may initiate a scheme for reconstruction and amalgamation without imposing moratorium.

Concept 14 - Role of Reserve Bank of India

The Reserve Bank of India (RBI) plays a crucial role in shaping monetary, banking, and financial policies. Over time, it has evolved from a regulator to a facilitator in the banking sector, leading to various organizational changes and enhancements in its functions.

a) Inspection of Banks: The RBI conducts inspections of banks under the Banking Regulation Act, 1949, to ensure compliance with banking policies and protect the interests of depositors.
b) Regulatory Role: The Department of Banking Operations and Development regulates commercial banks and Local Area Banks (LABs) in accordance with the Banking Regulation Act, 1949 and the Reserve Bank of India Act. Its responsibilities include:
    i) Licensing and branch expansion
    ii) Maintenance of statutory liquidity reserves
    iii) Management, amalgamation, reconstruction, and liquidation of banks
c) Anti-Money Laundering: The RBI oversees anti-money laundering efforts through the establishment of an Anti-Money Laundering Cell (AML Cell) to combat financing of terrorism.

d) Board-Level Appointments: The RBI approves and monitors appointments at the board level in commercial banks, ensuring compliance with regulations and making recommendations to the government regarding appointments and salary fixation for public sector banks.
e) Branch Licensing: The RBI authorizes Indian commercial banks and LABs to open branches, considers representations from the public regarding branch operations, and periodically reviews branch licensing policies.
f) Banking Policy: The RBI formulates policies and issues prudential guidelines on:
    i) Capital adequacy
    ii) Income recognition
    iii) Asset classification and provisioning
    iv) Implementation of the Basel II framework
    v) Compromise settlements for non-performing assets (NPAs)
g) Issuance of Directives: The RBI issues directives to banks concerning interest rates, account management, and deposit solicitations.
h) Information Dissemination: The RBI collects and disseminates information about defaulting borrowers with significant outstanding amounts classified as 'doubtful' or 'loss.'
i) Monitoring Overseas Operations: The RBI formulates policies for the overseas operations of Indian banks and approves proposals for setting up international branches and joint ventures.
j) Precious Metals Authorization: The RBI regulates gold and precious metal transactions, issuing authorizations for imports and managing related schemes.
k) Offshore Banking Units: The RBI approves and sets guidelines for Offshore Banking Units (OBUs) in Special Economic Zones (SEZs).
l) Industrial and Export Credit Policy: The RBI monitors industrial and export credit, which has been liberalized over time.
m) Regulatory Interpretation: The RBI interprets provisions of banking regulations and examines rules and amendments.
n) Granting Exemptions: The RBI processes applications from banks seeking exemptions from various provisions of the Banking Regulation Act.
o) Foreign Exchange Management: The RBI regulates foreign exchange dealings, ensuring compliance with laws related to capital and current account transactions, and grants authorizations to designated entities.
p) Banker's Bank: The RBI extends loans and advances to commercial banks.
q) Banker to Governments: The RBI acts as a banker to both the Central and State Governments, extending loans and managing government accounts.
r) Payment and Settlement Oversight: The RBI oversees the payment and settlement systems of commercial banks.

Concept 15 – Introduction to SARFESI Act, 2002

The Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002(SARFAESI Act) was enacted to regulate the securitisation and reconstruction of financial assets and the enforcement of security interest. The Act came into force on June 21, 2002. Its primary objectives include enabling banks and financial institutions to:

a) Realize long-term assets
b) Manage liquidity issues
c) Address asset-liability mismatches

d) Improve recovery of loans by taking possession of securities and selling them to reduce non-performing assets (NPAs)

The SARFAESI Act has been amended in 2004 and 2012 to enhance its provisions.

Concept 16 – Important Definitions

a) Asset Reconstruction: Acquisition by any securitisation company or reconstruction company of any right or interest of any bank or financial institution in any financial assistance for the purpose of realizing such financial assistance.
b) Asset Reconstruction Company: An asset reconstruction company is a company registered with the Reserve Bank for the purpose of engaging in asset reconstruction or securitization, or both.
c) Non-performing Asset: A non-performing asset refers to an asset or account of a borrower that has been classified by a bank or financial institution as sub-standard, doubtful, or loss, as per regulatory guidelines.
d) Qualified Institutional Buyer: Qualified institutional buyers are financial institutions, insurance companies, banks, asset reconstruction companies, or other entities authorized to purchase securities from the market.
e) Securitization: Securitization involves an asset reconstruction company acquiring financial assets from an originator, often by issuing securities representing interests in those assets to qualified buyers.
f) Financial Asset: Financial asset refers to debt or receivables and encompasses various forms:

- Claim to any debt or receivables, whether secured or unsecured.
- Debt or receivables secured by a mortgage, charge, or pledge on immovable property.
- Mortgage, charge, hypothecation, or pledge on movable property.
- Right or interest in security underlying debt or receivables.
- Beneficial interest in movable or immovable property, whether existing, future, accruing, conditional, or contingent.
- Beneficial right, title, or interest in any tangible asset given on hire or financial lease, securing the obligation to pay any unpaid portion of the purchase price.
- Right, title, or interest in any tangible asset or intangible asset securing the obligation to pay any unpaid portion of the purchase price or an obligation incurred to acquire such asset.
- Any form of financial assistance

Concept 17 – Registration of Asset Reconstruction Companies (Section 3)

To commence or carry on the business of securitisation or asset reconstruction, a company must obtain a certificate of registration from the Reserve Bank of India (RBI) and maintain owned funds of at least ₹ 300 crore (or a higher amount as specified by the RBI).

Requirements for Registration:

a) The ARC must not have incurred losses in any of the last 3 financial years.
b) It must have adequate arrangements for the realisation of financial assets acquired for securitisation or reconstruction and be able to pay returns to investors on due dates.

c) Directors of the ARC should have adequate professional experience in finance, securitisation, and reconstruction.
d) None of its directors should have been convicted of any offence involving moral turpitude.
e) The sponsor of the ARC must meet the criteria specified by the RBI for fitness and propriety.
f) The ARC should comply with prudential norms laid out by the RBI.
g) The ARC must comply with other conditions specified in the RBI's guidelines.

The RBI may impose additional restrictions or conditions on the registration. Approval from the RBI is required for:

a) Substantial Changes in Management: Includes changes in the Board of Directors, Managing Director, or CEO.
b) Change of Registered Office Location.
c) Change of Company Name.

The RBI's decision on whether a management change is substantial is final.

Concept 18 – Cancellation of Certificate Registration (Section 4)

The RBI has the authority to cancel the registration certificate of an ARC under the following conditions:

a) The ARC ceases to receive or hold investments from qualified institutional buyers.
b) The ARC stops carrying on its asset reconstruction business.
c) The ARC fails to comply with the conditions of its registration.
d) The ARC does not fulfil specific conditions outlined in Section 3.
e) The ARC fails to adhere to directions issued by the RBI.
f) The ARC fails to maintain proper accounts.
g) The ARC does not submit documents during RBI inspections.
h) The ARC does not obtain RBI approval for any substantial changes in its management.

Before cancellation, the RBI must provide the ARC an opportunity to comply with the provisions or conditions specified, allowing the company to rectify any issues

Concept 19 – Acquisition of Rights or Interest in Financial Assets (Section 5)

An Asset Reconstruction Company (ARC) has the authority to acquire financial assets from any bank or financial institution, through the following methods:

a) Issuance of Securities: by issuing a debenture or bond or any other security in the nature of debenture, for consideration agreed upon between such company in the bank or financial institution incorporating there in such terms and conditions as may be agreed upon between them
b) Transfer Agreements: By entering into an agreement with such bank or financial institution for the transfer of such financial assets to that such company on such terms and conditions as may be agreed upon between them.

Stamp Duty Exemption: Any document executed by a bank or financial institution in favour of the ARC for acquiring financial assets is exempt from stamp duty, as per the Indian Stamp Act provisions.

Concept 20 – Measures for Asset Reconstruction (Section 9)

An asset reconstruction company may for the purposes of asset reconstruction, provide for any one or more of the following measures, namely:

a) Change or take over the management of the borrower's business.
b) Sell or lease part or all of the borrower's business.
c) Reschedule the repayment of the borrower's debts.
d) Enforce security interests as per the Act.
e) Settle the borrower's dues.
f) Take possession of secured assets in accordance with the Act.
g) Convert any portion of the borrower's debt into shares of the borrower company. This conversion is valid at all times.

The Reserve Bank of India (RBI) will set the policy and issue directions for these measures, including regulating the management of the borrower's business and fees to be charged. ARCs must follow RBI's directions.

Concept 21 – Additional Roles and Regulations for ARCs (Section 10)

a) ARCs can act as agents for banks or financial institutions to recover dues from borrowers, with mutually agreed fees.
b) ARCs cannot act as managers if it leads to any financial liability.
c) ARCs can act as managers for functions outlined under Section 13, with mutually agreed fees.
d) ARCs can serve as receivers if appointed by a court or tribunal.
e) ARCs cannot engage in any business other than securitisation or asset reconstruction without prior approval from the RBI.
f) ARCs must stop any other business activities within one year of the commencement of this Act.
g) The term 'securitisation company' or 'reconstruction company' does not include subsidiaries.
h) RBI can request information, conduct audits, and inspect ARCs.
i) RBI will set policies and issue directions to ARCs.

Dispute Resolution (Section 11) :

Disputes related to securitisation, reconstruction, or non-payment among banks, financial institutions, ARCs, or qualified institutional buyers will be resolved through conciliation or arbitration as per the Arbitration and Conciliation Act, 1996. It is assumed that all parties have consented to this method of dispute resolution in writing, and the Act's provisions will apply accordingly.

Concept 22 – Enforcement of Security interest (Section 13)

a) Direct Enforcement: Secured creditors have the right to enforce security interests directly, without needing court or tribunal involvement, as per the Act's provisions.
b) Default and Notice: If a borrower defaults on their loan, and the debt is classified as a non-performing asset (NPA), the secured creditor can issue a written notice. This notice demands full repayment within 60 days, listing the amount due and the assets that will be enforced if payment isn't made.
c) Secured Creditor's Rights After Default: If the borrower fails to repay within 60 days, the secured creditor has several options:

- Take possession of the secured assets.
- Take control of the borrower's business management.
- Appoint a manager to manage the secured assets.
- Demand payment from third parties who owe money to the borrower.

d) Legal Immunity for Payments: Any payments made to the secured creditor by third parties (like a borrower's customer) legally discharge them from further obligations. If the creditor buys the asset during a sale, the purchase price can be adjusted against the borrower's dues.
e) Transfer of Rights: If the secured creditor takes over the borrower's business or transfers an asset, the transferee receives all the rights as if the borrower had made the transfer.
f) Costs and Proceeds: Any costs the secured creditor incurs (e.g., legal fees or management costs) can be recovered from the borrower. Any proceeds from selling the assets will first go towards settling the creditor's dues.
g) Borrower's Rights Before Sale: If the borrower repays all dues and costs before the asset is sold, the secured assets cannot be sold by the creditor.
h) Joint Financing: In cases of joint financing, the secured creditor can enforce rights only with the consent of creditors holding at least 60% of the outstanding value of the loan.
i) Company Liquidation: If a company is being wound up, the secured creditor can retain proceeds from the asset sale after settling any outstanding dues to the company's workers.
j) Unpaid Dues: If the sale of the assets doesn't fully cover the debt, the secured creditor can approach the Debts Recovery Tribunal or court to recover the remaining balance.
k) Rights Against Guarantors: Secured creditors can also take action against guarantors or sell pledged assets, even if they are pursuing other recovery actions simultaneously.
l) Delegation of Rights: The secured creditor can authorize officers to carry out enforcement actions on their behalf.
m) Restriction on Borrower's Transfers: After receiving the notice, the borrower cannot transfer any secured assets without the written consent of the secured creditor.

Concept 23 – Manner and Effect of Takeover of Management (Section 15)

When the secured creditor (or ARC) takes over the management of a borrower's business:

i) If the borrower is a company: The ARC can appoint as many people as needed to act as directors.
ii) If the borrower is not a company: The ARC can appoint administrators to manage the business.

a) After taking over, the secured creditor must publish a notice in a newspaper in English and a newspaper in the local language of the area where the borrower's principal office is located.

b) Upon publishing the notice, all existing directors or administrators of the business are deemed to have vacated their positions. This also terminates any contracts the borrower had with these directors or administrators.
c) After the takeover, shareholders cannot nominate or appoint new directors without the approval of the secured creditor.
d) No court can begin winding-up proceedings or appoint a receiver for the company without the secured creditor's consent.
e) Once the secured creditor has fully recovered its dues, it must restore control of the business back to the borrower.
f) Directors, managing directors, managers, or individuals in charge of the borrower's management are not entitled to compensation for loss of office under this Act. (Section 16)

Right to Appeal to Debt Recovery Tribunal (DRT) (Section 17)

Borrowers or any aggrieved party can appeal against secured creditors' actions to the relevant Debt Recovery Tribunal.

Appeal to Appellate Tribunal (Section 18)

Anyone dissatisfied with a DRT's decision can appeal to an Appellate Tribunal within 30 days. However, the appeal can only proceed if the borrower has deposited at least 50% of the debt claimed by secured creditors or determined by the DRT, whichever is lower. The Appellate Tribunal can reduce this amount, but not below 25%, for valid reasons

Concept 1 - Introduction and Evolution of The Insurance Act, 1938

a) Pre - 1912: No specific insurance law existed in India. Insurance companies were governed by the Indian Companies Act, 1882.
b) Early 20th Century: Many insurance companies were formed, but many were financially unstable, prompting the need for legislation.
c) 1912: The Indian Life Insurance Companies Act and Provident Insurance Societies Act were enacted, focusing on life insurance, based on the English Insurance Companies Act of 1909. It dealt only with life insurance, while the English Act covered both life and non-life insurance. The Act had defects like unregulated practices, no investment restrictions, no investigations of unsound companies, and exemptions for foreign companies.
d) 1938: The Government introduced a bill in 1937, resulting in the Insurance Act, 1938 effective from July 1, 1939.
e) 1950: A comprehensive amendment was made to the Insurance Act, 1938 in 1950
f) 1956: Life insurance business was nationalized in 1956. After which Life Insurance Corporation of India Act, 1956 was passed, LIC came into force from September 1, 1956.
g) 1963: Marine Insurance Act, 1963 was enacted to regulate marine insurance in India.
h) 1972: General insurance business was nationalized through the General Insurance Business (Nationalisation) Act, 1972.

Concept 2 – FDI in Insurance Sector in India

a) In 2000, the insurance market in India was opened up to private players with the enactment of the Insurance Regulatory and Development Authority of India (IRDAI) Act, 1999. Before which only two state insurers existed: Life Insurance Corporation of India (LIC) and General Insurance Corporation of India (GIC).
b) Industry has seen a gradual growth over the last 15 years in terms of product innovation, vibrant distribution channels, penetration and density.
c) India is poised to emerge as one of the fastest growing insurance markets in the world. While presently the Indian insurance market is the 10th (tenth) largest in the world, it is poised to become the 6th (sixth) largest by 2032.
d) FDI Regulations:

- 26% FDI allowed through the automatic approval route.
- FDI up to 49%, approval from the Central Government is required.
- 100% FDI is permitted for insurance intermediaries.

Concept 3 - Basic Principles of insurance

Principle of Good Faith

A contract of insurance is a contract 'uberrimea fidei' i.e., a contract of "utmost good faith". This is a fundamental principle of insurance law. There is no difference between a contract of insurance and any other contract except that in a contract of insurance there is a requirement of utmost good faith.

Warranties and Conditions

Warranties in an insurance policy, whether express or implied, are binding commitments. A breach of warranty will void the policy, even if the breach does not relate to a material aspect of the insured risk. Implied warranties are primarily found in marine insurance.

Conditions outline the obligations and limitations of an insurance policy. They can be classified as either conditions precedent or conditions subsequent. Conditions precedent are essential for establishing a valid contract; failure to meet them renders the contract void from the start. Conditions subsequent pertain to the ongoing validity of the contract; if these conditions are not fulfilled, the contract is voided from the date of breach.

Implied conditions are those mandated by law that apply to all insurance contracts, such as insurable interest and good faith. Any condition that seeks to shorten the legally prescribed limitation period is void. An insurance policy may specify forfeiture or waiver of rights, which remains enforceable against either party.

Misrepresentation

Representations are statements made by one party to another before or during the formation of an insurance contract, relating to matters or circumstances concerning the contract, but not an integral part of it. These statements are considered fulfilled once the policy is accepted. A mere statement of representations does not make them warranties, but if they become part of the contract, they are considered warranties. If the representations are false, the policy can be avoided, even if the loss isn't directly related to the misrepresentation. Life insurance policies cannot be questioned on the grounds of misrepresentation after 2 years from the policy's commencement.

The Insurance Act outlines three conditions for wilful misrepresentation:

a) the statement must be material or omit material facts;
b) the omission must be fraudulent; and
c) the policyholder must know the statement is false or omits important facts.

Indemnity and Subrogation

Most insurance policies, except for life and personal accident insurance, are contracts of indemnity. In such contracts, the insurer agrees to compensate the insured for actual losses incurred due to the insured event. The occurrence of the event is beyond the control of both the insurance company and the insured. Even within policy limits, the insured cannot recover more than their actual loss.

In marine insurance, the insurer agrees to indemnify the insured based on the terms specified in the contract. While the objective is to restore the insured to their pre-loss position, the amount of indemnity is subject to certain conditions:

a) The insured must provide proof of the injury or loss.
b) The indemnity is limited to the amount stated in the policy.
c) Indemnification is provided only for proximate causes.
d) The market value of the property determines the indemnity amount.

Subrogation means the right of the insurer (insurance company), after paying a claim to the insured, to step into the shoes of the insured and recover the loss from the third party responsible for it.

Proximate Cause

The doctrine of proximate cause is summarized by the maxim "Causa Proxima non remota spectator," meaning that the immediate cause, rather than a distant cause, is deemed responsible for the loss. Under this doctrine, the insurer is obligated to compensate the insured for losses that directly or indirectly arise from the insured event specified in the policy. The insured bears the burden of proving that the loss was due to the proximate cause.

Insurance and Consumer Protection

The Consumer Protection Act, 1986, is a significant piece of legislation aimed at safeguarding consumers in India. It provides compensatory measures for any deficiencies in services, including those offered by insurance companies. Consumers can file complaints against insurers for issues related to the repudiation of claims, claim admissions, or claim amount calculations.

However, insurance companies are generally not considered "consumers" under the Act, as they do not receive direct services from insurers. The proper recourse for insurers is to file suits in civil courts for loss recovery. In contrast, individuals or companies purchasing insurance to manage risks are recognized as consumers under the Act, even if the insurance is for commercial purposes

Insurable Interest

Insurable interest refers to a legal or financial stake in the subject matter of the insurance, meaning the insured would suffer a loss or incur a liability if the insured event occurs. For an insurance contract to be valid, the insured must have a genuine interest in the life or property being insured. Without this, the contract is considered a wager and is void.

The insured must demonstrate potential financial loss in case of damage to the insured property or life. Insurable interest varies by the type of insurance:

- Life and personal accident insurance: The interest must exist when the policy is taken.
- Fire and motor insurance: The interest must exist both when the policy is taken and at the time of the accident.
- Marine insurance: Insurable interest is not required at the time the policy is taken, but it must exist when the event occurs.

The coverage typically starts from the time specified in the policy unless otherwise agreed.

Concept 4 - Important Definitions under the Insurance Act, 1938

a) Authority: Refers to the Insurance Regulatory and Development Authority of India, established under the Insurance Regulatory and Development Authority Act, 1999.
b) Policy Holder: A policy holder includes a person who has received the entire interest in the policy but excludes an assignee whose interest is conditional.

c) Controller of Insurance: An officer appointed by the Central Government to exercise the powers and functions of the Authority under relevant insurance laws.
d) Indian Insurance Company: An insurer limited by shares, registered as a public company under the Companies Act, 2013, with no more than 49% of equity shares held by foreign investors. It must primarily engage in life, general, or health insurance business.
e) Insurer: Includes Indian insurance companies, statutory bodies, insurance co-operatives, and foreign companies engaged in re-insurance through a branch in India.
f) Insurance Agent: An individual who earns commissions for soliciting or procuring insurance business, including policy renewals.
g) Life Insurance Business: Life Insurance Business involves creating insurance contracts that provide financial benefits related to human life. This includes contracts that guarantee payment upon death (excluding accidental death) or upon specific life events. Key components include:

- the granting of disability and double or triple indemnity accident benefits, if so provided in the contract of insurance,
- the granting of annuities upon human life ; and
- the granting of superannuation allowances

h) Re-insurance: "Re-insurance" means the insurance of part of one insurer's risk by another insurer who accepts the risk for a mutually acceptable premium.
i) Fire Insurance Business: Contracts that provide coverage against loss due to fire or other related risks, excluding incidental coverage from other classes.
j) Marine Insurance Business: Involves contracts insuring vessels, cargoes, and related interests during transit, including associated warehouse risks.

Concept 5 - Salient features of the Insurance Act

a) Indian properties, including ships, vessels, or aircraft registered in India, cannot be insured with foreign insurers without the permission of the Insurance Regulatory and Development Authority of India (IRDAI).
b) Requirements as to Capital: No insurer carrying on the business of life insurance, general insurance, health insurance or re-insurance in India or after the commencement of the Insurance Regulatory and Development Authority Act, 1999, shall be registered unless he has minimum paid up capital as prescribed below:

- Life or General Insurance: ₹ 100 Crores
- Health Insurance: ₹ 100 Crores
- Reinsurance: ₹ 200 Crores

Insurers may increase their paid-up equity capital as per the provisions of the Companies Act, 2013, the Securities and Exchange Board of India Act, 1992, and applicable regulations. Registration as an insurer requires net owned funds of at least ₹ 5,000 Crores.

To operate in life, general, health, or re-insurance, companies must meet the following requirements:

a) The capital must consist of equity shares with a single face value and other forms as specified by regulations.
b) Voting rights are restricted to equity shares.

c) The paid-up amount must be the same for all shares, except during a one-year grace period for share calls.

These conditions do not apply to public companies that issued non-ordinary shares with varying paid-up amounts before the Insurance (Amendment) Act, 1950, for 3 years after its commencement.

Concept 6 – Important Sections of the Insurance Act, 1938

Audit of Accounts of Insurance Companies (Section 12) & Submission of Returns (Section 15)

Final accounts must be prepared in the prescribed format. Audited accounts, along with the abstract and statements mentioned in Section 13, must be printed and 4 copies submitted to the Authority within 6 months of the end of the relevant period. 1 copy must be signed by the chairman, 2 directors, the principal officer, and, if applicable, the managing director. Another must be signed by the auditor or actuary responsible for the audit or valuation. If the return is found to be defective or inaccurate, the Authority may request additional information or a revised return.

Actuarial Valuation/Report (Section 13)

At least once a year, every insurer carrying on life insurance business shall cause an investigation of the life insurance business carried on by him including a valuation of his liabilities and shall cause an abstract of the report of such actuary to made in accordance with the regulations. The Authority may, extent such date. Where it appears that valuation made do not properly indicate the affairs of the company, may require further investigation and valuation.

Record of Policies and Claims (Section 14)

Every insurer must maintain the following records for all business transacted:

a) A record of policies, including the policyholder's name and address, policy start date, and any transfer, assignment, or nomination noticed by the insurer.
b) A record of claims, including each claim's date, claimant's name and address, the date of claim settlement or rejection, and the reasons for rejection.
c) These records may be kept in any form, including electronic, as per regulations.
d) Insurers must issue policies above a specified threshold in electronic form, as specified by regulations..

Investment of Assets (Section 27)

Insurers must invest and maintain assets equivalent to their liabilities on life insurance policies in India, including matured claims and amounts needed for policies maturing for payment. Investments should be made as follows:

a) At least 25% in Government securities, with an additional 25% in either Government or other approved securities.
b) The remaining balance can be invested in approved securities, subject to regulations.

For general insurance, 25% of assets must be in Government securities, an additional 10% in Government or approved securities, and the rest in accordance with Authority regulations.

Life and general insurers must only invest in approved investments as per regulatory guidelines. Insurers can invest up to 5% of their controlled funds in companies belonging to their promoters, following regulatory conditions.

Prohibition of Loans (Section 29)

Insurers cannot grant loans or advances, except on life insurance policies within their surrender value, to directors, managers, actuaries, officers, or companies where such individuals hold key positions. This does not apply to loans made to banking companies specified by the Authority.

Liability of Directors for Contravention (Section 30)

If an insurer or policyholders suffer a loss due to violations of Sections 27, 27A, 27B, 27C, 27D, or 29, any director, manager, or officer who knowingly participated in the contravention will be jointly and severally liable to compensate for the loss, in addition to facing other penalties under the Act.

Obligations of Insurers for Motor Vehicle Third-Party Risks (Section 32D)

Every insurer carrying on general insurance business shall, after the commencement of the Insurance Laws (Amendment) Act, 2015, underwrite such minimum percentage of insurance business in third party risks of motor vehicles as may be specified by the regulations. Provided that the Authority may, by regulations, exempt any insurer who is primarily engaged in the business of health, re-insurance, agriculture, export credit guarantee, from the application of this section.

Failure to comply with Sections 32B, 32C, or 32D could result in a penalty not exceeding ₹ 25 crores.

Authority's Power of Investigation and Inspection (Section 33)

The Authority has the power to investigate the affairs of any insurer or intermediary at any time. The Investigating Officer may appoint auditors or actuaries to assist in the investigation. The officer can inspect the insurer's accounts and must provide a copy of the inspection report to both the insurer and the Authority. Insurers must fully cooperate during investigations, bear all associated costs, and these costs will have priority over other debts, recoverable as arrears of land revenue.

Prohibition of Commission Payments for Procuring Business (Section 40)

Only insurance agents or intermediaries may receive commissions or remuneration for soliciting insurance business in India, as regulated. No person, except those authorized, can be paid for procuring insurance business, and any such payments must follow the regulations.

Insurance Agents (Section 42)

Appointment of Agents:

An insurer may appoint any person as an insurance agent to solicit and procure insurance business. The person should not suffer from any disqualification.

Restriction on Number of Insurers: An insurance agent cannot act for more than:

- One life insurer
- One general insurer
- One health insurer
- One of each mono-line insurer (e.g., agriculture, export credit, etc.)

Agents must avoid conflict of interest if they represent multiple insurers.

Ban on Certain Agents: No insurer shall appoint:

- Principal agents
- Chief agents
- Special agents

Insurers cannot transact business in India through such categories.

Ban on Multi-Level Marketing (MLM): No person can induce people to buy or renew insurance policies through MLM schemes. MLM here means:

- A scheme/program/plan to solicit insurance business through unauthorised persons.
- This may involve sharing commission/remuneration, directly or indirectly.
- It includes enrolment of people into a chain for such solicitation.

Restriction on Directorship: No insurance agent, intermediary, or insurance intermediary can become or remain a director of an insurance company without prior permission of the Authority (IRDAI).

Policy Protection After Three Years (Section 45)

Once a life insurance policy has been in force for 3 years, it cannot be questioned or disputed on any grounds, including fraud. If the insurer wishes to contest the policy within the 3 year period, they must provide written reasons to the insured, their representatives, or nominees, explaining the basis of the challenge, such as misstatements or omission of material facts.

Surveyors and Loss Assessors (Section 64UM)

Surveyors and loss assessors handling general insurance must meet the academic qualifications prescribed by regulations and be members of the Indian Institute of Insurance Surveyors and Loss Assessors. They are required to adhere to a professional code of conduct in performing their duties.

Valuation of Assets and Liabilities (Section 64V)

Insurers must value their assets at no more than market or realizable value, with certain exclusions as specified by regulations. Liabilities should be valued appropriately. Annually, insurers must submit a certified statement of assets and liabilities, approved by an auditor or actuary, to the Authority by 31st day of March every year.

Sufficiency of assets (Section 64V)

Every insurer and re-insurer shall at all times maintain an excess of value of assets over the amount of liabilities of, not less than 50% of the amount of minimum capital. An insurer or re-insurer, as the case may be, who does not comply with shall be deemed to be insolvent and may be wound-up by the court on an application made by the Authority.

The Authority shall by way of regulation made for the purpose, specify a level of solvency margin known as control level of solvency on the breach of which the Authority shall act in accordance with without prejudice to taking of any other remedial measures as deemed fit.

Concept 7 - Insurance Regulatory and Development Authority Act, 1999

The Insurance Regulatory and Development Authority (IRDA) was established in 1999 by the Indian Government with these objectives:

1. Protecting the interests of insurance policyholders.
2. Regulating, promoting, and ensuring orderly growth of the insurance industry.
3. Handling matters connected to insurance regulation.

Concept 8 - IRDA's mission statement

a) Protect policyholders and ensure fair treatment.
b) Foster speedy and orderly growth of the insurance sector, benefiting the common man and providing long-term funds.
c) Promote, monitor, and enforce high standards of integrity, financial soundness, and fair dealing by insurers.
d) Take actions against inadequate or ineffective standards.
e) Ensure quick settlement of genuine claims, prevent fraud and malpractice, and establish grievance redressal mechanisms.
f) Encourage self - regulation in daily operations while complying with regulations.

Concept 9 - Functions of IRDA

Functions are to make policies, regulations, address grievances in relationship to the following:

a) Nomination by Policyholders.
b) Settlement of insurance claim.
c) Practical training for Insurance agents and other intermediaries.
d) Insurable Interest.
e) Surrender value of Policyholders.
f) Code of conduct of Insurance intermediaries' surveyors.
g) Assistance in gaining correct information about policies.
h) Creation of management information system.
i) Promotion of Self-regulation within the insurance sector.
j) Issue of certificate of insurance company registration.
k) regulation of investment by insurance companies.
l) Supervising and monitoring insurance companies

Concept 10 - Constitution of IRDA

The Central Government appoints IRDA as a body corporate with contractual powers. The location of the Authority's Head Office is determined by the Central Government.

Composition of Members:

a) Chairman
b) 5 Whole-Time Members (maximum)
c) 4 Part-Time Members (maximum)
d) At least 1 member must have expertise in Life Insurance, General Insurance, and Actuarial Science.

Term of Office: The Chairperson serves a 5 year term or until reaching 65 years of age, with eligibility for reappointment. Whole-time members may serve until they are 62 years old.

Membership Termination: Members may resign with 3 months prior notice to the Central Government. Members can be removed for reasons such as insolvency, insanity, conviction for moral turpitude, illegal financial interests, or actions against public interest.

Members' remuneration is determined as per prescribed laws. The Chairperson and Whole-time Members cannot hold any office under the Central or State Government, or in the Insurance Sector, for 2 years following the termination of their employment with the regulatory authority. The Authority may appoint employees and officers to enhance operational efficiency

Meeting Procedures:

- Regulations determine the procedural aspects of Authority meetings.
- Resolutions are passed by a simple majority; the Chairperson has a casting vote in case of a tie.
- If the Chairperson is absent, the attending members can appoint an acting Chairperson among themselves.

Concept 11 - Duties and powers of IRDA

The Authority shall have the duty to regulate, control, promote and ensure healthy development of insurance and re-insurance business. The powers and functions of the Authority includes:

a) Issue, modify, cancel, etc, of Registration certificate to the applicant.
b) Safeguarding the interests of the policyholders like insurable interests, settlement of claim, surrender value of the policy, etc.
c) Specifying code of conduct of the Surveyors.
d) Determining qualifications and training aspect of agents and intermediary.
e) Levying fees and charges for their work.
f) Conducting investigations and enquiries relating to issues concerning insurance business.
g) Regulatory investment funds by the Insurance Companies.
h) Regulating maintenance of margin of solvency.
i) Adjudicating and settling disputes between intermediaries and insurers.
j) Supervising the functioning of Tariff Advisory Committee.

Concept 12 - Finance Accounts and Audit

The Central Government provides necessary funding for the Authority, known as the "IRDA of India Fund" This fund includes:

a) Government grants, fees, and charges.
b) Money received from other sources specified by the Central Government.

The funds will be used for:

a) Salaries and allowances of the Authority's members, officers, and employees.
b) Other legitimate expenses of the Authority.

The Authority must maintain books of accounts and prepare annual financial statements as prescribed by the Central Government in consultation with the Comptroller and Auditor General. The CAG will audit the Authority's accounts, with audit costs borne by the Authority.

Any person appointed by the CAG will have the same privileges and access to relevant documents. The certified accounts, whether audited by the CAG or an appointed person, must be submitted to the Central Government and laid before Parliament.

Amalgamation and Transfer of Insurance Business

No insurance business of an insurer can be transferred or amalgamated with another insurer's business unless it follows a scheme prepared under this section and approved by the Authority.

Concept 1 - Introduction

1) The Micro, Small and Medium Enterprises (MSME) sector has emerged as a highly dynamic and important sector of the economy.
2) It provides large employment opportunities with comparatively lower capital investment than large industries.
3) MSMEs also promote industrialization among ordinary people, enabling wider participation in economic activities.
4) This helps in balanced regional development and ensures a more equitable distribution of economic growth.
5) MSMEs support large industries by functioning as ancillary or supporting units.
6) The primary responsibility for the promotion and development of MSMEs lies with the State Governments.
7) However, the Central Government supports and supplements the efforts of the State Governments through various initiatives and policies.
8) Most of the textile and handicraft sector in India is run by artisans, small traders and daily wage earners. Khadi and Village Industries (KVI) are two national heritages of India.

Concept 2 - Definitions and conditions of MSME

Enterprise: In the context of the MSMED Act, 2006 an "enterprise" is defined as any entity engaged in the manufacturing or production of goods, or providing or rendering services, that meets specified criteria related to investment in Plant & Machinery or equipment and annual turnover.

Micro Enterprises:

Investment in Plant and Machinery or Equipment: Not more than ₹ 2.5 crore.

Annual Turnover: Not more than ₹ 10 crores.

Small Enterprises:

Investment in Plant and Machinery or Equipment: Not more than ₹ 25 crores.

Annual Turnover: Not more than ₹ 100 crores.

Medium Enterprises:

Investment in Plant and Machinery or Equipment: Not more than ₹ 125 crores.

Annual Turnover: Not more than ₹ 500 crores.

Calculation of investment in P&M or equipment - Only tangible assets (excluding land and furniture/fittings) are included.

For turnover calculation, exports are excluded.

If an MSME moves to a higher category or out of MSME scope, it continues to receive non-tax benefits for 3 years from the date of transition.

Concept 3 - Contribution of MSME to Indian Economy

a) The MSME sector, with 3.6 crore units and 8 crore employees, is the second-largest employer in India after agriculture.
b) It contributes 45% to industrial production.
c) It accounts for 40% of India's exports.
d) It constitutes 37% of the GDP.
e) It contributes 31% to the service sector.

Concept 4 - Key Provisions of the MSMED Act:

Section 9: Central Government can issue notifications and formulate schemes for:
a) Facilitating the promotion and development
b) Enhancing competitiveness
c) Employee skill development
d) Management and technological upgrades
e) Marketing assistance and infrastructure facilities
f) Cluster development and linkage strengthening

Section 10: Ensures timely and smooth credit facilities for MSMEs.

Concept 5 - Role of the Ministry

1) The Ministry of Micro, Small and Medium Enterprises (Central Government) is a branch of the Government of India, is the highest executive body for the formulation of policies and administration of rules, regulations and laws relating to micro, small and medium enterprises in India.
2) The Ministry of Small-Scale Industries and Agro and Rural Industries was created in October 1999.
3) In September 2001, the ministry was split into the Ministry of Small Scale Industries and the Ministry of Agro and Rural Industries.
4) In May 2007, they were merged into a single ministry to form Ministry of Micro, Small & Medium Enterprises.
5) This Ministry now designs policies and promotes/ facilitates programmes, projects and schemes and monitors their implementation with a view to assisting MSMEs and help them to scale up.
6) It supports the State Government with Nodal Agencies through various initiatives & schemes and assists in promoting MSMEs, fostering entrepreneurship, and enhancing employment opportunities.

Concept 6 - National Board for Micro, Small and Medium Enterprises

The MSME Board is an advisory body established under the MSMED Act,2006. The Central Government has established, a Board known as the National Board for MSME with Head Office at Delhi.

Concept 7 - Functions of the National Board for MSME

a) Assess factors affecting MSME promotion and development.
b) Examine and review the impact of Central Government policies and programs on MSMEs.
c) Provide recommendations on MSME-related matters.
d) Address issues referred by the Central Government to facilitate MSME promotion and development.
e) Offer advice to the Central Government on the use of the MSME Fund.

Concept 8 – Memorandum of MSME

Any person who intends to establish,

a) a micro or small enterprise, may, at his discretion; or
b) a medium enterprise engaged in providing or rendering of services may, at his discretion; or
c) a medium enterprise engaged in the manufacture or production of goods pertaining to any industry.

shall file the memorandum of micro, small or of medium enterprise with such authority as may be specified by the State Government.

However, any person who, before the commencement of this Act, established--

a) a small scale industry and obtained a registration certificate, may, at his discretion; and
b) an industry engaged in the manufacture or production of goods pertaining to any industry having investment in plant and machinery of more than ₹ 1 crore but not exceeding ₹ 10 crore filed an Industrial Entrepreneur's Memorandum.

shall within 180 days from the commencement of this Act, file the memorandum, in accordance with the provisions of this Act.

Concept 9 - Measures for MSME Promotion, Development and Competitiveness

The Central Government has the authority to issue programs, guidelines, or instructions to:
a) Facilitate Promotion and Development of MSMEs.
b) Focus on skill development for employees, management, and entrepreneurs.
c) Provisioning for technological advancements within MSMEs.
d) Support for marketing assistance, infrastructure and cluster development to strengthen backward and forward linkages.
e) Formulate policies and practices regarding credit availability to MSMEs.
f) Implement procurement preference policies to support MSMEs.
g) Oversee grants provided by the Central Government and their administration.

Concept 10 - Dedicated Funds for the MSME Sector

The Dedicated Fund called the MSME Fund will be constituted by notification, credited with grants from the Central Government. The Central Government will administer the Funds according to

prescribed procedures. The Funds are exclusively for the MSME sector's benefit. The Central Government is responsible for coordinating and ensuring timely utilization and release of funds according to prescribed criteria.

Concept 11 - Delayed Payments to MSMEs

Where any supplier supplies any goods or renders any services to any buyer, the buyer shall make payment on or before the date agreed upon between him and the supplier in writing or, where there is no agreement, before the appointed day. The period agreed upon between the supplier and the buyer in writing shall not exceed 45 days from the day of acceptance or the day of deemed acceptance.

- "appointed day" means the day following immediately after the expiry of the period of 15 days from the day of acceptance or the day of deemed acceptance of any goods or any services by a buyer from a supplier.
- "the day of acceptance" means-
  (a) the day of the actual delivery of goods or the rendering of services; or
  (b) where any objection is made in writing by the buyer regarding acceptance of goods or services within 15 days from the day of the delivery, the day on which such objection is removed by the supplier.
- "the day of deemed acceptance" means, where no objection is made in writing by the buyer regarding acceptance of goods or services within 15 days from the day of the delivery, the day of the actual delivery.

If payments are delayed as required above, the buyer is liable to pay compound interest with monthly rests to the supplier on that amount from the appointed day or from the date immediately following the date agreed upon. The interest rate is 3 times the bank rate notified by the Reserve Bank. Interest on delayed payments is not allowed as a deduction from income.

Concept 12 – MSME Facilitation centres by State Government

The State Government shall establish one or more Micro and Small Enterprises Facilitation Councils, at such places, exercising such jurisdiction. The Micro and Small Enterprise Facilitation Council shall consist of not less than 3 but not more than 5 members to be appointed, namely -

a) Director of Industries, or any other officer not below the rank of such Director.
b) One or more office-bearers or representatives of associations of MSME in the State; and
c) One or more representatives of banks and financial institutions lending to MSME or
d) One or more persons having special knowledge in the field of industry, finance, law, trade or commerce.

MSME Facilitation Centres help resolve disputes, especially related to delayed payments, for micro and small enterprises. These centres have overriding authority, meaning their decisions take precedence over other laws. They also assist with the smooth closure of MSMEs when needed and the State Government has the power to make rules for their functioning.

Concept 13 - Schemes and Programme

The schemes/programmes undertaken by the Ministry and its organizations seek to facilitate -

a) flow of credit from financial institutions/banks
b) technology upgradation and modernization
c) infrastructural facilities
d) modern testing facilities and quality certification
e) entrepreneurship development and skill upgradation
f) support for product development, design intervention and packaging
g) welfare of artisans and workers
h) assistance for better access to domestic and export markets etc.

The Government of India introduces several schemes for the benefit of these MSMEs. Following are the Schemes/ Programmes –

Single Window Registration Process

Facilitated by the Champions Control Room under the Ministry of MSME, along with Development Institutes (DIs) and District Industries Centres (DICs) working under state government, enables MSMEs to complete all necessary registrations and access government support through a single point of registration – Udyam Registration Portal.

National Small Industries Corporation Limited (NSIC)

Established in 1955, NSIC's main function is to promote, aid, and foster the growth of MSEs in the country, typically on a commercial basis. It provides various support services to Micro and Small Enterprises including raw material procurement, product marketing, credit rating, technology acquisition, and adoption of modern management practices.

Digital MSME Scheme

The digital MSME is a government scheme for the MSME that was launched for promoting information and communication technology (ICT) in the MSME Sector by adopting ICT tools and applications in the production and business process of MSMEs.

The services that will be available forMSMEs through various service providers include:

a) ERP
b) Accounting
c) Manufacturing Design
d) Regulatory Compliance including GST

The digital MSME Scheme is aimed at creating awareness supporting developments and e-platforms, thereby creating literacy, training and promoting digital marketing in MSME sectors.

Emergency Credit Line Guarantee Scheme (ECLGS)

Launched to provide 100% guarantee coverage to banks and NBFCs for extending emergency credit facilities to MSMEs during the COVID-19 crisis. It is extended till 31st March 2023 to provide relief to MSMEs. 100% guarantee coverage for the additional funds sanctioned under the Emergency Credit Line Scheme. The interest rate charged is capped at 9.25% for banks and 14% for NBFCs. A maximum tenure of 4 years from the date of disbursement is stipulated under the Scheme. The moratorium period on the principal amount is 12 months.

Secured Business Loan for MSMEs (SIDBI)

Small Industries Development Bank of India (SIDBI), a primary financial institution for MSMEs, offers the Secured Business Loan (SBL) scheme. Designed to provide faster credit dispensation to MSMEs, especially in manufacturing and service sectors. Offers loans up to Rs. 10 crores with a maximum repayment tenure of 10 years, including a moratorium period.

Prime Minister Employment Generation Programme (PMEGP)

Credit-linked subsidy scheme introduced by the Government of India to promote employment generation through micro-enterprises. Aims to establish micro-enterprises in rural and urban areas, providing credit-linked subsidies to entrepreneurs.

MSME Samadhaan (Delayed Payment Monitoring System)

It is an online platform created by the Ministry of MSME to help Micro and Small Enterprises in filing the complaints regarding delayed payments. These are sent to Micro and Small Enterprises Facilitation Council (MSEFC) of the concerned State or Union Territory.

Procurement Preference Policy

The policy provides for reservation of certain items to be from MSME only, price preference, preference to women entrepreneurs, on programmes to MSMEs. This is to promote the growth of MSMEs by increasing their participation in government tenders, and ensure they receive fair opportunities.

Training

The National Institute for Entrepreneurship and Small Business Development is the premier organization of the Ministry of Skill Development and Entrepreneurship, engaged in training, consultancy, research, etc. in order to promote entrepreneurship and Skill Development. The major activities of the Institute include Training of Trainers, Management Development Programmes, Entrepreneurship-cum-Skill Development Programmes and Cluster Intervention.

Recent Government Announcement for MSME Sector Relief

The Finance Ministry announced several financial relief measures in the last budget to support MSMEs. The key initiatives are:

a) ₹ 3 Lakh Crore Emergency Working Capital Facility for Businesses, including MSMEs

- Additional Working Capital Finance: Relief to businesses for an amount of 20% of the outstanding credit (as on February 29, 2020) at a concessional interest rate.

b) ₹ 20,000 Crore Subordinate Debt for Stressed MSMEs

- Provision of ₹20,000 crores subordinate debt for 2,00,000 stressed MSMEs (Non-Performing Assets or stressed units).
- Government to support this with ₹4,000 crores to the Credit Guarantee Trust for Micro and Small Enterprises (CGTMSE).

c) Subordinate Debt to Promoters of MSMEs: Banks will provide subordinate debt to MSME promoters equal to 15% of their existing stake, subject to a maximum of ₹75 lakhs.

d) ₹ 50,000 Crore Equity Infusion through MSME Fund of Funds (FoF)

- The government will set up an MSME Fund of Funds (FoF) with a corpus of ₹10,000 crores.
- The FoF will provide equity funding support for MSMEs and will operate through a Mother Fund and Daughter Funds.
- With a leverage ratio of 1:4, it is expected to mobilize equity of about ₹50,000 crores

Concept 1 - Objects of the IT Act

a) To provide legal recognition to electronic transactions by recognizing digital signatures, whether used by public or by government officials or agencies, including the publication of rules or any other matters, such as gazette notifications.
b) Facilitate electronic filing of documents and retention thereof in government records
c) Subsequent Amendments to Other Acts
d) To set up licensing & monitoring of Certifying Authority.

Concept 2 – Dispatch and Receipt of Records

Dispatch – Records sent by originator, his agent, system programmed by the originator which operates automatically. Dispatch would occur when it enters a resource outside the control of the originator

Receipt – unless otherwise agreed by the parties, receipt would occur when it enters the designated computer resource or else when it is retrieved by the addressee

Place of Dispatch & Place of Receipt - unless otherwise agreed by the parties place of dispatch shall be deemed to be place of business, same in case of receipt.

Concept 3 - Controller of Certifying Authority (CCA)

The Controller of Certifying Authority (CCA) is to be appointed by Central Government to recognize, license, regulate, standardize, supervise the certifying authorities. Certifying authorities, who are licensed by CCA shall issue digital signature certificate and perform other acts as specified by the Controller and perform other functions as decided by Controller.

Concept 4 - Settlement of disputes

a) Central Government has appointed adjudicating authorities having legal knowledge.
b) ~~Cyber Regulations Appellate Tribunal~~ -dissolved & Merged with Telecom Disputes Settlement and Appellate Tribunal (TDSAT) has also been constituted.
c) Any person not satisfied with the order of controller or adjudicating authorities may appeal within 45 days.
d) Decision of appellate tribunal can be appealed to High Court within 60 days

Concept 5 – Introduction to Data Protection Laws

Data Protection Laws refers to the set of privacy laws, policies and procedures that aim to minimise intrusion into one's privacy caused by the collection, storage, etc. of personal data. Personal data generally refers to the information or data which relate to a person who can be identified from that information or data whether collected by any Government or any private organization or an agency.

Concept 6 - Data Protection Law in India

India currently is not having a separate data protection law.

Section 43A & Section 72A were inserted in the IT Act through the Information Technology (Amendment) Act, 2008 and the Central Government, notified the Information Technology (Reasonable security practices and procedures and sensitive personal data or information) Rules, 2011. The right to privacy in India was declared a fundamental right by the Hon'ble Supreme Court of India on August 24, 2017.

Section 43A of the IT Act explicitly provides that whenever a corporate body possesses or deals with any sensitive personal data or information, and is negligent in maintaining a reasonable security to protect such data or information, which thereby causes wrongful loss or wrongful gain to any person, then such body corporate shall be liable to pay damages to the person so affected.

Section 72A ~~provides for the punishment for disclosure of information in breach of lawful contract and any person may be punished with imprisonment for a term not exceeding three years (or) with a fine not exceeding five lakh rupees (or) with both in case disclosure of information is made in breach of lawful contract.~~

Amended on 11th August 2023 - "Newly amended Section 72A" provides for the penalty for disclosure of information in breach of lawful contract and any person may be liable to penalty which may extend to ₹ 25 lakhs in case disclosure of information is made in breach of lawful contract.

Concept 7 – Main Highlights – Information Technology (Reasonable Security Practices and Procedures and Sensitive Personal Data or Information) Rules, 2011

a) Applicability - Applies to bodies corporate and individuals in India.
b) Sensitive Personal Data (Rule 3)
   - Includes passwords, credit/debit card information, biometric data, DNA, fingerprints, mental health condition etc.
   - any information is freely available or accessible in the public domain is not considered to be sensitive personal data.
c) Privacy Policy (Rule 4)
   - Body corporates that collect sensitive personal data must have a privacy policy.
   - Policy must be easily accessible to everyone by publishing on its website.
   - The policy must contain details regarding, what kind of personal information is being collected & why, and what security practices are taken to keep it safe and confidential.
d) Data Collection Guidelines (Rule 5)
   1) Obtain consent from data providers.
   2) Collect data only for lawful and necessary purposes.
   3) Use data only for stated purposes and retain it only as long as necessary.
   4) Inform data providers about the collection, purpose, and recipients.
   5) Allow data providers to review and correct their data.
   6) Ensure data security.
   7) Designate a Grievance Officer with contact details on the website.
e) Security Practices (Rule 8)
   - Implement reasonable security practices, such as IS/ISO/IEC 27001 standards.
   - Conduct annual audits or audits upon significant upgrades to security processes

Concept 8 - Cybercrime - Meaning

Cybercrime involves criminal activities where computers or networks are used as tools, targets, or places of criminal activity, including crimes like credit card fraud, cyber terrorism, etc. Its unique nature, without geographical boundaries and often with anonymous perpetrators, poses significant threats to governments, businesses, and individuals.

Concept 9 - Cyber Crimes Against Persons

a) Cyber Stalking - Using technology like the internet, email, or phones to threaten and create fear.
b) Obscenity - Sharing indecent or prohibited material, especially child pornography.
c) Defamation - Lowering someone's dignity by hacking their account and sending vulgar emails.
d) Hacking - Unauthorized access to a computer system, often destroying data and programs.
e) Cracking - Breaking into a computer system without permission and tampering with data.
f) Spoofing - Sending emails that misrepresent their origin, often used for spam and identity theft.
g) Carding - Using fake debit and credit cards to steal money from bank accounts.
h) Fraud - Stealing passwords and data with the intent to cheat or deceive.
i) Threat - Using technology to threaten someone's life or safety.

Concept 10 - Cyber Crimes Against Property

a) IPR Violation - Infringing on intellectual property rights like software piracy and copyright violations.
b) Squatting - Competing for the same domain name, often by registering it first or using a similar one.
c) Vandalism - Deliberately damaging or destroying data and network services.
d) Hacking - Unauthorized access to computer systems, leading to data loss.
e) Virus - Programs that spread and damage data on computers and networks.
f) Trespass - Accessing someone's computer without permission, but not altering or damaging data.

Concept 11 - Cyber Crimes Against Government

a) Terrorism - Using the internet to conduct attacks that threaten national security.
b) Warfare - Politically motivated hacking to damage or spy, similar to traditional warfare.
c) Piracy - Distributing pirated software to destroy government data and records.
d) unauthorized Information - It is very easy to access any information by the terrorists with the aid of internet and to possess that information for political, religious, social, ideological objectives.

Concept 12 - Cyber Laws to Protect Against Cyber Crime

Cybercrimes are on the rise due to the extensive use of the internet. The Information Technology (IT) Act, 2000, and amendments to the Indian Penal Code (IPC) aim to combat these crimes. Key offenses made punishable under these laws include:

Cyber Crimes Under the IT Act:

1) Tampering with Computer source documents

2) Hacking with Computer systems, Data alteration
3) Publishing obscene information
4) Unauthorized access to protected system
5) Breach of Confidentiality and Privacy
6) Publishing false digital signature certificates

Cyber Crimes Under IPC and Special Laws:

1) Sending threatening messages by email
2) Defamatory messages by email
3) Forgery of electronic records
4) Bogus websites, cyber frauds
5) Email spoofing
6) Web-Jacking
7) Email Abuse

Cyber Crimes Under Special Acts:

1) Drugs – "Online sale of Drugs under Narcotic Drugs and Psychotropic Substances Act, 1985"
2) Sale of Arms - "Online sale of Arms under Arms Act, 1959"

Concept 13 – Meaning of Business Intelligence (BI)

Business Intelligence (BI) is a technology-driven process that helps organizations analyse data and provide actionable insights for decision-making. It involves collecting data from internal and external sources, preparing it for analysis, and creating visualizations, dashboards, and reports.

The ultimate goal of BI is to drive better business decisions that enable organizations to increase revenue, improve operational efficiency and gain competitive advantage. To achieve that goal, BI uses a combination of analytics, data management and reporting tools, plus various methodologies.

Concept 14 – Process of Business Intelligence

a) Data Collection and Storage: BI data is stored in data warehouses or smaller data marts. This data can include both historical information and real-time data from various source systems.
b) Data Preparation: Raw data from different sources is integrated, consolidated, and cleansed using data integration and quality management tools. This ensures accurate and consistent information for analysis.
c) Data Analysis: The prepared data is analysed using analytical querying, where BI tools run queries to extract meaningful insights. Using BI tools (like Power BI, Tableau, or Qlik), the stored data is analysed through:
   - Querying: Asking questions from data, such as sales by region or by product.
   - Data mining: Detecting hidden trends and correlations.
   - Predictive analytics: Forecasting future patterns based on historical data.
d) Distribution: Key performance indicators (KPIs) and other analytical findings are distributed to business users through reports, dashboards, and visualizations.
e) Decision-Making: The insights and information gathered from the analysis are used to influence and drive strategic and tactical business decisions.

Initially, BI tools were used mainly by BI and IT professionals. However, with the advent of self-service BI tools, business users, including analysts and executives, can now query data, create visualizations, and design dashboards on their own.

Practical Example

"A coffee shop chain uses BI to boost sales. They collect data from their sales systems and customer feedback. The BI tools show which drinks are most popular and which times of the day are busiest. The shop then adjusts its menu and staffing based on these insights. This leads to higher sales and better customer service."

Concept 15 - Importance of Business Intelligence (BI)

Business Intelligence (BI) is essential for improving business operations by turning data into valuable insights. Organizations using BI tools can make informed, data-driven decisions, leading to increased productivity, revenue, and growth. Without BI, companies rely on intuition and past experiences, which can result in errors and missed opportunities. BI ensures decisions are backed by data, reducing risks and enhancing overall business performance

Concept 16 - Benefits of Business Intelligence (BI)

a) Speed up and improve decision-making
b) Optimize internal business processes
c) Increase operational efficiency and productivity
d) Spot business problems that need to be addressed
e) Identify emerging business and market trends
f) Develop stronger business strategies
g) Drive higher sales and new revenues
h) Gain a competitive edge over rival companies

Concept 17 - Types of Business Intelligence (BI) Tools and Applications

1) Ad Hoc Analysis – the process of writing and running queries to analyze specific business issues on temporary basis.
2) Online Analytical Processing (OLAP) – Analysing data in multiple dimensions to handle complex questions and calculations.
3) Mobile BI - Using BI apps on smartphones and tablets, showing simple charts and key metrics.
4) Real-time BI - data is analyzed as it's created, collected and processed to give users an up-to-date view of business operations, customer behaviour, financial markets and other areas of interest
5) Operational Intelligence (OI) - Also called operational BI, this is a form of real-time analytics that delivers information to managers and frontline workers in business operations.
6) Open Source BI (OSBI) Business intelligence software that is open source typically includes two versions: a community edition that can be used free of charge and a subscription-based commercial release with technical support by the vendor.
7) Embedded BI - These tools put BI and data visualization functionality directly into business applications. That enables business users to analyze data within the applications they use to do their job.

8) Collaborative BI - This is more of a process than a specific technology which involves the combination of BI applications and collaboration tools to enable different users to work together on data analysis and share information with one another.
9) Location Intelligence (LI) - This is a specialized form of BI that enables users to analyze location and Geographic data, with map-based data visualization incorporated.

Concept 18 - Business Intelligence (BI) Platforms

Modern BI platforms typically include:

a) Data Visualization Software - Designs charts and infographics for easy data understanding.
b) BI Dashboards and Reports - Creates dashboards, reports, and scorecards to display key performance indicators (KPIs) and business metrics.
c) Data Storytelling Features - Combines visualizations and text for business presentations.
d) Management Tools - Monitors usage, optimizes performance, and ensures security in BI deployments.

General Use Cases of BI in an enterprise:

a) monitoring business performance
b) supporting decision-making and strategic planning
c) evaluating and improving business processes.
d) giving operational workers useful information about customers, equipment, supply chains etc.
e) detecting trends, patterns and relationships in data.

Concept 1 – Introduction and objective of PMLA

The Prevention of Money Laundering Act (PMLA), 2002 was enacted in January 2003. It contains 10 Chapters, 75 Sections and One Schedule.

The Act along with the Rules framed thereunder have come into force with effect from 1st July 2005.

Money Laundering is the process of conversion of such proceeds of crime, the 'dirty money', to make it appear as 'legitimate money'.

India has become a member of the Financial Action Task Force and Asia Pacific Group on money laundering, which are committed to the effective implementation and enforcement of internationally accepted standards.

Objects of the Act are:

a) To prevent and control money laundering.
b) To confiscate and seize the property obtained from the laundered money and
c) To deal with any other issue connected with money laundering in India.

Concept 2 – Process of Money Laundering

1. Placement:

a) The money launderer introduces illegal funds into the financial system by breaking up large amounts of cash into smaller, less noticeable sums.
b) These smaller sums are then deposited into a bank account or used to purchase financial instruments like cheques and bank drafts, which are subsequently deposited into one or more accounts at different locations.

2. Layering:

a) In this stage, the money launderer moves the funds through a series of continuous conversions or transfers across multiple accounts within the financial system.
b) This is done to hide the funds origin and distance them from their criminal source.
c) The launderer may use various accounts, often in different countries, especially in jurisdictions that do not cooperate with anti-money laundering investigations.

3. Integration:

a) In the final stage, the laundered funds enter the legitimate economy, mixed with legally earned money.
b) The launderer invests these funds into real estate, business ventures, and luxury assets allowing them to enjoy the money without fear of detection.

Concept 3 – Offences and Punishment under Money Laundering

Whosoever directly or indirectly attempts to indulge or knowingly assists or knowingly is a party or is actually involved in any process or activity connected with the proceeds of crime including its concealment, possession, acquisition or use and projecting or claiming it as untainted property shall be guilty of offence of money-laundering.

Types of Offences: The offences listed in the Schedule the Act, are scheduled offences and are divided into three parts - Part A, B and C.

a) Part 'A' offences to the Schedule have been listed in 29 paragraphs and it comprises of offences under Indian Penal Code, offences under the Narcotic Drugs and Psychotropic Substances Act, 1985, offences under the Explosive Substances Act, 1908, offences under the Unlawful Activities (Prevention) Act, 1967, etc.
b) Part 'B' of the Schedule are offences under the Customs Act, 1962, if the total value involved in such offences is ₹ 1 crore rupees or more.
c) Part 'C' deals with trans-border crimes and is a vital step in tackling Money Laundering across International boundaries.

The Scheduled Offence is called Predicate Offence and the occurrence of the same is a prerequisite for initiating investigation into the offence of money laundering.

Punishment for the offence of Money Laundering:

a) Rigorous imprisonment for a term which shall not be less than 3 years but which may extend to 7 years and shall also be liable to fine.
b) But where the proceeds of crime involved in money-laundering relate to any offence specified under paragraph 2 (Offences under the Narcotic Drugs and Psychotropic Substances Act, 1985) of Part A of the Schedule, the maximum punishment may extend to 10 years instead of 7 years.
c) Property made out of proceeds of crime, directly or indirectly attached and/or confiscated by the authority.

Concept 4 – Financial Intelligence Unit (FIU-IND)

Financial Intelligence Unit – India under Department of Revenue, Ministry of Finance was set by the Government of India during November 2004 as the central national agency responsible for receiving, processing, analyzing and disseminating information relating to suspicious financial transactions to enforcement agencies & Foreign FIUs. FIU-IND is an independent body reporting directly to the Economic Intelligence Council (EIC) headed by the finance minister.

Concept 5 – Obligations of the Reporting Entity

'Reporting Entity' means a banking company, financial institution, intermediary or a person carrying on a designated business or profession.

a) Every reporting entity have to maintain a record of all transactions covered as per the nature and value of which may be prescribed, in such manner as to enable the reconstruct individual transactions.
b) They shall furnish to the Director (FIU) within such time as may be prescribed information relating to such transactions.
c) They shall verify the identity of its clients and shall identify the beneficial owner, if any, of such of its clients.
d) They shall maintain record of documents evidencing identity of its clients and beneficial owners as well as account files for a period of 5 years in case of record and information relating to transactions.
e) They shall maintain the same for a period of 5 years after the business relationship between a client and the reporting entity has ended or the account has been closed, whichever is later.

Concept 6 – Procedure of Investigation

Enforcement Directorate: The Directorate of Enforcement is responsible for enforcement of the Foreign Exchange Management Act, 1999 (FEMA) and certain provisions under the Prevention of Money Laundering Act, 2002. The PMLA empowers ED officers to investigate & prosecute money laundering cases and attach related properties.

Adjudicating Authority: Where the Adjudicating Authority decides that any property attached by Enforcement Directorate is actually involved in money-laundering, Adjudicating Authority shall, by an order in writing confirm the attachment of the property made or retention of property or record seized.

The Act provides for reciprocal arrangements and bilateral agreements between countries for the purpose of either enforcing the provisions of this Act or for the exchange of information.

Appellate Tribunal: Under Section 25, the Central Government has established an Appellate Tribunal. The Tribunal consists of a chairperson and 2 other members. The chairman & one member of Appellate tribunal for Forfeited Property (APFT) holds additional charge of the post of Chairman and member of Appellate Tribunal. Appellate Tribunal has been constituted to hear appeals against the orders of the Adjudicating Authority and other Authorities of the Act.

Special Court: For trials under Section 4 of PMLA, 2002, the Central Government designates Special Courts, in consultation with the Chief Justices of High Courts, for specific areas or cases. These Special Courts can also handle related offenses as per the Code of Criminal Procedure, 1973. Any money laundering offense and connected scheduled offenses are tried by the Special Court in the area where the crime was committed.

Concept 7 – STR (Suspicious Transaction Reports)

Every banking company require to furnish details of suspicious transactions under PMLA act, 2002 and rules. It means a transaction whether or not made in cash which, to a person acting in good faith:

a) Gives rise to a reasonable suspicion that it may involve the proceeds of crime, or
b) Appears to be made in circumstances of unusual or unjustified complexity, or
c) Appears to have no economic rationale or bonafide purpose.

Concept 8 – Obligations of the Reporting Entity

As per the Prevention of Money Laundering (Maintenance of Records) Rules, 2005,
Every reporting entity shall maintain record of all transactions, including record of-

a) All cash transactions of the value of more than ₹10 lakhs or its equivalent in foreign currency.
b) All series of integrally connected cash transactions within a month, each below ₹10 lakhs (or equivalent foreign currency) but aggregating to over ₹ 10 lakhs (or equivalent) in that month. All series of integrated transaction below ₹ 10 lakhs per month.
c) All transactions involving receipts by non-profit organizations of value more than ₹10 lakhs, or its

equivalent in foreign currency.

d) All cash transactions involving forged/counterfeit currency or forged documents/securities used to facilitate the transaction.

e) Any suspicious transactions made in cash or otherwise and in a way as prescribed.

f) All cross-border wire transfers of the value of more than ₹ 5 lakhs or its equivalent in foreign currency where either the origin or destination of fund is in India.

g) All purchase and sale by any person of immovable property valued at ₹ 50 lakhs or more that is registered by the reporting entity.

Every entity shall designate a Principal officer, who shall furnish the information in respect of above transactions to the director of FIU – IND by the 15th day of the succeeding month. Every entity shall identify clients and check status and authenticity. Within 10 days of the commencement of account-based relationship with the customer file electronic data to central KYC records registry. Central KYC Records Registry formed in 2015 must keep centralized data which would include analysis and transformation of data.

Digital KYC process: The process of accepting, verifying, authenticating, and certifying of KYC records which is online and secured